

Restaurant Brands (RBA)

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Call: May 2023

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : Unit Nos. 1003 to 1007, 10th Floor, Mittal Commercial, Asan Pada Road, Chimatpada, Marol, Andheri (East), Mumbai - 400 059

CIN: L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

May 22 , 2023

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Investor/ Analyst Call Transcript

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed the transcript of the Investor/ Analyst call w.r.t. the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2023 , held on May 18, 2023 at 11:00 a.m. IST as Annexure A .

The same is being made available on the website of the Company viz. www.burgerking.in .

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Madhulika Rawat

Company Secretary and Compliance Officer

Membership No.: F8765

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"Restaurant Brands Asia
Q4 FY2023 Earnings Conference Call "

May 18 , 2023

ANALYST : MR. NIHAL JHAM – NUVAMA INSTITUTIONAL
EQUITIES

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Page 2 of 23 MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR & GROUP CHIEF EXECUTIVE OFFICER – RESTAURANT BRANDS ASIA LIMITED
MR. SANDEEP DEY – BRAND PRESIDENT – INDONESIA – RESTAURANT BRANDS ASIA LIMITED
MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL OFFICER & CHIEF BUSINESS OFFICER – RESTAURANT BRANDS ASIA LIMITED
MR. KAPIL GROVER – CHIEF MARKETING OFFICER – RESTAURANT BRAND S ASIA LIMITED
MR. PRASHANT DESAI – HEAD OF STRATEGY & INVESTOR RELATIONS – RESTAURANT BRANDS ASIA LIMITED

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Page 3 of 23 Moderator : Ladies and gentlemen, good day and welcome to the Restaurant Brands Asia Q4 FY2023 Earnings Conference Call hosted by Nuvama Institutional Equities . As a reminder , all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. I now hand the conference over to M r. Nihal Jham from Nuvama Institutional Equities . Thank you and over to you sir!
Nihal Jham : Thank you Vikram. On behalf of Nuvama, I would like to welcome you all to the Q 4 FY2023 and FY2023 Earning Conference Call of Restaurant Brands Asia . From the management today, we have Mr. Rajeev Varman, Whole Time Director and Group CEO, Mr. Sandeep Dey, Brand President, Indonesia , Mr. Sumit Zaveri, Group CFO a nd Chief Business Offic er, Mr. Kapil Grover, Chief Marketing Officer and Mr. Prashant Desai, Head of Strategy and IR. I would no w like to hand over the call to Mr. Rajeev Varman for his opening remarks. Over to you Raj!
Rajeev Varman : Good morning to everyone. So as promised we have got Sandeep joining in from Indonesia. Good morning to you Sandeep as well. Good afternoon by this time right. Welcome to the call. I will give a very quick summary first on India and then on Indonesia and after that we will hand it over to Sumit to g o over the finance and over to Kapil to go over the marketing and then Sandeep to go over Indonesia.
So, with tha

t said , let me just quickly get you on the India business . India business we had a good year. If you look at revenues, we were up both in tota l revenues as well as in SSLG. Gross profit margins we were up. Restaurant level EBITDA we were up. Company level EBITDA we were up, so we were basically a positive kind of a P&L and a positive kind of a growth story for India . So let me start with first r even ues. FY2023 Rs.14,397 versus FY2022 which was Rs.9437 which is a growth of 52.6%. That included a SSSG of 43.1% and if you look at the Q4 numbers, Q4 FY2023 we had a Rs.3649 million that was versus FY2022 which was Rs.2687 million again a growth of 35. 8% which includes SSG of 8.3%. Also, the net restaurant growth was 76 which included some closures and some openings, and I will come to that in a minute. Our gross margin again FY2023 we went to 66.4% that was against 65.8% from the previous year which is a 60-basis points improvement. Maintained 66.4% in Q4 in terms of quarter over quarter in gross margins so that is despite all inflation that was there in that quarter and now we are happy that inflation is going in the downwards direction and you will fi nd our outlook in the future today towards the end of the call.

Going to restaurant level EBITDA and I am giving you post Ind-As numbers and Sumit will then give you pre Ind -As numbers when he goes into the P&L as well so let us start with FY2023 restaura nt lev el EBITDA which is Rs.2483 million, 17.3% versus FY2022 which is at Rs.1528 million which is 16.2% so another 110 basis points improvement on there. Q4 FY2023 Rs.666 million that is 18.3% versus Q4 of FY2022 , which is at 478 another 50 basis points i mprove ment
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Page 4 of 23 here and finally the company EBITDA again post Ind-As numbers here FY2023 Rs.1654 million which is 11.5% against FY2022 which is 902 which is 9.6% , 190 basis points improvement here and then Q4 this ending quarter FY2023 we are Rs.423 million wh ich is 11.6% against the Q4 FY2022 which was at 302 again 11.3 which is 30 basis points improvement so as I highlighted improved revenues, improved gross margins, improved restaurant EBITDA and improved company EBITDA.

Now just on the growth side , so we e nded M arch 31, 2023, with 391 restaurants. Great work was done by our development team there. We opened 88 restaurants and then we were optimizing our

old portfolio and we closed 12 restaurants that were not profitable and did not have a growth potential, giving us a net of 76. 15 restaurants are now under construction as we speak and 38 are in the pipeline so the growth story continues. BK Café which is story we started towards the beginning of FY2022 that we have built 275 BK Cafés that are operating. We continue to build BK Cafés as we build new restaurants were appropriate where we see the potential to do those. They are kind of integrated into our development plan as we build restaurants. BK Café again Kapil will talk a little more about this but wonderful job. BK app revenues grew 327% year over year 6.2 million apps installed, 107 growth over the last years installed so some progress on that side as well. We believe that we will continue to spend on the app, and we will continue to build that business over time and continue to work with our aggregate partners as well to continue servicing our consumers both on dine in as well as delivery.

Just a quick note on Indonesia business summary. Again, here we had improvements in revenues. We had improvement in gross margins despite all the inflation in Indonesia in the past couple of quarters. We continue to improve on gross margins. We had a little sub result on our company EBITDA and we will talk to that I think Sumit will spend some time talking about the launch of Popeye's and how that kind of do some investment and also investment in what we call back to basics which

Sandeep will speak about when he gets into his section, but a lot of good investment was made in Indonesia. We are seeing some positive results. We continue to believe this is a very strong business that the foundations have been laid and I will talk in a moment. Store count is 186 over here as of March 31, 2023. Revenues and these are in IDR. IDR is Indonesian Rupiah. FY2023, we had IDR 1153 billion and that was FY2022 which is IDR 1052 billion and 9.5% improvement. Q4 FY2023 IDR 276 billion versus Q4 of FY2022 which is 249 billion grew another 10.5% on top of that. We have the gross margin improvement numbers. Sumit will address that. There was as gross margin improvement as well that we were able to achieve. Actually, I will share that number with you. The gross margin moved up to 58% versus the previous year of 56.3%. I am talking about the Burger King portion of the business not including Popeye which has just rolled.

So, with that said let me just speak a little bit about our business in Indonesia and then Sandeep who will become regular part of this call he will give you substantially a little more details into the Indonesian business. So first of all, we shared with you last call that we had launched Popeye Restaurant Brands Asia
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Page 5 of 23 Indonesia. Today in Indonesia we have a 10 very healthy stores which are doing fantastic sales almost two and a half to three times the volume of the Burger King business that we have over there which we are getting back in par. Not only that but again as I told last time this was a record launch for Popeye's globally and Sandeep and this team have done a phenomenal job launching that brand over there and we are at 10 stores and we are going to build additional stores and move towards 25 to 30 stores towards the end of this year and this will become a significant profitable business currently doing restaurant level EBITDAs in very high teens so good job there Sandeep and you will talk more about this on your section.

Now just coming down to what the pillars were. What are we doing in Indonesia or why are we so excited about Indonesia. So first of all we took this business and when we took this business we wanted to obviously lay the foundation for the next five to 10 years how we are going to build this business and how we are going to move this business forward so Burger King as a name says burger and king right so we wanted to make sure that we took the product line on the burgers. We tested the product line versus competition. We found gaps in those in terms of both affordability, likeness, taste and so forth. Sandeep was an expert in NPD as well and expert on the supply chain as well. He did a fantastic job over the last six to eight months in establishing each and every product line was taken from scores and he can share the scores with you but tremendous improvement on our burger line, tremendous taste improvement, tremendous consideration and affordability and likability of these products so we have now finished that process. It was completed between October and December of this year. All products have been completed. All products have been tested. All products are now rolled into our restaurants.

Second, we spoke about this I think about eight months ago or nine months ago when we were on the phone with you guys that there was a significant gap between our business over there and the industry standard which was chicken. We were not offering chicken, or we were not building that portion of the business which is a strong business in Indonesia. In fact, I think it is a staple food over there rice and chicken and we were offering one chicken offering which also in a test showed that there was a gap between what the industry standard was and where we were so that again just completed this month. In fact, Sandeep will talk to you about how we are taking that into

the market. We have completed. We have got now two versions of the chicken. We have a classic version and a spicy version of the chicken. This is standard. All other players have it. We

think that about 60 % to 70 % of the industry sales are in this chicken area and so we will start building this. In fact, Sandeep will share with you the excitement about our rollout of this product. It is already rolled out by the way but the communication portion of this will come in the future day so I spoke about burgers and chicken which was done by me May 2023. Then we had a gap in desserts and this Indonesia is a major desert market. There is a substantial amount of liking and purchase of desserts in the QSR space, and we have now built a substantial menu. Thanks to all the work our CMO over there Namita has done, and she has built a fantastic dessert menu as well which in February 2023 was put into the restaurant. By the way guys all these things initiatives we are not started communication yet. We have just put these things in, and we

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Page 6 of 23 are seeing that 10 %. The other numbers I shared with you is all coming off just local communication at the restaurant level. Media investment will start in June and then we will start talking about all these improvements moving forward.

The last piece which is my favorite piece which is a piece that is relevant strong makes sense for both markets which is India and Indonesia which is value. Both countries are driven by value. Both countries continue to have a very strong consumer following under the name value. We have fixed both quality, taste of products there and now we are going through to push this onto media investment where we will be communicating a value proposition to bring people into start trying the product, so this is basically the strategy that we communicated to you months ago and quarters ago. Today I am happy to say that 80 % of this strategy is already in place. The media event and media communication will start, and we will start building this business and we will share our exciting results in quarters to come. With that said, I will turn it now over to Sumit who will carry you through the India first and then the Indonesia financials and how we have performed in all on the area so over to you Sumit.

Sumit Zaveri: Thank you Raj. The way I will try and do is to kind of cover through some of the strategies that we have always been following and how we have performed through this year and the way we see each of these emerging in the coming year as well. We were always focused on growth part of our business and keeping that very strongly is one of our pillars. We have grown and opened 88 new stores. At the same time we want to be mindful that we do not carry stores that are underperforming and hence we had to shut down 12 and the net is 76 ended the year at 391. We would continue on this growth journey, and we intend to get to around 450 stores as we get towards the end of FY2024 so that journey of growth continues and obviously it will be responsible growth.

As far as the revenue is concerned, I am on slide 10 of our presentation. We grew from Rs.940 Crores to almost close to Rs.1440 Crores a growth of 53% led by a strong portfolio level EDS moving up from 100 to 180 for the year and then as I explained the balance part of the growth is coming for on account of the new stores that we added during the year and the animalization of the stores that we opened the previous year and between the two years now we have almost added 125 stores plus to this portfolio. The second part of the pillar which we have always been talking and I am still on slide 10 talking about dine-in. We have always been saying that our focus is going to improve the dine-in share of the business because that is where we believe the

customer experience is at its best. We have been able to move the needle by 9% which is a potential shift that we have done from 49 % to 58 %. When Kapil talks about some of the initiatives that we are working on we believe that we will be able to further shift this needle more towards dine-in as we go along so that journey that we had embarked upon with a very strong confidence on it seems to now starting to play out for us. As far as store level EBITDA is concerned for the full year we moved by 3% point from 5.2 % to 8.3 %. Part of it was led by gross profit at 66.4 %. We have been able to kind of throughout these years all of you were stacking us

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Page 7 of 23 on a quarter -on-quarter basis you would realize that we have been able to maintain the gross profit margins at a very steady state of 66.46 % a 3.5% range throughout the years by various initiatives that we took and could offset the impact of inflation that we have seen to make sure that there is no variability that comes to a margin plane so that is something which we have been able to do that. Having said that with all the challenges that we have seen in the past we strongly believe that we should be able to improve on to this number as we get into FY2024 and as we get to the guidance part later you would see that we have taken an improvement on that part of the portfolio. Apart from gross profits some of the initiatives that we continue to work to improve efficiencies give some results in Q3 and Q4 and if you really look at the kind of spends that we have been incurring on month basis or quarter basis if you see there is a very clear shift in some of the fixed cost lines like labor, utilities and all that you would see and as we are able to improve the sales going forward we should start seeing the benefits of that going forward flowing

down into our store EBITDA as well so for the years at the company EBITDA level we were at 2.5% with cash generation of Rs.36 Crores. Having said that and I am going on to slide number 14 and talk a little bit about Indonesia. Indonesia, we did an EDS of 17 million IDR in Burger King as again 16 billion IDR marginal improvement. We have kept the portfolio at 176 stores as far as Indonesia is concerned. On the BK side our focus is going to be to kind of get the business back to cash break even which is what we are going to work towards there. Now through the year we have made certain investments which obviously are reflecting in our company EBITDA and the number does seem large but there are good amount of investments that we have already done through the years and I will just kind of call out some of the investments that are getting reflected in our numbers as we see. One is we launched the brand Popeye in Indonesia towards the later part of the year and spends in order to launch the brand which stands at almost from Rs.6 Crores to Rs.7 Crores is something which we have kind of put there and we have had a very strong successful brand launch and Sandeep will talk about it. We expect that brand should do high teens in terms of store level EBITDA as we kind of see the performance in FY2024 and start seeing meaningful numbers coming out of that brand. Apart from that we had made sure that the stores start looking better and inviting as far as the customer is concerned so we had put money behind getting those stores back in shape. We have kind of worked towards making sure that the stores are operational for the hour that the customer wants us to be operational and hence effectively also took care in terms of the availability of people to service the customer throughout the period so these are some of the big things that we have kind of already put in place. Product development which Sandeep will talk about so we have literally got to through the year to make sure that we are ready to roar into FY2024

with all the things that we have already put money behind. We have taken the beating if I may say but ready to kind of kind of make sure that from here to be able to get to cash in FY2024 so that is where we stand as far as Indonesia is concerned. Obviously because we are still working towards getting to cash break even the consolidated company EBITDA did see a negative Rs.60 Crores which we have kind of put as money that we required to put in Indonesia to bring that market back to shape. As Raj said we strongly feel that is a very strong market with a very strong consumer base on the burger side as well as on the chicken side and with those two brands we should be able to achieve and report Restaurant Brands Asia
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Page 8 of 23 very strong performance in India as well as in Indonesia so over to Kapil to take us through the marketing update there and talk about a little bit of some of the things that we are working on for next year well.

Kapil Grover: Thanks. Thanks Sumit and good morning, everyone. I will start with slide number 17. Slide number 17 as Raj mentioned and Sumit mentioned it talks about a continuous focus in growing top line and specifically dine-in traffic on the back of value programs, so we shared with you in the past the stunner campaign with an affordable veg and non-veg menu. We continue to drive that while we started testing an extension of the same items with a new need proposition starting at 99. Now this program was tested in about 80 odd stores. We saw some very good early reads on dine-in traffic and our consumers really liked the idea of getting a full affordable filling meal at a very attractive price point. We have since then scaled up the promotion. Early days but we are seeing very good traction on the same. On slide number 18 while we have spoken to you about this kind of value menu, and we told you about the campaign that went viral. Very happy to share that the social media campaign has won a silver award at the Clio International Awards which is next only to Cannes and this is our first win on the global platform. Now slide number 19 talks about how we continue to balance the barbell strategy on our menu. Last year we launched the kings collection menu with some very credible products built on a very strong consumer insights and it has had the ingredients like very high quality paneer, cheese which are premium for our vegetarian guests and also grilled and fried chicken burgers for our non-veg dining guests and we will continue invent all into the menu and offer great value for money to our guests. Slide 20 talks about our flagship product so we continue to strengthen it with a string of limited time products. Last quarter was an Indian inspired variant called the indie tikka whopper which did very well for us. A non-Indian business with the veg chicken and the mutton whopper the three variants which are designed specifically for Indian guests continues to be amongst the highest whopper selling markets in the Burger King world.

The next slide is an initiative that we are very happy and humbled to share that we are one of the first brands to recognize how important it is for our guests to get options of 100% veg, no onion, no garlic menu in certain religious towns or during their pilgrimages and we have just share some pictures of 100% veg restaurant that serves no onion and no garlic menu on the Vaishno Devi Pilgrimage.

Slide 22 talks about our continuous efforts to build a youthful brand with stocks and engages with Gen Z and millennials so we make sure we are part of topical conversations like cricket whether it is any event that is happening in India or international, Indian festivals like Diwali,

international events like Halloween, moments like big movie releases and other events like Mother's Day and so on and we continue to engage and talk the language. I know

that is our

guests to understand and that they connect with it. The PK Café on slide 23 is one of our most recent additions to the business and the menu. It continues to expand in footprint and is now Restaurant Brands Asia

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Page 9 of 23 available at 275 locations. Now obviously the task is to build awareness and we have been engaging a lot of social media influencers to help get the word out and as of last quarter we had reached out to almost 15 million of their followers by a very targeted store-based content building awareness about the fact that we now have café options available.

Lastly in addition to the clear word, the brand has won about 20 plus other marketing product innovation and digital recognitions in India so in a nutshell a strong value strategy, lot of innovations across the menu especially the premier menu with king's collections and limited time whoppers, a new café expansion and a brand that is continuing to build relevance in India with the consumers. Now I will hand it over to Sandeep to talk you through some of the key initiatives in Indonesia.

Sandeep Dey: Thank you Kapil and once again a very, very good morning to all of you. See you heard Raj talking about our single-minded objective right. The single-minded objective of building back this business into a profitable company and he also spoke about the mode of ground we covered in the last few quarters on our key strategic growth pillars so in the next few minutes I am going to share a little bit details about some of the strategic pillars but before I do that let me share the work we have done in strengthening our foundation so that we could deliver consistently a best in class guest experience every single day.

I am on slide number 27. What we have done is we looked into every single aspect of our business which impacts guest experience and launched a company wide cross functional project called back to basics. The first thing we did was rationalize a lot of products which were not selling at all so it helped us not only eliminate lot of SKUs but also made the supply chain and operations much more efficient. By the way in that process, we also made our menu board completely uncluttered and it kind of helps our guests navigate through the menu board and make their choices much more conveniently. Then we took most of our core products as Raj said took it to consumers, got them tasted, captured their feedback, identify those improvement areas and recreated them based on those feedbacks and got them validated once again to the extensive consumer research process and through that process we created our winning products. We created our winning menu. Also at the power of back to basics we have gone from store to store and checked every single piece of equipment to ensure that they are all fully calibrated and are in perfect working conditions. We also carried out an extensive training program for 100% of our operators and 100% of our crew members to make sure that they are retrained on products, bills and so on and so forth so that they are fully ready to deliver and create customer experience right. Now once we strengthened our foundation, we then started implementing all our strategic initiatives.

So, I am moving on to the next slide now. Our first priority was to build burger leadership and build that burger leadership through base credibility, with flavor innovations and build that equity through whopper. We actually took our whoppers, took it to consumer and developed a Restaurant Brands Asia

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Page 10 of 23 new whopper build based on Indonesian consumers preference and based on talents right and I am happy to share the taste scores are significantly better than the previous whopper. In fact, in terms of product preference or product ranking it is scored 77% compared to 23% of the old classic whopper but

old. We also at the same time developed a premium layer for gold connection which to me probably is undoubtedly the best testing change here. These are pure test intelligence and at the same time quite affordable prices. They also, by the way not only got great taste scores but also fantastic value for money scores and over a period of time we believe strongly that this whole collection layer will also help us in building our burger superiority in the overall QSR landscape.

Now I am moving to the next slide which is slide number 29. See while we were studying the market we also understood and Raj also mentioned that this is the market where fried chicken is kind of a staple food and there are two kinds of fried chicken consumers the classic non spicy consumers like kids and people who can not handle too much of spice and then there are spicy levels as well and all brands by the way offer two kinds of chicken spicy and the non spicy business BK we had only one type of chicken and that came out as a big opportunity area to bridge that gap and build a comprehensive bone and chicken wings so again we followed the

process, we did a lot of work, created multiple options, multiple iterations and followed the same exhaustive process of consumer validation and eventually came up with two winning products the spicy and the non spicy. Both these products scored great taste scores, great money scores, and also performed well in the competition products. We are quite satisfied with these products we created, and we want as many guests to try our products and hence we actually launched just about a week back these two products at an extremely attractive price of 25,000 for a piece of chicken rice and a drink just for the perspective. It was almost about 30% cheaper than the next available pricing in the market. We also have an extremely strong 360-degree marketing campaign in place which includes TV, it includes social, digital, mall manning, and outdoor basically a comprehensive plan in place and that will be alive and kicking in the next few days' time.

The last strategic pillar I am going to talk about is building a strong desert portfolio. Also when you are selling in the market we learn that Indonesia is a market where consumption of desert is very high and there are many brands by the way local as well as chain international brands who are doing fantastic business on this particular category and that became an opportunity area for us to build, innovative, tasty and yet affordable deserts so we partnered with our desert partner Nestle and launched our first branded desert called KitKat Fusion and by the way we launched at quite affordable pricing of 16,000 and then it is a phenomenal business. We sold almost three times a volume and it is very high incidence and as a part of our ongoing strategy we have very strong pipeline to launch innovative and affordable desserts throughout the year so that is all from my side on the Indonesia business and I now hand it back to Sumit.

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Page 11 of 23 Sumit Zaveri: Thank Sandeep. I will just quickly share the outlook and then open up for questions from the participants. As we have continued our growth journey, we intend to get to 450 by FY2024 and then as we have always been talking about 700 stores by December 2026 there is now are FY2027 target plans. As far as efficiency is concerned on the back of some of the initiatives that Kapil spoke about we are taking a target of 10% SSG regrowth from where we stand or when we ended FY2024 to be and then we believe that with the initiatives that we have we should be able to get to an accessory growth of 8% thereafter year-on-year on year. Our gross profit on the back of really a strong performance and being able to sustain the gross margins at 66.5% range throughout the year we are speaking a target of 67% of gross

profits for the year and then improve it

by further 2% over the next few years. Indonesia our target for FY2024 effectively is to get to cash breakeven. We would not look at growth as far as Burger King is concerned but we will continue to invest behind Popeye and we intend to get to our 25 stores by March of 2023 as far as Popeye is concerned and then as we get to 700 stores in India and Indonesia between both the brands we should be able to get to 325 stores and that is when we would be coughing the number of thousand stores at the business level over the next three years and these are basically the broad guidelines that we are working towards as a team. I would now open up for the questions from the participants.

Rajeev Varman: I would request the chorus call guys to extend the call by about 15 minutes given that we are already 35 minutes into the call. It will give you guys more time to ask us questions. Thank you.

Moderator: Sure Sir. Thank you very much. Ladies and gentlemen, we will now begin the question-and-answer session. We take our first question from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Yes, good morning Mr. Rajeev and team. Thanks for the opportunity and hearty congratulations for walking the talk. Two things if I note from the India perspective you mentioned that on slide 11 the cost is one of the elements which you are working very closely? Could you be able to help us to say that these all initiative despite the inflation which is hitting very hard and we still see that inflation is not completely subsided though we see that inflation will subside but in FY2023 what is the cost element has driven in terms of efficiency extraction in terms of gross margin maybe if you can elaborate little more and what is it that target you are holding for in FY2024?

Rajeev Varman: Thank you for your question. I am going to give you a brief outlook and then I will turn it over to Sumit. See we just shared with you, or Kapil shared with you a very aggressive promotion that we are going forward with which is now on television. It is pasted all across the country which is the Rs.99 meal right. Despite that Rs.99 meal our outlook which was just shared by Sumit so next year is to improve gross margin to 67% right so how we are going to do this so as you recall we just shared with you that we built net 76 new restaurants this last year. We continue to get that total up to 450. This year so we have two elements that will be just automatic. One is buying because are buying quantities continue to increase and hence we continue to drive prices down as

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Page 12 of 23 the buying quantities increase because this is substantial growth in a portfolio and second is our

transportation cost continues to decrease as we put more and more stores into existing markets where there is may be two or three stores today and go to five or six stores and transportation costs over there goes down. On the company level side, you will find that we are kind of put this structure in place which is now a long term for the next five to 10 years is a stable structure. We do not see adding any additional department or any additional leadership role. They will be small under the leadership some changes here and there in terms of GNA so we see that GNA is kind of a fixed cost that is going to kind of stay there and probably go towards somewhere between 4% to 5% in the future so those are the advantages you will start seeing in the P&L. You will also see a massive positive impact on rent line because as the volumes go up so there are two components to rent. There is a fixed component and a variable component. The variable component of rent will continue to kind of be whatever percentage towards the total top line growth but the fixed rents in this and there are

several restaurants with just fixed rents. That fixed percentage keeps going down as the volumes increase and that will also add on to the P&L volumes so those are the major kind of strings, and I will turn it over to Sumit if he wants to add anything to this.

Sumit Zaveri: No just a couple of points I would add to that, so Raj has already covered the growth margin and the rental piece. There are two other lines which we are very actively working on to kind of make sure that we are able to bring efficiencies. One is the utility line, a line which sees the maximum of inflation and that is where we have now kind of started working with internally as well as taking apart from some external consultants as well to be able to identify opportunity to bring the reduction in consumption and the results have shown positive signs so we should be able to kind of work towards building kind of beating the inflation there as we kind of build efficiencies in that line and the second one is when we make some investments on the application side on the backing to be able to very closely monitor the way we budget or plan our people cost at the store level and that is where we will also see some efficiencies to come in as compared to what we have seen last year. Secondly last year in Q2 as you would remember that we made some investments now that has now started to stabilize, and we have seen the first month's cost per labor to stabilize downwards on a quarter-on-quarter basis. If you just plot that number, you will realize that we have only been spending lower in Q3 cost as compared to the previous quarters and this we will now take the benefits into layers into FY2024.

Shirish Pardeshi: That is really helpful, Sumit. Two followup here when you say that we will reach towards 67 % gross margin I see that there is a lot of stress across India and even in Indonesia? We have spoken that there is a media investment which is there so would you be able to help me with two questions one is what is the FY 2023 the media and ad spends we have incurred and maybe that number how it looked like in 2024 and second would you be able to help us to say that from 11.5% and 11.6% EBITDA can we build a 12.5% to 13% or we should look at in the medium term about 11 % and then build 11.7 % to 11.8% so maybe some color if you can add?

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Page 13 of 23 Prashant Desai : Shirish, Prashant here our media spend marking is governed by our MFDA which has been at 5%

and it will continue to remain at 5% that is true for most of the QRS in the country. As far as your second question is concerned so you may see a little bit of a higher media spend in Indonesia but otherwise we will try to kind of keep this at about 5% so as you know from the time that we have gone public we have reframed from giving kind of a guidance in terms of our restaurants EBITDA and company revenue EBITDA but if you are looking for a direction I think Raj kind of eluded this and if you broadly look at it and this is something that we have been consistently communicating in our one-on-one meeting with our investors and analysts alike some part of our business and the costs are very directly linked to our ADS. Unfortunately for the sector as a whole this quarter was a softer quarter in terms of the ADS. We are seeing grassroots of recovery. The quarter also met with a lot of inflationary pressure which also we are now seeing signs of that abetting so if you put all these things into perspective assuming that if Sumit is talking about 10 % same store guidance we ended at FY2023 at about 118,000 of ADS, add 10% to this and if you then do your math you will see it directionally we will be North of where you are but as I said we do not like to guide this but directionally you will see a significantly improved FY2024 here.

Rajeev Varman : And just to add to what Prasha

nt just said see while we continue to spend 5% if you appreciate in FY2022 our total sales was around Rs.9437 million. Now that has gone up by 5 % of the total revenues, the total money available continues to grow and that is why you will find our company that did only maybe four or five weeks in advertisement on television grew to 20 weeks, grew to 30 weeks continue to be able to do more and more of advertisement whether it is on television out of home so this thing will continue to grow in terms of volume of communication. The

impact to the P&L will be exactly the same because we do not go beyond that 5%. We have gone in the past when we are not public but as a company today, we have substantial amount of money within that 5% to continue promoting our restaurants so I hope between myself and Prashant we kind of addressed both those questions of yours but thank you. It is very much for your questions. Shirish Pardeshi: Yes, I just have a last question thank you Rajeev for the detailed explanation. When I look at the competition and primarily from McDonald because McDonald is also putting a lot of focus on India market, and they have revived the Northern business also and everybody is talking about getting the piece of sales in the market? Now that is one part. The national competition is evolving and second in the local competition was always there. They are not from direct from the burgers or pizzas or KFCs but there is also a new development which is happening from the likes of chicken sandwich and other things so I am just trying to draw your attention do you think this competition will remain benign or stable or it is increasing or do you expect some disruptions not directly from the chicken or burger format but in direct format?

Prashant Desai: Shirish I will quickly answer that then we will move on to the next. Ever since we started business, the team's view has always been, and we have viewed every single cuisine as competition not just competition from a category standpoint. The category standpoint it is as of Restaurant Brands Asia

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Page 14 of 23 now a monopoly kind of an environment. People will try to get in because it is attractive proposition but every guidance that we have given has been given keeping in mind all the factors that you mentioned.

Shirish Pardeshi: Thank you.

Moderator: Thank you. We take the next question from the line of Harsh Shah from Dimensional Securities. Please go ahead.

Harsh Shah: Good morning, Sir. Sir, I just wanted to understand that the ADS has been lingering at around 1,15,000 to 1,18,000? We peaked at 1,27,000 couple of quarters back but we are down back to 110 and 112 so just wanted to understand what will drive this incremental ADS because we are taking a lot of initiatives that are stunner and value menu and we are also adding a lot of cafes and one year down the line we will have nearly 250 cafes which will be a year old so just wanted to understand that how will this ADS pan out over next couple of years?

Kapil Grover: This is Kapil. I will take this question. See part of what you see in the trends is seasonality yes this quarter is all the school holidays, middle of the year which is very high seasonality so that helps us sort of increase sales along with the promotions that we are running and the future programs I shared a little bit of that in my commentary that we are now rolling out the 99 meals program and we are seeing some good early reads. We have piloted that in about 80 odd stores, and we saw some good growth in dine-in traffic and now we are expanding that to national promotion. We are spending money on media traditional digital billboards; outdoor mall branding and we are expecting good growth on the back of this promotion.

Prashant Desai: I will just add Harsh to what Kapil mentioned. One of the things that you will have to understand

the nature of our business is every time we open a restaurant it takes the restaurant to reach a certain degree of maturity over the next 24 months to 36 months and if you just see today the 391 restaurants that we have and if you just do the simple math the number of restaurants that we have opened over the last two and a half to three years you will see that close to about 40% to 45% of the restaurants of the total restaurants that we have had opened over the last two to three years as you move forward as this restaurant and as these locations mature there is a natural tendency of traffic coming into this and which is the whole genius behind the kind of 8% same store growth guidance that we have given for FY2025 to FY2027 so it is a combination of almost everything that you mentioned not one specific factor, product, marketing, restaurants maturing and new product introduction, it is a combination of all of that Harsh.

Harsh Shah: And on the Indonesia side if I look at the ADS it was around 89,000 this quarter and then you say that you had 10 stores of Popeye which are doing almost two to three times higher ADS than Burger King would it be fair to assume that the ADS for BK was even much lower than what it

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Page 15 of 23 used to be in the previous quarter then what would be the strategy? Are we looking at rationalizing some of these stores here and add more of Popeye's how do you see this business?

Prashant Desai: Harsh before I hand it over to Sandeep, but I will just correct you the Indonesian ADS that Sumit mentioned 117 was purely on the burger side of the business. When you look at Popeye's ADS where we said that we are doing almost two and a half times of the burger that separate the restaurants have just started the impact of that you will feel in the next year. One big thing that I still want to reiterate which Sumit and I had mentioned if you look at the numbers that we have shared numbers that we have shared we are currently guiding that next year the Indonesian business will achieve a cash break even which is a very, very big milestone from where the

business that we acquired and if we just do the math itself that swing is close to about Rs.100 Crores swing right and this income passes everything that Sandeep mentioned, everything that Raj mentioned and all the initiatives including opening of Popeye's all the work that he had done to improve the burger ADS to probably where we acquired on a pre COVID levels.

Rajeev Varman: Sandeep you want to add anything else or.

Sandeep Dey: No, I think Prashant you have covered pretty well. In the last quarter practically all the improvement in ADS we have seen is from the burger side of the business itself and as both Raj as well as I mentioned that we have covered a lot of ground work in terms of strengthening the foundation and then started putting in all our strategic pillars so you will see a lot of improvement on our ADS on the progress side of the business as well.

Harsh Shah: Just a last follow-up on this. We have reduced our gross margin guidance from 68% to 67% so is it fair to assume that we will not be taking any price at this year and what would be the thought process by lowering this guidance?

Prashant Desai: Yes so we just shared with you this Rs.99 promotion that is going out which is out in the restaurants and so forth so we have adjusted and our goal this year is to drive traffic and specifically dine-in traffic and you will see that is the focus area and we have shifted. Again, by the way we are showing improvement in gross margin as well right. We are moving from our ending 66.4 towards 67 so we continue to drive that because those efficiencies come because of all the transportation, the buying and so forth that I mentioned earlier so we will continue driving that so we kind of a little mitigate

ted because of the fact that we are on aggressive promotion to drive traffic and you will see the results of that. The impact of traffic and volumes has a complete impact on the P&L whether it is the label line, whether it is the rental line, and the utility line you will find all the leverages coming in on all those lines and hence forth on the restaurant level EBITDA. Thank you for your question.

Harsh Shah: Thank you so much. All the best.

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Page 16 of 23 Moderator: Thank you. We take the next question from the line of Nihal Jham from Nuvama Institutional Equities. Please go ahead.

Nihal Jham: Thank you so much. A couple of clarifications one was when you are targeting the 8% SSG for FY2024 is it in a way factoring some improvement in the macro given that you have just highlighted so this is something that we believe will play out given the initiative booking?

Rajeev Varman: First of all, it is 10% that we have kind of put in the guidance. It is not 8% so remember it was 8% just someone just pointed out on the gross margin so let me take the liberty to find out also on the SSG. It used to be 8% but now we moved that guidance to 10% and it is on the back of the aggressive year that we are planning in terms of driving dine-in traffic getting people back into our restaurants at the dine-in level and you will find that that is the impact that we are showing positive on 10%. It is all those programs and we kind of consider everything and the previous inquiry was on all the competition coming in so all that is taken into perspective before we give that guidance, and that guidance stands.

Prashant Desai: May just to add to what Raj is saying the guidance is where things today in terms of the environment. As we mentioned right, we have seen some form of first level of recovery starting in May. If the environment were to get better, we come back every quarter, we will probably up the guidance. If the environment for some reason were to worsen, we will also have a platform to be transfer it and honest about it and share with you guys but from where we stand and what we see this is where we believe is where we want to guide you guys.

Nihal Jham: That is helpful. Just one final question was on the corporate over exist? I think Raj highlighted that there is a target to keep it to 4% to 5% for the business if that is the number that more or less plays out, we are looking at maybe it being flat versus it was in FY2023 so just your comments on the same?

Prashant Desai: Yes, it is true. If you look at my FY2023 corporate GN as a percentage of revenue it is roughly about 5.8 and what Raj is seeing our endeavor will be to bring this down to 5% going forward and then the operating leverage kicks in right as you keep scaling and we have to scale to 700 by FY2027 so you will see further improvement there but yes the endeavor is to bring it to closer to 5% next year.

Nihal Jham: That is helpful. Thank you so much.

Moderator: Thank you. We take the next question from the line of Pratik Poddar from Nippon India Mutual Fund. Please go ahead.

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Page 17 of 23 Pratik Poddar: Just two questions. One is what are the kind of assumptions behind Indonesia breakeven which you are guiding for so if you could give us some flavor in terms of what kind of areas are you looking at and the gross margins?

Rajeev Varman : So, Pratik let me just to answer your question shortly at almost 21 million IDR we break even .

Pratik Poddar: That is how much in Indian rupees if I may ask okay?

Rajeev Varman : It is like 1,10,000 .

Pratik Poddar: Got it and that is what you are aiming for in FY2024 right?

Rajeev Varman : Yes, as we mentioned this right even on it is generally that Indonesia, we collectively want to stabilize the business first before they put the a

ccelerator, and which is why you will see the

guidance for only 15 incremental stores of Popeye for the current year . We will do some rationalization with respect to the working sto res. A lot of effort Sandeep and team ha ve put both on the product side. Now we are beginning to spend money on the marketing side and which is where we believe that we should be able to deli ver a break even ADS during the year and adjust swing of Rs.100 C rores in this year. If this goes as per plan, we would have a very different FY2025 .

Pratik Poddar: If I were to go back to pre COVID I think the ADS was 135K despite doing a back -to-basics kind of program you still are targeting 105K in stage one? I would have thought at least you should have gone very close to 135K is it not with the amount of portfolio rationalization you have done , the amount of retraining which you have just talked about, and the new desert portfolio which you have introduced?

Rajeev Va rman : This is Raj. Thanks for your question by the way. It has been while since we have met. Look here Pratik we are kind of threading slowly in Indonesia right. We have had losses this last year and our objective is to not we have got all these programs t hat we invested just last. The last P&L we have invested severely on whether it is the product side , whether it is the equipment readiness , and whether it is introducing new products, all th ese things we have invested significantly right . As we go into the New Year we are going to turn, and you cannot communicate all the f ive pillars on day one right . You are starting off with chicken communication. It is going to come out so we will start co mmunicating chicken. It will drive a lot of people into our restaura nts. When those people come into our restaurants, they will also see the burger menu. They will also see the menu on our desserts, so we are going to thread this slowly and it is going to come back slowly. It does not come back immediately as you go on telev ision . It builds up and tha t is the important thing is we are now set up a machine that is going to be cumulative moving forward versus doing coupons and getting someone in with a coupon and then until you drop. T he next coupon no one is coming in, but this is a cumulative machine which is the right way to run a long-term kind of a Restaurant Brands Asia

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Page 18 of 23 gain program . Yes, I am very happy with this Indonesia business. I think this business when it generates whe n it does IDR of about 26 million to 27 million, it throws high double di git restaurant level EBITDA, and it is because of the rent structure . It is because o f the cost structure over there. It is just a very, very profitable business. We need to get this idea back. We are kind of sitting where we are at about 17 % to 18%. We have started moving in the North direction. We have given you the 21 number as a break -even number but that break -even number would also be some cost controls. It could be some higher EBITDA higher revenues a combination of various things right but the object ive is basically to be cash neutral in Indonesia and then move on to the next year to start building and by the way at the same time we are putting in new Popeye's restaurants which generate two to three times the volume of a Burger King business there so we will continue to build that business. We will continue to put back the Burger King business in the right track and then start building them together in the year following that so that is basically the majority of the plan . Thank you again . Good questio n.

Pratik Poddar: Sure, the experience of 2x to 3x ADS have we see it on all the 10 to 11 stores which were open till now ?

Prashant Desai : Sorry we could not get your question.

Prati k Poddar: I was just asking the experience of 2x to 3x ADS on the Popeye's portfolio in Indonesia ? Is it appli

cable to the entire 10 stores which you have opened till now?

Prashant Desai : So as we mentioned that in the slide Pratik this is the launch ADS and at the same time we mentioned that at a weighted average company level we wa nt to be at the 21 million ADS 21 to 21.5 to break even so we are factoring that this is a launch ADS and there will be some adjustment as the restaurant moves forward but we ar e not guiding that all Popeye restaurant s will have 2 to 2.5 times what we are seeing. The launch ADS has been 2.5 times for the full year collectively our endeavour is to break even or cash breakeven the Indonesia business.

Pratik Poddar: Got it and just last question on the India part? With this value for money offer which you have just launched will the walk -ins now go back to pre Covid level is that a fair assumption?

Prashant Desai : Is he talking about Indonesia.

Pratik Poddar: No India? I have come ba ck to India ? You have this value for money product right which you have just la unched? My question was the walk -ins today also are not at similar levels to let us say

what they were in pre COVID? With this do you believe you will go back to pre COVID levels in terms of walk-ins?

Rajeev Varman : Look here Pratik the strive is to go back and more because generally the market is increasing. If you look at QSR market the food consumer market here in India is growing so I do not want to Restaurant Brands Asia
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Page 19 of 23 put any guard rails whether I want to get back to previous COVID numbers. I think our clear strategy is to move forward and grab a good share a respectable share of this growing market. We will continue to kind of work towards that. You will find that we are kind of shifting slightly our business to gain more momentum on the dine-in side. It does not mean that we are not focusing on the delivery side. We continue to build that business as well. It is good business. Our app I showed you numbers on the app previously. Downloads have increased. The sales through that app business is growing so there is an ample amount of business to come in and it is just not resting on 99. There will be other things. Kapil shared those will continue to come so thank you for your question again.

Pratik Poddar: Sure thanks.

Moderator : Thank you. We take the next question from the line of Jay Doshi from Kotak . Please go ahead.

Jay Doshi: Thanks for the opportunity. Prashant I want to just ask a followup on your earlier response to the earlier question what is the rationalization that is yet to do between Popeye's and Burger King in Indonesia so what is allowed from RBI standpoint and I believe you have some store targets from Indonesia so if you were to replace a BK store with Popeye do you not have to open another BK Indonesia elsewhere?

Prashant Desai : No BK and Popeye's have their separate MFDA with their separate store target but if you recall when we have acquired the Indonesia business we had remunerated that the BK store targets and what they had opened was far ahead from MFDA guidance perspective and hence there is not too much of pressure on the Burger King side. Popeye's as we had mentioned last time also the idea is that as per MFDA we have to open close to about 100 to 125 over the next five years and which is our endeavour .

Jay Doshi: Correct. In that case what is the room for rationalization? You mentioned that you will be rationalizing between Popeye's and DK Indonesia?

Prashant Desai : So, the rationalization is as Sandeep mentioned in his original commentary right like once we acquire the business and as COVID opened up and we did not see the pre COVID traffic coming back post COVID and with this new management we have acquired this business. Every store we have gone through to understand what are the challenges , constraints and from that perspective if there are stores which will be required

to be shutdown in Burger King in Indonesia we will take that call keeping in mind the MFDA requirements so we will never want to breach the MFDA and we do not intend to from a guidance standpoint.

Jay Doshi: Understood. From a lease perspective rental lease perspective it is technically viable so tomorrow if you think that a particular location BK Indonesia is not doing well and we decide to shut down but you want to open Popeye's at the same location can we continue to do so with the same lease Restaurant Brands Asia
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Page 20 of 23 rental arrangements and everything else being same so we will save a significant amount on capex and market?

Sumit Zaveri : Yes, rental is a larger concern, Jay. In India where we are at about 13.5% into revenue .

Jay Doshi: Thank you so much. That is it from my side.

Moderator : Thank you. We take the next question from the line of Dhiraj Mistry from Antique Stock Broking . Please go ahead.

Dhiraj Mistry : Sir my question was regarding DK factor? I know it is too early to call out but first store we added somewhere around last year and it has been more than one year so can you spend some time on that? How much incremental sales has been adding and what should we be building going over?

Prashant Desai: Sorry Dhiraj we could not understand your question properly if you could. Can you repeat your question?

Dhiraj Mistry: Yes I was asking on BK Café that first store we added it has been more one year and what kind of average daily sales has been adding to that stores so I am not asking from the stores which has been BK Café has been added over the last six months or so but the café which has been added with more than one year what kind of incremental sales has been adding to store level?

Sumit Zaveri : This is Sumit here. One is at the BK Café level, I will kind of split this into three parts. Actually one is on an average the café is doing a sale of around 15000 at the portfolio level and we continue to get an incremental sale of 7000 and I am sure you must have been hearing this number. To your question without getting in the numbers I would say that we have been able to maintain this incremental sales in spite of very aggressive store growth or café addition there and

this would not have been possible at the earlier stores that we opened and added café not mean growing as a part of the portfolio so we have actually seen growth in BK Café. The earlier stores continue to grow in the share of revenue. It would not be fair to share the details of how the vintage wise sales have been growing but I can tell you that the earlier stores that we opened have been growing and as our overall portfolio is it is not that we have reached any kind of stable here and we will continue as we kind of grow deeper into our current promotions we would also parallelly invest behind pushing or improving the share of sale of café as we go along.

Dhiraj Mistry: Okay and just to extend this question that have you seen incremental footfall increasing because of BK Café?

Sumit Zaveri : At this point in time, we are taking this as a menu extension within our store. We are still continuing to promote that part of the portfolio within the store itself so whatever sales you have seen in more like an attachment to the customer walking in and at this point in time I think we are
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Page 21 of 23 not working towards as a part of our strategy but we would and we believe that it might act as a traffic driver. Once we start talking about BK Café extensively as part outside the store so at this point in time it is more like an attachment driver for us. Once we start talking about it outside, we do believe that it can also act as a traffic driver going forward. That is the plan of the strategy with which we are working on café.

Dhiraj Mistry: Okay and the second part of my

question is regarding the meal like burger portfolio in overall

QSR segment has been relatively better placed right now? It is mainly because of the meal offering which happens in the burger so what kind of meal contribution we have in our overall portfolio in India business?

Prashant Desai: As a matter of strategy Dhiraj we do not share combo percentages from a complete standpoint so hope you will understand.

Dhiraj Mistry: Sure, and last part of my question is there any price hike taken during the quarter or previous quarter?

Prashant Desai: We have not taken any price hike in the subsequent quarters, and I just want to kind of explain the clause. A lot of times people actually look at price hike as one product to another product.

That is not how we generally take. What we do is that we actually take a complete balanced menu approach and kind of to make sure that what is the effect of price variation that we are bringing in at an overall portfolio level and hence when we say that we have not taken price hike we come back from that perspective just to make sure that an overall portfolio level the spend that the customer who have at our store is much more stable so from that perspective if we really look at it Q4 no. There would have been portfolio level price level changes but a product realization level which is how we look at price hikes we have been fairly stable.

Dhiraj Mistry: Okay thank you.

Moderator : Thank you. We take the next question from the line of Kaustubh Pawaskar from Sharekhan by BNP Paribas . Please go ahead.

Kaustubh Pawaskar: Thanks for the opportunity, Sir. Most of my questions have been answered. Just one question on Indonesia part so in the presentation you mentioned that in Indonesia you see around 325 stores business FY2027 so now we have around 179 stores and we say that Popeye's you will be having around 100 to 105 stores over the next five years so is it fair to assume that you will be adding around 40 to 50 BK stores over the next five years in Indonesia after value rationalization you will be planning to do?

Prashant Desai: So, two parts to that Kaustubh . Part number one, the answer to that is yes. There is an assumption behind this is the Indonesia burger business stands where we are today. As I said, next year we
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Page 22 of 23 have a lot of work to do. Should the numbers change after next year we will come and revisit this guidance but as of now it is correct to assume that.

Kaustubh Pawaskar: And the rationalization part would that 80% of your strategy is almost the reinvest in Indonesia so when do you expect things to stabilize in Indonesia in terms of strategy and from there we should expect a stable kind of a growth in the business so it is fair to assume that FY2025 we should start seeing consistent kind of a growth in terms of strategy for Indonesia?

Prashant Desai: Short answer. The answer to that is yes but a lot depends on how this year goes. There is a lot of work that happened previous year. This year is the year of execution and now putting capital behind this both in terms of marketing initiatives for the burger side of the business and capital allocation from opening more Popeye's business. Give us some more time to come and answer to that more specifically Kaustubh .

Rajeev Varman : By the way Kaustubh just to let you know you made a statement 80% of our strategy is Indonesia right now. This is an Indonesia specific strategy and there is an India specific strategy. The India business is doing very well. It continues to grow. It continues to build itself and what Kaustubh is

doing is bringing in some aggressive dine-in kind of promotions to kind of build that section. He has already built that we shared with you the king's collection which is just a premium layer. There is a value layer on the bottom which is now on TV with. There is a strong

offering so the

strategy in India is the same which we have been consistently implementing. We have stuck to our plan in India. We continue to drive our plan. We continue to focus on our plan. We continue to build restaurants as per plan. We continue to build sales as per plan. Nothing is going to change. We are going to stay true to that plan and then in Indonesia we are doing what we are doing is to get back to break even in terms of cash this coming year and then build it from the re moving forward so that is the basic strategy yes.

Kaustubh Pawaskar: Thanks, and just a clarification part. You just mentioned that BK Café incrementally it is adding around 7000?

Prashant Desai: Correct.

Kaustubh Pawaskar: Okay thanks for the answers and all the best for the future.

Prashant Desai: We can take the last question.

Moderator: Thank you Sir. We take the last next question from the line of Akshen Thakkar from Fidelity.

Please go ahead.

Akshen Thakkar: A couple of questions from my side. First on the India business between the EBITDA and your reported EBITDA means if you look at it the amount that sits over there could you just help us refresh what all broadly line items you include which is corporate office cost or are you including

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Page 23 of 23 the regional cost, etc., over there that is question one and question two was on the Indonesia strategy now that you have two brands over there Burger King from what we have discussed is pivoting a little towards chicken and Popeye itself chicken sort of known brand is there any guard rails that RB A would have some brands would have put on you in terms of what innovation you can and cannot do in Burger King or you have the flexibility to do what you want thanks?

Prashant Desai: Akshen second question I will let Sandeep come in and answer that. The first is your question reconciliation between pre and post or is it.

Akshen Thakkar: It is between restaurant EBITDA?

Prashant Desai: That is just corporate cost so what we do is all cost get debited to the restaurant except the corporate cost which gets debited below that, so marketing and royalty all is above that. Sandeep if you can take that question.

Sandeep Dey: So, on the brand side from RB A side there is no restriction in terms of driving the product portfolio or the menu architecture for each of the brands so there is no restriction. In fact, if you study this market this market is an extremely, extremely strong chicken market and I spoke about that and all the brands, all the brands who are competing here have a very strong portfolio of chicken so to answer to your question no, there is no restriction. There is no limitation. We can have our own set of chicken portfolio on the Burger King side and at the same time have a strong portfolio of chicken on the Popeye side as well.

Akshen Thakkar: Thank you so much Sir.

Moderator: Thank you. Ladies and gentlemen, we have reached the end of the question-and-answer session and I would now like to hand the conference back over to the management for closing comments.

Over to you gentlemen.

Rajeev Varman: Thank you guys. Really appreciate everyone joining in. As promised, we got Sandeep and Indonesia business, we kind of focus a lot on the questions as well as on the presentation getting everyone on speed on what we think is going to become a very strong business in the future.

With also showed you results on the India side which is a higher revenue, higher SSG, higher growth margin, higher restaurant level EBITDA and a higher EBITDA company, EBITDA both from perspective of quarters as well as year over year so thank you for your support and we really appreciate all the consumers that continue to support our business and continue to believe in our products and thank you very much. Have a great day. I appreciate it.

Moderator: Thank

you members of the management. Ladies and gentlemen, on behalf of Nuvama Institutional Equities that concludes this conference. Thank you for joining with us. You may now disconnect your line.

Call: Aug 2023

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August 10 , 2023

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Transcript of Investor/ Analyst Call

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed herewith the transcript of the Investor/ Analyst call w.r.t. the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended June 30 , 2023 , held on August 8 , 2023 at 11:00 a.m. IST as Annexure A .

The same is being made available on the website of the Company viz. www.burgerking.in .

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Madhulika Rawat

Company Secretary and Compliance Officer

Membership No.: F8765

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Annexure A

"Restaurant Brands Asia Limited

Q1 FY '24 Earnings Conference Call"

August 08 , 2023

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE TIME DIRECTOR AND GROUP
CHIEF EXECUTIVE OFFICER – RESTAURANT BRANDS ASIA
LIMITED

MR. SANDEEP DEY – BRAND PRESIDENT INDONESIA –
RESTAURANT BRANDS ASIA LIMITED

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL OFFICER AND
CHIEF BUSINESS OFFICER – RESTAURANT BRANDS ASIA
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MR. KAPIL GROVER – CHIEF MARKETING OFFICER –
RESTAURANT BRANDS ASIA LIMITED

MR. PRASHANT DESAI – HEAD OF STRATEGY AND IRR –
RESTAURANT BRANDS ASIA LIMITED

MODERATOR : MR. NIHAL JHAM – NUVAMA WEALTH MANAGEMENT

Moderator: Ladies and gentlemen, good day and welcome to the Restaurant Brands Asia Q1 FY24 conference call hosted by Nuvama Wealth Management. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Nihal Jham from Nuvama Wealth Management. Thank you and over to you, sir.

Nihal Jham: Yes, thanks, Zico. On behalf of Nuvama Institutional Equities, I would like to welcome you all to the Q1 FY24 result earning call for Restaurant Brands Asia. From the management today we have Mr. Rajeev Varman, Whole Time Director and Group CEO, Mr. Sandeep Dey, Brand President Indonesia, Mr. Sumit Zaveri, Group CFO and Chief Business Officer, Mr. Kapil Grover, Chief Marketing Officer and Mr. Prashant Desai, Head of Strategy and IRR. I would now like to hand over the call to Mr. Rajeev Varman. Over to you, Raj.

Rajeev Varman: Thank you, thank you, Nihal, and thanks, everyone. Appreciate your interest in our company, and thanks for joining on this Tuesday call. What I'm going to do is I'm going to give you a quick roundup on our journey forward, both here in India and Indonesia. And then I will hand it over to Sumit who will then carry you through the numbers for both the countries and the consolidated P&L as well. And then we will go into each country, India and then Indonesia. First Kapil Grover will give you the marketing strategy here in India and then Sandeep Dey will give you the strategy up in Indonesia.

And then finally, we will go back and open up for questions. So with that said, just a little bit, you know, in the past, you've heard me speak about, you know, the India strategy, which is to continue to drive value. We started with value many years ago when we had the 2 for offer. People might still remember the 2 for 50 rupees offer that we had.

Subsequent to those offer, we went to a stunner menu, which you saw the

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groundbreaking advertisement that we did, which was applauded all across the world with Hrithik Roshan. And then the next chapter, 2.0 on the value strategy, is what we have running right now, which is the INR99 menu, which is doing extremely well.

Actually has driven a lot of traffic into our restaurants. High 7% kind of traffic in dining, and Kapil will share more and so will Sumit. But it's this value platform is integral part of our strategy in both Indonesia and India. And here in India, we continue to strengthen that and we will, you know, from time to time, you know, upgrade and improve the strategy, but the intention is to make sure we have a ground, good, stable strategy on value. Then we came up with cafes, right? We built, you know, 240 cafes last year to top it up to 275 cafes, and now we are sitting at about 280 plus cafes in India.

And also very happy

today to report to you that yesterday we completed opening of 400 restaurants in India. So congratulations to Cicely Thomas, the development team, the construction team, Sameer Bedi, and the entire construction team for doing a fantastic job and all the operations people for opening all these 400 restaurants and we continue our journey this year to go to 450 restaurants. So cafe being integral part of our business now moving forward, all restaurants open with cafes on a standard basis. So that's one thing that, you know, we have already installed and we are working and we continue to grow the ADS on that.

If you look at the last quarter, we kind of climbed up the ADS from the previous year that we ended up by another thousand, you know, to fifty bucks at about upwards of INR15,000. That ADS continues to climb and, you know, roughly about half of that is incremental. So it's like, you know, incremental sales coming into the system. Then also we spoke about, you know, introduction of, you know, the premium menu, King's collection. We spoke about, you know, the wraps and so forth.

So Kapil will talk to you about that. Now moving forward as we go into this balance of this year and into the next two, three years, we are going to be expanding our total consumer base by including families and kids. And you will start to hear from, first hear today from Kapil, and then you will hear about this more in subsequent quarters. But you will find that expansion to continue our journey, to climb from our existing ADS towards our target in the future. And then the final thing is the walk on leadership, which is something that we have invested a lot of, both money and time in building a fantastic product.

You will find in the next quarter or so, you will find also news on how we're going to go forward with the Whopper. And so having a premium layer, having the Whopper layer, having the value layer and having the cafe, all these things are in place for India. So now what the work is, is a single laser focus for the balance of this year in India to increase top line sales and to increase the four walls we've done.

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So the team in India has put over the last, I would say, 24 months, all these basic modules in place, whether it's the value strategy, the premium strategy, the Whopper strategy, the Cafe strategy, all these have been completed and rolled out training has been completed. And now the focus will be laser on top-line revenue and on four-walls [EBITDA 0:06:23]. And you'll hear a lot about that from Kapil as we move into his presentation. Now on the growth side, you know, there's – and, you know, similarly, Sandeep will speak on the Indonesia side.

Indonesia has been a fantastic – I mean, last we've been speaking about Indonesia, about, you know, rolling out of value, rolling out of new products, rolling out of the chicken menu. You know, we used to have only one chicken handheld, but that's a country which has a classic and a spicy. We introduced the spicy version. We rectified a lot of our products, which we tested. All that was done last year, and as we were doing that, we went up in SSSG of 1.7% last year, and this last quarter, we further improved that by going up 5.5% SSSG, which is all driven by almost 10% of traffic in the dinette.

So and Sandeep will talk more to that. But also there's a very clear strategy in Indonesia now to move that business to a positive in this year, to break even and then go past that in this coming year. Now on the growth side, one of the things that we are doing in India is obviously a journey towards 700.

We are at 400. We have crossed the midway mark and we continue to kind of march forward towards getting that 700 by December of 2026. On the Indonesia side, we have two brands there, we have Popeyes and we have Burger King Indonesia.

The Burger King Indonesia, we are rationalizing that, you will see that we have closed a few restaurants and we'll close a few more, very few more restaurants, rationalize that these poor restaurants or you know, malls that died after COVID or some events that happened that kind of put the compromise the location of those restaurants. And you will see that that rationalization will be completed in the next little over the next quarter. And then, you know, the Popeye story, which is we continue to build restaurants.

We have got 11 restaurants, 10 up as of last quarter, and then we opened one just in the last few days. And this journey will continue to get to 25 restaurants by December of this year. So that growth journey continues, and you will hear more from Sandeep on that.

Finally, you know, we are going to go into a digital phase too. So while we have fixed the product side, we have fixed all those things in Indonesia and India we already had a winning menu. So we continue that journey but we are going to step up what we are going to do.

We are already doing this by the way in Popeyes and we are now going to instill this in India, Burger King's, as well as Burger King's in Indonesia, which is twofold. We call it Digital 2.0, with one ordering kiosks in all locations, and you'll hear that from Kapil as well. Table

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ordering, that's something Cicely Thomas, our president in Burger King, India, is rolling out. And then 100% known guests, which again Kapil will address in his speech. So this is the way forward, right? Top line growth in India, four walls EBITDA in India, rationalize the portfolio of Burger King in Indonesia, get to break even in Indonesia, continue the journey of Popeyes.

By the way, the Popeyes restaurants are doing twice the sales of the Burger King restaurants over there with a very high double-digit four-walls EBITDA. So we have really cracked that menu well. We are starting to build those restaurants. Can you imagine when we get to 25 restaurants, it will be equivalent to 50 Burger King restaurants.

So great job to Sandeep and his entire team over there launching a great brand over there and doing a good job launching it and the fruits of that are starting to roll in. So with that said, I'm going to turn it over to Sumit Zaveri. Sumit will carry you through the numbers for the quarter and then he'll hand it over to Kapil. Over to you Sumit.

Sumit Zaveri: Thank you Raj for the usual perspective to where we stand. I will take some time to just explain and take you through how we performed as far as the financial matrix is concerned. Firstly starting with the revenue which is actually the key driver for us in terms of our business and profitability. We moved from 365 crores in quarter four last year to 422 crores in the current quarter in India. So I'm first covering India's standalone financials and then subsequently go into Indonesia. Part ones have covered the perspective on India. There is an overall growth of 16%.

Raj initially mentioned that we have very clear, sharp focus on our value strategy. And the perspective of getting into value strategy was to very clearly drive in traffic and there also dovetailing back into what really meant by drive in traffic. We actually also wanted to make sure that the traffic that we are driving is on the dine-in part of the business. Really

Y

looking at how we performed on that part of the strategy, our SSSG at an overall business level was at 3.6%, and I'm really happy to mention that this was which we are the back of growth in Dine-In traffic.

Our Dine-In traffic SSTG, as we call it, or same store transaction growth, was at in excess of 10% for quarter one. So we really kind of remain sharp on our strategy to grow traffic and revenue through Dine-In, and that is what we've been able to kind of remain sharp on our strategy to grow traffic and revenue through dining and that is what we've been able to kind of achieve. That gave us an improvement in ADS from 108 in quarter 4 to 120 in quarter 1, a substantial increase of 11%. Growth, coming back on to growth, as Raj mentioned, growth has been one of our key pillars. We have now reached 400 stores as we speak.

We remain focused to get to 450 by end of this financial year. And the target of 700 by December 26th continues to be one of the key milestones as far as growth is concerned.

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While we, you know, went really strong at value strategy, our key was and key focus was that we should not and we should make sure that we continue to also simultaneously remain stable or move in positive direction on gross profits. Very clearly, there is no reason internally for us that we said that, okay, because we go strong on value does not mean that we can actually take a shortcut to the margin side and we continue to remain strong at 6.5% for the quarter.

We strongly believe that this number is a stable state and only move in the positive

directions as we go along. Coming on to store EBITDA, and I just want to kind of stop back and just kind of put saying that why did we put this kind of marketing expenses part of our performance results? We felt that, you know, if we really look at it from the perspective of commitment that we have towards the spend, on an annual basis, we spend 5% of our revenue. But obviously, all of you would understand that in business, it is not easy to spread out marketing spend.

We would rather spend the money where we feel we will have maximum impact.

Generally, we've always been spending higher on marketing in quarter 1, and then it kind of averages out at 5% for the full year. But in order to make the quarters comparable, we've put that number of marketing spend that we have done in the last year quarter one, previous quarter and this year.

If you really look at it from the perspective of stable state marketing, which is where literally the year would go down to, we have in current quarter delivered 9.8% on store EBITDA level, which compared to quarter 4 adjusted for marketing would have been 7.3, which is very clearly an improvement of 2.5% on a store EBITDA level. On a company EBITDA level, if we were to adjust for marketing, we would be at 4.2 as compared to 0.6% in previous quarter. This is coupled with two things. One is a shift in the marketing cost or a baseline in the marketing cost. At the same time, as the revenues have grown, we've also seen the baseline of the leverage effect of the corporate costs by almost 1 % point over the previous quarter.

Looking at -- and I'm on slide six, looking at the overall numbers, as I mentioned, revenue of INR422 crores. At the store level, we had been talking, saying that we have brought efficiencies on the labor line side, and we are at 10.1% as compared to 11.1% over last quarter, and we continue to kind of make sure that we build efficiencies on different lines of costs as we go along.

And then on the corporate cost side, as I mentioned, we have remained a

t a stable state

of INR34 crores. This is as we internally target. This is likely the cost at which in and around these levels of cost at which we will remain on corporate costs on a quarter-on-quarter basis over next quarter as we report our numbers for the year going forward.

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All in all, we feel that it was a good quarter with a company level EBITDA at INR10 crores.

Adjusted for the marketing -- incremental marketing spend that we did in quarter 1, we felt really -- we could achieve on what we call it as a stable state at this levels of ADS of close to around INR18 crores at the company level EBITDA and a substantial shift from what we have seen in quarter 4 of FY '23.

Going into Indonesia, and this is something which is what we strongly feel and believe that this is the beginning of the journey of -- on the positive side as far as Indonesia is concerned. If you really look at it from the perspective of average daily sales, which is actually the key driver for us to be able to pick the business towards of its surely to profitability.

We moved ADS from last year, 17.6% to 19.4%, almost 10% increase in overall ADS with an SSSG of 5.5%. So this is a strong positive SSSG that we grew. And there are no seasonality variations. So these are literally like -to-like quarters very clearly. At the same time, we continue to look at our portfolio of stores in a very hard manner. And wherever we feel that we need to rationalize the stores, we rationalized.

We will continue to look at this. So coupled with rationalization of stores and SSSG, we've been able to move the overall ADS from 17.6% to 19.4% and we will continue to build on to these sales. And Sandeep and his part will certainly cover why we feel confident of this baseline number and what will be our path to grow from go.

As far as Popeyes is concerned, we are at 10 stores. Our journey is to get to 25 by end of the year. And we are -- we remain focused in terms of making sure that this ADS has continued to remain on a higher side. We are currently at 40 million ADS. This seems to be a strong 40 million for us. Margins -- gross profit margins on this brand is something which has been one of the big positives for us, and we will continue to build and grow from there.

So if we -- going on to slide number nine. If we really look at it from the perspective of quarter 1 performance for Indonesia, we did a revenue of INR189 crores as compared to INR150 crores last year or previous quarter, very similar numbers. But at a company EBITDA level, we are at INR12.5 crores loss. But just similar to like the way we invest ahead

at the start of the year on marketing side, we've done similar investments in Indonesia as well.

In the current quarter, our investments in marketing for Indonesia stood at 7.7%, which is 2.7% ahead of what our annual plan is. If we really adjust for that, then the loss at the company EBITDA level would reduce down to around INR7-odd crores.

We had very -- at the beginning when we started the year, we had very clearly laid out that we are working towards reaching to profitability in Indonesia, that's our very sharp,

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clear focus for the year. We strongly feel that the performance in quarter 1. We see some retailers we are on that path to be able to get to a

chieve the profitability for the financial year of FY '24 as we go along.

So with that, just a quick on the consolidated performance between the two countries, we are at INR610 crores of revenue up from INR514 crores over last year, a marginal company -level EBITDA loss of INR2 crores. But as I explained, some parts of it as on account of investments, higher investments that we did in India on the marketing side, which was around close to INR8 crores and incremental marketing spend that we did in Indonesia, which was around INR5 crores.

So it really exist for some of the money that we've invested ahead of the curve at a company EBITDA level as well, we are standing positive or we feel confident of the numbers that we want to achieve going forward.

So with that, I will hand it over to Kapil, who will take this through the initiatives that we have on the marketing side of these. Over to you, Kapil.

Kapil Grover : Thanks, Sumit. Good morning, everyone. As you heard, Raj and Sumit share quarter 1 results where we're seeing about 3.5% SSSG, which is on the back of system sales of 25% and 91 new store openings. I just want to reiterate how the team has stayed focused on the key strategic pillars.

Now on slide number 12, -- number one is our ambition to be the value leader in the market, and we continue to offer our guest, great value for money and drive additional footfalls in our restaurants. And value is not just about tactical promotions. It's a constant endeavor to offer food, experience and service that is really worth it. I will share how the 99 meals promotion helps us drive strong dine-in traffic growth this quarter.

The second pillar is our endeavor to offer differentiated products. On our core menu, we have the flagship product Whopper, and I will also share how we continue to build the premium end of the menu kings collection over time. BK Cafe is a new incremental layer that we've now added to 286 stores, and this will continue to grow over the long term as a strong innovation and a very profitable menu.

The third pillar on the digital side, we have committed to significantly improve our guest experience and offer them even more convenient ways of accessing Burger King at stores or at the convenience of their homes. Last but not the least, we continue to build a strong brand with the Gen Z, which will relate very strongly with our audience.

Moving to slide number 13. Our key initiative this quarter was the launch of Tasty Meals promotion starting at INR99 available in dine-in and takeaway. This menu is an extension of the stunner menu whereby we improvised the proposition by offering a complete meal

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around our winning stunner products like Crispy Range, the Makhani Range and the Crunchy Tacos.

In April, we rolled out a complete 360 program around 99 meals with television, digital media, out-of-home branding and mall sandwiches wherever we have stores. We also leveraged the cricket season with a moment marketing campaign, which is very engaging. As a result, this campaign helped us drive incremental timing traffic growth, same-store traffic growth of over 10% in this quarter, which is a very strong sign of how we progress on this business in the future quarters.

Slide 14 talks about the launch of the new innovation on our menu. We strengthened the

King's collection portfolio by adding premium wraps to revenue. Now this is a loaded wrap with a soft paneer patty or a crispy Fiery Chicken Patty along with fresh salads and very delicious sauces and it offers a great meal solution on the go. Now this is based on consumer

in fact that wraps and rolls, whether you look at the kati rolls the north or the Frankie in the West or the Calcutta rolls, it's -- there's a demand for filling satiating product of this format. So this product got added to our menu last quarter, and we continue to build the premium menu.

In addition to that, we continue to build Whopper franchise by offering new case experiences every quarter, last quarter was the twisted whopper, which was a limited time offering. This then allows us to win with the Whopper fans, they come back and they can try a new variant every time. So it helps us to build frequency over time.

Slide 15 talks about the cafe menu. Cafe, we continue to build awareness through very innovative either social media, influencer marketing and a lot of focus on driving at store awareness and trial cases. This has helped us drive income revenues of 8,000 through the cafe menu across 286 operating stores.

Well Raj mentioned about almost 15,500 total cafe areas. Of that 50% is almost incremental. This cafe business in the long term as we grow awareness and trial will help us build new occasions in between meal-day parts and build a new line of business over time.

Moving on to the digital experiences. As I mentioned in the beginning, you will see that Burger King stores will now offer three new experiences to our guests. The Burger King app continues to grow and offer consumers a very convenient way of ordering timing or delivery. We have now started to improve our loyalty program, the Crown rewards, and you will see more progress on that in the coming time. This will help us drive more frequency with our guests.

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The self-ordering kiosk is a new interface, which will -- the new way guests are adopting this interface very rapidly. It allows them to explore the menu, pay and order via a very seamless digital experience. And you couple that with the new initiatives that we're testing on table service -- so effectively, as we scale this up, the guests can walk into a Burger King store, use the Burger King app or the kiosk or the QR code that are placed on the tables, right?

They can select their favorite menu items, avail very exclusive offers on the BK app or Crown rewards and get their food served on the table. So this has become a very sort of elevated experience for our Burger King guests.

On Slide 17, I shared a few examples of how we continue to bring a very engaging brand through social media, a lot of innovative content, and we continue to build brand love with Gen Z. And the effort has been recognized on Indian and global platform, the Stunner campaign won a silver at the New York Clear Awards, and also got shortlisted at the Cannes Awards as one of the top 10 campaigns in the world for most effective use of influencers.

At this point, I'll hand over to Sandeep to talk you through the Indonesian business update.

Sandeep Dey : Thank you, Kapil, and a very, very good morning to all of you from Indonesia. See you heard both Raj as well as Sumit talking about the overall business performance for the Indonesian market and the progress we have made in the last quarter. Now what I'm going to do in the next few minutes is share with you some of the work we are doing to move our key strategic growth pillars forward.

But first thing first, let me reiterate that for the Indonesian market, our single-minded objective continues to be building back a profitable company. And in order to deliver that, we will continue to focus on three of our strategic pillars.

Number one, it is an extremely strong chicken market, and

one of our key strategies is to

build our credibility in chicken. Second, we will continue to establish leadership in burgers. And third, we are building a comprehensive dessert menu which will help us drive incremental locations and over a long period of time, incremental traffic. And I'm going to talk about each of these three pillars in a bit.

But most importantly, the bedrock for all these strategies are having a very solid foundation with regard to operational excellence, products, people capability processes,

and they are ensuring that we provide best in-class guest experience every single time. And we will always continue to provide a very strong value proposition to all our guests across the entire menu layers.

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Now I'm going to talk about each of these strategic pillars. So first, let me talk about the chicken. See Indonesia as a market is where the staple food is fried chicken and rice. And we have identified a gap in our menu both with regard to taste as well as the variety. The team did a fantastic work. We work very hard, improve the quality and taste of the classic chicken and also develop a spicy variant.

Now both variants, by the way, we did a detailed research with guests and both these products performed extremely well in Consumer Research. After that was understood, we launched these products in the last quarter and afford a very aggressive trial price of IDR25,000 for a meal.

And just to give you a context, the normal price for such meals in any other QSR chain are typically in the range of IDR35,000 to IDR36,000 -- and we supported the launch with a very comprehensive 360 degree marketing campaign. And we are quite encouraged to see the initial results. In fact, the biggest indicator is that the incidents of chicken improved by 25 -odd percent and, of course, helping us increase in both sales as well as traffic. Now I'm moving to the next slide, which is slide number 22. See, our next strategic priority is to build Burger leadership -- and we have to build that through taste credibility, build that through clever innovation and also offer strong value propositions across the entire menu layer.

Now we have built a robust menu architecture, offering trade testing over across all the price bands. It starts at IDR29,000 for a burger meal. By the way, this idea, I'll just give you some numbers so that we can understand from the INR perspective, IDR29,000 for a meal translates to over INR155 in INR. And we call this, branded -value layer as king deals. And then we also have offerings at a price gap of every IDR10,000 which is every INR50, INR55. And going all the way up to IDR79,000 for a gold collection meal which is our premium layer. So these burgers are pure taste indulgence and at the same time quite affordable pricing. Now our strategy is to promote these products and generate trials across all these layers. So we have created some aggressive offers like 2 for 39, which by the way include the junior whopper as well, where a guest can enjoy a very deep discount, almost to the tune of about 45%. We also have a bunch of other aggressive offers, and now we are promoting them through social, through digital, through coupons.

Now I'm moving to the third pillar, which is the desert pillar. Now desert is a very big business opportunity in this market. And a couple of quarters back, when we launched a branded desert partnering with Nestle, KitKat Fusion, we got some fantastic results. Our volumes of desert went up almost 3x and the incidence grew almost about 10%. So based on that learning, we are building a pipeline

of branded desserts in partnership with both local as well as global partners. And at the same time generating trials for these indulgent

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desserts through a very aggressive pricing. The final objective is to drive incremental locations and in the long term drive incremental traffic.

Now I'm moving on to slide 24, which is my last slide and I'm going to talk about Popeyes. Popeyes brand we launched in last December and it's been over seven months and we continue to drive reasonably high sales and a very, very profitable for our EBITDA. So go forward, our focus is to build on three strategic pillars.

Number one, our number one priority is to make sure that we continue to deliver blockbuster new store openings. Now, you know, we have a lot of global best practices across multiple markets and we have our own learnings from the previous successful launches. And based on all those learnings, we have built what we call it as a new store launch playbook. So we plan to follow that playbook for all our new store openings to ensure that every single launch is a successful one.

And our plan is to open 25 stores by the end of this year. So last July, I mean the last month, we opened one store. So our store count is at 11. We have another five stores under construction. And almost about 10 to 12 stores which are at various stages of pre-construction and lease signing. So we have a robust pipeline to ensure that we build about 25 stores of Popeyes this year.

The second pillar is to build this brand into a chicken destination. See, we are basically a culinary brand and we got not only winning products with regard to taste, but at the same time, an enormous amount of variety of products to address different occasions. So our priority now is to generate trials for all our iconic products. We are taking one product at a time and running campaign with attractive offers to generate trials. The intent is to get our guests to try all our iconic products and then eventually find their own personal favorites and over a period of time they will become loyalists of our products and eventually the brand.

The third pillar and Raj spoke about it, the digital 2.0, So our third pillar is to build a brand with digital first experience. All our restaurants, by the way, have kiosks. Every restaurant has video walls, which runs brand content, product content, and all our drive-thru menu boards are digital menu board. Our long-term ambition continues to have 100% non-diner sales, right? And we are moving quite positively in that direction.

At this moment, almost 37% of our dining sales is done through Kiosk. And each of those sales actually comes at almost 18% to 20% higher check. And our near-term plan is to take that number from 37% to close to 60%, 65%.

So that is all from my side about the Indonesia business and now I hand it over to Prashant to share the overall outlook for our business.

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Prashant Desai: Thanks, Sandeep. Friends, there is no major change in the outlook that we had presented last time around, but I'll just reiterate that we remain committed to delivering a 10%-plus same store growth in the current year, taking gross margins to 67 this year into about 69 over the next two more further years. In Indonesia, as we had guided, we

remain

committed to delivering a cash break even make a little bit profit this year and to open about 325 restaurants between Burger King and Popeyes over the next four years' time.

So with that I'll open up the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Sir, hi. Thanks for the opportunity. I just wanted to understand the gross margin performance better. So despite this launch of value offer at INR99, we have been able to sort of maintain our gross margin. So, just wanted to understand how we have been able to achieve that and is there any sort of price hike that we have taken for the rest of the portfolio?

Rajeev Varman: Yeah, so, thank you for your question. So, we haven't taken any price hike. In fact, as you can see, we are on national TV and across the entire country talking about INR99. So that's our strategy on the marketing side. But you're absolutely right. We have maintained a gross margin. There's a couple of things. As you would have known from our presentation, that we continue to grow our cafe business, right? So we have grown that business, and that comes at a higher margin, and we continue to kind of use that to make sure that we're moving in that journey.

So there are a lot of programs that are in place within the supply chain department, whether it is from procurement, whether it's on rate decrease on delivery or transportation, or whether it is on the ingredients itself. Multiple buying, we continue to do that by introducing newer and our supplier base, we continue to grow that. The second thing is we also continue to make sure that our patties and so forth are efficiently delivered.

Now, as we have moved from 300 restaurants to 400 restaurants, those synergies are also playing in, right, because each distribution center is now not delivering five or 10 restaurants, maybe delivering 15 restaurants or 20 restaurants. So we save a lot of that as we amortize the primary cost into all those restaurants. So you will continue to see this either stabilize or continue to move in the north direction. Our objective as we have outlined is to move this to about 67% this year and then we are kind of fully confident that that's where we are going to go.

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Prashant Desai: Just to add to what Raj mentioned, the question, had the INR99 offer not been there, we believe we would have delivered a further 100% increase in gross margin. So you can say broadly that's the impact.

Devanshu Bansal: Got it. And you mentioned that the SSTG in dine-in channel was in double digit. I just wanted to check if you could mention what is the kind of SSTG in the dine-in channel?

Prashant Desai: So, Devanshu, SSTG was in the region of around 10% on the dine-in channel, on the transaction growth side. And SSG of around 10% on the dine-in channel side.

Devanshu Bansal: Sir, one question I wanted to understand, so we have also sort of on our overall business level we have seen about 6% SSTG and about 3.5%, 4% SSG and the competition itself has seen about 7% SSG and largely they have also indicated that their transaction growth was largely has driven the SSG for them. But our margins have sort of gotten more impacted vis-a-vis the competition. So just wanted to understand why is there such a sort of investment that we have to do for generating similar amount of transaction growth? And why the competition is able to achieve at a lower investment? So any thoughts on that please

se?

Prashant Desai: We don't like to talk about competition. It's not fair on our part. All we will tell you is we started this business in 2014. We've been running this business for about nine years. You know when they came and the number of years that they have taken to reach where we are. We also believe as we continue to build scale, coffee which is still just about IDR8,000 of incremental ADS to our number, as our overall product mix gets better, we are confident of delivering better cross margin. So from that perspective, just look at what we are or where we are, keeping that metric in mind.

Devanshu Bansal: Got it, Prashant. So it's more the time and journey which is making the brand content. And the third one, we haven't provided this contribution of channel wise sales for India business if you could just give me that number, and I'll be done.

Prashant Desai: Sure, Devanshu, so, the back off strategy of putting dine-in traffic back in store, for what they were getting dine-in traffic in store. We were at 40% delivery share, so it has come down from 43% in the previous quarter to 40%. So the journey that we had embarked upon to kind of make more sales in the dine-in part of the business is something which we are doing. And we will make sure that this number is forming part of our presentations going forward. So, a point is in on that.

Rajeev Varman: Just on what Prashant was speaking, I just wanted to make sure that you're clarifying. See, the ADS of Q1 of FY '23 and the ADS of Q1 in FY '24 is exactly the same, 120, right? So the ADS basically drives the volume and all the numbers below it, right? Let me explain to you what happened there. We added about 70-plus restaurants. 90 stores, 91 stores. 91 stores between that quarter and this quarter, the quarter of FY '23 to the quarter of FY '24. Now

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these stores always start at a lower ADS. In most businesses, most concepts they start because they're in, the traffic slowly picks up, right?

Now the SSSG stores are the stores that were competing, they delivered ADS of 126, right?

So when we put these new stores, obviously with the lower ADS, they got down, the total ADS down to 120. Now, as these stores mature over the next two quarters, you'll find that they will go towards the average ADS as well, right? So that's the difference between adding a whole bunch of brand new stores to your portfolio versus not adding them. If you don't add them, then your existing portfolio which climbed to 1.26, of course that's going to deliver much higher margins. I hope that really clarifies the difference that you were asking.

Devanshu Bansal: Thanks a lot.

Moderator: Thank you. Our next question is from the line of Soham Samanta from Centrum Stock Broking. Please go ahead.

Soham Samanta: Hi Rajeev, thanks for the opportunity. Just two questions in the beginning. Starting from you and it's up to Kapil also. We have spoken a lot about driving traffic. I just wanted to understand on the ground, what are the currents you are getting? Is the consumer down

trading and that's why the traffic is becoming more important? Because what I see that our value strategy over the last two, three years has remained steady. So there are two parts. One is that what is the consumer traffic is saying is there is a down trading and that's why this value proposition is becoming more important and that's why they're driving the traffic ?

And the second part is that if you can say that, what is the impact of this strategy driving traffic in terms of quantitative numbers? Is the traffic is gone or any quantitative number

you can share?

Rajeev Varman: Yeah, thank you first of all for joining the call. See traffic and on the value platform, see we have been doing value now for the last eight years, right? So it's not that we have started doing value because there's a downturn or it's just part of the way that QSR operates. They have a value, offering, they have a premium offering, and then they have the core menu, which is a laddered menu. So this is not specifically because the market is down or so forth. In fact, you see both the competitors, both the companies in the burger sector, both reported a higher traffic. And that's got to tell you more about the market. There's a higher traffic out there, especially to our burger business.

So I don't think that's an issue or that's a downturn. You will have a month here, a downturn. For example, when you have Shravan going on, you will have every Monday will be down because most people are fasting on that day. And then, this year we have two Shravans, two months of Shravan versus, every 10 years, I think, instead of just having

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one month of Shravan, you have two months of Shravan. So all these nuances come and go.

But generally, the way we are seeing it is, we did 2 for 50, and then we did the Stunner Menu, and now we're doing the INR99 menu. You can see that we have only kind of done value at a higher price point, right? Not at the INR50 for 2, now we are at INR99. So I think the strength of the market is there and all information out there in the market industry is that it's going to continue to grow at double digit numbers, especially the chain restaurants, both in Indonesia and India are going to be growing significantly faster than the entire food industry.

So, we are confident on that, that's why the growth that we have planned for this year and then for the next two years as we kind of make our way to 700 restaurants.

Management : Kapil, you want to add anything else?

Kapil Grover: No, just to add to what Raj already shared, consumers will continue to seek value for money or as they call it, worth it. We are not just offering value at the INR99, we continue to have a very balanced menu. We actually were able to sustain volumes of every layer of a menu through the promotion. So whenever consumers find that the price they're paying for and what the experience they're getting or the product they're getting is worth it, they will continue to sort of invest and grow that brand.

Soham Samanta: That's helpful Kapil, but again, I'm asking quantitatively, what is the traffic growth, which has happened? Or maybe if you can say, or spell it out, what is the MAU growth, we have seen?

Management: So, we don't share traffic data on a quantitative basis, only on the percentage basis is, what we share.

Management: Yes, as I shared, we have seen Dine-in traffic growth in excess of 10% in quarter one.

Soham Samanta: Okay. My second question on Indonesia, I think it's heartening that Sandeep has done a lot of efforts, but what is that impact, we will see? Because today with 10 stores in Popeyes, you can't really guess, what kind of ADS we'll see. And obviously as compared to BKI, the ADS is double. But I'm just curious, is the BKI will show the higher growth or Popeyes will see the higher growth? Because obviously, Popeyes has a more relevant menu in terms of local population. So when you run 25 stores, what kind of ADS, we can expect?

Management: Yes, so first of all, let me just kind of tell you that, the Indonesian market, very similar to India market, it continues to grow. The chain

restaurants are projected to grow at 16%

each year for the next five years, right? So that is the expectation of that market generally,

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right? So in that market, and that's why it's such an exciting market for us to grow in the region and establish this business.

We have now got access, our company has got access to two great markets, India and Indonesia. So we were there at the right time, we did the deal, we got access to this market. Now we have two strong brands to build there. Now Burger King, look at this, the last year, as we were turning around, as Sandeep was putting in all these things like the menu, the back to basics and so forth, as he was doing it, he got a 1.7% jump in SSSG. Now that was completed by the end of last year and then this first quarter of this year, he jumped up 5.5% again SSSG on top of that, right? And that SSSG is on top of all the restaurant, the dine-in traffic that is coming in. The ADS went up from 17 plus to 19 plus million, right? So we know that, that business is now on track because all the elements have been fixed.

The menu has been fixed, the restaurant's been fixed, the operations, the team, everything has been, all in place. And over the last four quarters, five quarters, I've been talking to you about all these things, we were doing, and now they're complete, and we are now marketing it and getting the product out.

Now, the Popeyes story is fantastic because, you saw we started off at, 50 million kind of ADS on those restaurants and we were doing those are the launch ADS. When we opened the restaurant, the whole town was there in the first day. Now, of course, we have settled down to between, 40 million kind of business over there. And this is a stable business moving forward.

And as we build these restaurants, just imagine in a chicken market, 25 restaurants is a drop in a bucket, right? There's a journey towards 300 restaurants, we're going to build there. Both these businesses are strong businesses. We have opened several of these Burger Kings along with Popeyes together and we have seen that, that is a winning combination. They're doing really well.

Even the latest, the last restaurant, the 11th Popeyes, we opened was a joint restaurant with Burger King and two together are doing a fantastic job sharing, rents, sharing a lot of our capex and so forth, and delivering some very high volume on either side. So, it's a winning combination.

You will see, now, entirely will we build them that way? No, but we will try to see, wherever the opportunity exists to combine those two restaurants and put them together, so we can supervise them better, we can get the inventory to them at a cheaper price and so forth and deliver those values. I hope both your questions to that were answered on this.

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Moderator: Thank you. Sorry to interrupt Mr. Samanta, we request you to rejoin the question queue for follow-up questions as there are several participants waiting for their turn. Thank you.

Our next question is from the line of Kaustubh Pawaskar from Shrekhani by BNP Paribas.

Please go ahead.

Kaustubh Pawaskar: Good morning, sir. Thanks for giving me the opportunity. I just have one question on our SSSG guidance. So this year for India business, we are, we have maintained

our guidance

of around 10% SSSG. In quarter one, the SSSG stood at around 3.5% and Q2 because of the extended shower season and demand is yet to recover fully. So Q2 is also expected to be little on the moderate side. So considering that, the second half should be quite strong for us to achieve double-digit kind of efficiency. So can you just help me on that line?

Management: I agree with you and we completely concur with you. Also, you get into October, we have the Cricket World Cup coming up in India. Plus, interestingly for us, because we have a fairly decent mall portfolio. The malls have now begun to do well because of the way, the movies are doing. So overall as I said, had we seen a significant challenge to this, we would have probably gone and corrected that SSSG. As you move forward month on month, the cohort of a store perspective, it also changes and more store coming to the SSSG bucket.

Kaustubh Pawaskar: Thanks. And just one question on the value offering. So this value offering would help us to achieve incremental footfalls, as you said. And you don't expect it to be a gross margin

kind of a dilutive, if your number of transactions or number of footfalls increase. So that is the reason, why you don't expect gross margins to dilute this particular strategy or there would be a mixed improvement, which should help to negate the impact because of the increase in sales of the value offering.

Management: Yes, so Prashanth was saying earlier, if we've been doing this value offering, we would probably be way past 67% right now, right so. You're taking some of that gross margin and invested into this traffic, right? But we have a lot of work streams right now in play. And some of the work streams you will see over the next two quarters coming because they were already put in place.

The benefits of that are going to start coming in now. And then some of the work streams will go in next quarter, which will bring benefits into the next balance of the year, right? So we are very confident that, as far as the gross margin, we have always been on the money on this. If you go back and look at all the quarters, since we went public, every single time, we report better or stable gross margins because we have built a good kind of infrastructure to deliver that and we continue to do that.

By the way, just remember, our gross margin includes paper products, it includes food, it includes complete distribution, secondary and primary. Everything is in there. So it's something that, we believe strongly in, and we will continue our journey towards 67%, and then we'll give you guidance for the next two years, three years post that.

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Management: Just to add to what Raj mentioned. I guess because of the 10% traffic growth that the team spoke about a lot of focus has been because of the 99, but Kapil mentioned extensively in his commentary that, for us, value is one pillar. Building Whopper and premium King's collection is also a very important part of our menu architecture, right? As you come into the festive period, you will see Whopper coming to television. So, what I'm trying to say is, our product mix also spans across a premium menu, which is very, very strong at Burger King and we will continue to invest and build this. With coffee incrementally beginning to show its presence is, where we feel that, we will be able to deliver the gross margin guidance of 67% despite the 99 offering.

Kaustubh Pawaskar: Thanks and all the best for the future. Thank you.

Moderator: Thank you. Our next question is from the li

ne of Ali asgar Shakir from Moti Lal Oswal. Please go ahead with your question, sir.

Aliasgar Shakir: Yes, thanks so much for the opportunity. I had a question on your store -level EBITDA margins in India, which is somewhere about 8% odd. If you could just share over the next three years, four years, how will the journey be for this store -level margin? So you did give a lot of indication of your growth, SSSG, and store additions.

But also, if you could share how the store -level margins should behave in the next three years, four years, and how much time, we should reach probably mid-teens or higher teens kind of number. And just a follow up there, so if you could also kind of explain, what could be the levers, so productivity, gross margin as you mentioned, will also be improving, so what could be the levers of that? Thank you so much.

Management: So Ali asgar, as you know, and people, who have been listening to our calls, we don't guide on restaurant margins. We don't guide on company level EBITDA margin. However, because you have enough history of a lot of the QSR plates, you will understand. A lot of the operating leverages is very directly linked to the growth in ADS.

We have shared with you our SSSG guidance for this year and our long-term SSSG guidance of about 8%. If you overlay this to the ADS number that we have shared, you will get a sense in terms of the operating leverage that will kick in, which will expand our store EBITDA margins and our company EBITDA margin. So from that perspective, I don't want to go beyond this, and if you will, for some reason, understand where we are kind of coming from.

Aliasgar Shakir: Understand. No, this is helpful. I know the question, I was asking is more from that point of view that productivity-wise, see, because we have a smaller store related to some competition. So productivity-wise, where would you benchmark yourself today? And how much scope do you see that improvement basically in the next three years, four years?

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Management: Just to let you know, there is no restriction on our stores to do any kind of ADS right now.

So we are not building small stores. Our average size is about 2,400 square feet, right? So

we don't have any constrictions coming in from that. So we're not worried about that.

Traffic is coming in slowly into our restaurants because like I said, 91 stores that build in the back of this Q1 FY '23 to Q1 FY '24.

Those 91 stores usually take a little while to kick and get speed up and then they hit the average and then some of them go way beyond the average. So this is what it is, right?

The SSSG guidance is for this year, then there you have SSSG long-term guidance. You know that our gross margin continues our journey to 67 % and then beyond. You know that labor is more kind of a fix to a variable expense, so that keeps shrinking as the productivity goes up.

All the other expense except variable rent, will become a lower percentage of margin efficient. So you should be able to guide that. But to make a forward looking on the growth on the margins of the restaurants, probably won't be proper for us to do. But you understand the model and you've seen other concepts of year that have been there for 30 years. You should be able to put all this together and kind of make your guidance over there. If you have any other questions as you're doing this, feel free to call Prashant or Sumit and we'll be happy to help you.

Aliasgar Shakir: Absolutely, No, this is very, very detailed and helpful. Thank you so much. Just last one question is on BK Cafe. I wasn't

very clear, so the incremental sales it is doing is about

8000 right but overall is about 15,000. Can you just explain that point? So is overall in a cafe about 15% contribution is coming from BK Cafe. Is that understanding correct?

Management: See the reason we also -- we're kind of a little bit strict on ourselves right. We can just report 15,000 ADS, 16,000 ADS and so forth. But, every time we sell, a cafe, sometimes it cannibalizes not buying a soda. So then we take the difference between the price of the soda and the soda as in, CS G carbonated drink versus the cafe price, and we only report that as incremental sales, right?

So while our ADS has now grown up to over 15,000 per store per day. By the way, a lot of these cafes are new. They've not even got a quarter behind their belt, right? Not even a quarter behind their belt. So when we report 15,000, we generally, half of that is incremental, the other half is potentially cannibalizing something else, the person could have purchased, which they have opted to switch to Cafe. I hope that makes it clear.

Aliasgar Shakir: Got it. This is very clear. Thank you so much.

Moderator: Thank you. Our next question is from the line of Harsh Shah from Dimensional Securities. Please go ahead.

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Harsh Shah: Hi, good afternoon sir. First question is on the Indonesian business. Since we are down to 169 stores, just wanted to understand on the BK side, how many more stores do we plan to rationalize there?

Rajeev Varman : Yes. It's not a lot. I mean we're looking at single-digit number of stores. We have basically rationalized the portfolio. We are just working on a few of them. We'll probably be successful. The reason we can't give you the numbers, we are trying to keep them all open, right? We're trying to negotiate rents down.

And if you do then we'll keep them all open, if you're not able to, then we'll rationalize a few of them. A good part of Indonesia is its turnaround, right? We have worked -- we put in a year. We put in a -- we fixed all the stuff. We put it all in place. Now it's all turned positive. It gave a whole year of positive SSSG. Now it's double that -- more than double that SSG positive for the first quarter.

Sandeep's got a great team. He's a great leader. He's building a strong business over there and then coupled with Popeyes, I mean, Popeyes are coming in and doing a great job. So, we are very, very confident with the business there. I always was, I mean, today, we purchased this to two date, I completely and very confident this is a strong business in the long run because the market is very strong, right? So, both these businesses, we continue to drive in the northward direction.

Harsh Shah: Okay. And on the innovation side, as you mentioned that the strategy -- strategic initiatives on the menu side is done with the chicken menu and we are also introducing the range of desserts and also value offerings. So, just wanted to understand on the ADS

side, currently, we are at around 180 million IDR's, 190 million IDR's. So when do we see the -- what is the ideal target for the Indonesian Burger King ADS?

Prashant Desai: Yes. We are not guiding currently, as you know, on the Indonesian business because we just, over the last 6 months made all the strategic changes or big picture internal target and what we have shared with you guys is to ensure that we break even this business, which will be INR 100 crores string from last year.

We are now seeing some stabilization coming back on the BK Indonesian side, as you know, we reported at 19.4 million ADS. But

today to sit here and guide will be a little tough

for us. Just give us another couple of quarters once we kind of get a bit of true sense in terms of the visibility, we will come and revisit this over the next 2 quarters.

Moderator: Thank you. We move to our next question. Our last question for today's question-and-answer session comes from the line of Krishnan Sambamoorthy from Nirmal Bang. Please go ahead.

Krishnan Sambamoorthy: Yeah, can you hear me?

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Prashant Desai: Yes Krishnan.

Krishnan Sambamoorthy: Yeah Prashant, there was a mention of building relevance and credibility of the chicken menu in BK I. And here, the aim initially was to increase the proportion of chicken and reduce the proportion of mutton in Indonesia. How -- what is the stage of progress that has been made over the last year and where do you intend to be from a year time?

Rajeev Varman: Yes. So, first of all, it's not a mutton. It is a beef over there. So they sell beef and then they sell chicken. If you look at the market generally, where the burger players, there's a few burger players there, 70% of their sales is chicken and 30% of their sales is usually in the beef sector. So, that's generally where the industry is.

In Burger King as we took the business over, where we saw the opportunity was, we saw that the chicken business was at about 30%, and the beef business was at about 70%. Now we're not trying to decrease the 70% beef business. I think we actually want to grow that business as well because we are a leader in delivering Whopper, and we are the leader in burger taste and quality all around the world as we are known for it.

So, there's no intention in decreasing that portion, we will continue to increase that portion. But if you look at the pie, you will find that slowly as the chicken because we did not have both the chicken element, right? We only had one, which is a classic chicken, but wasn't really classic wasn't really spicy, it was sitting somewhere in between those.

So, now we have a proper classic for those that don't like spicy products and even for the kids we have a classic version. And then the Spicy version, which really kicked off and started doing really well is on generating new people coming in that never had that spicy version. So, you will see that this 30% portion will start to grow, and it will not grow at the expense of the 70% beef businesses.

But as it grows, you will find a proportion of the pie will be more evenly split. My conversations with Sandeep and Sandeep is on the call as well is the first step is to make sure that at least we start selling 50% of our portfolio as chicken. So, we'll start working towards that and then beyond that. I don't know, Sandeep, if you want to add anything else.

Sandeep Dey: I just want to add one thing. If you actually walk into a restaurant, you would see the way the consumer is actually consuming this chicken. So, I said in our presentation that chicken actually is fried chicken is a staple food here. So, what is happening is they are buying burgers and adding a piece of chicken on to their meals.

So, the chicken incidence is just coming as an incremental incidence without compromising or cannibalizing our burger sales. And that is how actually the overall

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business is increasing. So, that's the beauty of this market having a combination of burger

and chicken as the overall portfolio. I hope that answers to your question Krishnan .

Krishnan Sambamoorthy: That's useful. Any time line of what Raj mentioned roughly equal contribution from chicken and burgers maybe it's a 1.5 years, 2 years, 3 years? Would you like to hazard a guess there ?

Sandeep Dey: Sorry, Raj. At this moment I can tell you is during the campaign period actually our chicken portfolio almost reached to the tune of about 50%, right and then after that, we are stabilizing, but we have moved the base , and I actually said in my presentation that the overall chicken incidents from the pre -campaign period to post -campaign has gone up by about 25%. So, it's not going to take a long period of time is all I can tell you at this moment.

Moderator: Thank you. Ladies and gentlemen, that brings us to the end of our question -and-answer session . Due to time constraint, that was the last question of our question -and-answer session. I now hand the conference over to the management for closing comments.

Prashant Desai: Thank you, everybody, for taking the time and joining us. I know we've not got a sense to answer everybody's question. As you know, my e -mail is on the presentation, feel free to write an e -mail if you have any further questions on this, and we'll be happy to answer. Thank you.

Moderator: Thank you. On behalf of Nuvama Wealth Management, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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November 11 , 2023

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Transcript of Investor/ Analyst Call

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed herewith the transcript of the Investor/ Analyst call w.r.t. the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2023 , held on November 8 , 2023 at 05:30 p.m. IST as Annexure A .

The same is being made available on the website of the Company viz. www.burgerking.in .

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Madhulika Rawat

Company Secretary and Compliance Officer

Membership No.: F8765

Encl.: As above

Page 1 of 18

"Restaurant Brands Asia Q2 FY'24 Earnings Conference Call"

November 08 , 2023

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR & GROUP
CHIEF EXECUTIVE OFFICER , RESTAURANT BRANDS ASIA
MR. SANDEEP DEY – BRAND PRESIDENT , INDONESIA ,
RESTAURANT BRANDS
MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL OFFICER &
CHIEF BUSINESS OFFICER , RESTAURANT BRANDS ASIA
MR. KAPIL GROVER – CHIEF MARKETING OFFICER ,
RESTAURANT BRANDS ASIA
MR. PRASHANT DESAI – HEAD, STRATEGY & INVESTOR
RELATIONS , RESTAURANT BRANDS ASIA

MODERATOR : MR. NIHAL JHAM – NUVAMA INSTITUTIONAL EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Restaurant Brands Asia Q2 FY24 Conference Call hosted by Nuvama Wealth Management.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touch tone phone. I now hand the conference over to Mr. Nihal Jham from Nuvama Wealth Management. Thank you and over to you.

Nihal Jham: Yes, thank you, Sagar. On behalf of Nuvama Institutional Equities , I would like to welcome you all to the Q2 FY24 Conference Call of Restaurant Brands Asia.

From the management today, we have Mr. Rajeev Varman – Whole-Time Director and Group CEO ; Mr. Sandeep Dey -- Brand President , Indonesia ; Mr. Sumit Zaveri -- Group CFO & Chief Business Officer ; Mr. Kapil Grover -- Chief Marketing Officer , and Mr. Prashant Desai -- Head of Strategy & IR.

I would now like to hand over the call to Mr. Rajeev Varman for his opening remarks. Over to you, Rajeev.

Rajeev Varman: Thank you, Nihal. Really appreciate it guys. Happy Diwali to everyone and thank you for taking this time out this evening to join us on this call.

Just generally tell you what Burger King India and then Burger King Indonesia combined under the umbrella of Barbie has been doing for the last couple of quarters and how the summary of the results for Q2 .

So, the initial strategy as we outlined before this year started FY24 was basically to bring in the traffic back into the dining business and back into our Burger King restaurants. So , we usually don't share traffic numbers , but I'm going to take the liberty just to give you directionally what we have done. So , both the quarters that have gone behind us, Q1 and Q2, both these quarters, we have increased our traffic in our restaurants with high single digit numbers and not just in India but also in Indonesia. So , that has been basically the way forward for us is to bring more people into our restaurants to drive SS SG, not just through b y check. And I'm very happy to report that we continue with that strategy into Q3 and Q4 with very similar elements that have given us the results in Q1 and Q2 with traffic increases.

This also happens to be one of the great quarters for India. This is a quarter where we ever delivered the highest EBITDA in India and I wanted to thank my team that's out in the field and everyone that's working in the office for all the hard work they've done in producing these numbers.

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Generally, as we look into Q3 , Q4 reflecting back on Q1 , Q2, our strategy is no different. We'll continue to drive traffic into our restaurants, and we will continue to build our sales and our same -store sales through traffic. That's the main headline objective moving forward.

Now , If I look at the India Q2 Results, we grew year -over-year 23% on revenues , delivering Rs.453 crores in total revenue. This is on the head of SS SG of 3.5, which, as I already said, was led by very good traffic growth, specifically in our restaurants. So , thanks to all the work, Cicily Thomas is doing leading the India business.

If I also look at the ADS, we delivered in Q2 1,26,000 ADS, which is a 6,000 above the previous quarter, which is at 1,20,000. So, again all check marks on sales, on SS SG and ADS, right. Coming to profitability:

I have already articulated that this has been a good quarter of our restaurant level EBITDA and company level EBITDA. So, the highest ever EBITDA we delivered, if I give you the post India's numbers, that is Rs.63.5 crores which is 51% above the previous quarter. And if you're interested in the pre-AS 116 numbers, that number was Rs.24.3 crores

which is 138% above what we did

in the previous quarter? So, thanks again to the team for delivering that. PBT first month that we have broken even I know Prashant always ask me when are you breaking even on this one. So, Prashant there, that's the number for you.

Growth:

We have built 10 new restaurants in the quarter, and we closed two. So, a net result of eight restaurants that were (NRG) Net Restaurant Growth as of September 30th. Now, we have got 46 restaurants that are in construction, right, and we are well on our way to deliver more than 450 restaurants by the end of Q3 by December 31st. So, that's the key and Kapil and Sumit will go through the detail numbers and so forth, but I just wanted to throw the key highlights here.

The other thing that we're doing and you might have seen this as you go through our restaurants if you're visiting our restaurants is we are now going completely digital in all our restaurants, it will take us a little while to cover all of them, but we'll spend the better half of next year and maybe a little bit more doing this. We are turning away and going towards self-ordering kiosks, ordering at the table service. So, this new digital parameter that we have already tested, we've got the equipment rolling and this will be rolled out into all our restaurants across the country here in India. So, a great initiative by Kapil and Kapil will speak more to that when he comes to the marketing section. So, great revenues. SSSG on top of STG, which since I started doing this business many years ago traffic was always called the blood of the business. If you're growing the sales through traffic, then you're doing a good job and we have delivered that in the last two quarters and our focus to do this in the next two quarters as well.

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On EBITDA front:

I told you; we have delivered a fantastic number and PBT break even. So, thanks, Sumit for all the hard work on making sure that we are very effective and efficient on our line items.

Just coming to Indonesia business and Sandeep will take the major chunk of the weight on this one, but I will share again with you the work that he is doing and his team is doing and frankly Sumit has spent a lot of time there in putting together a fantastic strategy moving this business forward. So, if I look at the Q2 numbers, we delivered 19.1 ... and I'm talking IDR numbers now, Indonesian rupiah, 19.1 million, which is as you remember from Q2 of FY23, that was 16.9, that grew 13% year-over-year again on the head of some very good traffic numbers. Q2 again on the SSSG, they were +6.5%. So, Sandeep is now giving a run to Kapil and Cicily over here in terms of SS SG is climbing at a faster rate there. Listen to this number; 17% increase in traffic in dine in in Indonesia in Burger King. Fantastic job, Sandeep. Thank you for all the effort over there.

So, you see those numbers.

Coming out to revenue:

We did IDR of 287 billion which is 5.6% year-over-year. So, we had a higher revenue by 5.6% despite closing 17 underperforming restaurants. So, we closed these restaurants and yet we did a higher revenue. So, great job there as well.

Continue to generate some healthy ADS. If you look at the ADS on the Popeyes front... I'm now speaking about Popeyes, we are now kind of stabilized at about 46.3 million which is about 6 million higher than what the Burger King business is doing. And now, Sandeep has stuffed to move this from 46, upwards towards 30.

Total revenues in these 12 restaurants that we have in Popeyes was 27 billion. Here, as we are moving forward, we are approximately now at restaurant break even. So, the Burger King business, and the Popeyes business does not lose any money at the restaurant level. So that's the kind of crossroad that we have passed.

When I look at the growth bucket, we have 162 restaurants

as of September 30th in the Burger

King business and 12 Popeyes restaurants by September 30th. So that's the portfolio over there.

Again, Sandeep will talk about this.

But we rolled out the chicken in Burger King. When we told you that was a big gap that was there and we have moved those volumes of chicken by 50% in those restaurants, that is where all that 17% traffic is coming from.

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And also , on the Burger side, because Burger King continues to be a burger business over there, we have moved those volumes up by 35% as well. So , Sandeep will talk more about that and kudos to the entire team in Indonesia to continue moving this in the positive direction.

So, with that, what I'll do is , I'll hand it over to Sumit to kind of go granular on some of these numbers and then and then we'll go to Kapil.

Sumit Zaveri: Thank you, Raj. What I'll do is , I'll just kind of talk about the key financial numbers and then also go a little more deeper to explain what we've achieved through this quarter in India and then also I'll cover Indonesia as well.

As far as same -store sales , as Raj mentioned, we ended the quarter at 404 on our way to get to over 450 by end of this quarter. This was generally by design that we did it where this quarter we grew 8 and we kind of put as a part of the initial plan itself the growth, which was towards Q3 of the year , so that 's by design .

We continue to open all our new stores with cafe. We're currently at 297 cafes, which is 75% of our portfolio . Now has cafes and Kapil in his part of his discussion will take you through what cafes are now contributing as far as overall business is concerned. On the back of a strong growth in terms of new stores, we added 70 stores over the last 12 - month s period. We've been able to sustain the ADS at the portfolio level in line with what we had achieved last year. If you really look at it Q2 FY23, we did 127 after effectively adding 70 more stalls , we are still at 1 26. ADS which effectively reflects that the stores that we've added , have come much closer to the portfolio average in terms of ADS.

Our overall ADS growth was led by traffic for the quarter, then we could see that over last two quarters itself has been 3.5%. We feel fairly confident of this number and as we go along and as we get to the later part in terms of what we expect to end, you will only see that our position towards what we will achieve in essentially going forward is only going to be better than what we've done in Q1 and Q2.

As far as overall revenue is concerned, we grew by Rs.31 crores quarter -on-quarter , moved from Rs.422 crores in the previous quarter to Rs.453 crores in the current quarter .

Gross profit margins or COGS as we could call it which go away has always we strongly believe has been our strength area. If you go back and see last four to six quarters of ours , through these entire inflationary pressures that we saw we maintained the gross margin at 66.4% through that period. And while we were doing that, we also ensure that we are building efficiencies to be able to take our journey to what we have been sharing as a part of our guidance that we will start making the journey towards that . This quarter is our first step towards that and we reported or achieved a gross margin of 66.8%. So , if we really look at it from the perspective of consistent Restaurant Brands Asia

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66.4% that we've been maintaining over the last four to six quarters, we've moved the needle now by 0.4% and got to 66.8% and this is our first step towards achieving the guidance or the target that we've set ourselves for gross margins.

Happy to share that as far as restaurant appetite is concerned, we are reporting early double digits for the quarter ; we did get 10.7% in terms of restaurant level EBITDA and a substantial shift

at

the company level EBITDA where we got to Rs.24.3 crores , 5.4% at a company level, a shift from 10 or 11 crores that we did last quarter or as compared to previous year . So, it's a shift of almost around 12 to 13 crores in this quarter . One is that it is effectively a very strong base shift that we've made in our overall company EBITDA numbers at Rs.24 crores with the seasonalities hopefully in our favor we should only be able to kind of do better if we sustain these numbers.

So, that's how we really see Rs.24.3 crores , as Raj said, is the highest ever company level EBITDA numbers that we've reported so far. But certainly , this is not the end of it. We feel that this is just the beginning of the better quarters as we go along .

If I were to just quickly turn to Slide #7 and talk about the overall numbers as far as India is concerned, we generated revenue of Rs.453 crores. Some of these numbers are slightly repetitive, but I'll just kind of summarize these numbers. With the gross margins of 66.8% and a restaurant level, early double -digit numbers are close to 11% and company EBITDA at 5.4%. There have always been some discussions on the corporate G &A side and we've been saying that we would remain in the region of around 23 , 24 crores. Keeping that trajectory in mind , we were more or less flat at a corporate G &A level at 2 4 crores and with the revenue growth over quarter -on-quarter, we've only got better in terms of percentage to revenue from 5.6 % , we've gone down to 5.3%. We believe that this trajectory, again similar to in line with company EBITDA, will only get better as we kind of get the benefit of the stores that we've opened or we plan to open , plus the growth that we see in the existing portfolio.

Quickly going on to the Indonesia part of the business :

As compared to last year, we grew from 156 crores in INR terms to 171 crores for the quarter .

Our concentration as far as Indonesia is concerned has always been to kind of make sure that the business gets to start seeing the positive trajectory in sales. We've seen a substantial shift almost by 2.2 IDR million, which would translate to around Rs.10,000 -odd in Indian terms over last 12 months . These are probably our early successes that we've seen over the six-month period, and we feel that we've only created a stronger base on which we will continue to build . At a restaurant level, we were close to breakeven at country between both the brands , and the company EBITDA level we were at around -15 crores , but we believe that as we continue to build on to the base that we have, we'll only be able to take this trajectory onto the breakeven side as we go along over next few quarters .

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As we look at the consolidated performance , overall revenue Rs.525 crores in last year we moved to Rs.625 crores . Last year overall at a company EBITDA level, we were at a (-15.6) crores , we reported a positive close to 9.4 crores for the year . So , we've certainly, as Raj said, has been a good quarter for us . We have shifted the baseline needles practically in all key financial parameters and we believe that we will only take the journey forward in the positive direction as we go along .

With that, I'll request Kapil to take us through the key highlights for the quarter on the marketing side and from there on to Sandeep to take us through the Indonesia journey.

Kapil Grover : Thanks, Sumit and good evening, everyone.

Let me start by reiterating the pillars of our growth that we've aligned at the beginning of the year. #1 being the value strategy . It's a key driver of traffic and growth to our stores, followed by innovation on the core burger platforms, premium offering and building adjacent categories like Cafe . The third focus area is about building digital experiences for our consumers and growing known diner sales. And

last but not least, building a strong, engaging brand for Gen Z and millennials.

Now I'm on Slide # 12. Our value proposition is focused on a satiating meals platform, the tasty meals at 99. You heard Raj talk about how we run that initiative for the last two quarters and that was the focus here for Q2 as well. The campaign has clearly helped us drive dine-in traffic growth and offer consumers great value for their money. Again, you heard that we delivered 3.5 percent same-store sales growth in a very challenging environment on the back of this program. The next slide showcases a few pictures of the execution, which helps us drive awareness about this program across mall locations, high street locations and building a traffic to our stores through this program.

The next layer I want to talk about is the Whopper . It continues to be a strong part of our portfolio. We continue to build this platform through a consistent string of innovations which we call the limited time offers. The last quarter was the Mexican Whopper, which had the Salsa Zing and the Nacho Chips, and we got a lot of appreciation from our whopper fans as they tried this new healthy offering. Every year we launch five to six such new ideas on the Whopper platform to continue to drive our innovation credentials.

Slide #15 is about how we continue to build BK Cafe as a concept and generate trials around with that concept. With 297 cafes on ground as of 30th September, we continue to build awareness about the platform through social channels through digital programs, effective use of influencers. Now , Please note here that since cafe is now a standard part of the BK store, every new store , unless there's exception opens with a cafe, right , so we now start reporting KPI of

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total sales coming from this business. Hence you see on the slide the number that's Rs.16,000 is the contribution to the areas from BK Cafe range of products which is all the coffee-based beverages and the thick shakes. So, our guests continue to pair this new range of beverages with their favorite burgers and enjoy the taste of very good quality 100% Arabica Coffee at very affordable prices.

The next Slide # 16, last quarter we also saw the expansion of a very well thought through program of making our stores a new digital experience for our guests. We call this the King's journey model, where our guests are offered fantastic experience through digital ordering through the kiosk , app-based ordering from the table . So, they don't necessarily need to queue up at the counter ; they can either go to the kiosk or take the mobile app , just scan the QR code which is placed on the table, place their order, and they will be served their food on the table. So that's the new convenient digital experience that we're building for our guests in all our stores.

And as we speak, we are rolling this experience out in flex stores. The intent is that we will cover almost 100% of our estate over the next financial year.

Last but not the least, Burger King social feeds continue to drive very engaging content, whether it's for spreading awareness about our national campaigns like the 1990 celebrating Indian or international festivals, moment marketing, product stories, and we make an attempt to speak the language of our fans and stay connected with them in their tone antenna.

So that's it from my side. I would hand over to Sandeep to share the Indonesia update.

Sandeep Chaudhary : Thank you, Kapil and a very good evening to all of you from Indonesia. In the beginning, Raj mentioned that we continue to have a laser sharp focus on our three strategic pillars for Burger King business and those continue to build credibility in chicken, establish and retain our leadership in burgers, and build a comprehensive dessert menu and drive incremental locations through that.

So, t

he next few minutes I'm going to share with you some of the work we have done to move forward these strategic pillars. As Indonesia is a very, very, very strong fried chicken market and having a winning product is a key motivator in this category. And we are a gap in our menu both with regard to taste as well as variety. So, in the last six months, we addressed those gaps and then launched this product of about two quarters back and offered a very aggressive trial price of 25,000 for a meal and also supported that with a comprehensive 360 degree marketing campaign. The results are quite positive. In fact, Raj did mention in the beginning that incidence of chicken improved by 20% and volume grew by almost 50%. But what is more encouraging is that these numbers are not just the initial numbers, but these numbers have sustained for over six months now.

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I'm now moving to the next slide, which is Slide # 21. The next strategic priority is to establish Burger leadership and that we intend to do through taste credibility, flavor innovations and very importantly offer strong value propositions across the entire menu there.

Now for this category, we have a two-pronged strategy :

1. We call it value LTO strategy. Here we offer some of our flagship and preferred products at very aggressive pricing of 17,000 for a burger where a guest can practically enjoy discount of as high as almost up to 50 %-odd. Now, this is helping us not only drive a massive amount of dine-in traffic back into our restaurants, but also building the Whopper equity. The volume growth for these burgers have increased by more than 35% and an overall increase of 11% in burger incidence.

2. The second part of the strategy on the burger category is on the premium side where we continue to provide new excitement through taste, innovation and branded collaboration every two to three months at an alternate basis.

3. The third growth pillar is the dessert category. That's a big business opportunity in this market. And our strategy was to have indulgent dessert innovation every quarter, which we religiously do either through branded dessert or local favorites. And for the last six months, we have witnessed a sustained volume growth of almost 2.5x.

Finally, I'm going to give a quick update on Popeyes, which is my last Slide # 23. It's been 10 months now since we launched this brand. And as we speak, we have 15 operating restaurants.

We continue to deliver very strong new store launches and have already put 10 stores under construction. So, by the end of December we should have 25 Popeyes. And our strategy is to build this brand into a chicken destination. See, basically, we are a culinary brand and we got not only winning products with regard to taste, but also variety to address different needs. We are actually the only QSR in this category to have a grilled chicken on bone product, and this unique Louisiana grilled chicken contributes to almost 30% of our chicken onboard portfolio. And we are building this brand with digital-first experience. All our restaurants have kiosk. Every single restaurant has video walls which run brand contents and product videos. All our drive-through menu boards are digital menu boards. So, our long-term vision is to have 100% known diners sales.

In Q1, I did mention that 37% of our dining sales were through kiosk. And we continue to encourage that guest behavior and by end of Q2, that number has grown up to 70%. So that's from the Indonesia side of the business.

And now I hand it over to Prashant to share the outlook for the overall business.

Prashant Desai : Thanks, Sandeep. From an outlook perspective there are two changes :

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One, as you would observe, our SS SG guidance given the first six months have been challengin

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for the industry, we are revising that to 6%, which still means given that we are now entering the festive period we are expecting a great festive season in the first quarter of next calendar year, which will be very high single digit same-store growth and hence the overall yearly same-store growth is at about 6%. No other changes except the Indonesia business, which, as Sumit mentioned, we are hoping to break even that business closer to the end of this year. So, otherwise all the guidance remains the same.

With this, we can open up the floor for Q&A.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: First thing, if you can give some idea about the economics of Popeyes, what is the CAPEX, how do you look at the payback, those kinds of things? Since we are on a low base, we need to add a lot of stores and we need to incur a lot of CAPEX. So, considering that most of the QSR brands in the early years kind of spend money to grow, do we need to get capital from Indian business to grow Popeyes?

Prashant Desai: So, we are currently Popeyes is still very early in the infancy, the business is still stabilizing, so too early for us to share details with respect to paybacks and breakeven, but the CAPEX for the store is approximately US\$400,000, so that is the data that we can share with you as we speak. As we had explained, when we had acquired the Indonesia business, the capital for Indonesia business will be provided by the Indonesian balance sheet and India business grows on its own balance sheet. So, there is no major allocation of capital from India business into Indonesia business. It will grow from the strength of its balance sheet and the cash flow that the business will generate.

Dhwanil Desai: In the opening remarks that was mentioned that in spite of 70-odd stores getting added over ADA is almost at the same level. So, can you give us some color as to what kind of ADS growth we have so seen in more mature stores, which are three years and older vis-à-vis some newer stores, how does the gap look like? As the proportion of the newer store reduces and the vintage increases, naturally, the ADS growth has to be significantly higher. So, can you give some insight into that?

Sumit Zaveri: While I'm presuming you are talking about Indonesia, so Indonesia, we grew 0.5% in terms of SSSG. That is one. And if I were to look at the same numbers from India perspective, the newer stores we will see slightly better as you said sheets which is what we are also seeing as they move into SSSG after the end of 13-month period, that's what we kind of take, we will see with respect to those and hence those would also contribute to better SSSG at the portfolio level.

Secondly, as far as H2 is concerned, we'll also see that because there was a baseline effect in H2

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two last years, a better SSSG in H2 as well. We are guiding the overall full year SSSG at 6%.

Our expectation is that overall portfolio would be closer to around anywhere between 9% to 10% number of SSSG for H2.

Kapil Grover: Really just to add to what Sumit mentioned, one of the things that we are experiencing, one, as the brand is getting more and more stronger as we are opening more stores both on the high street side as well as spending money on television to kind of build the brand. As your size is increasing, all of us have to spend 5% of our revenue on marketing. As the brand is becoming stronger, one big trend that we have observed is all the new stores that we are opening are doing significantly better year-on-year. So, earlier it would take us three years to reach the portfolio average, now, we are seeing this timeframe shortening as the brand is becoming stronger and that's the big

trigger point that Sumit was trying to make that despite opening 70 new stores, we have seen an increase in ADS.

Dhwanil Desai: I think in earlier interactions you indicated that the more mature stores have generally 20% higher ADS than the average number. So, that benchmark remains or are more mature stores growing faster, any sense on that?

Kapil Grover: Yes, we are not sharing quarter wise data, but by and large we are on track.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: I think it's really a good experience that you maintain the SSSG 3%-plus in the first half.

However, the guidance was revised lower. What makes you confident because if I see the average of 6%, the second half has to be pretty strong, so could you share what is the confidence level -- is there a lot of innovation which you are planning to launch or already launched or is the optimism because of the base because last two quarters were very weak for the entire QSR industry? And maybe some color how the current World Cup has added to the numbers in the month of October? I'm not looking specific, but the trend if you can share.

Rajeev Varman: Very nice question. Thank you very much for that. See, couple of things. One is obviously the festive season is in front of us, right. Second is in spite of the fact that we're sitting at about 3.5% SSSG, 3.6 in Q1. What I said on the onset of this call is, it's driven by some very fantastic traffic

numbers. So, it's not on the basis of check increases. So, this year we have been driving more traffic into our restaurant. And generally, if you look at the burger industry, the word out there is... most of the experts that have written around is that the burger category continues to grow both in dine-in as well as in delivery, this category continues to grow. So, we're just kind of leveraging and working on those numbers of driving more and more traffic. And also, you see there's a whole bunch of restaurants we opened last year in this Q3 which will start to comp and obviously as you know they start at lower numbers, and they start going to higher numbers in the following year. So, a gain, we are confident on the traffic because we have got a very good

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promotion in place which is driven by Kapil and his team that continues to drive traffic and on the head of this traffic number, the fact that the last year the quarters were kind of a little soft as you remember Q3 and Q4. So those are the driving factors in where we think we're going to move this forward.

Shirish Pardeshi: Just to get a little more clarity on the question was in the beginning when I asked, you mentioned in the beginning saying that you've seen a traffic growth of single digit. So, I was more curious that this traffic is basically from the dine-in or delivery, maybe some quantitative explanation if you can give will be able to help us?

Rajeev Varman: I can tell you that our dine-in traffic is growing. I will not split those numbers. We don't share this. I don't think anyone shares those numbers. For competitive reason, we want to kind of keep them close to our chest. But I can tell you that both in Indonesia and India, if you just look at the strategy, the offer that we have is in dine-in. It's not available in delivery. So, you should understand that's to drive dine-in traffic, not delivery traffic.

Shirish Pardeshi: I'm referring slide 6 and I'm trying to do some mix and match of numbers. Prashant did mention that on a YoY we have added 70 stores in Burger King India. But when I look at, we have added 117 BK Cafe. So, I look at and again, reference point is that ADS increase from BK Cafe is about 16,000. But when I look at the YOY ADS number, 127 and 126, which is now this year, it's remained largely flat. What ex

plains or maybe if there is qualitative explanation if you can help us?

Sumit Zaveri: Yes, we've added all the new stores have come in with Cafe and hence effectively you've also seen the total overall cafe ground going up from 180 to 297. So, that's one part. Secondly, just to kind of clarify that number, as Kapil was mentioning, when we said Cafe contributes to 16,000, that is share field that is not naturally an incremental sale number. If we refer back to some of our earlier presentations or discussions, you would realize that the incremental sale on the cafe portions have only been around in the region of around Rs.7,000 to Rs.8,000. So, if we kind of do the base effect of those additional 100 stores, then it will only be affected around Rs.1,000 to Rs. 1,500 on the ADS, just to kind of build up the numbers there. Referring back to what Prashant was mentioning that our newer stores generally would come slightly lower than our portfolio average. We've only been getting better. So, we've been able to maintain the ADS from 127 to 126 largely because the newer stores that have come, one is especially of 3.5% that we got over last year and the newer stores that we opened, plus a marginal increment that we got on account of cafe and then overall portfolio level, we've been able to maintain the ADS at 126. So newer stores coming closer to or better ADS than what we've seen as the brand matures. Cafe margin impacting and 3% SSSH is why we've been able to maintain the ADS at 127 to 126. Otherwise, in the past as we were growing rapidly and the base of new stores being higher, we've generally seen that while we would have positive SSGs, the portfolio averages would be equal or negative. So, this is literally now with the weight of existing stores increasing, we've been

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able to sustain it at the 127 level. So, this is larger a positive shift, is how I would see it rather than saying that while we've not been able to move the needle upwards.

Shirish Pardeshi: On the guidance front, Prashant mentioned that we have revised downward the SSG. But I'm more curious because we have already achieved 8 closer to 67% gross profit margin in India and you're still holding that guidance. So, what is the hesitation -- Is the volume growth, the strategy which we are employing so will not give us the margin lever or we are being conservative at 67% at this time?

Prashant Desai: We always said 67%, right. So, it's none of the things that we've mentioned. I'm saying what Sumit was trying to explain in his commentary was that you guys are aware of the inflationary challenge, you guys are aware of the fact that we launched the Rs.99 value bill, despite that, we are retaining our margin guidance of 67%. It's not conservative, it's not optimistic, it's realistic and we would like to remain at 67%. A couple of things I will still add, maybe you were not part

of the earlier calls that we did, our cost of goods sold includes are primary and secondary distribution cost. So, that is one thing you will need to keep in the back of your mind when we talk about 67 %.

Shirish Pardeshi: I got that what you're saying, but directionally the milk and cheese inflation is expected to come down very sharply. That's what at least the other players are -

Prashant Desai: Appreciate it. As I said, yes, we meet you guys every quarter, should we choose to up the guidance, we will come back to you, as of now factor 67% as your gross margin guidance.

Moderator: The next question is from the line of Mr. Tanmay Gupta from Motilal Oswal. Please go.

Tanmay Gupta: Sir, I'm looking at the slide 22 where I see that we have introduced a lot of desserts menu in the Indonesia site. Just wanted to understand what is our collaboration or strategy to launch the KitKat or Oreo kind of desserts in India in order to improve the ADS

?

Kapil Grover: That's a very good initiative that the Indonesia market has done and we obviously will continue to explore similar opportunities in India as well. It's just a matter of time that we strike a good co-branding opportunity. So, we continue to explore. At some point in our calendar, you'll see those innovations in India as well.

Tanmay Gupta: So, any other innovations lined up like other than these desserts or something like in order to improve ADS?

Kapil Grover: In the India business we will continue to launch new products. In fact, if you visit our stores today, we have already introduced a couple of new products. We've recently not launched Nuggets, which is a new addition to our menu. You can go and try them in all of our stores as of Restaurant Brands Asia

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today. And we've also, in the last quarter I shared, introduced premium wraps in our menu. So, we'll continue to find these consumer insights and gaps on our menu and make sure we keep plugging them and offering consumers the products that they need for a good experience at Burger King.

Moderator: The next question is from the line of Mr. Mayur Gathani from OHM. Please go ahead.

Mayur Gathani: I'm just wondering on the Indonesia side; do we still see more closures on the Burger King stores or this is going to be an ongoing thing?

Sumit Zaveri: While it will be an ongoing thing as a part of our current assessment that we went through at the start of the year wherever we failed in a part of the portfolio not warranted to be part of our going forward portfolio. We've already taken that call there and we are now at around 162 stores as we speak. We will continue to look at Indonesia part of the portfolio very closely. But as we speak today, we will take the journey forward from here at 160 stores. As we continue to review, if we feel that we may want to prune any part of the existing 160 store portfolio, then we would take that call, but the risk on that side at the moment is still not ... we don't see now going forward a substantial shift on the downward side on store portfolio in Indonesia. But if there is a need, then we will certainly continue to take that call to make sure that the portfolio remains healthier.

Mayur Gathani: Quarter-on-quarter, the revenue was down in Indonesia. So, is that 17 stores closure is the reason that you would give?

Sumit Zaveri: Yes, it was probably because of the store closures. If you look at it from the perspective of ADS, then we've been on a quarter-on-quarter the ADS has been in the region of around 19.5 and that is how seemingly a very strong case that we've been able to establish there and hence effectively the number to really look at is the shift that we've been able to do on a year-on-year basis from almost on 16.9 to 19.1 over last year there. So, the other thing is that what we've seen in terms of seasonality and what we've really been able to beat in Indonesia is, Q1 has a very strong holiday seasonality last year as well as this year, we got to 19.5 -odd in Q1 last year. And then as soon as the seasonality went off, we had dropped the needle down to 16.9 after Q2. This year the same seasonality but post the seasonality we have really been able to hold on to ... and what Sandeep mentioned initiatives that we took on the menu side on the offer side, we've literally been able to hold on to the ADS similar to Q1 and Q1. So, we believe that we've been able to create a very strong way to build on going forward there. So, the reduction is in store closures, but a much stronger base of 19 million for us to build on from here for all the initiatives that Sandeep mentioned.

Mayur Gathani: Which is fair and a great job on that side. You had a positive kind of restaurant, just a kind of flat EBITDA on this initial business and you are negative in Q2. So again, I would relate are the

re any closure costs that are added on to this and hence it is lower negative?

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Sumit Zaveri: No, as a part of these numbers the closure costs we've kept it out, we make that remark as well on Slide 8 as well. This is more because really speaking from the perspective of pushing the sales and get more traffic into the business, we had to take some calls on the pricing side or the offers that we run and the drop is purely on account of the gross margins coming down quarter-on-quarter but no any other reason for that. I wouldn't be able to share that some of the numbers, but on the cost side we have certain upsides that are available which we should be able to see going forward into H2 as far as Indonesia is concerned.

Mayur Gathani: Seasonality wise, Q1 is the best for Indonesia, just for our understanding?

Sumit Zaveri: We would see Q1 and Q3, the upcoming quarter acts very similarly. So, one is the local holidays that they have, what they call this Lebaran, whereas Q3 will have Christmas as another positives seasonality. But one other thing is that ... and just going a little more granular on this, we have been able to kind of beat the needle in Q2 like us in India, August is their independence month and we literally kind of did the very, very similar ADS to what we did during the Q1 peak seasonality. So, those are some of the positives that have worked in our favor in Indonesia. But seasonality wise, Q1 and Q3 are the peak seasonalities to your question.

Moderator: The next question is from the line of Mr. Prateek Poddar from Nippon Asset Management Company. Please go ahead.

Prateek Poddar: You cut down the prices of whopper, right, on dine-in, which is 129 versus the 199. I am just trying to understand what happens to your margin when you take such a sharp cut and how does it overall play out sequentially or from a longer-term perspective as well as from the brand perspective?

Prashant Desai: I think exactly the point I was actually trying to make to Shirish, right, when we are guiding 67%, it factors into account all the initiatives that we spoke about, whether it was the Rs.99 meal or the new value promotion at Whopper or in terms of its performance, very, very, very early days just launched, now this is the first weekend of Diwali that we will be entering. So, just give us some time to kind of come back to you on that. But from a margin perspective, when we are guiding 67%, it factors that into account.

Prateek Poddar: When you say Indonesia cash peak, you would break even on run rate basis, do you mean exit basis in the sense Q2 FY 24 is where we see Indonesia cash breaking even, is that the way to think about it?

Prashant Desai: Yes, you are right. What we are trying to communicate is we are just following up on what we saw last time. If you see quarter-on-quarter across Burger King, across Popeyes, we are only making progress, we are feeling reasonably confident about that. The worst is behind us. And yes, ideally, we would have wanted to break even this business this quarter. But yes, some of Restaurant Brands Asia
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those things are not under your control. But directionally, I think, we believe by the time we end this year, we should not be losing money and hopefully make some money for all of you guys next year. So, directionally, yes, Q3, Q4, we should hopefully break even at a company level.

Prateek Poddar: I think Sumit was also highlighting this. Just wanted to ask whatever improvements we have seen in terms of employee cost, other expenses, corporate cost and the operating leverage playing out, is that something sustainable in Q3 we are adding a lot of response and I think 45-odd that you're adding, will we again see a step jump in terms of other expenses or you believe increased margins which we

have achieved that kind of sustainable and we will only build from here on, we will not go back?

Kapil Grover: The better way to probably answer this question for you would be, despite all the challenges that we saw in the first two quarters, you have seen the operating leverage playing out and we've been consistently mentioning this that you need a base of about 400-odd restaurants for the size advantage to pick in, whether it's in terms of the brand build and ADS impact and its impact across line items. What we would probably want to conclude is that, if the festive season goes well, which we are all touchwood hoping for the festive season to go well, all we would say is your next six months will be significantly better compared to the first six months whether it's at a restaurant level or at a company level for India business.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Just wanted to understand, you launched this Rs.99 meal. So, despite that, gross margins improved on QoQ and YoY basis. Just wanted to understand how did you sort of manage the negative impact of this launch on the gross margins or was it positive sales if you could explain that?

Prashant Desai: Honestly speaking, this is a tough question to answer on an open call where we'll have everybody listening. Broadly, I can tell you, this is your marketing strategy to get people in at Rs.99. This offer was available purely on dine-in, not on delivery. Then you kind of get customer to add on to cheese, you make people switch from a Pepsi to a coffee for which they pay extra, non-veg part of the business does not come at the same discounted portfolio. There are a lot of levers that

you pull to do that and hence I won't go deeper into each of these and I think Pratik was also coming from that point of view when he asked similar question on the whole per stuff that we've launched. Trust me, there are a lot of things that we do under the hood to kind of ensure that it's not gross margin dilutive for us. Unfortunately, it is tough for us to go further into detail on this for competitive reasons.

Devanshu Bansal: Second thing which I wanted to understand is your marketing spends are down sequentially and your other expenses are also down by a similar amount in terms of percentage sale between Q1

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and Q2. So, wanted to check is, are all other expenses that we incur on our store level, are all these variable and maybe we can get some sort of operating leverage going ahead?

Prashant Desai: Marketing spend we mentioned this in detail in the first quarter that as a brand as per the agreement that we have signed with Burger King Global, we are mandated to spend 5% of our revenue on marketing and for a full year basis, this number will remain at 5%. First quarter is normally when you plan for all the shoots and the campaign and there is a production cost involved in that, as a result of that is high. So, marketing spend as you will move forward given that we have spent aggressively in the first quarter, you will see this evening out as we kind of move forward. As far as all other expenses are concerned, you will see, as we have been consistently saying, whether it is rental, whether it is people cost, whether it is utility cost, as you gain and grow your ADS, you will see leverage playing outcome there, which is what you are seeing a reflection of that whether it's in improvement in our restaurant level EBITDA margin or at a company level EBITDA margin. And as Sumit was trying to kind of allude to this, with this quarter under bag, we are feeling reasonably confident that we've now finally reached a base and hopefully if things were to go well quarter-on-quarter, you will see across the board operating levels go up.

Moderator: The last question

is from the line of Mr. Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Can you throw some light on consumer affordability? So, I get a sense that obviously we are seeing a pickup in footfalls when we drive promotions. First part of this is affordability similar in smaller towns compared with like the 10 stores in an existing town or do you see affordability in smaller towns also being high for the first store and then dropping off as you expand into more neighborhoods, any sense on consumer affordability?

Rajeev Varman: Very, very good question. Look, here, we were just chatting here with some of the people in the industry this morning. And their belief was very similar to what I articulated in the onset. See, generally, one is, most of the people that have reported any positive SSSG, have told that this is on the head of growth in traffic. That's number one. Number two is that the burger sector and you can go back and reflect on all the studies that have been done, have continued to grow even this year and there's a history of 4-5 years of growth of this sector. This is continuing to grow. Obviously, this is not a planned purchase, it's more an impulse purchase. And when it's driven through traffic, you should feel that business is on the growth track. The other thing that I learned this morning and which was also my belief is volumes are increasing more in tier-2 and tier-3 towns. Look at the smaller towns, even during the holiday seasons, you'll find that if you are building a stronger portfolio, you're getting a bigger portfolio in tier-2, tier-3 towns, you're finding that those volumes continue to grow as well. So that's what we are sitting at and that's what we believe in and that's what I think the industry literature is on kind of supporting on that same lines.

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Aditya Soman: To summarize it, you're saying that "Look, it's key to drive traffic even if it comes at the cost of average order value, that's not a runaway to the traffic over the longer term," is that the right summary?

Rajeev Varman: This is a long-term game, right? We have an agreement till 2039 and beyond that, right. So, our efforts are not here to try to hit the ball out of the park, it's about to make a very strong business in the long run, right, to build a clientele that has a repeat business, to build a good value strategy in the long run, to continue building products and innovation to drive those customers that come in for innovation. So, these are the platforms that we have put in place. And being a young company here, with the tenure of less than four years, if you take the average of restaurants that have been opened, this will all build and if you put the right tools in, if you put the right platforms in, if you support them over the next five years properly, this is become a very strong business. And I've seen this when I was in Europe, when I was in North America, it was the same thing. If you did the wrong things and you push the wrong buttons just to drive a single quarter or a single market, you usually hurt yourself in the long run. So, we have a plan in place, we put it in

place in 2014 , we strictly continuously to work on that plan adjusting for whatever things happen , for example we had a bad quarter in Q3 last year, no one expecting it , made adjustments and we keep doing that, right? The fact of the matter is the effort needs to be about building strong platforms that drive not only new business but also strong repeat business in the long run. Thank you for your question.

Moderator: We would take that as our last question for today. I now would like to hand the conference over to the management for closing comments.

Kapil Grover: Thank you , everyone. Wish all of you a Very, Very Happy Diwali and a Great Festive Period and look forward to again engaging with all of you w

ith the Q3 numbers.

Moderator: On behalf of Nuvama Wealth Management , that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : Unit Nos. 1003 to 1007, 10th Floor, Mittal Commercial, Asan Pada Road, Chimatpada, Marol, Andheri (East), Mumbai - 400 059

CIN: L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

February 1, 2024

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Transcript of Investor/ Analyst Call

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed herewith the transcript of the Investor/ Analyst call w.r.t. the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31 , 2023 , held on January 29, 2024 at 05:30 p.m. IST.

The same is being made available on the website of the Company viz. www.burgerking.in .

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Madhulika Rawat

Company Secretary and Compliance Officer

Membership No.: F8765

Encl.: As above

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"Restaurant Brands Asia Limited

Q3 FY '24 Earnings Conference Call "

January 29 , 2024

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE TIME DIRECTOR AND

CHIEF EXECUTIVE OFFICER – RESTAURANT BRANDS
ASIA LIMITED
MR. SANDEEP DEY – BRAND PRESIDENT INDONESIA –
RESTAURANT BRANDS ASIA LIMITED
MR. SUMIT ZAVERI – CHIEF FINANCIAL OFFICER –
RESTAURANT BRANDS ASIA LIMITED
MR. KAPIL GROVER – CHIEF MARKETING OFFICER –
RESTAURANT BRANDS ASIA LIMITED
MR. PRASHANT DESAI – HEAD OF STRATEGY AND
INVESTOR RELATIONS – RESTAURANT BRANDS ASIA
LIMITED

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL

Restaurant Brands Asia Limited
January 29, 2024
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Moderator: Ladies and gentlemen, good day, and welcome to the Restaurant Brands Asia Limited Earnings Conference Call for 3Q FY '24. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi. Thank you, and over to you, sir.

Naveen Trivedi: Yes. Thank you. On behalf of Motilal Oswal, I would like to welcome you all to the Restaurant Brands Asia's Q3 FY '24 Earnings Conference Call.

From the management today, we have Mr. Rajeev Varman, CEO and Whole-Time Director; Mr. Sandeep Dey, Brand President, Indonesia; Mr. Sumit Zaveri, Chief Financial Officer; Mr. Kapil Grover, Chief Marketing Officer; and Mr. Prashant Desai, Head of Strategy and Investor Relations.

I would now hand over the call to the management for the opening remarks. Over to you, sir.

Rajeev Varman: Yes. Good evening, guys. This is Raj. Thank you for joining the call this evening. Just to give you a rundown, we reported a 3.6% positive same-store sales in Q1 and then 3.5% in the last quarter in Q2. And we continue that positive trend. Again, today, we are going to report 2.6% positive in same-store sales. The good thing about this is we are driving this positive sales by driving traffic into our restaurants. So, we continue to maintain between a 6.5%, 7% kind of a positive traffic into our restaurants. That is the effort that we wanted to put this year, which is to drive more people into our restaurants, especially into our dine-in business. And we continue to do that, and we have not missed a beat on that. So that's the great good news. The market, at large, is a value market right now, and we have -- and Kapil will walk you through the promotion that we are doing, which is now national all across the country, and it's doing very well for us and continues to drive traffic into our restaurants. So that's the opening remarks on how we are faring in Q3 as we did in Q2 and Q1.

So, the sales revenues were INR445 crores, grew 20% year-over-year, same quarter and 23% up if you take the 9 months that we have operated in this year. SSSG, as I said, was 2.6% positive, and I'm talking about only the Indian numbers right now, driven primarily through traffic. So, traffic was up quite a bit. So, thanks to all the effort by the operations and the marketing team. They continue to drive more people into the business.

Again, some very good profitability numbers, thanks to all the work that we have done in the last year and now into this year. The highest-ever company EBITDA, I'll give you post-Ind AS numbers, and then I'll give you pre. So INR70 crores was delivered in Q3, which is 48% up year-over-year. And if you take pre-Ind AS, we delivered INR30 crores. Again, that's double what we delivered last year, same quarter. So very good profitability numbers. Last year -- last semester, last quarter, I told you that the entire company continues to be focused on unit level Restaurant Brands Asia Limited

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economics. That is not going to change. We will continue to work on those. And then now we are seeing the results of that.

PBT, again, this is the second quarter we have breakeven for a brand-new company that's hardly 8, 9 years into operations. We have started breaking even on PBT. So that's again 2 quarters in a row.

We built 38 restaurants this quarter, bringing us to 441 restaurants. And as we sit today, we are actually crossed our target for this year, as we had set it up at 450 for the fiscal year. We are at 452 restaurants as we sit today. So, congrats

tulations to Cicily Thomas, her team and the entire construction and projects team that they 've pulled this target ahead, 3 months ahead of where we were. And then the cafes, we continue to build cafes, as you know. And today, we have 334 Burger King Cafes as of December 31.

Now the digital exercise that Kapil and Cicily both are running across our business. Today, they have built 68 restaurants -- or they have 68 restaurants that are on the King's Journey. Again, reminding you, King's Journey, obviously, Kapil will kind of give you the details of it, but really, this is about the kiosks, about table ordering, about the app, ease to order, the entire experience that customers actually go and place the order on the kiosk or on their mobile app or on a QR code scan and go into the website, place an order there.

And the food actually comes to the table. That's the King's Journey kind of thing, which is doing so well globally and here as well in India. We moved to 68 restaurants doing that. And next year, we will complete the 100% of the restaurant on King's Journey.

Now a little bit of Indonesia. Again, Sandeep Dey is on the line. Sandeep Dey runs our business in Indonesia, both Popeyes and Burger King. And Sandeep will give a detailed update on Indonesia while Sumit will kind of give you the overall financial of both the countries.

Kapil will walk you through the India marketing strategy that we are so proud that we are moving in the right direction.

So Indonesian numbers. Now one of the things that I don't know if you're following the Indonesian market, there's been some geopolitical forces once this war started in Israel versus the Hamas. There's some anti-sentiments in Indonesia towards the U.S. brands. That's kind of easing off a little bit, but it has taken a significant role in the last couple of months, predominantly while customers are trying to stay away from the U.S. brands. Again, like I said, it's starting to ease, and we are hoping that this will eradicate over time period.

So anyway, Q3, the ADS was IDR 17.8 million. Again, I'm giving you IDR numbers here.

This was a lower than IDR 18 million, which was the previous year, same quarter, down about 1% year-over-year. Now however, the good news of here is Sandeep put together a fantastic strategy a few months back with the help of the same program that we have here in India. We put the strategy up in Indonesia.

And the quarter-on-quarter growth on delivery sales, again, we are aligning the business so that we start doing start doing business. We used to do 50 or 60 transactions. We have moved Restaurant Brands Asia Limited

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that to north of 100 transactions on delivery, and we continue to push that. That has been the saving grace because brands have seen a significant pull-on traffic going into the restaurants as the industry, right? But our saving grace is we have now started driving traffic into our delivery business. So, some good news there as we kind of wait for the market to recover as a whole.

ADS IDR on Popeyes, which is a business today with 25 restaurants open as of December 31, that was at IDR 23.3 million. Revenues in the Popeyes business, IDR 35 billion versus IDR 27 billion in the previous quarter, grew about 28%. So, some good news on the Popeyes end. We continue to build that business in a very strong economic business over there.

Profitability, restaurant-level EBITDA, this was a breakeven for us in Q3, and this was driven predominantly by cost optimization, a lot of work going in that direction. It's not complete. We have another 2 quarters of work to do and completely cost-optimizing our economic model there, but significant improvement in that as well. We have 162 restaurants -- working restaurants in Indonesia and 25 Popeyes restaurants in Indonesia. We added 13 new Popeyes restaurants this semester -- last quarter.

Again, the strategy

in marketing both markets continues to be driven through value and to bring in traffic and to grow traffic business. So, we continue with that traffic over there as well. And you will find that Sandeep will talk more towards that.

So, with just those highlights, and I'm obviously here for the rest of the call to answer questions and so forth. I will turn it over to Sumit Zaveri to kind of walk you through the numbers as we see it. Over to you.

Sumit Zaveri : Thank you, Raj. I'll just take you through our performance for the quarter and 9 months.

Starting quickly with India, how we performed; Indonesia, on a consolidated basis at the back of closing December at 441 stores, 452 as we speak today. And continue to show positive SSSG on an average of around -- might be upwards of around 3%.

We delivered a revenue of INR445 crores, a growth of 20% over last year. So, it is actually at the back of SSSG and the new store opening that we've been able to achieve 20% growth.

We've always been talking about taking our gross margins forward and continue to kind of work towards that. We had set our targets, and we will look at that later as well.

We've always been saying that we want to get to the number of 67%. We've got to 67.1% for the quarter FY '24, and we strongly believe that we should be able to hold on to this as we go

along. So, a very clear shift that we've been able to achieve this year over the last 3 quarters. And a strong shift is what we strongly believe we've been able to get to .

As far as store appetite is concerned, we delivered 12.2% for the quarter. And if you really look at it from the perspective of 9 months as well, for 9 months, we are now on early double digits at 10.3% for the quarter as far as restaurant EBITDA on a pre-Ind AS is concerned.

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As far as company EBITDA is concerned, we're continuing our journey to show improvement quarter-on-quarter. This quarter, we've got to a company EBITDA on a pre-Ind AS basis of INR30 crores, 6.8%. And if you look at it on a 9-month basis, almost close to 5%, INR65 crores on India basis. So, we feel very strong about where we stand on India on what as far as our performance for the quarter and 9 months is concerned.

Raj did mention about some of the headwinds that we faced in Indonesia. In view of that, our revenue for quarter three stood at INR158 crores, in line with what we had achieved last year in quarter three. The only difference is last year, we were close to 180 stores, whereas this we achieved with 162 stores, so lesser number of stores but achieved very similar revenues. The issue impacted us in November. So, November and December is where we literally got -- it was fairly muted.

Our target was to at least ensure that we continue to improve our performance at the restaurant level. And as you could see with difficult situations as well, we've been able to at least get to break even at a company EBITDA level, which if you look at it last year same quarter, we were negative INR18 crores in the reported company EBITDA level. And company EBITDA pre-Ind AS level as well from a negative INR28 crores, we've been able to move the needle to negative INR13 crores. So, there is progress, but yes, we really wanted to move farther than what we've moved in this quarter or this nine months as far as Indonesia is concerned. If we're looking at consolidated operating performance, the revenue for the quarter stood at INR604 crores. At a consolidated company EBITDA level, INR17.2 crores or 2.8% company-level EBITDA, which was minus INR13 crores last year. So again, INR13 crores shift compared to last year. And similarly, if you look at nine months FY'24, INR1,840 crores revenue as compared to INR1,540 crores, which is 20% growth, with INR25 crores of company EBITDA, 1.3% as compared to a negative 2.5% that we had.

So overall, it means

we have very clearly shown improvement in India as well as in Indonesia. And our journey would be a very strong focus upon profitability in addition to driving revenue at the top line is what we will continue our journey going forward. So that's actually how we're going to focus.

Sandeep will take us through some of the [trends] in the Indonesia side, but before that, handing it over to Kapil to take us through some of the initiatives that we did on the marketing side that helped us to our performance in quarter three. Over to you, Kapil.

Kapil Grover: Thanks, Sumit, and good evening, everyone. As always, we'll just remind ourselves of the focus areas that the team is working on and then update everyone on the progress.

Number one, being the value strategy as a key driver of growth in traffic to our stores and innovation on core burger platform. And last quarter, we also added a new popular chicken side, moved some of the existing products to improve the adoption of these ideas and then share more details on that.

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The third focus area is building the digital experience for our consumers in our stores and synchronizing all touch points for a seamless experience for our consumers. Last but not the least, building a very strong engaging brand for the Gen Z and millennials.

On Slide 12, our value proposition is focused on satiating meals platforms, Tasty Meals at INR99. We spoke about it last couple of quarters. We consistently built this platform over the last nine months, and we continue to focus on this. The campaign has helped us sustain dine-in traffic growth despite seasonality impact of whether there was Shardiya Navratri in October or there are some headwinds. Whatever there is, we've been able to sustain traffic growth, as Raj mentioned in his opening remarks, on the back of this campaign, especially towards dine-in restaurants. And this will continue to be our focus area as we go forward.

The next layer I want to talk about is the Whopper. Last quarter, we came up with a new campaign on the Whopper also, which was to sustain the platform. And it's not an idea for a quarter. It's an idea for many quarters to come. The insight behind this campaign was -- based on the feedback we heard from our guests that they want the taste of the Whopper to be more closer to their Indian palate expectations. And we had made that change in the product a

couple of years ago, but we could not communicate it because of COVID disruption and other priorities.

This quarter, we crafted a new insightful campaign. It was a multilingual campaign. We shot in three different languages with a unique cast to become a much deeper connect with our guests. Now just to give you a little anecdote, the protagonist here is trend setter, someone who's not sure, and then a Whopper fan urges her to try the Whopper. And then they discover the fantastic taste of the product, and they get converted. So, this idea is deeply rooted in our deep cultural insights, and we continue to use this over long term to build the Whopper trials and Whopper love.

Slide #14 is about how we continue to build BK Café as a concept and generate trials. We continue to promote on social media because we promote through influencers and drive trials of that program.

On the innovation side, I spoke about the popular chicken snacks that we've added. We've launched Crunchy Nuggets. It's nuggets with a twist. Typically, what you get in the category as Tempura -coated soft nuggets, but we understand the Indian consumer loves multi -textural snacking . And we've built this product based in that insight. It's got a crunchy texture and a very juicy, flavourful chicken inside, and we're getting very good response. And it's early days, but only hearing good response from our consumers, and it will help us build the chicken snacking portfolio over time.

We a

iso relaunched the BK Chicken burger with 50% more chicken in the same price, and this will now offer consumers even better value for money in our classic burger range. The second product is the premium wraps. And now this premium, very soft, paneer wrap and the fiery chicken wrap is available nationally across our stores. These premium wraps have been launched at a price point of INR199. So now the King's collection menu, as we've been talking

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about the last four quarters, is now consisting of four burgers and two wraps at the same price point, and consumers can pick any of those items through their taste and likability at that price point of INR199.

The third product relaunched was the new improved softer and fluffier muffins. These are now available across all our cafes, and we are already seeing improvement in uptake as we build the cafe layer in 334 stores across the country.

Now I'll move to Slide #16. The Burger King social feed continues to drive engaging content. We are always having a conversation with our guests on trending moments, on festivals like Diwali, Halloween, movie releases, and we stay connected with the loyal BK fan base through our social media handles.

Last but not the least, and Raj mentioned in his opening conference, is the update on the King's Journey rollout. Now this King's Journey rollout that we have -- the platform that we've created is a platform where our guests are offered fantastic experience through digital ordering, app-based ordering from the table without queuing up at the counter and then getting their food served at the table. So, this will significantly improve our customer service and our customer experience at our stores.

As we speak, we have 68 stores that offer kiosks ordering to our guests. And we have a very good adoption on the same with almost 32% of orders being placed using the kiosk interface. The BK app continues to grow with exclusive offers, and we have seen significant growth in orders and users on the BK app in the last quarter.

And finally, table service, the initiative has been rolled out across 244 stores and continues to expand every week. As I mentioned, this should significantly help us further improve our guest experience over time.

So that's from my side. I will now hand over to Sandeep to share an update on the Indonesia business.

Sandeep Dey: Thank you, Kapil, and a very good evening to all of you once again. The last quarter has been quite challenging for us. End of October onwards, the entire industry kind of witnessed a major setback due to the geopolitical crisis, which Raj was mentioning in the beginning of the call.

Of course, our business also suffered, and sales started to decline since then.

We were delivering a very strong performance for the first two quarters. Even in the month of October, we were 17% higher in sales compared to the same period last year, which is when, unfortunately, this crisis hit us, and our dine -in business got massively impacted by more than almost 30%, 32%.

However, as Raj was mentioning, we quickly figured out our strategy to drive sales through delivery channels and compensate a large part of the dine -in drop through a very strong performance on the delivery side. The entire operations team also did a fantastic job in

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tightening all the controllable cost lines and, thereby, making sure that we break even at a store level despite such a significant drop in sales.

Now before I move forward, let me quickly recap what are our three strategic pillars for the Burger King business. First, continue to build credibility in chicken; second, establish and retain our leadership in burgers; and third, building a comprehensive desserts menu and drive incremental locations through that. And most importantly, the bedrock for all

the strategies are

having a very solid ops skills and continue to provide a very strong value proposition to our guests across the many layers and across all channels.

For the next few minutes, I'm going to share with you some of the work we have done to move forward the strategic pillars. So, Indonesia is a very strong fried chicken market, and having a winning product is a key motivator in this category. Last time, in our previous call, I spoke about launching two variants of chicken, the regular crispy and spicy variant, at aggressively trial price of IDR25,000 for a meal, which in the Indian context is approximately INR135 for a piece of chicken, rice and a drink.

And we also supported the launch with a comprehensive 360 -degree marketing campaign. The results were quite positive. The incidence of chicken improved by more than 30%. Volume grew by more than 50%. In fact, it's still now three quarters, and we are seeing a sustained result, and this has become a part of our everyday value offer.

I'm now moving to the next slide, which is Slide #22. The next strategic priority is to establish the burger leadership, and we continue to focus on two -prong strategy here. First is the value LTO strategy. This is where we offer some of our flagship and preferred products at extremely aggressive price of IDR17,000. It is continuing to drive trials, continuing to drive frequency and delivering sustained results and also helping us building the Whopper equity.

The second part of the strategy is where we continue to provide new excitement through taste innovation and branded collaboration. Last quarter, we partnered with Heinz and launched a Mexican Whopper. And this means, as we speak, as a part of our LTO strategy, we launched a new variant, which is inspired by a local favourite called Cheese Dunk Whopper.

Now as a part of the business strategy, which is the third pillar, we continue to drive innovation every quarter. Last quarter, our collaboration was with Ferrero and launched a Nutella Fusion. And that is also witnessing a sustained volume growth of almost 2.5x.

Now on Slide #24. On the delivery side of the business, which is what both Raj and Sandeep was mentioning, we picked up some of the best practices from India and crafted a single -price menu. This was a collection of a bunch of products, about 18, 20 products, preferred by our guests at a very attractive pricing. And we also increased our visibility in the platform.

So, this combination of attractively designed single -price menu and an increased visibility is driving significant growth. As Raj was mentioning, our traffic in the delivery channels has increased by almost 40%, and we will continue to drive this strategy as this is going to give us a steady and sustainable growth.

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Now let me quickly give you an update on the Popeyes side of the business. This quarter, we opened 13 stores, and we are now a 25 store business. As a part of our asset strategy, most of the growth has been FS DT-led. So out of 25, 21 is fees standing drive -thru.

Now that we have 25 stores and operation is getting stabilized, our single -minded focus is to build awareness of our products and generate trials. And we are doing that by using the digital menu board as an ad board, and we are building product awareness through various video assets. In fact, every store has a video wall which runs brand videos and product videos.

Other than building the product awareness, we are also generating trials through entry price value, generating trials through digitized coupons and also a single -price menu strategy on the delivery side. We are building this brand with a digital -first experience. And I mentioned in our previous call that every single restaurant has kiosks, and our ambition is to have 100% non-diners.

And we have made a significant progress in that journey.

In quarter one, 37% of our dine -in

sales was through kiosk, which increased to 70%, and by the end of quarter three, it has gone up to 90%. This is definitely going to help us in driving a very strong CRM program in the times to come.

Now that is from the Indonesia side. And now I hand it over to Prashant to share the overall outlook for the business.

Prashant Desai: Thanks, Sandeep. So, guys, no major change if you would look from FY'24 guidance perspective. As far as the number of stores were concerned, Raj mentioned, we've already delivered our entire FY'24 guidance in January itself. On the same -store side, [inaudible] the headwinds that the industry is facing, we still continue to believe that Burger King will deliver a positive same -store growth. We expect a 3% positive same -store growth for the current year. As Sumit mentioned, we've already delivered on our promise of a 67% gross margin. So that's also one thing that we've been able to deliver. On the Indonesia business, we were hoping to breakeven by March of this next coming month, March '24, the Indonesia business. But given the challenges that Sandeep mentioned extensively at the geopolitical front, we went to take a little bit of a setback there, and we are pushing the Indonesia business cash breakeven from this year now to next year.

Our long -term guidance continues to remain where it is from an FY'27 standpoint, no change there. So that's on the outlook side. I guess with this, we'll open up the floor for questions. Happy to take any questions that you would have. Thank you.

Moderator: The first question is from the line of Nihal Mahesh Jham from Nuvama. Please go ahead.

Nihal Mahesh Jham: So, my first question was on the India business. Just looking at our employee and opex spend despite the aggressive store addition, I see that it's remained flat or even seen a slight moderation versus the last quarter. So just some feedback on what led to this kind of movement in these two line items?

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Sumit Zaveri: So, Nihal, thank you for the question. We've been very tightly monitoring our costs at the store level. And as I mentioned, when I was talking, our focus in addition to improving the overall revenue is going to be how do we constantly get better with our flow -through at the store level. And that is something why we've been able to maintain the overall costs at the employee-related expense at store level within a very tight range in spite of some more store openings that we have done during the quarter.

And that is something which philosophically, we will continue to be in that zone where we tightly control the needle out of P&L. So that's not -- we can see the improvement at the restaurant EBITDA level as well as we go along.

Nihal Mahesh Jham: Understood. And on the opex side, any adjustment to the marketing spends? Because in the first three quarters, there was an absolute expand.

Sumit Zaveri: So that part, if I may refer to Slide 6, our commitment has always been that we will spend around 5% on an annual basis. It does get kind of differentiated -- differentially spent through the quarter. This quarter, it was 4%, whereas if you would see last quarter of 5%. But on a 9 - monthly basis, we are now at 5% for the full year as far as marketing spend is concerned.

So -- which is where also I was highlighting that one should also very closely look at how the 9 months number looks like that are only single -- only double digits at 10.3%. So -- and that's literally where we believe that we will build from here on.

Nihal Mahesh Jham: Understood that. The second question was that the traffic growth is healthy. To get a sense, would it be fair to say that maybe the value strategy, based on, say, the data you have is driving majority of these incremental footfall that are happening? And just one last question to conclude.

Would be that possible to get a sense of how you would look at the SSSG performance, excluding cafe, which has now been in the base for more than a year? That will be it from my side.

Rajeev Varman: Nihal, good questions, both of them. Look, the -- we have always maintained a traffic strategy through value, right? If you go back the 8 years of our existence, we have always had a value mechanism always in play, right? So that's just basically the discipline that we have in marketing. We will always have a value, whether it is -- in the past, we had a 2 for INR50 offer, now that we have an INR99 meal that Kapil has talked about.

We will always continuously have a value traffic driving kind of a strategy, right? So that's nothing different than what we did years ago and what we're going to continue doing going forward, right?

Now as far as the discipline and like -- Kapil went through several new product introductions, right? Whether it was the wraps that came in or were the nuggets that we rolled out, the cafes that we rolled out in the past and so forth, right, all these are product -- traffic -driving kind of tools, right? Cafe drives then people that add on to traffic, which is not through value. It's a product, traffic -driving kind of a mechanism.

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So those will continue. So, it's not that we will only drive traffic through value. That is

definitely something that is ingrained in the way we operate. But there is also this new product, NPD, as we call it, new product development, which will continue to draw new traffic into the business. Cafe is no different from that. Cafe is kind of a long term.

We think that in the first 2, 3 years, we will kind of slowly convert as we -- today, you see the conversion of people coming into a restaurant who actually buy products like combos and then add coffee to it. There will be a time in the future that this will be driven predominantly with people just coming in to have a coffee, filling in dayparts.

So, it's a slow kind of improvement that we are kind of putting good energy in terms of operations, making sure that -- we can continue to improve our cutlery, right? Our cups that we are serving this in, the products that we are testing on the food side of our cafe, all these things we continue to do. And we have a good footprint. We have 334 cafes operating right now, and we continue to open all the new restaurants with Cafes where we can, right?

So, this will be a business that will continue to build, but traffic will be driven by dayparts, which is our strategy, bringing in NPD. And it will also be driven through value, so both these things. I don't know, Kapil, if you want to add anything.

Kapil Grover: Pretty much on point. Traffic will continue value. We'll continue to be a key driver as a mass media communication, out-of-store communication, but there will be a lot of these new product introduction that you'd see over time, which help us build more trials and more traffic into the stores on the back of NPD.

Rajeev Varman: Okay. Next question.

Nihal Mahesh Jham: Yes. Just on the SSSG except cafe, if possible?

Prashant Desai: So, Nihal on that, principally, if you will see how coffee has been operating for a while now, so from an SSSG perspective, as coffee been an outperformer, underperforming, it's been in line with the overall SSSG that we have done. If your question is more towards '16 versus '14 that you see, there is a lot to do with the new cafes that came up during the quarter, which took this down.

Nihal Mahesh Jham: Understood, sir. Thank you so much.

Moderator: Thank you very much. The next question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: So, my question is that we have revised our guidance on SSSG from 6% to 3%. So, if you can elaborate since last call, what has changed

, what are the assumptions which we made at that point in time and what has changed for us to kind of now go back to 3%, if you can talk a bit about that?

Prashant Desai: Right, Dhwanil. Dhwanil, essentially every time we come every quarter, we kind of guide basis what we expect the business to do versus what we expect where the industry is going to Restaurant Brands Asia Limited

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trend from. And one of the things that RBA we have done has been very transparent with our investor fraternity and share what we feel at that point of time.

As you would notice that the industry is currently going through its share of tailwinds and the outperformance at RBA continues from our standpoint, but at the same time, because if you look at the October, November, December, where we had hoped to do a much better SSSG that did not turn up, I thought it was important to communicate that to our investor fraternity.

Dhwanil Desai: Okay. Okay. So, kind of a follow-up on that is that we are expecting FY'25, 8% SSSG, so are we baking in a much better market environment? And in case this kind of headwinds continue, is there a risk to downside revision to that number?

Prashant Desai: So no, Dhwanil. Dhwanil, we are not saying the FY'25 guidance will be 8%. What we are saying is our long-term guidance given that the country is going to grow at 6% to 7%, we believe 8% is a fair assumption from a country perspective. However, if the headwind continues, which we'll only come to know by the end of next quarter, we will come back and give you the guidance for '25. As of now, we are not guiding anything on '25. This is a broader overall long-term guidance.

Dhwanil Desai: Okay. Got it. Second question is on Indonesia. So, I think when we acquired Indonesia business, I think our overall aim was to take gross margin to close to 60% from, I think, mid-50s. So where are we in this journey? I think we are currently at around 57-odd percent. So, what are the things we see that will work to take it to 60%?

Prashant Desai: So, a lot of -- this was mentioned by Sandeep in terms of all the efforts that we are doing on the product side. That was our first phase.

Second phase, as you know, when you look at the Indonesia business, it has 2 components.

First component is the Burger King side of Indonesia, which is where we are leading the 57.5%, 58-odd percent gross margin. If you look at the Popeyes side of the business, Popeyes side of the business has much stronger gross margin. As we had shared this with all of you that going forward, at least for the next 24 months, we are not opening any more Burger King

Indonesia, but the capital allocation process will be more towards Popeyes Indonesia. And the contribution of Popeyes to the overall business kind of increases. That's one step where you will see the overall Indonesian gross margin moving up.

And number two, as Sandeep said, as we begin to gain more foothold on the Burger King side of the business, we will also see the Burger King /gross margin moving up. Also, just to brief you, Dhwanil, this 57% to 60% was guided over a 3 - to 5-year period, which we even now feel reasonably confident to deliver.

Sumit Zaveri: I just want -- Sumit here. I just want to add one more thing that our current focus on Indonesia, like in India, is to really drive traffic to our stores, especially now with the current scenario more so. We've also -- as Sandeep was mentioning, we are also focusing very strongly on the delivery side of the business with a very attractive price offering.

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With the traffic, we feel that we will try and maintain the gross margins in the current range of 56.7%, 57%. Once we kind of get a little more structural or stable with the traffic once we kind of see the traffic coming back, we'll begin our journey or restart our journey

on the gross

margin side. It is certainly a very strong focus area to work on, but at this point in time with the current scenario, traffic and overall revenue is going to be the key focus for us.

Dhwanil Desai: Got it. Thank you and all the best.

Moderator: The next question is from the line of Mr. Manish Poddar from Invesco Asset Management.

Manish Poddar: Hi [everyone]. Just had one question. So, if you look at before this quarter, you had opened roughly 25 stores in 12 months -- trailing 12 months before that. And now if you look at this quarter plus Jan, we've opened roughly 50 -odd doors, whereas when you look at the guidance which you had given, let's say, at the quarter 4 last year, the SSSG for this year was 10%, which is expected. And now you're saying the SSSG is going 3%. So, I'm just trying to understand why [escalate] the pace of store expansion if the demand environment is still similar. Or are you witnessing something else on ground? Just trying to get a sense on that.

Prashant Desai: Thanks, Manish. So, Manish, 2, 3 parts. One, from an SSSG calculation standpoint, the store comes into SSSG after it completes 13 months. So, from that perspective, if your reference is towards SSSG and store opening in last December, the stores that would have completed 13 months would have been part of the 2.6% this quarter SSSG. That's one on the SSSG comment linked to the store openings.

Number two, the store opening process is something that happens 3 to 6 months in advance. And sometimes, you will see the bunching of store openings basis how the property is coming up, when the landlord gets clearances, etcetera. It just so happened that this year, that bunch up happened in the month of December and ends the quarter -- we ended up opening a lot many stores compared to previous year. As we said, there is an MFDA that we have signed with Burger King Global, and there are -- we have to open 700 Burger Kings by December of 2026. And the team is working towards delivering that number.

When we open a store, Manish, the life of that store, even on a store -to-store agreement that we do, is 20 years. So, when we open a store, if we find a property, which is great, we will go and open the store. It could be so that currently in this quarter, probably, there are a lot more industry headwinds, but that will not deter us from not opening the store. If the site is great, if the rent to revenue are something where we believe we'll be able to deliver a 4 - to 5-year payback, we will still go ahead and open the stores because that's, essentially having spent over a decade in India, I think somewhere that will now give a sense whether this is a good property, and we would want to go with that.

So, from that perspective, our store opening targets continue to be guided by the MFDA. And so far, we've delivered on our store opening targets, Manish.

Manish Poddar: So effectively Prashant, if I hear you right. There's no material change in terms of demand on the ground? That -- would that be -- I understand.

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Prashant Desai: There is, Manish, and which is where the 10% earlier same -store guidance has come down to 3%. What I was trying to tell you is that, that is a reality that there is a demand slowdown or a tailwind -- or sorry, or a headwind that we are facing as an industry. We are relatively facing this is much lesser compared to competition for a lot of reasons that I had mentioned our relentless focus on value and some of the steps we took very early starting in February of last year. But all I'm trying to mention is that as a result of this, we've not come down on our store opening targets. As and when we see a store which we believe will deliver a 4 to 5 year payback, we'll go ahead and open it.

Rajeev Varman: Yes, Manish, just adding to what Prashant is saying, see, building stores is a long - term

strategy, right? We don't base that on 1 quarter or a slowdown in 1 quarter. We feel very strongly about the Indian market. We have very good, strong views and long -term views on how this is going to evolve, where this is going to go as a market over a year for QSR and especially for the burger business. And all our strategy is to build a long -term, strong business. So, 1 quarter here or there does not slow us down on that long -term belief and long -term strategy that we have in place.

So that's the difference. And also, you can't suddenly stop building restaurant here in a quarter and suddenly start building restaurants in the other quarter. These take a lot of planning, sometimes even 6 months to 1 year to open a restaurant. So that's -- those are all the points, including the ones that Prashant already mentioned.

Manish Poddar: My question was more from a perspective that has things on ground actually started improving, and that is why to capitalize on that, you are probably accelerating, but I think it's more bunching up what you're trying to say and not really any [inaudible].

Prashant Desai: Manish, the answer is clear. We are still not seeing on the ground significantly, things significantly improving.

Manish Poddar: Got it. Great. Thank you so much.

Moderator: Thank you. The next question is from the line of Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Hi Prashant. Thanks. Congratulations for exceeding the number of stores and also the margin expansion. If I look at the slide number 17, where we have mentioned that 68 stores is now having a King's Journey experience. And we have also provided 244 stores with the table service. Other reading is that we also have been talking value proposition. So as a culmination of this, what is the quantitative number if you can say that because you and even Rajeev has mentioned that there is a traffic growth. So quantitatively, is there any number you will be able to place in front of us that this is the number of traffic or number of -- or the traffic growth, which we have achieved?

Management: Shirish, you'll appreciate there's right [no] QSR, we'll share that traffic number in terms of an absolute, more from a competitive dynamic basis. But Raj did mention a number that overall, Restaurant Brands Asia Limited

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so far, we've seen a 6% growth in traffic. I think he would probably like to answer that on a percentage basis than on an absolute basis. I hope you understand, Shirish.

Shirish Pardeshi: Yes. That's helpful. The other question I have, that we have been talking about value for money layer. And now we have added some more contours to that is Tasty Meals at INR99 and Chicken at INR149, so the question is that despite this attempts, we have shown the margin expansion. So, I wanted to understand from Sumit what are the levers which is actually helping us or which has surprised us positively for expansion of this margin despite our value for money strategy is intact.

Sumit Zaveri: Sure, Shirish. A couple of ways in which we've always been working. One is, we really kind of worked on trying to lock in prices whenever we see the price points are attractive for us to kind of go along. That's one which we've always followed.

The second one is that we've also very actively worked on expanding our vendor base. And when I say expanding vendor base, not tactically, but strategically going closer to where we opened newer clusters, that's something which really has won.

And thirdly, some of the scale benefits, some of the advantages of growing rapidly. We're also starting to see the results into that line as well. And we've always been saying that scale is going to be one of the key levers for us to help improve the overall margins as we go along. So, it's a culmination of various things that has helped us on improving the margins

. Yes, we

very strongly follow the value strategy, but that is not necessarily equals to we diluting our margins. Whenever we run any aggressive value strategy promotions, we also parallelly think how will we also balance out our overall margin target so that all the efficiencies that we build through our entire supply chain team effort is not necessarily getting balanced out by way of promotion. So, we kind of do that balancing act really well. So far, at least for 9 months period, we've been able to demonstrate success through that strategy. That's what I would rather say.

Shirish Pardeshi: No, the reason why I'm asking because you have not changed the guidance on gross margin at 67%, but you are expecting a operating margin should improve from here. So that's why I want to make sure that this journey will continue.

Management: Yes. So, if you look at the FY27, you will see we are forecasting that we are committed towards taking this from 67% to 69% by FY27.

Shirish Pardeshi: And last question on when I look back, Prashant, your argument, that three months before, we were close to about 345 stores. So, if our SSSG of those 345 stores is clocking at 2.6%, so the question here is that how many stores or what percentage of stores are above 2.6% in terms of SSSG.

Prashant Desai: We don't share that cut, but one thing I will tell you where you are coming from. One of the interesting trends that we are seeing at our restaurant level is all the new restaurants we are opening are doing very, very well compared to what it used to be pre-COVID as well. So that's Restaurant Brands Asia Limited

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a standard that trend that we have seen that all our new store openings are doing very well for us, which is why we've been able to deliver not just a positive same store, but overall, also a very strong trajectory in terms of our ADS journey.

Shirish Pardeshi: Okay. All, right. All the best to you and the team.

Prashant Desai: Thank you.

Moderator: Thank you. The next question is from the line of Prateek Poddar from Nippon India Mutual Fund, Mumbai. Please go ahead.

Prateek Poddar: Sorry, just one small question. Could you -- I didn't understand how is it that when you have opened 37 more during the quarter, your other expenses and neither employee related costs have not gone up. And this is also because you've also opened a higher number of BK Cafés, right? So, I'm just trying to understand.

Sumit Zaveri: Prateek, to your question one is, yes, we opened quite a few number of stores during the quarter. But a large part of these additions came towards the second fortnight of December. So that is one of the reasons why we've not necessarily seen a substantial impact on the revenue as well as on the cost. But at the same time, Prateek, we have been very, very mindful in terms of the way we manage middle of the P&L through the quarter.

Marketing is one which we've already shared because it was 5% in quarter it's 4%. But we will continue to, in our journey, Prateek, on being tighter with our middle of the P&L. But I'm saying just to your question when you are relating it to store openings, a substantial part of the store openings have come towards the later part of December, second fortnight of December is where literally we have...

Prateek Poddar: So, it's mostly a timing mismatch. That's right.

Sumit Zaveri: Yes. It's more a timing mismatch as such, yes.

Prateek Poddar: Okay. Thank you.

Sumit Zaveri: Thanks Prateek.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Yes, sir. Hi, thanks for taking my question. So basically, sir, Q3 is a seasonally strong quarter where there's a healthy ADS pickup sequentially. And against this backdrop, we have seen a 6% to 7% sequential decline in ADS in India business. From a slowdown perspective

also, this

is sort of sustaining is now prolonging as well, and the slowdown is now in its fifth quarter. So, what are the key reasons according to you for this? And also, if you could highlight some figures that should drive an industry turnaround as per your study on the consumer.

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Rajeev Varman: Yes. Thank you. Thank you for your question. See, we look at this yearly, right? First, we look at it this from the point of view of traffic, right? Traffic this quarter over last year's same quarter going up or down. Now consistently, over the last three quarters, we've been reporting, in fact, I think it's more than three quarters, we have been reporting positive traffic coming in, right? So that is the best news for us to continue growing, continue doing all the things that we do that we are now driving more traffic in.

You see the Q2 numbers and Q3 numbers, and that's the question you're posing. There's been some seasonality shift between the two quarters. For example, there's a movement of Navratri and Makar Sankranti into Q3 from Q2 from last year, right? Those are almost 20 days, 25 days, which are low volume days, predominantly because people then stop consuming non-vegetarian food as well as also, in many cases, eating outside.

So that shift has happened from one quarter to the other quarter, the trigger that you were asking that's one of those things. But also, the expectation was that we will have a strong December. We will have a long, strong week -- last couple of weeks in December because of all the sales and stuff that goes on in malls and so forth, right? That really didn't come through, right? It hasn't come through this year and it hasn't come through last year.

It's just a kind of a seasonality shift that we are understanding post-COVID and we currently

need to study that what we are happy about is that even on our numbers from last year, we have improved on traffic this quarter. Even on our numbers, the last quarter, we have even improved over the previous year, all three quarters, which tells us whatever the new trend is, whether it's driven by some external factors or it's just time driven.

We continue to improve on it. And that's all that kind of we can work on. But what is the future, the next Q3, which is the next year, we will wait and see. But we will plan for it. We will make sure that we have a promotion, we will have something aggressive so that we are not sitting at a 119 kind of ADS that you see on your papers now.

The other part is, as you grow bigger and your comping restaurant become a bigger base, right? As you continue to grow, your comping restaurants become a bigger base. The impact of new restaurant openings growth that are not comping on the overall ADS becomes lesser. So, you will find that impact slowing down.

Devanshu Bansal: Got it, sir. And secondly, I wanted to understand what is the extra incremental capex that is associated with King stores? And what are the initial trends that we are seeing in terms of improvement in store unit matrices with this introduction?

Sumit Zaveri: So -- sorry Devanshu. As far as incremental capex requirement is concerned, per store would be in the region of around INR10 lakhs. But what we're also doing is that we are also simultaneously going to realign our total tech investments at the store like Kapil in his slide mentioned that we might relook at having the DMBs in the store. So, while I'm saying INR10 lakh is what we would be able to put cost if we were to not make any change or realignment, so we work towards that.

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As far as looking at how it is impacting from the matrices -- still early days, because you've just got 68 stores in there. What we are at this point in time concentrating on is really improving the overall customer journey and concentra

ting on getting more customer

information through the implementation of King's Journey. And that's actually how we are looking at focusing on this.

We'll kind of share some numbers if we also gain some more information or gain some learning's out of it. But at this point in time, it is still early days. But our focus is going to be complete this entire investment towards over the next 12 months. So, March '25, we will see the overall all our stores across the portfolio, getting converted to having the King's journey.

Devanshu Bansal: Thanks Sumit. Thanks for the taking the questions.

Moderator: Thank you. The next question is from the line of Mayur Gathani from Ohm Portfolio Equity Research Private Limited. Please go ahead.

Mayur Gathani: Thank you for the opportunity. If I look at the Indonesia numbers, occupancy and other expenses, there is an absolute drop from INR61 crores to INR48 crores. Now what is this -- because you have added 13 stores of Popeyes, though the Burger King stores are flat. How is this number consistently dropping? Absolute number?

Sumit Zaveri: So, one is that we have as compared to last year quarter two, we have shut down quite a few restaurants, almost around 20 Burger King restaurants. And those were malls, high rent -to-revenue ratios as well. So that is the reason why we are very clearly seeing the occupancy and other expenses as a ratio coming down. Whereas Popeyes, yes we've added Popeyes, but rental, these are at the cities and we've, I think, shared in our earlier commentary as well as those counts are very attractive rent -to-revenue ratios as well.

So that is very clearly the reason for a drop from INR60.6 crores to INR48 crores. It's purely on account of shutting down of Burger King, almost around 20 -odd stores that we've kind of shut down. And then we also are -- look very actively working with our landlord partners as well there in order to get some more further benefits or improve their rent -to-revenue ratio. So, it's purely on account of those efficiencies that we've worked on, that's one.

What are the second one? You would recollect that we had made last year during quarter two, we had made a substantial amount of marketing investments there. If you were to look at it in quarter two, last quarter two FY24, that is also now starting to kind of settle down into quarter three of FY24. It's a combination of both stores shutting downs as well as some of the investments that we had been starting to taper off.

But this journey will still continue because that's something which we are going to work towards with the current scenario that we have.

Mayur Gathani: My question was more on the sequential drop from INR61 crores to INR48 crores. What you explained was from quarter three last year to this year, this quarter, which is I understand

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because there are many store shuts, but from quarter two to quarter three, you've not shut any store in Burger King. And in spite you opened some 13 stores in other brand.

Sumit Zaveri: It is also on the cost of all the investments that we have done in quarter two on the marketing side. And also, we've kind of tapered some of those investments on that side. And we started rationalizing the costs quite substantially. We will share the details of those costs and plan as we go along. But the reason is because we started rationalizing the cost as well.

Mayur Gathani: That's great. So, can we take this as a sustainable thing that -- and what was your marketing costs? I mean in India, there's 5% that you have to spend. It is the same there in Indonesia?

Sumit Zaveri: So, our requirement on MFDA has always been at 5%. What I can tell you is that what we are constantly working towards as far as Indonesia is concerned, is that while headwinds really continue to impact us, our journey is that how do we really make sure that we achieve the

break-even at the -- during the challenging times as we'll. So that's something which is going to be our focus there.

So, while we might have said that we will get to break-even later. But our focus is how do we get better within the current scenario. That's actually the focus why you are seeing the shift and we will only -- you will only see the continuation of this journey as we go along as well.

Mayur Gathani: Okay. Great. And Sumit, I heard that you not be opening any more Burger King stores for the next 24 months in Indonesia?

Sumit Zaveri: So, we will come back and revisit that [part per tiers].

Management: So, Mayur we had mentioned this, what I was sharing with, I think, Dhwanil was that this is the guidance that we had given at the beginning of the year for next two years. So at least in the next 12 months, we don't expect to add any Burger King. And if we choose to add in the scenario, as Sandeep mentioned, a lot of efforts have gone and if the economics really -- economics change in favour of Burger King, we'll come back to you. But as of now, at least for the next year, you can expect that we won't open any Burger King, but we will continue to open Popeyes.

Mayur Gathani: Okay. Great. I mean, fantastic job guys with the cost cutting that is happening. I mean we're just waiting for the top line to deliver and we will see margins flowing down. Great job sir.

Thank you.

Management: Thank you, Mayur...

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for closing comments.

Prashant Desai: Thank you. Thank you, everybody, for joining the call. I'll wrap up by sharing two, three perspectives. Yes, the industry is facing a certain amount of headwinds, the sheer focus towards delivering -- getting more people into our stores on the dining side, journey which Restaurant Brands Asia Limited

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started early part of January, February of 2023 has consistently shown and driven our traffic growth. Traffic continues to be a very, very strong pillar for RBA in India and in Indonesia. You will see us continue to build momentum on the traffic side. So that's a very, very strong pillar. Number two, just to add to what Raj, Sumit and Sandeep mentioned, as we continue to build traffic, both same-store growth, overall ADS will continue to grow. But our sharper focus remains to better our unit economics. As we had mentioned earlier, as our ADS continues to grow, you will see improvement on operating leverage beginning to play its role both at a restaurant EBITDA level and at a company EBITDA level.

We continue to believe -- be big believers that this is a business which is still in its infancy from a perspective of -- there is so much of demand for QSR, whereas supply is lagging behind, there are so many cities for us to go and cover and open new restaurants. So, we continue to remain extremely positive about this business over a medium to long-term perspective. And we thank each one of you for your support in this journey. Thank you.

Moderator: Thank you. On behalf of Restaurant Brands Asia Limited that concludes this conference.

Thank you for joining us. You may now disconnect your lines.

Call: May 2024

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : Unit Nos. 1003 to 1007, 10th Floor, Mittal Commercial, Asan Pada Road, Chimatpada, Marol, Andheri (East), Mumbai - 400 059

CIN: L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

May 21, 2024

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Investor/ Analyst Call Transcript

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed the transcript of the Investor/ Analyst call w.r.t. the Audited Financial Results of the Company for the quarter and financial year ended March 31, 2024 , held on May 17, 2024 at 10:00 a.m. IST .

The same is being made available on the website of the Company viz. www.burgerking.in .

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Sumit Zaveri

Group Chief Financial Officer and Chief Business Officer

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"Restaurant Brands Asia Limited

Q4 & FY'24 Earnings Conference Call "

May 17, 2024

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER – RESTAURANT BRANDS
ASIA LIMITED

MR. SANDEEP DEY - BRAND PRESIDENT , INDONESIA –
RESTAURANT BRANDS ASIA LIMITED

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL
OFFICER AND CHIEF BUSINESS OFFICER –

RESTAURANT BRANDS ASIA LIMITED
MR. KAPIL GROVER – CHIEF MARKETING OFFICER –
RESTAURANT BRANDS ASIA LIMITED
MR. PRASHANT DESAI – HEAD OF STRATEGY AND
INVESTOR RELATIONS – RESTAURANT BRANDS ASIA
LIMITED

MODERATOR : MR. NAVEEN TRIVEDI -- MOTILAL OSWAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Restaurant Brands Asia Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal. Thank you, and over to you, sir.

Naveen Trivedi: Yes, thank you so much. So on behalf of Motilal Oswal, I would like to welcome you all to the Restaurant Brand Asia's Q4 FY '24 Earnings Conference Call. From the management today, we have Mr. Rajeev Varman, CEO and Whole-Time Director; Mr. Sandeep Dey, Brand President, Indonesia; Mr. Sumit Zaveri, Group CFO and Chief Business Officer; Mr. Kapil Grover, Chief Marketing Officer; and Mr. Prashant Desai, Head of Strategy and Investor Relations. Now I would like to hand over the call to the management for the opening remarks. Over to you, sir.

Rajeev Varman: Good morning, everyone. This is Rajeev Varman, CEO of RBA. First of all, thank you for joining this morning. Really appreciate it. Today, actually, this year, November 9, as a company, we will complete 10 years in India, which is -- again, we keep saying this, but extremely young, if you look at the industry, which has been here for about 3 decades.

We are just going to be completing 1 decade at the end of November or at November 9. So that as a company and the plan for the 10-year, what we kind of put together and move forward, those plans continue, and then we continue to kind of take them forward.

See, last year was a tough headwind year for most of the industry. In this environment, I think our work in India at least continued to deliver positive same-store sales, every single quarter. Every single quarter, we delivered positive sales, and we ended up being 2.9% positive, which, if you look at our guidance initially in the first quarter or so, our feeling was, we would be somewhere around the number of 8% to 10%. And if you look at the industry, which was sitting at about negative 4% or negative 4.5% and with a 3% guidance, if the industry was even flat, we would have probably been close to where our guidance was.

So having said that, we continue to kind of talk about few pillars of what we are doing here in India and then what are we doing in Indonesia. So I'll first address India. So last time we told you that we are going to continue to be laser focused on profitability. So we have continued to do that in the stock environment. We have doubled our company-level EBITDA from previous year, and Sumit will talk all through the numbers.

But even in this tough environment, where we did not see sales rises as much, we have doubled our company level EBITDA. And that's through focus on our line level P&L integrity, right? So we have been very focused on that. We will continue to be focused on that, as we continue into the next year. So profitability, not just in the dine-in business, but now we have taken up several steps to move the profitability on our delivery business as well. So combined effort in moving from profitability forward.

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And you will see that in both here in India as well as in Indonesia, and I'll talk Indonesia in a minute. Now if you look at our growth pillar, we continue to grow. We've built 75 restaurants last year with 11 closures. That's about 64 NRG, net restaurant growth. So we continue to do that. We continue to do that along with cafes, and we continue to build the cafe business and a rounded business from every opportunity, every

restaurant that we build.

Now one of the things that we keep talking about is traffic, right? When you look at the same -

store sales that we have delivered last year, it is on top of increased traffic. So for those that are wondering whether traffic is moving away from QSR or we had a headwind on traffic, traffic continued to grow in RBA this entire last year and into this year as well.

So on the top of traffic, we are driving this. And how are we doing this? We have always talked about 2 leadership positions that Burger King has taken. One is product leadership: to make sure that our products stand tall in the industry, it's one of the best received products, it's one of the best tasting products, quality-wise, quantity-wise, value for money, all those things we have always held that our product will be superior in this industry, and we continue to hold that and we continue to work on that, and we continue to test that theory every year.

The second pillar that we have always spoken about is value for money. And you've seen that since our inception in 2014, we have continued to provide value, whether it was 2 for INR50, 2 for INR59, the INR99 menu. Now we are at 2 for INR79 menu. We continue to provide a gateway for consumers to enter into our business. That gateway will continue.

Kapil will talk more to it in a few minutes. But that value pillar of ours will continue to get energy from us, and we'll continue to grow in that direction. Digital is the other thing that we started this last year. Digital, as in, complete experience of a consumer in our restaurant, from walking into the restaurant and leaving the restaurant will completely be digital very soon in all our restaurants. We have already got in the neighborhood of about 100 restaurants that are doing this.

We call this table ordering. We call this kiosk ordering. We call this app or digital-driven ordering. Table service, where people can just walk in and sit on their table, place the order from there, get their food over there. This is something that we are very serious about, and we continue to push that. And you will find that very soon, all our restaurants will be delivering a digital experience to our consumers.

This helps in many ways. It helps in growing business. It helps in understanding the consumer. It helps in our checks. It helps in the money going directly to the banks, cash handling and everything else. It is just purely a very good route that the industry is taking. We are definitely taking a leadership position in there.

The other pillar is talking about product and menu. We continue to build menu that is relevant to India, right? For example, we launched nuggets. Now we did not launch nuggets that are sold industry or worldwide by Burger King, but very specific, relates to India. And they've got raving reviews back, saying these are really good nuggets and they're very specific to our Indian audience, and they're really working well.

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We also introduced the Wraps. We have just got the Puffs off the ground. Those are rolling out. We continue our improvements on the premium menu, and then our focus on the Whopper. So Whopper, you might have seen our commercials last year. Kapil will again speak to that. But our continued focus and emphasis on building the flagship of our business to Whopper.

So relevant menu continue to grow on that, continue to focus, spend money and energy around that, that will continue. And the last piece of what we started a couple of years ago was the BK Café. And we continue to grow that BK Café. We continue to grow that in terms of menu, in terms of locations. We continue to grow that business, and we will continue to be focused on that to widen the experience of our consumers coming into the restaurants. So these are the top pillar.

And between Sumit and Ka

pil, they will address all the results as well as what we are doing under each of these pillars. But overall, in India, if you ask me, what is the company going to focus going into the next year is basically a great emphasis, a focused emphasis on profitability and to continue growth through traffic, responsible growth through traffic.

We want more people to come in to the restaurant, not grow through check. So you will continue to see those 2 focuses as we go into this next year, as we have gone into this next year. Now a little bit about Indonesia. And Sandeep Dey is here. He's a brand President for our business in Indonesia, and he will go into the details of what our laid out plan is. Now I've shared this plan with you. It's nothing new. It's just an update on status and where we are on this plan. So I'll first talk about menu, right?

So we were running this business when we acquired this business on the back of just burgers in a market that was driven by chicken, right? So we did, as I've told in the past, and the investment in our assets, which has brought our restaurants up to good standard, whether it was air conditioning, whether it's furniture, whether it was paint, whether it was signage, we invested money in the last 2 years on bringing our assets to a very good level. So that exercise has been completed.

We continue to improve on it. We will then, in the future years, get that also on speed on digital.

And so the entire experience will continue to be to improve our assets so the assets are more relevant in the environment they are in. So that focus will continue.

Now on chicken. So we -- obviously, we took all our menu items on the burger range, and we improved every single -- not just 1 item, every single item on the menu was improved. It was tested and then relaunched with training of all the crew. And that was done in the last 2 years. And this last year was specifically heavy on training and the execution of the product. But the introduction of the chicken was a big one, right?

So we started selling chicken where we were decimal, very small quantities of chicken. We have now built that portfolio. In fact, Sandeep will talk to you about the introduction of the spicy chicken as well, which is a phenomenal work that he has done with his team. And those 2 products are now kind of driving additional traffic into those restaurants. So you will hear more on that.

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And then the last piece is something that he's passionate, Sandeep is passionate about, which is co-branded desserts. And he will tell you how he's working on how that is moving the entire experience forward, right?

Now with the Indonesian business, we had planned to break even last year in terms of cash profitability. And we spoke about this at every call, and we were well in line to kind of move in that direction to be at or about kind of a breakeven number even up till about October, when this geopolitical headwind hit certain countries, Indonesia being one of them, which was kind of strapped in the geopolitical environment. And there was some anti-U.S. brand sentiments that kind of grew. I think we're kind of leaving that behind as we go into May and June. I think those are more or less kind of leveled out.

But what does that do is, it gave us a lot of headwinds in both Q3 and Q4. And instead of kind of gaining momentum, which we had reached ADS level in October as per plan to go over 20 million IDR per restaurant, 20 million IDR per restaurant per day. But that got reversed in the Q3 and Q4. It's not coming back, and we feel good about it moving forward. It might take another couple of quarters to kind of completely eliminate that, but we feel good about that.

But while we were sitting in doing that, kind of working on the products and getting everything in line, we also took 2 steps which

are very prudent. And now looking back, these 2 steps will define our results in next year. One is, we went around and look at our portfolio and closed 26 nonperforming restaurants. And that has significantly impacted the profitability moving forward of our business.

And the second is we also looked at our G&A and we rationalized it to the tune of about 20%.

So these 2 steps that we have taken, which are concrete steps, which are not relying on potential market improvements in the future, but concrete steps today that we have taken that will have a positive impact on our business next year are already taken in place.

So as we go into next year in Indonesia, Sandeep will again carry you through that, we continue to build our delivery sales over there, which has significantly improved and he will address that as well. And we continue to drive traffic into our restaurants through better products, increased product portfolio, better assets to walk into and then in the future, going into the digital mode.

So with that said, I'm going to turn it over to Sumit who's going to actually carry you through the numbers for this last year and as well as the Q4 quarter. So over to you, Sumit.

Sumit Zaveri: Thank you, Raj. What I'll do is I'll just kind of continue from where Raj left. Raj clearly laid out our focus areas. And if you really kind of look at it and reflect back into what we've achieved during the year, Raj focused about saying that growth is one of the key pillars. And we've kind of added around 64 stores net of closures during the entire year. We focus on value strategy, which kind of in short, that we deliver positive SSSG. And if you really look at it quarter-on-quarter, we've been in the range of 2% to 4% positive SSSG all across each other quarters there. So on the back of very strong focus on growth, very strong focus on value strategy, value leadership introduction of new categories, we've been positive at 2.9% of SSSG for the full year.

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Both those factors put together, we grew revenue at a pace of 22% for the year, leading to an overall revenue of INR1,760 crores for India.

If you look at it from the perspective of EBITDA, our EBITDA for the full year was closer to 10%, 9.7%, to be precise for the year. One of the other key drivers, which we've always been talking, we've been also been talking in our guidance, that we will continue to focus on our

margins. We will not let the ball on the margin drop while we continue to push the value s strategy forward.

For the full year, now we reported 67% gross margins. Quarter 4 was marginally higher at 67.7%. It had a one -off, but we should be able to improve for the coming years. We would continue our journey forward, and we will see it in the late r part as well. As promised, 2% improvement over the next 3 years is something which we will continue to kind of focus on. We will see on a year -on-year basis improvements going forward.

So that's actually the broad summary as far as India is concerned. I f I really go into the Indonesia part of the business. Indonesia did kind of see, we started seeing the recovery in October, and Sandeep will cover a little in more detail as well and kind of get into details of it.

But right up to October, we got to an A DS of 19.5 million. And then with further investments that we had planned on chicken and all, we felt positive that we would have got to what we had been talking about to cash breakeven towards quarter 3, quarter 4 in Indonesia, but external factors really kind of pulled us back.

We are back on track as far as Indonesia is concerned and we've started at least going back to higher ADSs than what we did last year during quarter 4. So this kind of just gives us confidence early days, but we will continue to b uild on to that factor.

So we, as far as the year is concerne

d, we did a revenue of INR677 crores as against INR615

crores. These numbers will get base line a little bit because we have shut down some stores during the year. On BK side, we are at 150 stores. And when we really look at it from the perspective of other cost lines on depreciation and all, we will see -- you will see the impact of that appearing in Indonesia financials for the year.

Our focus, again, like in India, is going to be value strategy, drive more traffic, focus on delivery, and that is also one of the reasons why we've seen a drop in gross margins as far as Indonesia is concerned. But this is -- we strongly believe that this is for the group to make sure that we are able to dri ve more people into the stores.

Overall, at the company level, excluding some of the costs that we took on account of closure of stores, we were positive at a restaurant EBITDA level and substantially reduced cash loss at the company EBITDA level.

Last y ear, we were -- we had a loss of almost around INR95 crores. We brought that down by INR40 crores to INR54 crores or INR55 crores. Our endeavor is to make sure that if this improvement of journey that we are taking, we do believe that we should be able to achieve what we plan to achieve this year, in the coming financial year or the ongoing financial year. So that's Restaurant Brands Asia Limited

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broadly from my side on the overall performance, and then we'll take more on the Q&A side. So I'll just hand it over to Kapil to take -- take u s through the key priorities on the business side and then Sandeep can talk about Indonesia.

Kapil Grover: Thanks. Thanks, Sumit, and good morning, everyone. So today, as we discuss the quarter 4 performance of FY, let me just give you the full year perspe ctive. There are 4 things that I've always shared with you in every call that we focused on that help us deliver a positive comps here.

First and foremost, our value proposition. This is what we launched in April of '23. We focused on satiating meals platform, the Tasty Meals at 99 . This really helps us gain momentum and attracted more guests into our lobby, which is evident in our traffic, as Raj mentioned.

While the industry saw some headwinds on the discretionary spends in the last couple of quarters, w e continue to offer our guests great value and kept them coming back to our brand.

It's not just value that we focused on, as Raj mentioned, we also continue to focus on Whopper, which is a signature product. Last year, we came up with a new campaign on Wh opper.

The insight behind the campaign, was that our guests have given us feedback that they want the product to taste closer to their p alate expectations. And we have made that change in the recipe, right? And we then crafted the insight into a multilingu al campaign, which was shot in 3 different languages, with a unique cost for every language to make a deeper cultural connect with our guests.

The idea of Swaad Aisa, India Jaisa! is rooted in a very deep culture insight. And we will continue to use this platform over the long term to build a Whopper love amongst our fan base.

During the course of the year, we also continue to innovate and offer our guests exciting new products. We launched the chicken snacking favorite nuggets. Now it's a crunchy nugget. It's got a twist on a typical nugget that we've seen in QSR.

We also relaunched the BK chicken burger with 50% more chicken. So it's not just about new products, we go back and improve our existing products also based on customer feedback, right? And that 's now available at 50% more chicken at the same price, so even better value for the

consumer.

We also added premium wraps with the soft paneer and the fiery chicken. Now these premium wraps have been nationally launched at the INR199 price point and as a part of the cheese collection menu. Lastly, we also relaunched

the softer, fluffier muffins, which have now been added to all our BK Café outlets.

Now on Slide #18. Now BK Café experience is now available at 351 restaurants across the country. It continues to sort of offer consumers more choices on beverages with coffee-based beverages, shakes, now muffins. So it's a great new addition to our menu, and we continue to innovate. Like recently, we've added the Iced Americano to our menu, and we'll continue to build this layer over time and gain more occasion share.

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So while we drive traffic through the value proposition, while we build Whoppers, while we offer new innovation to our guests and while we continue to build Café, we are continuously engaging with our guests on every occasion, whether it's a trending movement, it's festivals, it's movie releases, it's crickets. Any moment marketing, we make sure that we are always in touch with our guests and keep having the conversation to engage them with the brand.

Last but not the least, I want to share an update on the King's journey rollout, where our guests are offered a fantastic experience through digital-ordering kiosks, through BK app-based ordering, through QR code ordering on the table. And eventually, they don't need to queue up for the food. We serve the food on the table, right?

So that's the new experience we're rolling out. As of today, we have almost 100 stores that offer 100% digital experience. So you can order on the kiosk or on the app or on the table, and your food will get served on the table. And we're expanding this as we speak, the table service is available at across almost 250 stores, which are all our dine-in locations now offer table service to our customers.

This will certainly help us improve our guest experience over time. And just in the end, I also want to share the brand got recognized at several sort of global platforms. This only encourages us to strike harder and do a better job in the future. So that's it from my side. I'll now hand over to Sandeep to share the Indonesia update.

Sandeep Dey : Thank you, Kapil. A very good morning to all of you. Well, this year actually has been an absolute roller coaster for us. We started the year on a great note. The first 2 quarters, we delivered double-digit growth. In quarter 1, we were 10% higher. Quarter 2, we were 13% higher. But the third quarter actually has been quite challenging for us.

Even in the month of October, as Sumit and Raj was mentioning, we were 17% higher in sales compared to same period last year, which is unfortunately, when the entire industry witnessed a major setback due to the geopolitical crisis, our business also suffered and guests stopped coming to our restaurants.

The dine-in business actually dropped more than 30%. However, we quickly pivoted our strategy to drive sales through delivery channels and covered a large part of the drop through a very strong performance in the delivery side. As a result of which, the quarter 4, we again bounced back and delivered 11% year-on-year growth in ADS.

During the year, as Raj was also mentioning, we took some calls and closed some of the underperforming stores and as a result of which, our ADS also improved further by another 0.8 million. So the average has gone up from 18.5 million to 19.3 million.

The next few minutes, I'm going to share with you the work we have done this year and also our go-forward plans with respect to our strategic pillars. So let me first quickly recap what are those strategic pillars. First, build relevance and credibility of our chicken menu. Second, established leadership in burgers. And third, building a comprehensive dessert menu and drive incremental operations through that. And most importantly, we will continue to provide strong value propositions to our guests across the menu layers and across all

the channels.

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See, Indonesia, as a market, is a very strong fried chicken market. Having a winning product is a key motivator in this category. We identified that gap in our menu, both with regard to the taste as well as with regard to variety. And as Raj mentioned, the team worked very hard, improved the quality and classic of the classic crisp chicken, and we also developed a spicy

variant.

Both these variants performed very well in consumer research, and then we launched those 2 variants, June of last year. We also supported that with a comprehensive 360 degree marketing campaign, including TV, digital, influencers, outdoor mall branding. We also, in fact, offered, at a very aggressive, trial price of IDR25,000 for a meal. Basically, a piece of fried chicken, rice and drink at a price of approximately INR140.

The results are phenomenal. The volume grew by 50%. It's so good to see that the results have sustained over the last 3 quarters, and now it has become a part of our everyday value offer. But that was Phase 1. We also understand the market has a demand for 2 types of spicy chicken. One is dunked version, if you're going to take this crispy chicken and dunk in a spicy sauce, which is what we have been selling now.

But there's a market for a breaded spicy version as well, right? And that is where we have worked hard now in the last few months and developed that product, and we are going to launch that in the next couple of months' time. And through that, we are going to strengthen the chicken portfolio even further.

Our next strategic priority is to establish burger leadership. And we continue to focus on a two-pronged strategy here. First, we call it as a value LTO strategy, where we offer some of our flagship and preferred products like Whopper Junior at a very attractive price, and that is helping us drive trials, helping us drive frequency and building the Whopper equity.

The second part of the strategy is to actually provide new excitement through taste innovation and branded collaboration. Like last year, we launched a co-branded Whopper as Mexican Whopper. That was a branded collaboration with Heinz. Then we also launched something called a Cheese Dunk Whopper, which was inspired by local favorites.

The volume growth for this burger was more than 35%, and the result is sustained over the last couple of quarters. And we stay committed in continuing to build the Whopper equity going forward.

Anyway, this is a very strong cold dessert market as well, and we see a big opportunity to gain share in this category. Our strategy has been to offer our guests new and indulgent dessert every quarter. And we have done that work consistently throughout the last year, and we have seen a volume growth of dessert almost 2.5x. And our ambition is to actually double that volume next year.

Now I'm on the next slide, which is Slide #25, and I'll give a quick update on Popeyes. This year, we opened 15 stores, and now we have a total of 25 stores portfolio. So what is our going forward plan? Number one, we want to ensure that we provide elevated guest experience through delivering great quality product consistently and provide 100% table service.

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Number two, building awareness of our brand, building awareness of our products and then generate track. Each of our stores actually have kiosk, which is used for primarily ordering. And we are using the digital mini board as our ad board and building product awareness through various video assets. Every store has a video wall also which runs brand videos, which runs product videos.

Number three, we are, by the way, the only QSR to have a grilled chicken in our portfolio, and that is a unique differentiator. Just love this product, and it

almost contributes 30% of our overall

chicken, bone-in chicken portfolio. So going forward, we are going to strengthen this layer by adding further products into our menu offering.

And number four, continue to provide digital-first experience to our guests. 95% of our dine-in transactions are through kiosks. And we are also going to launch our own app in the next couple of months' time. This is going to help us driving a very strong CRM program in the times to come.

So that's from my side on the Indonesia business, and I will now hand it back to India.

Gaurav Ajjan : Hi, I am Gaurav. I'll just run you through the guidance. Our guidance for FY '24 for restaurants was 450. We've beaten that guidance. We have 455 as of March 31, and our outlook for FY '27 continues to remain the same. We are targeting to open 700 restaurants.

For gross profit, we had given a guidance of 67%. We've achieved that for the full year. For FY '24, our gross profit is 67%. And over the next 3 years, we want to take this up by 2 percentage points to 69% approximately.

For Indonesia, as Sumit mentioned, we were targeting a cash breakeven for FY '24.

Unfortunately, this recovery has been delayed due to the geopolitical headwinds that we've spoken about extensively. And now with the current situation, we expect them to be cash breakeven in FY '25.

So with that, I'd like to open out for Q&A, and please ask us whatever questions that you may

have.

Moderator: The first question is from the line of Dhiraj Mistry from Antique Stock Broking.

Dhiraj Mistry: Congrats on good set of number and improving profitability. So my first question was on what Rajeev highlighted, that you are working a lot on improving profitability on delivery channel as well. So I would like to know what kind of measures you are taking delivery channel to improve profitability?

Kapil Grover: This is Kapil. I will take that question. There are a couple of things that we're doing. It's a combination of product mix. You make sure that the menu that you offer on delivery is designed in a manner that it is a profitable proposition for the company, while offering great value to the guests as well.

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Number two, we have recently taken some price hikes on our delivery offerings. These are keeping in line with where the industry is. And we are making sure that there are still value for money for our consumers. And these measures are helping us drive better profitability despite offering great value and continue to grow our traffic on delivery.

Dhiraj Mistry: Okay, okay. And historically, you have seen that in Ind AS and post Ind AS, EBITDA margin has always in the range of 10%. And the difference between both of them. How we should look forward once you start focusing more on profitability now?

Sumit Zaveri: So Sumit here. So as far as we are concerned, when we look at profitability, our focus would continue to be on generating cash. That's literally how -- that is going to be our key metrics. We are -- that is what we've literally been talking about.

So we see an improvement in the store and the company level EBITDA as we go along. Between pre and post Ind AS, we've seen a difference of around 6%, 7% on account of rentals. That would virtually continue to be there because we continue to add stores on an annual basis. So that gap will continue. But our focus, when we talk of profitability will continue to be a company EBITDA improvement.

Rajeev Varman: I just wanted to add to that. This is Raj. If you look at the P&L from last year and this year, when you look inside the site, you will see the line items on the P&L, everything has been scrutinized, right? They've gone through and looked at all the numbers, all the services, the cost of the services.

We have rationalized everything, right? So today, even though

let's not look at the percentage

because percentage is driven by volumes. Once we reach those volumes, all those percentages will look fantastic, right? They will be in line with the industry. Today, as I told you in the onset, we are a company that is just going to complete 10 years in the next few months. 455 restaurants in less than 10 years, we have built, right?

So this is where the company is. And if you look at the unit cost without looking at the percentages, whether it's utilities, whether it's labor, whether it's other services. You go line by line, and I invite everyone to kind of study what's there that's sent out.

And you will find that this operation in the last year has become extremely efficient, extremely streamlined. And we continue to do that on the top of driving traffic into the restaurant, right?

They're not positive 2.9% by check. We are positive 2.9% with the higher traffic growth into our restaurants. So this is -- basically, the formula is to continue driving more people in the restaurant and continue to focus laser on our P&L line items.

Dhiraj Mistry: Got it. No, we certainly appreciate that very much. And can you highlight what is the demand environment right now that sequentially, historically, if I see that Q1 versus Q4, we usually see 10% to 15% increase in average sales. Are you witnessing the same? And is there any difference which has happened?

Moderator: There is a background noise from your end. Can you please move your handset?

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Dhiraj Mistry: Can you hear me now?

Rajeev Varman: Much better. I understood your question. I'll just -- to save time here. Look, the entire year last year, we have been positive on traffic. We have been positive on sales, on SSSG, right? We continue to -- on top of building new restaurants in existing markets, in many cases, we have continued to drive positive traffic into our restaurant.

More people coming to our restaurant. More people coming through our delivery system, right?

That we haven't seen a dent since we started into April, May and going into June next month.

We continue in the same route. There's apparently headwinds that are kind of softening. And I

think you will see that -- we feel anyway that the Q1 and the Q2 numbers will reflect that.

So I think that's where we sit on. I mean we don't want to guide people because we did that last year and we learned that there are sometimes headwinds that kind of come very sharply and very quickly. But we feel good. I mean we have been positive on traffic. We continue to be positive on traffic. And we see no reason that, that would reverse in the immediate future.

Dhiraj Mistry: Got it. Got it. And last question, if I may, the post price hike. What would be the margin difference between delivery and dine-in channel? Is there an integral difference?

Rajeev Varman: Yes. We don't break up the P&L that way for competitive reasons. We kind of keep that in-house. But just what Kapil was saying, we have done a lot of data. First of all, it drives the highest number of traffic numbers in delivery in India, right? We already shared that with you every single meeting that we get on the call. We are optimizing that, right?

We are trying to make sure that, that is traffic that we are driving with profitable kind of margin numbers. So that optimization through product mix through entry-level pricing and through offers that we do, we have kind of optimized that, right? So we will continue to work on that and the gross margins and the contributions will continue to improve in that area. That is the effort of the team.

Moderator: The next question is from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Sir, our store guidance implies about 80 stores per annum over the next 3 years. Do you foresee this addition to continue in FY '25 as

well? Or there may be some moderation on this trend?

Rajeev Varman: No. Right now, we're kind of guiding 700 restaurants by FY '27. We continue to stay put on that.

Look, we have always believed and we will always continue to behave like that, is that we have to responsibly grow, right? If in a particular year, we see that maybe moderation on growth rates is required, we will look at those, right?

We don't want to be those -- the company that just is cowboy approach to growth. Responsible, disciplined growth is what we believe in, and we will continue to do that. Our guidance will remain 700 restaurants FY '27, as we have began -- as Gaurav has already given to you.

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Devanshu Bansal: Great. Can we follow-up to this is -- can we bake in additions in line with internal accruals and whatever cash we have on the balance sheet? Or you will be open towards capital raise to pursue growth?

Sumit Zaveri: So as far as India is concerned, we will continue to grow using the cash that we have on balance sheet plus internal accruals. As we've said in the past as well, that if there is a need to raise some short-term debt to fund any part of the growth, then we would be open to do that.

But at the same time, I'm just adding on to what Raj was saying. We would -- our end -- at the moment, our goal post is 700 stores by December '27. And that is what we are really focusing on with very clear understanding on profitability as well. So as we grow there, if we have to kind of readjust any of the targets for you, we will always keep taking that call there. But no plan for any capital raise at the moment.

Devanshu Bansal: Sumit, 2 book-keeping questions. There is an increase in noncurrent liability of about INR48 crores, as well as there is other financial liability increase of another INR52 crores as well. Total, it is about INR100 crores. So what is the nature of this increase in liability? And when are these liabilities due for payment?

Sumit Zaveri: So these are largely on account of the stores that we opened during -- towards the later part of the year. So those would kind of get paid as they do, due to current nature there. But that's something which is more like -- as you know, we are negative for the capital business. So we will always have business and expansion-related negative working capital cycles that we will continue to have. And what we are seeing is, in that sense, really normal levels lead to our levels of business.

Devanshu Bansal: Okay. So this INR100 crores will be paid out, right?

Rajeev Varman: Yes, normal growth.

Sumit Zaveri: They are current, in nature. But at the same time, as I'm saying that it's not that the levels of liabilities that we have. At the current levels, we will see a reduction. So it will cut at these levels because we are negative of capital difference.

Devanshu Bansal: What is the quantum of one-off in the gross margin that you mentioned, Sumit?

Sumit Zaveri: That's a very small number. We -- roughly around 0.2% to 0.3% impact for the quarter. And that is the reason why we feel that this will not have an impact into our journey to 69% going forward.

We will continue to see improvement from the full year exit of 67% as we get into the current financial year and the couple of years from here on.

Moderator: The next question is from the line of Ram from Cycas Investment.

Ram: Congratulations on the profitability. I just want to ask 1 then. I want to understand the relationship that RBI and RBA, the International parent company and Indian, Indonesian

company. As side from the master transit agreement, in obtain ing the 700 outlets , so do you see any assistance from the parent company or otherwise?

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Rajeev Varman: See, first of all, you ha

ve to understand that the parent company is also part of our company, right? They are shareholders in our company. They're just not a franchiser. They are also part of the company, right?

So they sit on our Board as well. We make our plans. We approve our plans together, right? So you have to have that comfort as you asked that question. So again, there will be headwinds.

There will be nuances. There will be things tha t will happen. But I think we make decisions together. We do it for the greater good of the brand in the long run. Our focus has always been that we are not running this brand for 10 years or 15 years, we are running this in the long -term -- long-term kind of basis, right?

So we do this together. Now RBI is the franchiser. It's the biggest company that is housed outside of the continent. But it is not just a franchiser, but also participates as a shareholder in RBA, which is registered here as a public com pany in India. I hope that answers both the questions.

Prashant Desai : If you want to understand the nature of the relationship between RBI and RBA, we will extensively mentioned in our DRHP when we went public, it will give you further details in terms of the n ature of relationship. Beyond th at, there is no change from there.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Congratulations for the margin expansion story continued. I am on Slide 9, and I'm reading 4 numbers. From quarter 3 , quarter 4, our gross margin has improved almost 200 basis points.

Our ADS is cut down by 2.8% Q -o-Q. SSSG has moved from 2.6% to lower, 1.9%. And when I look at our marketing expenses moved to 5.2%. So when I read these 4 numbers together and on top of it, our restaurant EBITDA has also come down about 400 basis points. So how we should think on the gross margin and restaurant margin in next 4 quarters?

Sumit Zaveri: So as I said, as f ar as gross margin is concerned, we exited the full year at an average of 67%.

We should see an improvement in line with our gross margin journey that we want to take at 2%. Generally, we would really see a very similar equated growth on an annual basis. T hat's what -- how we really kind of work towards the gross margin journey is concerned.

As far as there is obviously, for us, that there will always be a direct correlation between the level set -- level of ADS versus the restaurant EBITDA. And that is wh y you see a drop from 12.2% or 10.7% that we did in earlier quarters around 7.8%. There partially, there is a drop because we spend higher on marketing, which will kind of come back.

And the second one is also because we opened a substantial amount of sto res towards the later part of the year. It's not that we start on negative journey, but they start on a lower store level EBITDA margin. So that there is some amount of impact that we are seeing in quarter 4. We believe that as the ADS comes back, we will -- we should see the store level EBITDA numbers that we saw in quarter 2, quarter 3 levels and better.

So that's how really we see the journey, which will be -- so we will see the margin expansion continue as we've kind of seen from the 67% exit for th e full year. As the ADS improves, which is through traffic, we will see going back to the early double digits in terms of store -level

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EBITDA. And as far as marketing is concerned, on an average, we spend around 5%. We might see variations -- slight variation s on quarter -on-quarter. But on an annual basis, you will see that it will average out at 5% of revenues.

Shirish Pardeshi: Okay. I'm just asking and trying to infer, is there any mathematical correlation 100 basis point improvement, in April we will have 250 basis point improvement in restaurant EBITDA margin, something like that?

Sumit Zaveri: No. While we woul

d always have the leverage on account of fixed cost that will come into play but there are also, when you really try to refer it quarter -on-quarter, there are also these seasonal variations that really come in. So we won't always feel that it's always better to kind of then see on an annualized basis. So that these seasonality variations gets kind of taken care of.

Like I just give you an example, li ke variation a simple l ine of utilities between summers and winter. And I'm not getting on the details of it. But I'm just kind of explaining or marketing, for that matter, which we would decide the way we would really want to invest behind on a quarter -

on-quarter basis. So we would always feel that the best way to look at finally is on a full year basis because then that takes care of the seasonality variations there.

And if you look at it from that perspective and I just kind of use the slide that we have on 8, where you will see that we moved up from 8.3% to 9.7%, while overall ADS was the same on the back of same -store sales growth that we kind of achieved. So clearly, I would urge you to look at it more on an annual basis rather than quarter -on-quarter basis.

Shirish Pardeshi: That's helpful, Sumit. My second question to Raj. Can you share what is the footfall or maybe like what is the MAU, monthly unique customers, some numbers to understand where -- I'm not asking about what, but for a full year, if you can share some qualitative improvement on the traffic and footfall?

Rajeev Varman: Yes. We actually don't share traffic numbers, so we will not share those on the call. But I can tell you that we are -- the entire FY this last year FY '23, '24, we have continued to increase SSSG numbers based on traffic improvements because it stands as a central core pillar for us and any improvements we want to do is not on the back of trying to drive more gross margin or more sales through higher pricing but more through traffic. I can tell you that we do drive one of the highest traffic numbers on delivery. And on dine -in, given our intensity of 9, 10 years total operation, if you look at the average restaurant tenure, it will be somewhere in between 4 to 5 years, right? That's the average tenure of a restaurant that has been opened. This obviously continues to grow and you will see that from the industry itself. I don't even need to look at the burger king numbers. The traffic continues to grow. So at a given point of time, if we are driving more people average for the portfolio into the restaurant incrementally, then you will find that the whole portfolio at some point -- you just got to kind of assume that at some point, if you're not going to build any restaurants, your ADS, AD T, everything of existing portfolio keep rising dramatically, right? Because when there is no new restaurants to bring the ADS down. I think that's probably the real question underneath your question.

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Shirish Pardeshi: Yes. I'm just trying to make 1 more attempt. Are you going to say that top 2 delivery platforms, your traffic has grown for FY '24 in terms of traffic line?

Rajeev Varman: Yes. I've said that 3 times now on the call. Absolutely.

Shirish Pardeshi: Okay. And just last question. On the SSSG, we have not given any aspiration number for FY '25. Is there any particular reason? Or are you in the future is one to relook the number and give us?

Rajeev Varman: Okay. We give you guidance on things. We absolutely have a hardcore belief that this is something we will deliver, and we can move forward and we have a good understanding of. And as we see that last year, the guidance was at 10% SSSG, right? We've all stood corrected as an industry at the end of the year. So we are cautious in the way we are approaching this. But look here, general guidance over the next 2, 3 years is good guidance.

It really gives you because we are planning on that basis.

We are not planning restaurants on a quarterly basis. We are planning restaurants, and growth and EB ITDA and sales and traffic, including delivery on the basis of the next 2 to 3 years, right? So we are giving that kind of guidance. I think that's the best way we want to interact with our investors and as well as analysts that are kind of measuring us.

Moderator: The next question is from the line of Sakshee Chhabra from Svan Investment.

Sakshee Chhabra: Congratulations on a great set of numbers. So my question was actually on the Indonesia business. I wanted to understand that what has led to the major drop in the occupancy and other expenses in this quarter versus last year and as well as last quarter?

Rajeev Varman: Yes. So we spoke about the fact that we closed and rationalized a whole bunch of restaurants, right? We closed down 26 restaurants that were not profitable, right? And as Sandeep was saying, closing these restaurants not only reduce our losses but also raise the ADS of surrounding restaurants. So not only that we have removed a chunk of restaurants that were losing money but we made the surrounding restaurants that were there more profitable. Those are 2 things that happened, which kind of factored in the P&L that you are looking at.

Sakshee Chhabra: Okay. The reason I asked is because there's an asterisk and it says that it excludes store closure expenses and loss on termination. And there is a drastic drop. I mean the closure of restaurants that happened was throughout the year, right? It's not that all the restaurants closed in the last quarter. So that is why I just wanted to understand that because last year, the number was INR484 million -- sorry, INR597 million. And last quarter, it was INR484 million, which has now gone down to 135 million. So going forward, then is this INR135 million number going to be maintained? Or how do we look at it?

Sumit Zaveri: Sure. Sakshee, I just kind of -- I'll take that. So as one is what we've excluded as far as store closure is the cash expenses that we incurred at the time of closure of stores, which included

effectively severance and other related expenses, roughly around INR10 crores to INR11 crores. The reduction occupancy and other expenses like that you are seeing is largely on account of the depreciation line and realignment of all the leases that we've had, these kind of few leases that Restaurant Brands Asia Limited
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we realized. And there was a one-off onetime impact that came in into that line of occupancy and other expenses but that is impacting the post Ind AS numbers. When we really look at it from the perspective of pre Ind AS numbers at a cash generation level, and that is the reason why we kind of segregated it and shown restaurant EBITDA and company EBITDA numbers. We are seeing a substantial shift if you see it at the company level, from INR95 crores to INR55 crores. And that's really the number that we should look at it from the perspective of seeing or how do we really benchmark it saying what would the journey begin from, I would really take the journey beginning from the INR55 crores of company EBITDA loss to trying to achieve towards the breakeven and the current financial year. So that's how I would really look at this number from that. There is -- this is totally on account of post -Ind AS adjustment. It does not have any cash related adjustment that is sitting under occupancy and other expenses.

Sakshée Chhabra : Okay. Got that. And what is the number of stores in Popeyes that we are looking to increase in the next year?

Sumit Zaveri: So currently, we are at 25 stores. At the moment, as we've been saying that we are focused as far as Indonesia is concerned is going to be really stabilizing the entire portfolio of -- both the portfolio as far as bu

siness is concerned. So the capital allocation on both the brands is going to be literally close to nothing. We are not going to put any capital allocation on expansion at least in the current financial year as far as both the brands concerned. Because our concentration on this service really go and work towards stabilizing overall improvement of business for both the brands of BK and Popeyes. BK, we've got around 150 stores, and Popeyes, we've got 25 stores as we see.

Sakshée Chhabra : Okay. And there are no more store closures expected in BK, right?

Sumit Zaveri: No. At the moment, I think we have now taken a very hard look. So we feel that this -- at the moment this is the right scale of business that we have as far as BK is concerned.

Moderator: The next question is from the line of Mayur Gathani from OHM Portfolio Equi Research Private Limited.

Mayur Gathani: Just continuing on the previous question. Do you do not intend to open more stores of Popeyes in Indonesia?

Sumit Zaveri: Yes. At the moment, our current year's focus. So it's not that we are moving away from growth as such but our focus at the moment is going to be really stabilizing both parts of the portfolio and improve the overall performance for that. We want to also kind of look at our overall portfolio in terms of product that we offer in Popeyes and BK. We've got a reasonable size. But at the moment, 25 stores in Jabodetabek. So the concentration will be towards improving there. So it's just more like relooking at what we have on ground. And then once we've kind of made relevant improvements or changes, we go back to growth on Popeyes.

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Rajeev Varman: Yes. Just if you reflect back to when we spoke about the geopolitical headwinds that came in into the industry in complete industry in Indonesia. And there was the impact of that significant to the industry, ranging anywhere from 30% to 40% decrease in some of the brands in sales and so forth.

So it's prudent for us to make sure that, that stability comes back and the growth curve that Indonesia was pre that comes to realization before we continue to grow. Right now, it makes no sense for us to continue putting capital this year while we kind of want the business to stabilize and overcome all the losses and make sure that this becomes a profitable business, at least from the cash basis this year. I think that's the goal. The goal is to bring the business to cash flow positive or flat, and then we'll continue to investment post that.

Mayur Gathani: So you are saying that the geopolitical tensions starting from H2 of FY '25 has led you to the decision where you rather not open stores and focus more on profitability, cash profitability this year and then come back to growth. Because for quarter 2, onwards of quarter 3, we spoke about opening at least 25 stores of Popeyes every year in Indonesia.

Rajeev Varman: Yes, that's correct. So this -- what we saw was 1st October. So November, December, we started seeing a decline. We thought the decline would be very short-lived. It continued for longer than

we expected, and we just are being prudent with the responsibility of allocating capital responsibly.

Mayur Gathani: And continuing previous participant's question. The occupancy and other charges have dropped significantly. So quarter -on-quarter, we should see this number from INR30.5 crores to like INR25 crores. Is that a general number that we should take forward? Because adjustment was the -- INR11 crores is what someone mentioned.

Sumit Zaveri: Yes. So on a cash basis, one -off is INR10 crores but that is not included in occupancy and other expenses. And the adjustment that has -- so there will be a reduction quarter -on-quarter because we have reduced the stores. So that 's what I would see. As far as occupancy and other expenses is concerned, I w

ould use quarter 3 as the benchmark for us to kind of look at how the numbers would look like on a state on state basis rather than looking at quarter 4 number because there is an adjustment that we have on account of -- more on account of an accounting adjustment. So stable state, I would look at as 48 -- INR45 crores to INR48 crores on a continuing basis.

Mayur Gathani: Okay. And coming back to India, the ADS has significantly fallen from INR126,000 in September to INR105,000 now. How do you see this going ahead? So you've been saying that volumes have been coming, customer flow is good for BK but ADS has been falling. Is it because of the value proposition is the reason?

Kapil Gr over: This is Kapil. I take that question. It's not the value proposition. There is seasonality. Quarter 4 Jan, Feb, March typically does have low seasonality. And we do see improvements coming through in April, May, June as seasonality kicks in, school holidays, malls -- mall events, all of that. So just for seasonality, I think we continue to stay positive on book even in quarter 4, as Raj and Sumit shared, and we are hopeful that this trend on traffic will continue with us.

Moderator: The next question is from the line of Jay Doshi from Kotak Securities.

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Jay Doshi: My question is on you're seeing unprecedented slowdown in mass consumption and QSR for the past 6 quarters now. Is there a possibility that you can go back to RBI, get a waiver or concession on store openings for a year, focus on profitability, try to get to 8% to 10% pre -Ind AS company level EBITDA margin in India, and then resume store growth? Because right now, your profitability, EBITDA level expansion assumptions are hinging on improvement in ADS, and which I think at this point of time, nobody in the industry has that visibility or confidence that it will improve meaningfully. So in that context, are you even considering going to RBI? And this also -- question is also from the perspective because we've seen a lot of franchisees of RBI globally struggle because of the aggressive reopening of RBI...

Moderator: Sorry to interrupt you, sir. May I request you to please use your handset.

Jay Doshi: Yes. So I was just trying to sort of have you considered this possibility? How is the Board thinking about it?

Rajeev Varman: Yes. Thank you for your question. I got your question. Look, I will not comment on the global market, RBI. I think you probably need to go to them. Look, we made a decision not to put restaurants in Indonesia this year with a prudent thought process, right? So there's a thought process. There are specific issues there. We are calling them as geopolitical reasons. It's industry driven and so forth, right. Here in India, I think we have to take a long -term view. We have -- we cannot just take a planning based on quarterly, quarterly -- quarter -over-quarter, and we have taken all these considerations.

We have had conversations. Like I said, RBI actually sits on our Board. They are investors in our business here. They're shareholders in our business. And we make good decisions based on all these factors that you're saying. All these factors were considered what you are planning in terms of FY '27 to 700 restaurants and our addition in Indonesia to kind of take a pause, not a halt, but a pause for the year in terms of growing. So all this was considered, right? We are making those decisions based on all the factors that you have just shared with us.

Jay Doshi: That's helpful. In fact, I appreciate your decision in Indonesia. My only request to you is shareholding structure has changed a lot. If you could take feedback or inputs from your key minority investors, whether they would like to see this EBITDA margin grow from 4% to 8% or another 70 stores in the next 12 months. So maybe perhaps you need a discussion

with

investors ...

Moderator: Sorry to interrupt you, sir. Your voice is breaking. Can you repeat your question again?

Jay Doshi: Sure. I think my suggestion was, if you could take inputs from investors in terms of whether to focus on EBITDA margin improvement or store openings in India?

Prashant Desai : Great question. We consistently in every quarter do that as we get our investors. Along with that, we pass on the information to the Board and the Board can appropriately takes a decision. You've

seen the first segue of that this year. We're choosing to kind of take a pause on Indonesia. But it's a fair point. And just to answer, we do that consistently.
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Moderator : Thank you. Ladies and gentlemen, we will take that as a last question. I would now like to hand the conference over to the management for closing comments.

Prashant Desai: Thank you, everyone. Prashant here. Thank you for the call. Just one small announcement from our side. I have been moving on from Burger King or RBA, and in my absence, Gaurav Ajjan has now joined as the new Head of Strategy and Investor Relations. So any further queries that you may have, please direct it to Gaurav.

Thank you so much for all the support that you have given to us right from the IPO till this time and I hope you'll extend the same to Gaurav and the team. Thank you.

Rajeev Varman: Gaurav, do you want to say a few words?

Gaurav Ajjan : Thanks, Prashant. Looking forward to continue on this fantastic journey. My contact details are given on the last page of the presentation. If there is anything that I could help you, please do feel free to reach out to me any time.

Prashant Desai: Thank you.

Rajeev Varman : Thank you, guys.

Moderator: On behalf of Restaurant Brands Asia Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : Unit Nos. 1003 to 1007, 10th Floor, Mittal Commercial, Asan Pada Road, Chimatpada, Marol, Andheri (East), Mumbai - 400 059

CIN: L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

August 2, 2024

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Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

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G Block, Bandra Kurla Complex, Bandra (E)

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Sub.: Investor/ Analyst Call Transcript

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed the transcript of the Investor/ Analyst call w.r.t. the Unaudited Financial Results of the Company for the quarter ended June 30, 2024, held on July 30, 2024 at 10:00 a.m. IST.

The same is being made available on the website of the Company viz. www.burgerking.in .

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Shweta Mayekar

Company Secretary and Compliance Officer

(ACS No. 23786)

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"Restaurant Brands Asia Limited

Q1 FY '25 Earnings Conference Call "

July 30, 2024

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE TIME DIRECTOR AND
CHIEF EXECUTIVE OFFICER – RESTAURANT BRANDS ASIA
LIMITED

MR. SANDEEP DEY – BRAND PRESIDENT INDONESIA –
RESTAURANT BRANDS ASIA LIMITED

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL OFFICER
AND CHIEF BUSINESS OFFICER – RESTAURANT BRANDS
ASIA LIMITED

MR. KAPIL GROVER – CHIEF MARKETING OFFICER –
RESTAURANT BRANDS ASIA LIMITED

MR. GAURAV AJJAN – HEAD, STRATEGY & INVESTOR
RELATIONS – RESTAURANT BRANDS ASIA LIMITED

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL
LIMITED

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Moderator: Good morning, ladies and gentlemen. Good day and welcome to Restaurant Brands Asia Limited Q1 FY '25 Conference Call hosted by Motilal Oswal Financial Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi. Thank you and over to you, sir.

Naveen Trivedi: Good morning, everyone. On behalf of Motilal Oswal, I would like to welcome you all to the Restaurant Brands Asia Q1 FY '25 Earnings Conference Call. From the management today, we have Mr. Rajeev Varman, CEO, Whole-Time Director; Mr. Sandeep Dey, Brand President, Indonesia; Mr. Sumit Zaveri, Group CFO and Chief Business Officer; Mr. Kapil Grover, Chief Marketing Officer; and Gaurav Ajjan, the Head of Investor Relations.

Now I hand over the call to the management for the opening remarks.

Rajeev Varman: Thank you. Good morning to everyone. This is Rajeev Varman, CEO of RBA. We also have today, in addition to the members already called out, Cicily Thomas, who's the President of Burger King India; we have Namrata Tiwari, who is our Chief People Officer; Dr. Sudhir Tamne, who's a Food Technology's -- Head of Technology in food. And we also have Madhuri Shenoy, who is our Head of Quality.

So let me take you back 10 years. On November 9 of this year, we would have completed 10 years as a brand in India. We opened our first restaurant on November 9, 2014. So this November, we will complete 10 years. This 10 years has taken our journey to -- today, we sit at 456 restaurants in 107 cities. That's almost 10 cities every year that we have grown in. And as Sumit will go into the numbers today, you will find that all our numbers that we will report today will be in the green area. Growth in the green area, SSSG, same-store sales growth, will be green. SSTG will be green.

You will find that revenues will be in the green. Gross margins will be in the green. Restaurant level profitability will be in the green. Company level profitability will be in the green. So the strength of brands and companies is visible in tough times. You're aware that the market has kind of slowed down a little bit in the last few quarters. And in this environment, RBA continues to deliver positive same-store sales growth. In fact, if you look at the last 9 quarters, we have continuously reported positive same-store sales growth.

So let me first take you through the 10 years that we have been as a brand, what we have done. It's a very auspicious year for us, completing the 10th year. So I just wanted to kind of walk you through the brand it has been and the brand it is going to be in the future.

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So initially, as you remember, we had established this in 2014 by building a menu that was -- Sandeep Dey present in Indonesia. So it's familiar discovery, which has built a brand that was Western but taste of India, right, very, very Indian taste in nature.

Our brand that had menu items which were very strong in the veg focus areas, veg value variety. I think you heard Kapil say this in the initial years of our brands that we built the menu on veg value and variety. So we did that. We did the largest taste test ever done in India on food, which was over 3,000 people that we tested. We built the products around that. And then we launched the brand with Whopper in focus, which is our flagship burger.

Now we continue that by bringing in a value strategy, which is fulcrum for the Burger King brand across the world that we believe in driving trials and getting

ng people into our brand, into

our business from the value sector. So we did 2 For INR50, which has graduated today. Last year, you saw us do INR99 meal. And this year, you have seen us do 2 for INR79, so those strategy and value continues to be strong. It's a 10 -year-old strategy. It will continue to build, it will continue to evolve as we move into the future.

We also then started building restaurant footprints. Creating awareness, marketing, advertisement, all these things create awareness, but also building restaurants create awareness. So we have built 456 restaurants as we stand today, in 107 cities. In addition to that, we have built 351 cafés inside of these restaurants, so -- which has been a ramp -up in less than 2 years, actually slightly over 2 years because we started in FY '22. Now we are going into FY '24, and we have literally 351 cafés. There's about 100 restaurants that don't have cafés, which will start now getting cafés. All the new restaurants are opening with cafés.

So a very strong menu strategy, graded into a very good value strategy, build up strong footprints, added day part menu or specifically by building cafés, and then we are graduating now as we move forward into the digital era where we are now establishing SOKs, self -ordering kiosks in all our restaurants. So we have completed close to around 180 new restaurants that are already running itself or in kiosks, and they will continue to do that by the end of this year, fiscal year, we should be at 100% of SOKs as well.

So in March of '22, we acquired the business in Indonesia, which is Burger King and then we further on started to build Popeyes there in August '22. We have built our first Popeyes. Sandeep will kind of bring focus on our results and how we're moving forward in Popeyes and Burger King in Indonesia and all that challenges, the geopolitical challenges over there and so forth. So that's basically the last 10 years in India and RBA as we graduated into the Indonesian market. Last quarter, I told you the focus areas which haven't changed, which continue to be the focus areas for this company as we move into the next few quarters. One is to continue driving value. You have seen -- and you'll see the value promotion that Kapil will be launching and has worked Restaurant Brands Asia Limited

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with in the last few quarters. So he will kind of bring that to life in this piece. 2 for INR79 and 2 for INR99 has been on our communication now for several quarters, and it's doing very well.

We also went into new locations, not only with Café but launching the BK Pizza Puff , which is doing very well, which also addresses our snacking location -- occasion. And in addition to that, in the past, we have launched nuggets, we have launched wraps. So there's a lot of new items, innovation that Kapil keeps bringing into the business and he will address that as he speaks, but basically to kind of build and grow traffic. So our focus moving forward, continuing to bring in traffic.

So these 9 quarters that I told you that we were positive same -store sales, we were also positive same -store traffic. So it is important to bring SSSG with traffic. And we continue to build on that and growing traffic, which has been predominantly our focus for the last 10 years, will continue to be our focus for the next 10 years.

Digital brand, a brand that is accessible digitally, not only in front of the counter where the guests are but also behind the counter, where Cicily Thomas and she'll speak more next time when we do the next quarter meeting about how she is taking the brand digitally inside the kitchen as well, making sure that all our processes and systems are digitally to bring efficiency, #1, and also to reduce the number of mistakes that we can make on delivery of our orders. So that will continue as well.

The last piece, which is the most important piece t

hat we took upon a few quarters ago is to have

a laser focus on profitability. But yes, one of the biggest attributes of inputs to good margins at the restaurant level is sales, and we will continue to drive traffic and sales but also to manage our line items so that we continue to deliver a solid restaurant -level profitability.

That focus has been now split into 2 pieces. One is to focus on dine -in, which we have continuously spoken about in the last few quarters, which is continued laser focus on delivering restaurant dine -in profits. But in the last quarter, we have also started this journey of increasing our profitability of the delivery business. So you will see and you will hear more and more as we move forward to bring the margins on our delivery business higher and higher and we will continue that focus as we move forward. So that's on India, and then Sumit will kind of share the results on all the items on India as we move forward.

Now Indonesia. So Indonesia, we kind of went into this business in 2022. And since taking this over in March of 2022 and launching Popeyes in August '22, what we have done and where are we as a brand over there. So initially, as I've said in the past, we took over the business and we went back to basics, which is what we do as a company, again, went back to menu. The menu was not up to our standards . It was not to the market standards. We got the menu up. Every single burger, every single item, every entree was measured and tested and reevaluated and build up with the new sauces and new patties and new toppings. So we did that and suddenly build a

fantastic menu for Popeyes as well at the same time fixing the Burger King menu over there. So we did that.

We also then went into doing the menu architecture for both the brands. So there is a value core and premium layer that was established. All this work was done.

And then we started a journey to move -- actually establish and start moving sales in the right direction, which we -- as you can see in Slide #6 that the red line is current year and you will see that we have moved the sale significantly higher than the previous year, and we were well on our way until this geopolitical headwinds started in late October. And this is a big challenge for the Indonesian market for all the QSR that their American brands they all suffered from retail down to food, down to cafés. Everyone got the hit on that, and we were no different. We saw that the line that was way above the green line suddenly dipped below the green line.

Now we then took the next couple of months to reestablish -- start our business growth in our delivery business, and we did an effective job of that as we climbed from January onwards between November to January to reach back the previous year's sales. And we did that very effectively. And then in May, we had another challenge when there was a second bombing in Gaza. And there's other geopolitical wind that kind of took a toll on all the businesses there.

So we have had challenges. We have set the business right. We have set the menu right. We have rationalized the restaurants. We have closed about 46 restaurants that were nonprofitable, which were in the low areas or areas with no growth. We have cleaned that out.

We also did the same with our overheads. We brought it down. We rationalized our total G&A count. We brought it down by 25%. So we have a very effective machine now in Indonesia, a very effective team, very effective assets that are ready to grow and become all they can, as these geopolitical winds kind of go behind us.

I think the reflection of the community there, the business community is that post -October, there is going to be upbeat -- uptick of this traffic back into the business. So we are hoping that, that is true, and we are working towards that, getting the business

ready to kind of deliver on those

numbers. So that's basically the Indonesia, and Sandeep will speak a little more about it, and you will get the flavor of where we are in terms of numbers and so forth.

With that said, I will turn it over to Sumit so that he can carry you into this green page of our green numbers. Over to you, Sumit.

Sumit Zaveri: Thank you, Raj. I'll kind of choose Slide #10 to take you through the overall performance that we have for the quarter. It also reflects some of the positive trends that we have seen, what Raj was talking about as we go through these numbers.

Firstly, talking about growth. Obviously, growth has been one of our key drivers. In the current quarter, we opened 1 store. It's not that we've really kind of gone back in any manner. It's just that it is by design. We had opened a fairly large number of stores, almost close to 40 stores towards last quarter of the calendar year, which is kind of allowing some time to settle down.

Our target to get to 510 by end of financial year is on track. Currently, as we speak, almost close around 19 -odd stores are under construction. So we are kind of now phasing it out over the balance part of the period, making sure that we get to 510 being the target. As Raj mentioned, our focus is driving traffic and then driving SSSG through that route of driving traffic.

We're really happy to announce that we've been positive, as while you are seeing here for last 5 quarters that we are really positive in expansion over the last 9 quarters. And this -- to be positive in a market scenario, which is challenging, at the same time, being positive as we are adding a reasonable amount of stores in the portfolio, which will be adding close to around 80 stores on an annual basis. We feel really we've been able to kind of manage the growth, balance the growth and the same -store sales growth really in a balanced manner without really focusing the balance on the focus, on either of the sites.

Having said that, effectively, our revenues for the quarter, which was just a little shy INR10 crores -- shy of INR500 crores, achieved of 490 crores of revenue, 16% sales growth on a year -on-year basis, slightly favored by way of a higher delivery mix moving from 39% to 42%, which we believe that this is a broad range from 38% to 40%, that's the kind of range that it will remain as we go along, as we continue to focus on bringing more traffic into our dining part of the business.

If you really look at it from the perspective of gross profit, we've always been focused improving our overall profitability through focus on gross profit to various initiatives on the supply chain side. Over the last 1 year, we've been able to improve our margins by almost close to 1.2%. As

far as this current quarter is concerned, we are flat at 67.6% as we had reported last quarter. We must assure you that this is not a break in the journey to go to 69% that we've said we will achieve, which is that in the current quarter, we really wanted to aggressively pursue growth through traffic. And that's why it's a conscious call to remain at these levels of margins. And then now -- and Raj mentioned about that we will very strongly focus on the delivery side of profitability, so we will see the journey coming back as we go along later part of the year, taking us to 69% target that we've spoken earlier.

As far as overall profitability is concerned, we achieved 8.9% store level EBITDA and a 3.6% company level EBITDA growing by -- growing to INR43.5 crores in the current quarter at the restaurant level. If you look at it from the company perspective, we grew to INR17.5 crores from roughly INR10 crores that we got year-on-year or if you look at it sequentially, it's almost close to 70% growth in EBITDA.

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We did

see some kind of -- some challenges with respect to the cost line. It was more -- because of the external environment of the seasonality side, extreme heat did impact us on the utility side, which is why we see some of the translation on gross profits didn't materialize as far as restaurant EBITDA is concerned and a slight shift in delivery mix from 39% to 42%. So the translation gain or the improvement we had on gross profit, we did lose a little bit of PAT on the restaurant EBITDA side.

We've always been talking about getting the leverage benefit as we grow on the G&A side. In the current quarter, as we've grown revenue by almost close to INR68 crores, the corporate G&A has reduced as a percentage of revenue, almost close to 5.3%. So that's the journey that we will continue to see as we go along going forward. So that's the India business part of the journey. Quickly going through Indonesia, and I'll just talk a little bit and build on to what Raj was saying. Our priority is to get to a position where we are not losing cash in Indonesia, as far as what we believe, what we've done is that we have rationalized the portfolio, we have done to 149 stores. It's a portfolio which is more balanced and based on this portfolio, at the store level, we did report positive EBITDA.

As far as and effectively at an IDR19.4 million for the quarter. We -- it is showing 5.4% negative SSSG. We believe that as we continue to pursue the brand from the perspective of sales side, as we continue to remain focused on our product delivery, we should be able to reach the cap as we -- and go and improve over it, as we have seen in early part of the year last year.

As far as Popeyes is concerned, we are currently at 25 stores, and average daily sales of IDR17.9 million. It looks like a drop, but that's more like IDR39.4 million was just representing 10 store, and it was the launch period, the quarter immediately after the launch period of the brand. So really speaking about comparable. But having said that, it's not that we feel that IDR17.9 million is a good number. We would really want to bounce back from this number.

We are currently kind of waiting for some of the headwinds to start -- really kind of been feeling it, then we will start putting money behind this brand and grow sales.

At these levels, though you must admit that we are not losing any money at Popeyes level. So we are at sustenance levels as part of ADS as far as of Popeyes is concerned. Overall, our revenue in Indonesia was around IDR302 million -- billion, drop of 11% Y-o-Y, largely because of store closures. And at an EBITDA level, we lost around IDR17.3 billion. While we are at an EBITDA level, we have IDR17.3 billion.

The way some of the lease constructs are built in Indonesia, actual cash outflow is almost close to IDR4 billion less as compared to EBITDA because in Indonesia, the rent structures are built in such a way that a substantial part of rent gets paid in advance. So there is no cash outflow to that effect in the current financial year. So EBITDA -- looks IDR17.3 billion EBITDA. The actual cash is IDR4 billion less.

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We would continue to endeavor to get to breakeven levels or cash yield to the position as far as Indonesia is concerned, as we go progress further into this current financial year. So that's literally from my side on India and Indonesia financial performance. Overall, performance on the consolidated stand-alone is already shared and available. So I'm not getting into that. I just thought I'll talk a little bit more for explaining the numbers to you.

So I'll just put you to Kapil, who will take us through the marketing initiatives on the India side.

Kapil Grover: Okay. So thank you. Thank you, Sumit, and good morning, everyone. Just before I start the India sort of marketing update, I'll just recap the num

bers that Sumit mentioned earlier. Our growth story continues. We have year -on-year added 60 stores to the base. So we are now at have 456 stores. We delivered an ADS of INR119,000 last quarter and with this, was a 3.1% same -store sales growth over last year's same quarter. And as Raj mentioned, this is the 9th straight quarter of same -store sales growth.

With the revenue at almost INR491 crores, this was a 16% improvement in revenues over the same quarter last year. And this is our highest quarterly revenue above -- since we start ed the business. Margins improved by 110 basis points and they now stand at 67.6% compared to last -- same quarter last year . And restaurant EBITDA, as Sumit mentioned, INR43.5 crores, which is a 29% improvement over the same quarter last year.

At a company level, with INR17.5 crores of EBITDA, we are 72% better than same quarter last year. So that's been the summary of what S umit mentioned to you in terms of our results in the India business, right?

Now to talk to the market initiatives, which sort of helped us in some parts to deliver this number. We've continued to focus on our value strategy and offer consumers better valu e than the market. Our lead dine -in marketing program for this quarter was 2 Crispy Veg at INR79 and 2 Crispy Chicken Burgers at INR99. Now this is a model which has given us great results in the past, it has given us good dine -in traffic growth, and it co ntinues to be a strong platform of driving traffic into our restaurants.

In addition to the 2 For model, we continue to offer the 99 meal. The meal that we promoted all of last year, is still available on the BK APP, right? There are another suite of new and add -on offers which are also available on BK APP as a platform for our guests who are seeking more deals and coupons in restaurants.

While these are the price -pointed offers of 2 For and 99 Meal, we also continue to offer great value in shareable meal s. Given the season we have the monsoon meal deals for 2 people available for dine -in guests to help them share a meal with their family and friends.

Now I'm on Slide 17. This is about BK Café concept meals, spoken about extension, today, we stand at 352 cafés, which is almost 80% of our portfolio, and this will continue to expand as we Restaurant Brands Asia Limited

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open new stores and go back and retrofit in some of our older stores. But it's more important now. See in future, we started to now drive innovation on the left. We've adde d iced coffee to the menu recently, Iced Cappuccino, Iced Americano and Iced Latte have been added to the menu. These will help us grow incidence of the layer . And you will see a lot more work on the Café business in the coming 2, 3 quarters to grow awaren ess and penetration of this category in our business, right?

During the course of the year, we also continue to innovate. Raj mentioned on the innovations we've done last year in recent quarters. Our most recent launch, the BK Pizza Puff is a favorite vegetarian snack. The product has done very well on blind product test. And it was sold out in the northern markets. About 8 weeks ago, we've got very encouraging results on the product, and it's now become a part of the 2 for X platform at 2 for INR59. And yo u will see more on this program as we go forward in the future quarters.

Now while we continue to drive traffic to our dine -in restaurants to all these promotions on value, we now have 143 stores. And as we speak, it's grown to about 180 stores, which off ers the fantastic King's journey experience to all our guests. The guests are offered digital ordering to self -ordering kiosks, BK APP based -ordering or a QR code on the table, which you can scan to avoid the queue at the kiosk, and then your food will be served on the table.

And thanks to some fantastic execution by our digital and operational teams, 92% of dine -in

sales in these 143 stores is coming from digital channels like kiosks, app or the mobile side, and our guests are loving the new experience in our stores.

On the next slide, in continuation to the point on BK APP, we're now building this as a platform and a foundation for our CRM programs in the future. The BK APP has the most of dine -in offers, which helps us drive acquisition, and we've seen our installs grow by 70% over quarter 1 of last year. Even app usership has grown from by about 2.7x over quarter 1 of last year. And this work on the app will go a long way in establishing strong loyalty with our BK clients.

Last but not the least, we co ntinue to be one of the most engaging brands on social media with a focus on youthful and very authentic conversations with our clients. So that's it from my side.

I will now hand over to Sandeep to share the Indonesia update.

Sandeep Dey: Thank you, Kapil, and it is always inspiring to see some of the fantastic work India is doing, and it definitely helps us with some of the best practices for our business here. Good morning to all of you. You've heard both from Raj as well as Sumit that the environme nt here continues to be challenging due to the geopolitical crisis.

And after a long spell of 4, 5 months since October, the business really started to get better . Towards the Labaran festive month, which is around April and subsequent until en d of May,

mentioned the last week of May is when the second crisis hit us, and we got adversely impacted once again.

However, we continue to stay focused on doing things which are in our control. So in the next few minutes, I'm going to double click on some of the stuff, which Raj mentioned earlier. The first 6 months of FY '24, we did a great job on the basis of all the foundation work and delivered more than 11% growth in those 6 months compared to the previous year. Despite all the challenges we have been facing since October, we still delivered a similar sales this quarter compared to quarter 1 of last year.

We did experience a 15% drop in dine-in sales, but we successfully pivoted our strategy towards delivery and delivered a 19% growth in that channel. This kind of gives us the confidence that guests do continue to love our brand because of the great taste experience, because of the consistent product quality and a very strong value proposition, which they enjoy from our brand. And moving to the next slide, where I'll be talking about the key priorities for the Burger King brand, which is chicken, burger and winning dessert menus.

From the last few quarters calls, I've been speaking about the fact that Indonesia is an extremely strong fried chicken market, and having a comprehensive portfolio in this category is going to be a competitive edge. We have 2 winning products in our menu, the Crispy Chicken and the dunked spicy saucy version of another fried chicken. However, we also understand that there's a massive demand for a breaded version of spicy chicken, so we developed that winning products as well, did an extensive test market for almost a couple of months, and we are extremely satisfied with the results and now decided to launch it across the country in the next 2 weeks' time.

In the last 3, 3.5 quarters, our volume of chicken grew by almost 50%. And now after having the widest range of fried chicken in that QSR space, we are quite confident of taking our chicken share even further up. The second strategic priority is to establish leadership in burgers, and that will continue to do through Whopper trials and continue to do through providing taste supremacy.

We develop the Whopper based on local taste preference and then offer that product to customers at a very aggressive prices IDR17,000, which

is almost a 50% discounted from the original price.

But that has really helped us driving trials, driving frequency and also building the Whopper equity.

We are witnessing a sustained volume of 35% over the last 4 quarters. However, the work really doesn't end here. We are further improving the quality and taste of this product. We have developed a better buttery, softer bun, also made the patty even more juicier. We're now setting up the back end of the supply chain so that we should be able to launch this new Whopper and scale that across the country by the last quarter of this year.

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Cold dessert is a massive market, and we have a big opportunity to gain share in this category. And as a part of our business strategy, which is the third growth pillar, we continue to drive new innovation around dessert category, either through a program that dessert or through products, which are inspired by local favorites, right?

And then in the last 1 year, we have witnessed a volume growth of almost about 2.5x in the last 1 year that our ambition is to double it. Most importantly, traffic continues to be our #1 priority.

And hence, we will always maintain our value leadership position, whether we provide extremely strong value propositions through a permanent value layer, our dine-in business or a very attractive entry price value layer, both for à la carte as well as combos for our delivery channel.

And now I'm on the last slide, which is Slide 25. Popeyes is a new brand. We have 25 stores. So the priorities are very clear at this moment; build the product and the brand awareness, generate trials and then continue to provide a guest, a digital-first experience.

We are basically a culinary brand and not only about winning products with regard to taste but also an enormous amount of variety to address different occasions. Our ambition is to bring this brand into chicken destination. By the way, we are only QSR chain, be it local or international, who got chicken in both fried as well as grilled formats.

Grilled chicken is our unique differentiator, and it kind of contributes almost 1/3 of the total booming chicken volume. And going forward, we are strengthening this portfolio by adding more varieties like grilled wings, grilled sandwiches to our signature grilled collections. And

this, we strongly believe is going to be our competitive edge. We also developed the b readed spicy version, which has performed extremely well in the consumer research, and we plan to roll it out in the third quarter of this year.

So now we have winning products and the task at hand is to build awareness. In all our stores, we have digital menu board, which we are using as an ad board to create awareness and educate our guests. We also have video walls in every store, which runs brand videos. In fact, we have also started to participate in some key strategic events, which also helps us in g enerating trials and generating brand awareness.

So we have implemented our menu pricing strategy also, which will help us build the value propositions and thereby help us drive trials.

We have also strengthened the digital -first experience. We launched our Popeyes app last month. And I'm also happy to report that 95% of our dine -in transactions are through self -ordering kiosks. So this will definitely help us build a pretty strong CRM program in future. And last but not the least, we will continue to pro vide elevated guest experience through 100% table service.

So that's all from the Indonesia side, and I hand it back to Sumit to share the overall outlook.

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Sumit Zaveri: Thank you Sandeep. So I will just quickly share the outlook as far as restaurant count is concerned. We are currently at 456. We endeavor to get to 510 by end of the financial year and our ta

rget for 700 stores by '27 still continues.

As far as gross profit is concerned, we were at 67.6%, as I mentioned, during my earlier conversation. Our target to took it to 69% by '27. We probably believe that we are on track to get to 69%. Indonesia, our immediate priority is to achieve cash breakeven at the country level, which is what we will endeavor to get to -- towards and we get to the late part o f the financial year. So with that, I would open up for Q&A.

Moderator: Thank you. The first question is from the line of Dhiraj Mistry from Antique. Please go ahead.

Dhiraj Mistry: Congratulations on very good set of number of positive SSSG and improveme nt in profitability.

So now my first question, what I understand is that you have taken some price hikes in online channel. Can you split your current quarter performance between price increase and volume increase?

Sumit Zaveri: So Dhiraj, as far as curren t quarter is concerned, the entire growth has literally come through the traffic growth as we -- as Raj initially mentioned as well that our focus is value -led strategy. We'll continue to remain focused on that side. So as far as dine -in part of the busine ss is concerned, it is led by traffic.

Even on the delivery side, the growth is a combination of traffic as well as average check. But average check is something which is more trying to get customers to buy more on the platform. As we go along, we will see some correction in the pricing side and we've -- and Kapil has mentioned about it, we are kind of trying to pivot our menu slightly differently on the delivery side. So we will see some price corrections going forward. We've really not seen the impacts of that fully as far as the current quarter is concerned. So current quarter, the growth is traffic led, and that is how our overall strategy going forward will also continue to be.

Dhiraj Mistry: Got it. Got it. And second, one of the points you highligh ted that going ahead, improvement of profitability will be also led by the improvement in profitability for your online channels. So can you help us with what will be the current profitability difference between online and offline channel for you?

Sumit Za veri: So Dhiraj, we would really not be able to share the exact details of how profitability though, is concerned. But as I was saying earlier as well our endeavor to improve the overall profitability will be led over to two lever s, I would say, one is repositi on our delivery on the pricing side, that's one. The second is the launch of new categories that we've done, Café on one site that we've done over the last 2 years. And then the s nacking product, we will also endeavor to improve overall attachment through these new categories. So that's how we are really kind of going to overall address the profitability part of the delivery channel as we go along into later part of the year.

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Dhiraj Mistry: Got it. Got it. And sir, second question is on, can you highlight h ow the demand in India from the month -on-month perspective, whether that has been improving for you, let's say, for the quarter, you have witnessed 119,000 of average daily sales, how that has been performed on a month -on-month basis?

Rajeev Varman: Dhiraj , this is Raj. Thank you, first of all for joining this call this morning, and thank you for your questions as well. Dhiraj, we think that there is going to be a strong recovery in the second

half of the year. I think that's what's visible to us. But for a brand that's been positive in traffic for the last 9 quarters, if you look at the industry, probably at about negative 4%, negative 5%, somewhere there, and we have positive 3%.

So all things being even, we would have probably been positive 7% at the market demand being a little stronger. But I think as we look into the future, we expect that this will have a

stronger

second half performance, and we should be able to get a higher traffic increase as well as SSSG, but we kind of stay put awaiting that positive trend to come in. It's been a tough last quarter in terms of battling it out and very good, strong value strategy is the way.

There's not only just value strategy, but the innovation that was put in place with café that was introduced, puffs that came in, nuggets that came and wraps that came in. There's a lot of work that we have done. And we think that the next 2, 3 years, you will find growth in RBA working India specifically through these items that Kapil has put in place. All these instruments are going to give growth in dayparts as well in traffic occasions. And this company will continue to grow on this basis of traffic. As I've always said, we have traffic-led kind of company, and we will continue to drive more people into our restaurants.

Dhiraj Mistry: Got it. Got it. No, we appreciate a lot in terms of your performance compared to other peers.

And sir, last question, if I may, that what would this contribution of BK Café in our existing BK Café Stores? That's it from my side.

Rajeev Varman: Yes. Dhiraj, again, thank you for your question. We have said this in the past that in spite of adding almost doubling the number of cafés in the last few months, we have got now 370-odd cafés. I mean that's a lot of cafés that we have put in, in a span of very few months. In spite of that, we have maintained average daily sales on café. We think that this average daily sales of between 14,000, 15,000 will more than double, and that's our aspiration as we go into the future years. Beyond that, we don't share any specific information on that. But I think that should give you pretty much what you were looking for. Yes.

Moderator: The next question is from the line of Mayur Gathani from OHM Portfolio Equity Research Private Limited.

Mayur Gathani: Just wanted to understand or get clarity that you are saying delivery margins will come in line with your dine-in margins. And two reasons you're saying is the traffic growth and correction prices. Is that understanding clear?

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Sumit Zaveri: Correction in pricing, yes, you're right. The second one is we will work towards improving the attachment to the invoices using the new category launches that we've recently done, which should cover café and some of the snacking range of puffs and chicken nuggets. So that's actually how we are going to address improving the overall profitability of the -- on the delivery side of the business.

Rajeev Varman: I mean, if you look at the broader part of your question, which is we build a brand through growth by footprints all across 107 cities and so forth. We build the cafés, we build a product line. All that stuff right now, it is since we are now working on the volume through traffic, we are also getting prepared and the economics of the restaurant fine-tuning those. On the dine-in side or the delivery side, both are in game, right? We want to make sure that as much efficiency is bought.

And if you look at our P&L, and we're all aware of all the P&L out in the market, if you look at our P&L, we run a tight ship. We already run very good gross margins. Our line items, below that gross margin, are all very tight. And as volume increases, those percentages will all become very positive. But we want to make it still more efficient. And we are going to take a little bit pricing over the course of the next 3 quarters, and that will be evident for you. And it's the same for delivery business as well. We want to make sure that the delivery flow through coming into the business continues to grow. And that's -- you will see those in the coming P&Ls.

Mayur Gathani: Okay. And coming to the Indonesia part, do you see more rationalization of the BK stores in

there?

Or at 149, we are kind of stable there?

Rajeev Varman: Yes. I think we have cleaned up. We have rationalized the whole portfolio. We are there now, and we are now kind of growing these restaurants. Like I said, initially, we have a very strong team now. It took us 1.5 years to build that strong, very strong team. They've got all the right people in place over there. We have got a clean asset. We have closed out restaurants that didn't make any sense for us. We have cleaned that portfolio down. We have cleaned the menu, and we have got everything in place now. And the market even turns a little bit to our favor with all the geopolitical behind us, which I think is going to be post October what the industry over this is kind of contemplating.

Then what will happen is you will find this business, go back to its green days then. It used to

deliver significant restaurant -level profitability. We'll get back to that. So we are just kind of prepared. We've got a good asset. We've got a good team. We have got a good product line, and we're just waiting, and we are putting things in place, instruments in place, our marketing, our delivery business.

You've seen there was non-existent -- our delivery business. Now we have grown it significantly over there to multiple double -digit growth. So we have put everything in place. And as things come our way, we will make that business profitable not only just make it positive, but make it

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significantly profitable. And that's the whole plan when we took this over, we knew that this is where we're going to take the business.

Moderator: The next question is from the line of Shirish Pardeshi from Centrum Broking.

Shirish Pardeshi: Starting with Slide 10, what I observed that in this quarter, despite the heat wave, our delivery mix has come down from 45% to 42%?

Moderator: Sorry to interrupt, sir. Could you come a bit close to the mic. You sound a bit distant.

Shirish Pardeshi: Yes. So on Slide 10, when I observe the delivery mix, which used to be about 45%, which has come down to 42%, I assume that, that should have gone up given the heat wave. Now the question which is coming to my mind is that we have done the dine -in menu changes, which is 2 for INR59 and 2 for INR99 in the chicken. Is that the permanent offer which is driving our dine-in mix? And is the thing which is going to be permanent SKU? And why I'm asking this because you have built on a lot of questions around traffic. So can you share if I take 1 year back, what is the 356 stores, the traffic growth we would have got?

Rajeev Varman: Yes. Very good question. Let me try to answer this for you. You're right, our traffic mix, our total percentage of delivery sales was 42%. See, our promotion, which is a national -wide promotion, which Burger King and RBA here in India is able to do because we own the brand everywhere. That national promotion was in dine -in, right? It was 2 for INR79 and 2 for INR99 in dine -in. So this is not available on delivery. So it drove a lot more people into our restaurants in this quarter to give us that boom in sales in dine -in.

Now your question about whether this is permanent, see, value strategy is permanent. We will always be driving traffic through a good value proposition, used to be 2 for INR50 in the past. It was a INR99 meal in the past. It was a INR50 stunner of menu in the past where we had 5 items at INR50. So different things that we put in place from year -to-year, quarter -to-quarter that Kapil likes to drive traffic. But also on the other side, we have built in a lot of, for example, our King's collection, those 4 burgers are very, very well like big, and they grow, they continue to grow, along with the Whopper.

Whopper, a burger with 7 layers on it, right? So we have a very stunning premium menu as well. So when you drive traffic and you

don't have all that traffic end up buying the traffic menu that you've put in or the value menu that you've put in, some of them migrate and buy other items on the menu. And that's what we're seeing as we continue to do that. So yes, the value menu, the value platform will be like. What we will sell on the value platform, we will kind of change that from time to time, and you'll see that as we evolve.

Coming down to your question on profitability, look, we want the entire, all the channels to be significantly profitable than where they are today. And we will continue to endeavor to do that. There are a lot of levers there. It's not that we are kind of looking for something in the haystack,

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we know those levers, and we are using those levers. We are balancing our focus on value and traffic with our check and profitability. So that's a big balance that we do every month. And we make sure that we are balancing the racks as we move the business forward.

Shirish Pardeshi: That's really helpful. Just quick last question, you can answer over the course of time. In the Indonesia business, we said that cash breakeven at the country level, at what same -store sales growth, this is possible?

Sumit Zaveri: So I'll just kind of answer. The way we look at it is that once we start reaching the levels of sales closer to after the portfolio rationalization, reaching an overall sales closer to around IDR20 million to IDR20.5 million is where we should start seeing the cash breakeven. So currently, we are off by around IDR2 million in terms of local Indonesian currency level. So that's what we are currently working towards as a team.

We've taken all the necessary steps from the perspective of rationalizing the overall portfolio by shutting down stores to even substantially reducing the corporate G&A from the exit levels that we had last year. So we've taken all those steps, now working towards improving the overall sales, which hopefully, as things settle down and we see that the impact of the geopolitical issue

where it kind of starts to impact less as we go along, we should be able to go back and see that kind of sales spend. And we've seen the sales last year.

If you look at last quarter, 1 quarter 2, we've already seen that kind of improvement that we have done using the portfolio. So we believe it's a question of bringing the portfolio back to where it was towards quarter 1, quarter 2 last year. We should be able to get to cash breakeven.

Moderator: The next question is from the line of Prolin Nandu from Edelweiss Public Alternatives.

Prolin Nandu: So Raj, you started this call with highlighting your 10-year journey. And in 10-year, we have been one of the fastest when it comes to store expansion. So that, in a way, comes with a slightly cost disadvantage, so to say, in terms of lease and all. And then we are also focused on value offering. You mentioned that in this quarter, gross margin was flat because we wanted to drive more traffic, right? So my question is that now that inflation is more manageable, when do we use price levers slightly more aggressively, and what will it be dependent on?

Will it be dependent on macro conditions? Or will it depend on what competitors do? So where I'm coming from is that I want to understand how is our brand perceived in a mind of the customer? When we say value, is it primarily price-driven value? Or is it the quality of products that we offer at a particular price point so that customers will not mind even if you don't take a price hike and that will not, in a way, affect the kind of traffic growth that we have been seeing? So yes, slightly more granularity on how you see the use of price level going forward.

Rajeev Varman: Thank you for your question. The first comment I'll make is, yes, it's been 10 years, but we are just getting started, to be honest with

you. It is not about all that we have done but all that we

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need to do and we will do over the next 10 years that I think is stronger. Look, it's always a balanced mix, we call it menu architecture. And we don't drive our business on one tool. It's always -- a lot of people think it's binary, and they question me on the binary nature of that. It's not very binary.

It's a function of a menu architecture. You drive people in with value. You promote them with a ladder menu. You have indulgent items on the other end, right? So you have so many different occasions, different tools, the café, the snacking occasions, the late night business, the delivery business, there are so many levers. And you don't need to binarily just say, I'm going to raise this price and that's what's going to change my business. There are so many things in a business that are variable that you can keep fine-tuning as you go forward.

So I'll give you an example. As we have introduced this value platform several years ago, we have also built a very strong King's Collection, which is our premium burger range, right? And we kept on strengthening while we bought in 2 for INR79, we put in wraps on the other side. So it's a balanced way of approaching the business in long term versus doing a short-term gorilla gimmick to drive sales in any given quarter. So you can't do 9 quarters of consistent traffic growth, 9 quarters of consistent same-store sales growth without having a strategy in place that is balanced, which continues to drive people in sight, but also to prompt people going up.

These are where ADS, average daily sales, of the industry is falling, we are able to maintain that ADS in spite of putting 60 restaurants since this last year, the same quarter, so which tells you that there's a balance, there's a thought process, there's a strategy. And I'll tell you whatever you will see in the future is because of the balance, it's not just because of one lever either on the value side or one lever called café, it's going to be a balanced approach on how you approach this business in the long term.

Prolin Nandu: Let me just ask you on the similar kind of a thing where you have mentioned that you have taken a very detailed view of every line item in terms of cost, both at the gross margin and below the gross margin level. So in that journey, where are we? Have we -- most of the efficiencies in terms of every line items. Is it already there in a Q1 number? Or still, there are a lot of levers there which can see -- which we can probably use going forward as well in terms of driving cost efficiency?

Rajeev Varman: I would say that our focus on line items is about 25%, 30% there. 75%, there's a lot of structural changes that we will do in terms of how the lines, how the power is delivered and all those things are in works. And there's a lot of work ahead of us, and you will see those efficiencies over the next several months coming into our P&L.

Prolin Nandu: That's it from my side. And we appreciate the kind of outperformance that the company is showing, and all the best for the coming quarters.

Rajeev Varman: Thank you.

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Moderator: Thank you. Ladies and gentlemen, that was the last call for today. We have now reached the end

of the question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Rajeev Varman: Yes. Again, thank you, everyone, for taking the time to join the call this morning. I want to thank our team in Indonesia that works very hard to -- in this very tough environment to deliver some magnificent turnaround results. And the team here in India that is working under leadership of Cicily and Kapil, doing a fantastic job moving the business in this very tough environment as well.

And I want to thank each one of you for cheering us on the sidelines and keeping us honest to our numbers and through our results. So we'll continue to work hard and deliver the best that we can. Thank you very much.

Moderator: Thank you. On behalf of Restaurant Brands Asia, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

(This document has been edited for readability purpose)

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restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : Unit Nos. 1003 to 1007, 10th Floor, Mittal Commercial, Asan Pada Road, Chimatpada, Marol, Andheri (East), Mumbai - 400 059

CIN: L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

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BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Investor/ Analyst Call Transcript

Ref.: Regulation 30 [read with Schedule III - Part A] of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed the transcript of the Investor/ Analyst call w.r.t. the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended on September 30, 2024 , held on Tuesday, October 29, 2024 at 10:00 a.m. IST.

The same is being made available on the website of the Company viz. www.burgerking.in .

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Shweta Mayekar

Company Secretary and Compliance Officer

(Membership No.: A23786)

Encl.: As above

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"Restaurant Brands Asia Limited

Q2 FY '25 Earnings Conference Call "

October 29, 2024

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE TIME DIRECTOR AND

CHIEF EXECUTIVE OFFICER – RESTAURANT BRANDS ASIA LIMITED

MR. SANDEEP DEY – BRAND PRESIDENT INDONESIA – RESTAURANT BRANDS ASIA LIMITED

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL OFFICER AND CHIEF BUSINESS OFFICER – RESTAURANT BRANDS ASIA LIMITED

MR. KAPIL GROVER – GROUP CHIEF MARKETING OFFICER – RESTAURANT BRANDS ASIA LIMITED

MR. GAURAV AJJAN – HEAD, STRATEGY AND INVESTOR RELATIONS – RESTAURANT BRANDS ASIA LIMITED

MS. CICILY THOMAS – PRESIDENT – BURGER KING INDIA

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Restaurant Brands Asia Limited Q2 FY '25 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participants line will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and zero on your touch-down phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Naveen Trivedi: Yes. Good morning, everyone. On behalf of Motilal Oswal, I'm Naveen Trivedi, would like to welcome you all to the Restaurant Brands Asia's 2Q FY '25 Earnings Conference Call. From the management today, we have Mr. Rajeev Varman, Whole-time Director, and Group CEO; Mr. Sumit Zaveri, Group CFO and Chief Business Officer; Mr. Sandeep Dey, Brand President, Indonesia; Mr. Kapil Grover, Group CMO; and Mr. Gaurav Ajjan, Head of Strategy, and IR. I will now hand over the call to the management for the opening remarks. Over to you, sir.

Rajeev Varman: Thank you, Naveen. Good morning, everyone, and Happy Diwali to everyone. Today is Dhanteras. So Happy Dhanteras and then Happy Diwali. Also joining the call today is Cicily Thomas, who's leading the business here in India; Sandeep, who is leading the Indonesia business as well is on the call; and yes, Sumit Zaveri and Gaurav and Kapil are, as every year call, they are -- they're going to continue to be on the call.

So a couple of things. First, I just want to kick off and then I'll hand it over to Sumit to kind of carry you through the numbers and so forth. See, we know the environment has been tough in India, and the traffic numbers have been kind of subdued and so forth. We have seen SSSG coming in negative in the industry. We had been delivering positive same-store sales for the last, I would say, 8, 9 quarters. And this is the first time we will be having a negative report on SSSG. But we are steadfast on our progress, and I will talk more about that.

So today if you look at what our plan for India is. So our plan for India was first to make sure that we continue to increase dine-in traffic. Is that happening? We shared this with you last time. Dine-in traffic continues to improve, continues to increase. Every single month, we see the dine-in traffic continue to increase. So we want to get more and more customers into our restaurants, and we are very successful in doing that, and that continues in this quarter and into this current quarter.

The second objective that I shared with you was to make sure that the delivery business was getting more and more profitable. In the overall scheme of the restaurant operating margins or restaurant EBITDA being positive and getting more and more efficiencies there, both those we have delivered in spite of a lower areas this quarter. We have continued and delivered better profit over last quarter, but also a better quarter over the previous year.

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So profitability focus in that, restaurant EBITDA profitability as well as improving the delivery business profitability. Both those objectives we have achieved. And we continue to grow on those.

The question of traffic and sales, we continue to drive more and more traffic into our restaurants, which was the objective. And we continue to do that by our promotion of 2 for INR79, 2 for

INR99, and the introduction of Puff at 2 for INR59, those continue to drive traffic into our business.

The third pillar was digital, and Cicily and Kapil will talk more about the digital transformation where we are in terms of our number

s, but our objective is to take our entire portfolio of restaurants and make them the restaurants of tomorrow, which I think we have successfully done over 60% right now, and we should probably get close to 100% by the end of this fiscal year. That digital transformation is across the counter with our guest, the experience of our guests, as well as digital transformation within our kitchen for our employees. So that we continue. We continue our dine-in traffic. We continue our digital ambition. We continue to focus on profitability, both at the restaurant level EBITDA as well as improving our delivery profitability. So that's basically the pronged approach to India business. We continue to move on that. We are on plan. We continue to be on plan with our numbers, and I'll share those numbers with you now.

So we are at about -- not at about, but we are at 464 stores. That's 8 stores that quarter -- quarter-over-quarter. And this is 60 restaurants more this year versus the same quarter last year. Okay? Second, INR492 crores in sales, which is 0.3% up quarter-over-quarter and 8.5% over last year's same quarter. ADS INR118,000, this is where I told you the SSSG was minus 3%, which was plus 3% the previous quarter, which has come down to minus 3%. But predominantly, because of our focus on making delivery profitable, we have taken some pricing there and we are okay with some of the traffic falling there, but the profitability is improving and increasing in our delivery business.

Gross margin, 67.5%, which is 0.7% better over last year's same quarter and about flat quarter-over-quarter. EBITDA restaurant level pre-IND AS 116 was 19.8%. Let me repeat that 19.8% higher than quarter-over-quarter. This is a fantastic job that the entire team has done over here to deliver 19.8% better profitability over the last quarter, 7.6% over year-over-year over last quarter. So restaurants are becoming more and more profitable. In spite of the tight environment in sales, we continue to improve our restaurant level profitability. We continue to drive more traffic into our restaurant dine-in.

And finally, company level EBITDA. Again, I'm going to share the number 39.4% higher than the previous quarter. 39.4%. It's at INR24.4 crores and it is literally 0.6% higher year-over-year. So well done to the operations team in India. Cicily Thomas will talk more about this. She heads the business here. So well done, Cicily, and the entire team.

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Now just going over to Indonesia, just to kind of reiterate what we're doing in Indonesia. Sandeep is here on the call. So again, as we understand, in Indonesia, we had this geopolitical climate, which is -- we kind of keep hoping that it'll go away. But it still prevails over it. There's also some pressures over there from the macro numbers. The economy is slightly challenged over there. And we have not seen a reversal in negative traffic in this last quarter. We are hoping to see some reversal, but we did not see that.

So at same, 149 stores Burger King; 25 stores, Popeyes. We haven't build any stores. We don't intend to build a new stores until we fix that business over there. But here is what Sandeep and his team has done, they've put in place the entire menu. So today, we are supposed to launch this last quarter, and I'm talking about Q1, but we didn't. Finally, launched it in Q2 because of the environment there, the geopolitical. And we finally, now this quarter, which is Q3 gone on air to advertising.

So we are advertising the Spicy Chicken BIC, which is missing from our menu, which has got a massive following. I think we expect that 50% of our chicken sales, BIC sales, will now be on this product. So we have introduced that product. We have just started marketing that product in all 360 degrees and digital channels, television and so forth. So we put that out

there. So that big

chunk of work is done. We have cleaned out the portfolio.

We are further looking at tightening up our G&A, which will be in the next 4 weeks. We will be working on further reducing our G&A and our overheads over there. Consolidating the total G&A down to a very minimal number. And then focusing on our restaurants and seeing if there are other restaurants that need to be closed or automated. But we have put a good team in place over there. We had the restaurants all refreshed. All the operations, equipment have been fixed. The menu has been reorganized.

We have a fantastic CMO over there. Namita, who is doing a fantastic job, putting together a marketing program. She's put a great menu together; she's cleaned out menu items. So all that is in place. We're just waiting for the headwinds to stop and the geopolitical issues to be behind

us, and hopefully, some positive macros for us to turn around.

But in that lieu of time where all this is in place, we continue to be more efficient, reduce the losses over there, that cash losses over there. And just be ready for when things turn around, that we are a very efficient organization and very profitable over there.

So with those words, I'm going to turn it over to Sumit Zaveri, who will carry you through the rest of the numbers. Over to you, Sumit.

Sumit Zaveri: Thank you, Raj. I'll just take you through the broad key highlights of the India performance and then take you through the Indonesia performance. As far as store growth is concerned, we continue to kind of inch forward as per our plan. We're currently at 464 restaurants as we ended September '24.

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During the first half of the year, as you can see, our concentration was to improve the overall digital footprint in our restaurants. That has been our focus on the capital spend side. And you can see that we've rapidly grown to 279 as we speak to you, we have kind of over 300 restaurants. As far as our digital investments are concerned. And then we've slowly inch up on our cafe presence and our store as well, which stands at 365 restaurants, that has cafe today.

As far as ADS is concerned, we kind of at the same -- more or less the same range what we achieved in quarter 1, at 118 ADS, minus 3% on SSSG, as Raj mentioned. Almost after 8, 9 quarters, this is the first time that we've been negative. But while we are negative on SSSG, we continue to kind of be focused on the value strategy, and we remain positive on FSDT side.

The revenue mix has been more or less the same at 43%. Our revenue at the back of the new store additions that we've been doing, continues to grow. We are at total revenue of INR492 crores, similar to what we had in quarter 1, almost around 7%, 8% higher than last year.

As far as gross margin is concerned, it's marginally lower at 67.5%. This is purely at the back of some of the launches that we have done on the snacking category side, Kapil will take you through that. It is planned interventions that we've done. It is not to do with any of the other macro environment per se. We've done substantial launches, and we wanted to make sure that the launch being successful, we were -- we've really gone aggressive with the trial pricing of the launch. As we now slowly relook at the pricing thereafter, we should see the reversal of the gross margin side to come back.

As far as restaurant EBITDA is concerned, the healthy pre-IND AS number of INR552 crores, 10.6% for the quarter. At the back of it, we continue to report, or we've gone back to over 5% at the company EBITDA number, with INR24.4 crores. So it's similar to what we achieved last year and certainly a substantial growth from INR17.5 crores to INR24.4 crores.

Going on to Slide 10, having covered the India business. Quickly going on to Slide 10 on Indonesia performance. Yes. Indonesia,

we continue to have a challenging environment, as Raj mentioned. The ADS for both the businesses are currently under our share. But at the same time, we've now started making our marketing interventions to go live in quarter 3. So while we have a negative reported EBITDA on Indonesia side, we believe that we should now slowly start seeing some reversals on the revenue side.

At the back of it, we being fleet-footed as an organization, we'll continue to look at costs in an aggressive manner. And we will certainly continue to do that in Indonesia for sure and look at the corporate G&A levels where we currently stand there. And so that's literally what is about Indonesia. I'm not getting into consolidated performance, that's already shared, so we can look at that as well.

So having said that, I'll put on to marketing, Kapil, to take us through the marketing initiatives on what we've done.

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Kapil Grover Thanks, Sumit, and good morning, everyone. Just to reiterate, Raj mentioned, we are pretty much on plan. We continue to stay on track on our value strategy. We firmly believe that having a consistent value strategy for driving dine-in traffic in our restaurants is key to our strategic pillars.

Just to recap, we had launched the meal platform last year at INR99 Crispy Veg meal. That gave us significant traffic growth in dine-in. As the platform got cluttered, January this year, we tested the 2 for INR79 and INR99. And since April, that's been our national value program, which has been giving us good returns on dine-in traffic.

Last quarter, we added the newly launched Pizza Puff at a limited time trial offer to the 2 for

platform. And I think if you look at a 2-year basis, first half of the year, we've had significant double-digit dine-in traffic growth on the back of these value programs.

In addition to the INR99 -- INR79 and INR99 platform, we continue to offer the INR99 meal on the BK app as an exclusive offer. So that value program continues as a part of the Crazy App Deals platform. As a third dimension to our value strategy, we also offer great value in shareable needs. So if you look at the recently -- we had the Monsoon Meal Deals for 2 available on all our dine-in assets for the guests that come in to share a good time with their family and friends. Turn on Slide #14. We now have over 365 cafes in the country, and this space continues to grow and deliver INR14,000 to the platform ADS. This quarter, we continue to drive awareness and engagement programs on social media and also started experimenting with an all-day breakfast menu as an option in stores that opened early like transit and corporate trade areas.

On the product innovation update, as Sumit mentioned, we launched the Veg Pizza Puff, nationally it was rolled out in the last quarter. At an invitational price point of 2 for INR59, we saw a tremendous response from our guests. And some of our stores, they're selling upwards of 200, 300 puffs per store per day. That's the kind of response we got on the product. Given this response, we've just added the chicken variant. So the Chicken Pizza Puff is being rolled out as we speak. It's already available in south of India, and we are scaling up for a national rollout in the next few days, to further strengthen our Snacking Menu, which is one of the most key day parts in our category. And we will continue to have more updates on the next call as we continue to drive more guest-focused innovation.

Now on the restaurant side, we've spoken about reimagining our guest experience via digital transformation and an upgraded service experience in our stores. As we speak, over 300 stores are enabled with Self Ordering Kiosks, Table QR Codes, and all our dine-in stores offer table service.

I would now request my colleague, Cicily, to share her thoughts on this rollout.

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Cicily Thomas Thank you, Kapil. Good morning, everybody. So just to take off from where Kapil said and Sumit said, this entire year, our focus has been on the digital journey and enhancing our customer and guest experience at the stores through digital experience. I would like to divide this and just take you through what we've done.

As Kapil mentioned, as we speak, there are 320 stores, and this is what is planned by the end of the year, and we are very effectively doing that. We divide the digital into front of house and back of house. And why I would do this, is our external customers and internal customers are both important when we want to actually -- give a very good guest experience.

In the front of house, we offer table service. I'm sure many of you have visited our stores, you would have seen that today you can order for multiple touch points in our stores, which is either on the table through QR code, we have the BK app, and of course, we have the SOK, Self-Ordering Kiosks. Guests have very much appreciated the ease and convenience of ordering as they have multiple touch points. And also this allows them to reorder even if they come to the SOK and gone back. We've seen that this helps us with increasing our dine-in sales, which is one of the priority for us this year.

In the mall, what is interesting is the BK app is now acting as a QueueBuster. This is helping us increase the throughput and a number of transactions, especially during peak hours. Now this is also important that we look after internal customers. We have actually launched at the back of house something called the Dynamic Service System.

What it does is that it actually improves efficiency of labor. And through that, even operational efficiency. Our crew is finding it very easy to operate the new system, and this helps us with expediting our orders much quicker and with much more accuracy.

The last bit on King's journey, which we've just done and we're very proud of, is that the automizing our drive-thru stores. We are in the process of this digital journey. Today, we have about 4 of our stores in the BK, which are through voice-ordering system. We have actually enhanced the menu, the ordering process. We're talking to customers, and today, we believe that the speed of service, along with labor efficiency and operational resiliency, has drastically improved our drive-thrus. I hope that all of you get a chance to experience this when you visit the many drive-thru that we're opening.

Thank you. Over to you, Kapil.

Kapil Grover Now I'm on Slide #17. We've been building BK App and laying the foundation of the CRM scale-up in the future. Our acquisitions continue to grow at a very healthy pace, with the app installs growing by 33% over last year's same quarter and a 2.3x growth in our app user base. This is primarily driven by a strong in-store execution of exclusive dine-in deals available only on BK App.

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Last but not the least, we continue to be one of the most engaging brands on social media with our focus on useful, authentic conversations with our friends. The one I particularly love was one on the Independence Day about different tastes, flavors, perspectives, but all blended in one India. That's all from my side.

I will now hand over to Sandeep to share the Indonesia business update.

Sandeep Dey: Thank you, Kapil, and a very good morning to all of you. You heard from both Raj as well as Sumit that the geopolitical headwinds continue to impact our sales. So let me give you a little bit more insights to the overall macro environment here.

The overall economy has kind of slowed down. Since May 2024, Indonesia has actually recorded 5 consecutive months of deflation. The middle-class population shrunk by approximately 9

million and unemployment increased significantly due to a 21% increase in layoffs versus H1 of last year. Even FMCG sector is experiencing softness in demand. In fact, the top FMCG conglomerate has reported high double-digit drop in revenue and over 50% drop in the net profit. As far as QSR industry is concerned, other than the slowdown in consumption, global brands continue to experience the impacts due to the geopolitical turbulence and leading to significant drop in revenues and profits.

Now our business actually started to get much better towards the festive month of April this year. And by third week of May, we kind of crossed the pre-boycott level of sales. But unfortunately, last week of May is when the second crisis hit us, and the dine-in business actually experienced a sharp decline.

As a result of which, our quarter 2 ADS dropped by 11% year-on-year led by a 22% drop in dine-in sales. However, as Raj mentioned and also as Sumit mentioned, we continue to stay laser-sharp focused on controlling our store operating costs and also our overall admin costs, and at the same time, driving traffic back into our restaurants.

Now I've spoken about this during our last few calls that this is a very strong fried chicken market, and building relevance and credibility of our chicken menu is one of the most important strategic pillar for our business. So we had 2 kinds of fried chicken products in our menu, the crispy and the dunked saucy version of the spicy. However, we also understand that there's a massive demand for a non-saucy, breaded spicy version. So we developed that product and also test marketed for almost a couple of months.

We were quite encouraged with the test results. And based on its success, we launched this product across the country with a very strong aggressive offer price of IDR 17,030 for chicken and rice, which is almost like 40% discounted.

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And we also rolled out a comprehensive 360-degree integrated media plan to support this launch. After a gap of almost 16 months, we have gone on TV and also have a robust digital plan in place, including YouTube, including TikTok, Programmatic and so on and so forth.

And not just TV and digital, we also have a 360-degree branding, like mall branding, in-store branding, outdoor branding; and also a bunch of engagement activities like sampling and product reviews with KOLs, crew incentive programs and so on and so forth. We are also extending this offer across all channels, be it dine-in, be it delivery, be it drive-thru, be it apps, be it coupons. Now we launched a campaign just about a week back, and we are quite hopeful to see some positive momentum in sales.

And moving on to the next slide, which is Popeyes. It's a new brand, small brand, and we just have 25 stores. But the priority for this brand continues to be building awareness and continues to be generating trials. So it's a culinary brand and our ambition is to build this brand into a chicken destination. We have a massive variety and chicken offerings to address different consumption occasions. In fact, we are the only QSR having chicken in both fried as well as grilled formats.

Grilled chicken is a unique differentiator. And we have strengthened that portfolio by adding more varieties like grilled wings, like grilled sandwiches, to our overall signature grill collections. We are also launching the breaded spicy fried chicken variant by next month. And with that addition to our menu, we will undisputedly be the only brand offering such a wide range of chicken in the QSR space.

So the most important task at hand for this brand is to build awareness and generate trials. 100% of our stores have self-ordering kiosks, and more than 90% of the dine-in business happens with those kiosks. We have also launched our app and rapidly scaling up downloads. So in

the next

couple of weeks' time, we are launching a very strong coupon strategy, both digital, through our apps, through our kiosk, as well as physical to drive trials and drive repeat frequency. And last but not the least, we will continue to be absolutely maniacal about providing elevated guest experience through table service and every other aspects of guest touch points. So that is from my side about the Indonesia business.

And now I hand it over to Gaurav to share the overall outlook for the business.

Rajeev Varman: Thank you, Sandeep. Before Gaurav takes over, this is Rajeev here, again, I just want to summarize before we give you our way forward slide. Look, the India business is very strong.

It continues to be extremely strong in this environment. It seems to be the only business in the QSR industry which continues to grow positively in profitability, right? So this is because of the immense amount of work that we have done in our planning over the last 5, 6 years in growing the brand profitably.

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So the business is strong. Traffic and dine-in continues to increase, and it's been increasing for a very long time now, and Kapil shared those numbers with you. Our delivery business continues to become more and more profitable. We are taking several steps, and you'll hear some of the steps in the next quarter when we share them with you.

But we continue to make that business more and more profitable, and that's our aim there. And Cicily and her team are doing a fantastic job getting the digitalization done in India. So that's the strength of getting more customers in -- getting transactions rapidly done there, providing all the convenience to our customers. So all these three efforts are on track. The Indian business is extremely strong.

Indonesia, headwinds are there. But in the view of these headwinds, we have taken the following steps that Sandeep articulated. Look, when economy is usually deflated or it's down, QSR actually thrives in countries like Indonesia and Malaysia and so forth. But due to these headwinds from geopolitical issues, we still kind of face that trauma over there in that business. I think with us having completed the menu, brought in the extra item in there, now positively going on 360-degrees advertising of this new product, and of course, the beautiful menu that he's put together, I think we are now looking at everything that we have done is in place, and we are now positively tightening up our belt on G&A and so forth. And we expect that this business will become profitable in the future.

So thank you, Sandeep, and I'll turn it over to Gaurav to just kind of summarize the way forward.

Thank you, everyone, and we'll take your questions after that. Over to you, Gaurav.

Gaurav Ajjan: Thanks, Raj. Good morning, everyone. I am on Slide 24, that is, The Way Forward. So as you know, at the end of the last financial year, we had 455 restaurants. Our plan remains to open 55 restaurants this year, giving us a total of 510 restaurants. At the end of last quarter, we had opened 9 restaurants. And of the remaining 46, locations have been identified and most of these restaurants are already in construction. So overall, we remain on track with our restaurant growth plans.

For gross profit, as you all know, for last year, our average stood at 67%. Last quarter, despite inflationary pressures, we achieved 67.5%. And our medium-term plan of achieving 69% by FY '27 remains intact, and this would be on the back of pricing, especially on the delivery side that Raj spoke about, as well as some of the supply chain and distribution initiatives that we are taking.

On Indonesia, last year, we had broken even at the restaurant level. This quarter, we've been hit by some of the geopolitical headwinds. But going forward on the back of the launch of the new Spicy Chic

ken, the marketing plan as well as some cost-containment measures, we are targeting to reach cash breakeven at a country level.

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Thank you, everyone, for joining in. With that, I would request the moderator to please open up the floor for Q&A.

Moderator: Thank you very much, sir. We have the first question from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Hi sir, thank you for taking my question. My question is on regards to the profitability on the India front. While we saw that the ADS had declined by around 6% odd for this quarter, particularly. But despite that, the margin has kind of held on both at the restaurant level and at the company level. So how should we see costs going ahead from here on? And the way forward,

if you can guide something and what will be the levers for the cost?

Rajeev Varman: Thank you, Gaurav, for your question. Yes, thank you for citing that we continue our profitability in spite of all the sales pressures. Look, we -- I mean, if you look at our P&L and you've just put the ADS that would have been there, even getting it back -- minus 3% back to 0, you'll find that all those numbers would have been much better, if we had 3% more sales on top, right? So yes, those efficiencies, we continue. So if you look at the margin side, gross margin side. We'll find efficiencies because we are building more restaurants in cities which have now 2 or 3 restaurants, could probably take 10, 15 restaurants, we continue to build there.

So what happens is the primary distribution cost gets spread over instead of 2 or 3 restaurants, maybe 10 restaurants. So that cost on transportation continues to decrease. And you will find efficiencies as one of those handles is basically on gross margin, which is through transportation and so forth.

Also economies of buying. As we continue to increase our volumes, number of restaurants increase. What happens is, we are able to bring in multiple vendors into our system, and then we are able to bring efficiencies to our P&L through better buying, right?

And also in the same respect, you'll find that the existing vendors are able to produce more at economies of scale, and that also is another handle that's available. See, the advantage Burger King, our RBAL, has in India is it's the sole operator for the entire country, which means we can really plan and strategically put our distribution centers all across India to bring the best transportation costs to our restaurants. So that's a big lever there.

Second is, last time we spoke on utilities. We told you we were focusing highly on utilities. Our entire team was focused on utilities. We have taken several steps putting in some technical machines, which wash the air before it comes in, reducing the temperature before it goes in to the air conditioning systems. We have also reduced the number of boilers, water boilers in our restaurants, so that those heating temperatures are all coming from one central area. So that has brought efficiencies to our restaurant.

We are also working on our equipment. And you will hear from us in the next 2 quarters on an efficient equipment that we will be rolling out, which will bring down utilities as well. So a lot

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of work. Also, putting up all these blinders in restaurants with high sunlight and high glass, we have done a lot of things. It's a list of stuff. So the utility unit consumption, in spite of the fact the unit prices continues to go up. The unit consumption, we have continued to reduce it. So you will find that as a big lever as well.

And then Cicily is also doing a fantastic job in managing the labor. As you know, with SOKs and digital machines in our restaurants, there's optimization of total labor that is utilized and better c

onvenience to our consumers and so forth. So all these are levers. All these are levers.

And then our delivery team is doing a fantastic job in making sure the efficiencies in delivery, whether it's taking pricing, whether it's taking some increased costs on packaging, whether it's negotiating lower prices on delivery aggregators and so forth. So all these efforts we have put in place.

And product mix is another one, right? What you sell is what determines the profitability of the company. So all this on the delivery side are key handles to kind of continue to bring those down. So all these are in place. So you will see a gradual -- if you look at our P&Ls, you look at our numbers, and I would invite everyone to go back and look at the last 8 quarters of our numbers, you'll find a strategically planned progress in our numbers. You will not find ups and downs; you will find a strategically planned progress.

And that's due to just planning, is how we are planning our distribution, how we are planning our utilities program, how we are planning our equipment, what Kapil is doing in planning out traffic in the restaurant, what Cicily is doing in bringing SOK. All this is, in a planned way, we are moving it forward.

So those -- you might have a quarter here and there where you'll have some inflationary pressures, but the plan is in place, and you'll find all these key drivers that I just gave you. continue to drive those costs lower and profitability higher. I hope that answers, Gaurav. It's a long answer, but I wanted to cover all the levers.

Moderator: Thank you very much sir. We will take the next question, which is from the line of Mr. Shirish Pardeshi from Centrum Broking. Please go ahead.

Shirish Pardeshi: Raj, you mentioned that the SSSG is minus 3%. If I look for 57% business is coming from the dine-ins. I think, Kapil also mentioned that the Puff intervention is also bringing double-digit traffic growth. The outcome of this is that SSSG has declined minus 3% and ADS is flat. How we should think -- and maybe if you can give me a little more depth, is the dine-in ADS is higher and SSSG is positive, and delivery ADS is coming down? So some more better understanding

on these numbers.

Rajeev Varman: Yes. Fair question. So two things, right? One is, if you look at the dine -in traffic, it continues to grow. So our focus is on that, and we'll continue driving that.

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Now what -- how are we driving our dine -in business is, we are driving through value at this point, right? We have other levers, and Kapil has already put those in plan, and you'll see that in the future. But we are driving that through value. So there's an APC reduction when you're at 2 for INR79, 2 for INR99, you understand that. So that APC reduction, a traffic increase continue to give us a positive momentum on the dine -in business.

Now delivery, we have taken some serious decisions to make sure that this business continues to generate more profitable, right? And in spite of us increasing some of the prices there, negotiating some of the deals over there. We have made this business, delivery business more profitable at a lower sales than it was at previous higher sales.

So in spite of us dropping some of those delivery sales, we have actually improved our profitability EBITDA on it. And that's why you see that even at minus 3%, we are delivering a higher profit this quarter again, and it's because of this lever that we are focusing on. I hope that clarifies a little more for you.

Shirish Pardeshi: That is helpful. But again, just to add on, we have now mentioned that Cafe, this is also driving 14,000. That is also creditable. So I mean, to drive the traffic, you're doing right things. But somewhere the math is not happening. So that's what I wanted to have a little more depth.

Rajeev Varman: Yes. So

in addition to opening those cafes, you understand that we put 60 restaurants, new restaurants, that are well below the ADS. I mean, I don't want to throw an ADS number here, because no one does that in the industry. But they run below ADS, they catch up in about 1 -1.5 years, they catch up with the average ADS. By year 2, they start becoming a full -fledged restaurants. We added those 60 restaurants between the previous quarter and this quarter. And you find that, that is one of the levers that kind of keeps the ADS where it is, that we add on these new restaurants, it would take about 1.5 years to kind of ramp up to the average ADS. So they do bring the average down slightly.

And apart from that, there is no other lever that I can share with you that you would like to put that in your model. But I'll turn it over to Sumit if he has any other -- and you can reach out to Gaurav and -- if you're putting your model together, he can help kind of answer some of your questions in detail as you need them. Yes?

Shirish Pardeshi: Yes, sure. My second question to Sandeep. When you look back in Indonesia, I think there are two targets which you have mentioned is to run the business profitably and we want to be EBITDA positive. So just tell me path to profitability. Of course, the country will not recover very, very soon. I mean, this pains will continue to my sense, though I'm not a political expert. But I think in the current scenario, if situation further doesn't deteriorate, how we are planning to get our path to profitability?

Sumit Zaveri: Maybe Sandeep, before you pick this, I'll just take this first, and then you can add if I'm missing anything. So Shirish, as far as Indonesia path to profitability is covered, it is two -pronged. One is we had already taken a look at the portfolio. We're down to 149. We had taken corrections on

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the G&A side. We are going to look at that much more closely, and we'll have a harder look even before the business starts to recover on the revenue side.

The third piece to this path to profitability, obviously, is to get the sales back to its -- to higher levels. We started to invest in the marketing from this quarter. We were -- we are planning to start from quarter 2, but now we just started from quarter 3, where we've gone live with our chicken promotion.

So a combination of continued to push the brand on the revenue side and then having a very hard look at the G&A is what we are going to address over the next 2 quarters as we speak in our path to the first level of cash breakeven or profitability. And thereafter, we will build on to it. But that's actually how we are going to focus on Indonesia over the next coming 2 quarters there. And then, as the scenario changes, and we will keep looking at our strategy and way forward on Indonesia.

Sorry, Sandeep, if you may want to add.

Sandeep Dey: I think you have rightly pointed out some of the key levers. Just other than that, I would add a couple of more points. So we are also what we are trying to do is optimize the overall store

operating costs, including the gross margin line, right? So Raj did speak about all the efficiency levers we are driving and including the gross margin through procurement efficiencies. In fact, some of those, we are also leveraging some of the India contracts and trying to get the buying price reduced for the Indonesia market as well. So that's also a leverage we are enjoying. So some of the gross margin improvement levers are in play, and we will see some of those efficiencies coming in, in the times to come. At the same time, Naveen, who manages our operations, is doing a fantastic job in bringing the overall store controllable costs down. So quarter-on-quarter, we have optimized the labor cost, improved the productivity of labor. TPLH has significantly gone up, and that is all

so helping us actually reducing the breakeven threshold at the store level at a significant manner. So these are the few levers which we will continue to work. Other than, of course, optimizing the overhead at a G&A level significantly down to -- as a means to pass to our profitability.

Shirish Pardeshi: That's very helpful. I was quite pleased because despite the relevance and the pain in the economy and macro are not looking better. You guys are spending money on the advertising. So I was more curious, I mean, that's my last check with you, that how much spend we are doing absolutely on the digital media and the ATL?

Rajeev Varman: Yes, Shirish...

Shirish Pardeshi: If you can quantify it on percentage or maybe absolutely number.

Rajeev Varman: Thank you for the questions. So look, two things we have done. One is we have stopped putting capex into that market, which means we are not building any new restaurants, right? We closed

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down several restaurants. We've got -- about 26 restaurants were closed. So no more capex is going into the restaurant. We're just trying to get the existing portfolio to become profitable. And you are absolutely right, we already had reached restaurant level breakeven, right? We had done that before the second event happened in Gaza, and then there was, again, a headwind on that event. So we have those issues, right? But we had brought it down to breakeven over there. Now if you go back and look at our marketing program, we were very, very selective. See, last quarter we were supposed to -- and when I say last quarter, I mean Q1, not Q2, we were supposed to go with the marketing program 360 degrees. But that event happened, and we said, let's just be prudent with this, hold back. And now we are, in Q3, going back into the market. We are supposed to, as per our franchise agreement, spend 5% of our sales on marketing. It's required, and we are well within that. We'll end up being well within that 5%. It's mandated by our agreement. We'll end up the year 5% or lower on our marketing spend.

But that's the money we are putting and the quantity of money we are putting in there is sufficient to do a good job. 360 degrees marketing, whether it's on television, digital or LSM, which is local store marketing, all three elements have been triggered.

And I think the market is kind of -- there's a new government that formed in October. There, as you know, they're moving their capital from Jakarta, so there's a lot of investment required. The government is advocating now for investments to come from abroad and so forth. So I think the environment is slowly loosening up. And having seen that, we have gone out and we have put this marketing spend.

I hope that answers your question. We usually don't share numbers and how much marketing we're putting in until the -- after the fact. But you can understand it's about 5% of our total sales and marketing.

Shirish Pardeshi: Thank you, Raj, and team. Happy Diwali to you.

Moderator: Thank you very much. We have the next question from the line of Tejash Shah from Avendus Spark Institutional Equities. Please go ahead.

Tejash Shah: Hi, team. Thanks for the opportunity. Just one question from my side. Just wanted to understand the character of the QSR slowdown that we are witnessing currently in India. Specifically, how do you weigh? Because in last 2, 3 quarters, we have heard multiple factors, like geopolitical reasons or competitive intensity, general consumer slowdown. So first of all, is the list exhaustive here or do you feel there are certain other factors? And if you have to assign or rank them in terms of which factor is contributing more versus relatively less, how would you go about it?

Rajeev Varman: Yes. So generally, if you look at the market, I'll give you a macro understanding that we have and what Kapil

has been doing for the last 7, 8 quarters. The market is slightly on the value side.

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That's the way we look at it. I don't see a market up and down generally. There's always demand. There is always demand in the market.

What kind of demand that is? Is it a luxury demand? Is it demand on the upper end of the menu? Or is it the demand on the lower end of the menu? That's the only difference between the way I look at it generally. And I'm not giving you just an India point of view, this is generally the point of view I've seen all of my life, whether in North America or Europe. Generally, as things get tight, the demand shifts to the value side of the menu.

So we continue to drive traffic there. So when you have more footfalls coming into your restaurant, how can you say that there is no demand, right? So we don't say that. We say that there is demand, but there is a value demand at this point. They will graduate to the mid of the menu and, hopefully, that this December, we should go back into a more normal kind of APC or average per check kind of a pricing, which I think is what Kapil is estimating it to go to.

So it is right now a value demand, which brings a lower APC, but we continue to drive more traffic. We generally are expecting that this, over the next 2, 3 quarters, will start becoming more mid to a higher -level kind of APC and you will expect the SSSG to become positive for most of the players.

Tejash Shah: Just a double -click on that one factor. So other things are clear. Since we are getting higher footfalls, our traffic has not been compromised, as you highlighted. Should we see that at least in India, the geopolitical factors not weighing in as heavily as it is in Indonesia?

Rajeev Varman: Yes. I mean, Indonesia, is a very different situation. Malaysia, Indonesia, Turkey, some of our businesses in Middle East, they're all being impacted severely. Here at Burger King, we have not seen any kind of impact in our portfolio. In our portfolio, wherever it is from geopolitical issues, we might have a miss on that, we may not fully understand that. But we personally don't see that as one of the events that is pushing. I think, it's generally -- I think, demand has moved to the value side of the menu. And Kapil has been extremely prudent in keeping his marketing programs there, and hence, you have seen a better performance in the last several quarters from RBAL.

Tejash Shah: Very helpful. Thanks and all the best to the team and Diwali wishes to the whole team.

Rajeev Varman: Thank you.

Moderator: Thank you so much sir. The next question is from the line of Amnisha Aggarwal from Prabhudas Lilladher Pvt Ltd. Please go ahead.

Amnisha Aggarwal: Yes. I have just basically two data points on which I have a query. One is your other income, which has shown a sharp increase from something like INR3.9 crores to INR7 crores. So any reason for that? And the second is other expenses, which have shown a sharp decline, both. For example, if I look at on a QoQ basis, so they have actually dipped from INR195 crores to INR186 crores.

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crores. So this kind of a trend were not there last year, because last year, they actually increased were INR2 crores. So any clarity on this would be helpful.

Sumit Zaveri: So one is that other expenses reduction is largely honestly on account of the efficiencies that we've put into place what Raj was mentioning. Other income is more from the perspective of some of the longer -term contracts that we've negotiated with our vendors, plus income from surplus funds that we have. So it's a combination of both those matters there.

But cost line reductions that we are seeing are all the efforts that Raj mentioned on the utility side, various other kind of initiatives that we've been constantly working on.

ing on is really the result

why we are seeing the reduction in the cost lines there. And that part of the effort will continue.

Whether it is on the G&A side or whether it is on the middle of the P&L side, we will continue to remain focused on those part of the initiatives there.

Amnisha Aggarwal: There is no cut in ad spend, it means?

Sumit Zaveri: Sorry?

Amnisha Aggarwal: There is no cut ad spend Q -o-Q as a percentage of sales?

Sumit Zaveri: That we've kind of mentioned if you see Slide 8, Amnisha. There is a marketing expenditure which we kind of shared. So it's -- in the current quarter, it's 4%, which last quarter was around 5%. But on an average, we spend 5% on a full year basis. So if you really look at it from the perspective of ad spends on an annualized basis, we will always be at 5%.

Amnisha Aggarwal: Okay. Thanks a lot.

Moderator: Thank you so much. We have the next question from the line of Dhwanil Desai from Turtel Capital. Please go ahead.

Dhwanil Desai : Hi, good morning, guys. First of all, congratulations for a very decent performance in a very challenging environment, especially for India . So my first question is, when we -- if you go back

in time, when we acquired the Indonesia business, I think the idea was that it's one of the fourth most populous market, growth is there, we'll achieve good growth, and there is a decent room for gross margin improvement and the restaurant level EBITDA economics is much better. So now given that Indonesia has been a pain point for us for some time now, how do you guys think about that market? And let's say, if our assumptions, which we had at that point in time, are not now as threat or relevant. Do you think of doing something else in the Indonesia market, either hiving it off and selling? Some thoughts on that?

Rajeev Varman: Yes. Thank you for your question. We appreciate your concern. But look here, these are geopolitical headwinds, right? The assumption were never made on geopolitical, right? We never bought that business saying, "Hey, after we bought it, there's going to be a strike in the Middle East and a war over there, which is going to have an impact way thousands of miles".
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away in Indonesia." See, this business in the heydays, this is pre-COVID, used to run a 15% plus kind of EBITDA at the restaurant level. That's the business that was, right? Now the damage that has been done to this business -- and it's not just us, it's the entire industry. Sandeep kind of articulated what's happening with the other QSRs over there. KFC is actually a public company, you can Google and see the results as well. So this is more driven by geopolitical. It's, as I call it acute, it's not chronic, which means that it will go away, and we will come back to basically good sales and people come back and embrace the business. We see that. Because when we go out and talk about value, we do see uptick in our delivery sales and takeouts. People are still like a little hesitant to be sitting in the restaurant or to be seen sitting in an American brand kind of a restaurant there.

But I think my sense is, these are acute. They happen and they go away. And I think it will end -- the government wind is very, very promising. I think, the new government formation, the ambition of them to get some foreign investment there to support the brands that have come in and build there, whether it's Unilever, whether it's all the rest of us, I think, there's a lot of focus on that. And I think we will benefit from that, but it will take a little time. We have to have patience.

So while we need some time and we have -- we need to have that patients, we are not just sitting waiting for good things to happen, right? We fixed the menu. We put in this extra thing. We went out boldly and we started marketing this product. On the other hand, we are

also taking the

second 2.0, I would say, on G&A and you will find very pleasing numbers towards Q4 on all the steps we are taking on our G&A forefront.

We're going to make this a very efficient business, right? We're going to make sure that this business becomes extremely efficient. And our ambition is to get back to the 15% -plus kind of gross margin -- restaurant -level margin that it's used to enjoy. It's doable, because now the things are in place. And we have got a good team over there, a good leader like Sandeep running it. We have Na veen, who's a very good operator who runs all the restaurants there. We have a very good CMO over there, Namita, who is doing a fantastic job. So I think all the things are in place. Unfortunately, these events happen. And you have to kind of suck it up. Just like during COVID, we had a global event, right? So we just have to suck it up and kind of do all the right things and get ready for when things improve.

Dhwanil Desai : One more question on the India. So I think, we have been very laser sharp focus in terms of our value strategy. So if I look at our peer or competition, I think in last 2, 3 quarters, they have significantly increased focus on value offerings. And I think they always had a value offering. But I think the focus has increased significantly. So in that kind of a context, how do we see our traffic growth and ADS and SSSG panning out for next 2, 3 quarters? Do we see significant impacts from that?

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Rajeev Varman: We will continue to be focused on increasing dine-in traffic. That's a commitment we have from the entire team that we will continue to drive more people into our restaurant. We have beautiful SOKs there. We have a DSS system. We have table ordering. Our drive-thru restaurants have beautiful digital menu boards and ordering systems outside. We are now going to make the experience of this consumer moving forward at 2.0 kind of experience when they come into our restaurants. So that's what's going to be our main focus of this team.

On the delivery side, we already are among the top, if not the top, the biggest driver of traffic and delivery. We have just taken our focus as a company to make sure that we now start making

that business more and more profitable. So we are putting a lot of emphasis on what products we are selling, what discounts we are giving, what packaging charges. All that stuff, we have started putting a lot of focus on it and we have started increasing its profit significantly. So that effort will continue.

The environment from time to time, you will find all the players in value area. You'll find sometimes when everyone is in value area, one operator might choose to go into the upper end of the menu. But that's how the industry rolls and we are not worried about that. We have now got enough experience of 10 years' operating in India, so we understand that very clearly.

Moderator: The next question is from the line of Nihal Mahesh Jham from Ambit Capital.

Nihal Mahesh Jham: I just had one question. For the India business, if I look at your delivery and growth, both are similar, I think, around 9%, how for a lot of the other QSRs, you've seen that delivery has done much better. So is it the value offerings that we had, specifically for dine-in, is something that drove for a lot of the traffic? Whereas on the delivery side, given those offers are not available, is the reason we saw similar growth?

Rajeev Varman: And I'll let Kapil kind of answer the second part of that thing. But see, you can choose how you're going to bring traffic in the dine-in business. So there's a strategy, there's a value proposition, there's a communication proposition and there's an operation initiative. So you put all those in place to drive traffic into the dine-in. So that is in place.

He's picked this 2 For kind of

a platform there and he continues to drive. That doesn't mean that we stop doing the business on the Whopper or on our Gourmet of the menu, which are Kings Collection. We don't stop doing that business and we don't stop putting in snacking items. We don't stop all our effort in Cafe. But there's a value strategy that Kapil does, that value strategy is different in dine-in.

Now coming to the delivery business, the driving traffic through delivery, very different strategy in place, right? Whether it is, as we call it, Blitz, that is available on one aggregator, whether it's a discount on another aggregator, what is discounted, what menu items are in those menus, that is the strategy that you can kind of fine-tune from year-to-year. And now the focus over there is to make sure that, that P&L continues to increase the profitability. We want to raise that profitability level to another level. I don't know, Kapil, if you want to add.

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Kapil Grover No, I think as you summed up quite well. It is a channel-wise approach. Every channel has its own sort of consumer insights and needs, and we sort of cater to that basis our understanding of the consumer. And it has to be a balanced approach. We don't sway on one side; we balance our value with innovation on the dine-in side. And these are not tactics, these are long-term plays. We see them play out in the next few quarters in the same direction.

Nihal Mahesh Jham: Sure, I'll take this offline also. Thank you so much.

Rajeev Varman: Thank you. I think we are past 11:00. We can take one more question and then we'll call off the meeting. Thank you.

Moderator: Okay sir. Thank you very much. The next question is from the line of Rohit from Ithought PMS. Please go ahead.

Rohit: Good morning, everybody. So just one question on the balance sheet. I think we have about INR100 crores of cash and some debt as well, which has gone up in the last probably 3, 4 quarters. So as we sort of -- I mean, at an overall entity level, as we expand probably in India from probably at the end of this year from 500 to closer to 700 in a couple of years, and also probably Indonesia is taking a bit more time to turn around. So is there probably need to raise more money? Is that something that the management is thinking? Or are you comfortable with the cash flow that you will generate for the ramp-up that is there, at least in India?

Sumit Zaveri: Thanks, Rohit, for the question. So yes, we are evaluating the overall liquidity position very closely. Yes, we do believe there will be some amount of liquidity that we might have to add. We are just kind of still internally finalizing the plan in terms of which part we could take. But yes, we would look at some kind of...

Rajeev Varman: Yes. And just to add to what Sumit just said, we are not putting any capex in Indonesia. So you'd appreciate that. All the marketing spend over there comes from within the sales that we generate there. So there's no issue there. We continue to grow here in India, and we will shortly kind of share those plans for the next little while, next few years. Probably by the end of this year, we will share all that with you guys. But yes, we are evaluating all those and making sure that we continue to grow and build a large organization here in India. Thank you.

Rohit: Got it. Thank you that's all from my side.

Rajeev Varman: All right. Thank you, guys. Thank you, everyone, for joining. Again, a very, very Happy Diwali to everyone. I'll turn it over to Gaurav, unless -- is there anything else? No?

Gaurav Ajjan: Thanks, Raj. Thank you, everyone, for joining in. In case any of your questions are unanswered,

my contact details are there at the end of the presentation. Please feel free to reach out to us.
Thank you very much. Thank you.
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Moderator: On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2025

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : Unit Nos. 1003 to 1007, 10th Floor, Mittal Commercial, Asan Pada Road, Chimatpada, Marol, Andheri (East), Mumbai - 400 059

CIN: L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

January 31, 2025

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Transcript of Investor/ Analyst Call

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed herewith the transcript of the Investor/ Analyst call w.r.t. the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31 , 2024 , held on January 29, 2025 at 05:30 p.m.(IST).

The same is being made available on the website of the Company viz. www.burgerking.in .

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Shweta Mayekar

Company Secretary and Compliance Officer

(Membership No .: A23786)

Encl.: As above

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"Restaurant Brands Asia Limited

Q3 FY 25 Earnings Conference Call "

January 29, 2025

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – RESTAURANT

BRANDS ASIA LIMITED

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL
OFFICER AND CHIEF BUSINESS OFFICER –
RESTAURANT BRANDS ASIA LIMITED

MR. GAURAV AJJAN – HEAD OF STRATEGY AND
INVESTOR RELATIONS – RESTAURANT BRANDS ASIA
LIMITED

MR. KAPIL GROVER – GROUP CHIEF MARKETING
OFFICER – RESTAURANT BRANDS ASIA LIMITED

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Restaurant Brands Asia Limited Q3 FY '25 Earnings Conference Call, hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Naveen Trivedi: Good evening, everyone. On behalf of Motilal Oswal, I'm Naveen Trivedi, I would like to welcome you all to the Restaurant Brands Asia's 3Q FY '25 Earnings Conference Call. From the management today, we have Mr. Rajeev Varman, Whole-time Director, and Group CEO; Mr. Sumit Zaveri, Group CFO and Chief Business Officer; Mr. Kapil Grover, Group CMO; and Mr. Gaurav Ajjan, Head of Strategy, and IR. I would now hand over the call to the management for the opening remarks. Over to you, sir.

Rajeev Varman: Yes. This is Raj Varman, Rajeev Varman, you can call me either one. Good afternoon, good evening. Thank you for joining the call. I'm going to briefly kind of outlay the strategy and the KPI results on top line and then hand it over to Sumit, who will then carry you through the numbers and then over to Kapil.

So I'm going to split this between Indonesia and India, like I always do. So first, I just want to make sure that everyone is aware that we have crossed 500 restaurants as a brand in India. If I recall, I started this brand along with my team in 2014. Actually, we put the company together in 2013. We spent a year putting the concept together, products together and so forth, supply chain and so forth. We opened our first 10 restaurants in 2014 between November 9 and December 31. That was in 2014.

Today 2024 December, we have closed that 10 restaurants to 510. So we have put 500 restaurants between December 31, 2014 until this December 31. So thanks to the entire team that works extremely hard to make it one of the fastest-growing brands in this country and probably one of the fastest to reach 500 restaurants. And thanks to all the supporters out there who not only support us through their investments, but also being a very good customer to our brand as well. Now if I look at the priorities for India, it's -- we have kind of stayed still on what we wanted to do, and we continue to do that, and we'll continue into the next year. So the top 3 things that we are working on, which I shared with you last time was, one is to grow dine-in traffic, right? So we had a respectful delivery business with one of the highest traffics coming into our delivery business.

And we wanted to now start building the dine-in business post -- now it's almost 2 years post-COVID. So we've focused on that. We've have built a very strong and Kapil will share that with you and you get into marketing, how we're doing in terms of building that business. But dine-in continues to be positive, not just in sales, but also in traffic. We continue to drive more and more Restaurant Brands Asia Limited
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people every single quarter into our restaurants. So very, very happy about that and we'll

continue to focus on driving more and more business into our dine-in restaurants.

The second focus area in building this is through innovations. And we shared with you that we had kind of rolled out the veg puff in the past. And now we're sharing with you we are the first brand in India to have launched the chicken puff as we did in India. So that and including all other innovations, including the cafe and

so forth, we have continued to drive traffic into our restaurants through these initiatives.

Second big bucket for us is the digital first brand, as I've outlined last time. And today, again, starting only about 18 months ago when we had no self-ordering kiosk, all the orders were taken on pause and between this last 18 months, we have taken this portfolio of 510 restaurants to 437 restaurants with SOKs, self-ordering kiosks. 90% of our sales that comes into our restaurants. 90%, I repeat that is digital.

It's either through our kiosk whether customers place it or it's through our table ordering where there are QR codes on the table or it's our app, which allows you to order not only delivery, but also dine-in. And we are doing a big push through building our business through the dine-in app as well. So again, 90% of those orders are digital, 437 restaurants have SOKs, or self-ordering kiosks. And they also have table ordering and so forth and the digital journey.

Now we're going to move the balance in this next quarter. We will reach and have close to 100% of our restaurants with the King's journey, which we call the digital journey, which means SOKs and so forth. So that's one big initiative that we are focusing on. Now the app is another one that we are continuing to grow on our downloads year-over-year. It's about 30% growth on the downloads of our digital app and Kapil will kind of dig into a little deeper on how we are using that in building our business over there.

The next pillar is for us is profitability. We told you that we are wholly focused on the restaurant profitability, but also laser-focused on making sure that digital -- our delivery business is -- we improve our profitability on the digital business. So as we look at Q3, the delivery profitability has gone up by 70 bps, and we continue to push that in the normal direction.

If I go from this -- through the KPI results for India for Q3 FY '25, as I said, we reached 510 stores, that's 46 stores over last quarter, which means we built 46 stores in this quarter, 69 stores year-over-year. INR494 crores in revenues which is 0.7% quarter-over-quarter and 11.2% year-over-year.

Our average ADS or average daily sales was 11.4. Now SSSG was only negative 0.5%, basically flat SSSG which means that the ADS of all these stores that we're comping over last year was basically what it was and then the new stores, which is roughly 90 -- 80, 90 stores that we're not comping, they have brought down the ADS roughly by about 5,000, but those are new stores.

And like we always say, the new stores usually reach the average ADS in 2 years. So that we are hoping to catch up. Gross margin, 67.8%, improvement there 0.3% quarter-over-quarter and 0.7% year-over-year. Restaurant EBITDA, yes a good part of -- in spite of having a lower ADS

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and literally flat sales in terms of SSSG, as a company, we delivered 59.6 million -- which is about INR596 million, which is INR59 crores in restaurant-level EBITDA.

This is pre-Ind AS numbers that I'm giving you, 14.5% quarter-over-quarter and 9.7% year-over-year. So that's a well-done job with tighter sales delivering a higher profit. And then finally, company-level EBITDA, again, a very good story here. We have delivered INR30.9 crores in total company EBITDA. Again, an improvement, 26.7% improvement quarter-over-quarter and 2% year-over-year.

Steady performance, again, in line with our goals, which is to make our business more and more profitable each day. We continue -- and most of these profits we'll share with you and Sumit is speaking, is driven by many initiatives that we have shared with you in the past, whether it is utilities, whether it is gross margin, whether it is rent at the restaurant and so forth.

So all these initiatives, including some prices that we take

from time to time, have grown our

profitability in that direction. Now just coming to Indonesia. Indonesia, we have spoken extensively about. I just want to try to update people that may not know. Of course, the war in Gaza or the shooting has been put on hold.

There's a halt on the war over there. Some good sentiments of that is flying into Indonesia with the US being involved in bringing that ceasefire in effect. And we are seeing an increase in traffic in our restaurants, which is a good thing because people initially didn't want to be seen in our restaurants or in any of the US brands in Indonesia.

So that's a good thing that people are now coming in, and we see a positive traffic in our

restaurants. The last couple of months have been very good. January has been a good month in terms of recovery in Indonesia in terms of traffic into the restaurants. However, we have closed stores there in the past, and we have shared those with you in the last meeting. We continue to run 147 stores, which is 15 stores less year-over-year that we run. On the Popeyes front, we run 25 stores. We are not building new stores there for the next couple of years, as we have told you in the past as well. Revenues were at -- this is, again, IDR, and Sumit will share with you any numbers. But IDR 269 billion, which is still negative IDR 9.6 billion year-over-year.

And then we go to average daily sales, which is at IDR 17.6 million. SSSG, which was deeply red last quarter, has come down to only negative 4.1%. So we see that kind of positive drift of people coming back into the business. Popeyes average ADS or average daily sales was at 14 million. This is a definite area of focus and Kapil will touch on what we are doing in terms of both Burger King and Popeyes in Indonesia and we'll get you on speed on that.

There was 39.5 billion in terms of a company EBITDA loss. This is, again, pre-Ind AS number IDR. And I'll just give you our strategy again over there is very simple. We want to continue to now strengthen and bring back our restaurants dine-in business. And there are multiple strategies. Value has been instilled.

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The products as I've told you in the past, now we have the full range of chicken products over there. We have rationalized the restaurants, so we have closed those restaurants with very low volumes as well as high losses, so we can optimize that piece in there for our portfolio. We continue to work diligently with landlords in terms of reducing rents, and that work will continue through the next year as well to make sure that those restaurants which are in the brink of becoming positive that they start becoming -- in terms of restaurant level EBITDA will turn positive.

And then we brought down corporate overheads. When we took over this business, it was at about INR65 crores. We have brought it down to around INR45 crores, INR46 crores, and we are working further to bring it down. And in the next quarter, we will make some significant gains on that as well. So all fronts, fix the product line, fix the infrastructure, which is the restaurants, getting in dine-in with new marketing.

And again, Kapil talk to you about what we are doing in terms of marketing over there, and then reducing corporate overheads as we kind of shrunk down the portfolio to about 147 restaurants. So that's basically the strategy. Good vibes over there. The new government over there has said that they will aim to add 8% kind of growth versus 5% initially that they were sitting on.

There's a lot of pro India, Indonesia conversations. 5 MOUs have been signed between the 2 countries. And I think there's going to be some good leverage we can use from our distribution system here in India moving forward into Indonesia. So those are the key highlights for Indonesia and India. And then with that, I will

turn it over to Sumit Zaveri, who will walk you through the numbers on both of those.

Sumit Zaveri: Thank you, Raj. So I'll just quickly take you through the India and Indonesia performance on the financial side. I'm on Slide 10. We ended -- as Raj mentioned, we ended the quarter with 510 restaurants added 69 restaurants. Parallel to as we were adding stores, we also kind of continued to increase our footprint on the cafe side.

We are currently having 433 restaurants having cafe. Large part of that or literally the entire growth at the moment on cafe's side is on account of new store additions that we've done. The gap of close to around 80 restaurants that we have, we will keep -- continue to evaluate and as we feel the opportunity is right, we will add cafe in the balance part of the portfolio as well.

Digital has been our focus this year. We want to take the journey forward to make sure that we understand and know our customers better. This year, we made the investments on the digital side. Currently, we've covered around 437 restaurants, where we've completed our digital investments there. We will -- over next quarter or so, you will see that, that number would have ramped up to the entire part of the portfolio.

And we are working on this because we want to -- on the layer of this, we want to now go to the next layer of CRM and loyalty once we've completed the cycle of our investment. So that's typically how we expect this part of the journey to go forward. As far as ADS is concerned, yes, our SSSG for the quarter has been flat.

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Our ADS stands at INR114,000, largely -- slightly lower than what we've seen in the previous quarter or the same year last time. It is more because of the new stores that we've opened. But at the same time, we made sure that this -- while the ADS might have come down, we kind of make sure that we bring efficiencies at the store level on the P&L.

As you can see in the bottom part of the chart, consistently, we've been growing our store level EBITDA from 7.8% to 12% and trying to kind of make sure that it remains in a reasonably good range, while the ADS remains in a very tight -- in a tight margin. So that's something which we've been working hard on.

As far as company EBITDA, it is really reflecting the trend on the restaurant EBITDA. We've been growing it up -- growing it back up to 6% over last 4 quarters. As you can see from 2.4%, very clearly, we moved back to 6.2% with ADS at INR114,000. So we feel very strongly about our journey on restaurant and company EBITDA side. We've been talking about gross margins. You can see that we moved from 67.1 to 67.8. We continue to remain positive on that part of our journey. And the trend that we've been talking about in the past, we will kind of continue to take steps over to get to that -- our goal on the gross margin side. Going on to overall performance.

While I've always spoken about the larger part of the overall India performance part just to kind of reflect one line, which I would like to kind of highlight that we've been focusing parallelly on the G&A side. You would realize that we're kind of now maintaining the G&A on a total basis of around INR27 crores to INR28 crores.

We would remain tight on this going forward as well and see how we can kind of bring some more efficiency as a percentage of revenue going forward as well. So with that, I'll quickly run on to Indonesia part of performance. Indonesia part, the growth of -- the revenue stands at IDR 143 crores.

This is revenue combined for both the brands put together, a drop of 9.5%, but that's predominantly because of the store closure decisions that we've taken over last year to make sure that the numbers could kind of start looking better. Last year, on account of where the market was, we had taken -- in order to kind of

drive sales through delivery, we had to take certain actions on which dropped our margins.

We've moved back from 55.8, as you can see, to 57.8. Some part is correction that we've done on the delivery side of the pricing and then certain other initiatives as dine-in part of the business comes back. So we'll kind of -- we feel positive that we actually have been able to come back to 57.8 and then work towards how do we take this forward.

As you can kind of -- and then as we kind of make the recovery in Indonesia, you would see us some amount of marketing investments to happen from our side to revive or bring sales back.

As Raj was saying, we have seen early shoots of dine-in sales improving, which is also reflected in our occupancy other expenses line.

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The increase over quarter-on-quarter or over last year is largely be represented by some -- by the marketing investment that we made in Indonesia to just start recovering sales back. We might see some part of the trend also into next year as we want to continue to recover dine-in sales. Parallelly, while we are working on improving the sales, we do understand that we need to be really tight with our corporate G&A. We've continued that journey in improving the overall corporate G&A number in Indonesia. For the quarter, as you can see, now we stand at INR 10 crores for the quarter from the INR 15 crores that we had last year same quarter.

So we are kind of definitely moving on this side and we would kind of work further down to see how we can further optimize these costs, and that part of the journey will continue. But we are strongly focused on how do we kind of get the overall Indonesia performance to where we wanted to be.

I would kind of not get into the consolidated performance having drawn into India and Indonesia rather turn the page to Kapil who can take us through the marketing initiatives for India and Indonesia.

Kapil Grover: Thanks. Thank you, Sumit, and good evening to everyone. I'll start by talking about the India business. India, our strategy has been very clear and consistent. Number one pillar value. In any retail business, more so food retail, life line of the business is footfall in the stores, and we continue to focus on that.

There are three parts to our value strategy. There's a two for 79, 99 which is a price point strategy for driving new footfall in. We've got two crispy veg at INR79, two crispy chicken at INR99

and we've seen very good traffic growth for the whole year including the last quarter in dine-in on the back of this program. Now we have a new layer, which is the app deal, so consumers who use the BK app, get exclusive coupons, that's one way of delivering value to the consumer. And the third component of value is shareable meals, which we launch these thematic meals every season from New Year's to Valentine's to Diwali, and these are shareable meals with 2 burgers at a good value for the consumer for these occasions. So all these three dimensional values help us grow traffic in dine-in. As I mentioned, we had a strong quarter on dine-in traffic and sales growth.

In dine-in, now what we have done, as consumers come into the stores, we have strengthened our snacking portfolio. We started the year by launching the veg pizza puff which gave us phenomenal results in many markets in the country. Then we added the chicken pizza puff, which is a first in the QSR, and it's also giving us very good response from the consumers. So with these products, if you look at our snacking portfolio, which is the largest day part and the most important category -- one of the most important categories in any QSR business because consumers add it on to their main items and use it for multiple occasions. We have a fairly strong menu now with the puffs, with the fries, loaded fries,

high fries, veg strips, boneless chicken wings, fried and grilled wings and nuggets. And all of these products build the portfolio.
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In addition to that, cafe, an important layer in our business, our focus has been on driving awareness. Now we have 433 cafe distribution points, so to say, on ground in stores. The purpose remains on driving awareness. And we've been doing a lot of interesting social media engagement programs to make sure we connect with the Gen Z and the millennials to make sure they are aware that there is coffee available at Burger King and very good quality coffee available.

I'll give you one example. We did an activation on roast the roast, right? So you've had coffee in multiples places as consumers assigned. Tell us about your poor or good coffee experiences? We will talk about it and we make sure that we give you a great cup of coffee at BK Cafe with the 100% arabica beans for free to come and try our product and multiple other such programs. The recent one was the Fortune Teller, which gave us about 6,000 participations which was quite fantastic on a social media context.

Also in dine-in, my own Slide #18, we continue to drive digital transformation. Raj spoke about it, Sumit spoke about it. As we get more and more customers in the store, the experience in the store is getting elevated by leaps and bounds. So there is a 100% digital experience in the store. A customer can come in and order on the self-ordering kiosk, can use the QR code to skip the queue. Their food will be served on the table, so there is a full 360-degree experience improvement in the store. And now about 90% of our dine-in orders are coming through these digital channels. So that tells you that the consumers are really appreciating this new store experience and are coming back more often and liking the experience they are getting at a Burger King store.

A component of this digital experience is the BK app. Now that is very important to lay the foundation of the CRM program for the future. What we are doing here is that we are offering exclusive deals to customers who log in on the BK app. We've seen cumulative install grow to 13 million, which is almost 30% growth year-on-year.

A lot of this has happened through organic visibility at store through a lot of merchant dining at the store. We have driven app exclusive deals and seen a user base growth by 2.3x and also orders grew by 3.3x. So very good sort of growth. We are in the acquisition phase right now. As we reach this sort of frame where we've acquired enough users on the app, we will start doing the next phase of engagement and frequency.

While we build these experiences in the store, we make sure we connected with the users, our fans, our GenZ in very exciting content pieces on social media. Just to give you an example, on Diwali, given the fact that Burger King stands for taste and taste is king at Burger King, we used that insight to build a concept called the Swad Ka Patakha on Diwali. We used very interesting Diwali patakhās packaging, very engaging content.

Consumers could use artificial intelligence to create their own packaging, put their name and had a lot of fun with that, and we've got amazing participation on this contest. That was India. Now I'll switch to Indonesia. In Indonesia, again, going back to our strategic pillars. Very well thought through and consistent. We are building a strong menu.

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Chicken is a big part of the menu there. We've got three variants of chicken, they are known classic, spicy, and dunked. Spicy was a miss in our nominee. We launched that last year. And last quarter, we promoted that on media as well. Burgers have been renovated. Whopper is now much better tasting burger as per the

Indonesian pallet.

We've launched -- continue to launch LTOs and desserts, which is a popular category in that market. We continue to work with Milo and Nestle to launch these products there. And we have also a strong value proposition at 17K, which we have been promoted through coupons, through social, digital, Meta, and multiple other platforms.

What's very heartened to see is that there is some light at the end of tunnel. Given the geopolitical challenges we've had in the market, in the recent times, we've seen some reversal of those headwinds. We see, if you focus on the numbers, on Slide #23, November, and December, we started to see our ADS grow.

Yes, we are lapping over a weak period of the last year, but it's good to see that especially in dine-in, consumers are now willing to come back to the restaurant, come back to a western QSR. So some bit of that inhibition is going away, which is a very good sign, not just for us, we're also seeing the industry improve across, which is a good sign overall for market in that country.

If you go to Slide # 24, our SSSG in dine-in has become positive now. Again, I would temper that, yes, this is over low periods, but it's good to see that consumers are willing to come back. So that shows us some green shoots in the future. Now this has been one on the back of the chicken campaign. We were on media in November. We continue to stay committed to the business.

That's why we made the investment in media in marketing and promoted a core menu item, which is spicy chicken. People love that product there. We saw some good returns on that. And we continue to innovate, on Slide #25 with whopper variants, with mushroom stake, with desserts, with coffee to make sure the consumers -- we stayed relevant to the consumers in that market.

On the last slide, just to tell you as a fact, we are seeing some improvement in trends. We've always seen that improvement whenever we had consistent marketing efforts. Unfortunately, they've been events that have held us back, but we see that trend coming back and returning, right?

Now I would hand over to Gaurav to close the presentation.

Gaurav Ajjan: Thanks, Kapil. So on the outlook, we have already achieved our target of opening 510 stores this year. We are currently in the process of finalizing our annual operating plan for next year.

Once we do that, we will come back to you on the Q4 update with the outlook for FY '26 and beyond. So thank you, everyone for joining in. I would request the moderator to please open up the floor for Q&A.

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Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Avi from Macquarie. Please go ahead.

Avi: My first question, if you could just share your thoughts on the near-term demand trends in India?

And how do you see the same-store sales growth path for us?

Rajeev Varman: So look, I mean forward, if you look -- we look at backwards first, our demand in the restaurant continues to be strong. We continue to report and share with you that our dine-in traffic continues to improve. So we don't see that this trend that we are having in our dine-in restaurants, our dine-in sales is going to reverse in a new fashion. So only improvements are going to come on top of this.

We have taken a strategic decision to optimize our profitability on delivery. So while we have worked very hard to drive more people into our restaurants, which we have done very successfully in the last several months. We have also on the other hand, optimized the total traffic coming into delivery and increased the profitability of our delivery business. And you will see that fully 70 basis points this last quarter.

You're going to start seeing the full effect of it when you have the full quarter with all these

things in effort that Kapil has put in. So you will -- as a company, we are focusing on dine-in traffic, and that continues to grow. And we think that it's going to continue the way we are seeing in our restaurants in the last few quarters.

And on the delivery front, we will continue to optimize and make sure that we are doing profitable business over there, making more and more money versus having more traffic there. So these are 2 strategic pillars of ours. We kind of continue to stay true to that. And I'm pretty strong about both these pillars. And I think our traffic and our dine-in will continue the way it has been in the last 2 months, 3 months.

Avi: No, sir, where I was coming from is if I look at the 3Q performance, there clearly is an improvement in the same -store sales growth trajectory, and that's -- congratulations to you guys. I was trying to kind of see if you were to parse it on a monthly basis, or if you look at what has happened till date.

Does that give you any confidence on this further rising or improving beyond the initiatives? Because there is a macro environment which is concerning and that is where this question was stemming from?

Rajeev Varman: Look, without making any forward-looking statements, it's pretty clear that the industries -- you will see the numbers come in. There's a couple of companies already -- three companies have released their numbers, all show that the negativity is kind of vanishing and the positive sales is coming.

So I think you should just kind of project from there like we are all doing. And like I said, we have seen positive sales in our dine-in business, and we continue to see that. We don't see that changing any differently.

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Avi: Perfect. Got it, sir. And sir, secondly, as we explore the path to raise additional growth capital, could you also share your thoughts on how should we look at capital allocation between India and Indonesia?

Rajeev Varman: Yes. So Indonesia, we have already said this in the last quarter, and I'll kind of repeat this over here. Our intention is not to build any restaurants there over the next couple of years. Our intention is to make that business profitable. So capital allocation over there is strictly going to be and what Summit was saying earlier, only to drive sales into restaurants, which means we will only be looking at strategically spending money in marketing area to drive more.

And that we will test that through before we kind of spend any capital in trying to bring more and more marketing sales. But there will be some strategic spending above and beyond the 5% we spend in Indonesia on marketing next year. And that's predominantly will be based on total analysis of where the market is and the right time to do that spending.

But apart from that, there will be no capex allocation to building new restaurants as we are not going to build any Burger King this coming year, and we're not going to build any Popeyes this coming year. Instead, on the opposite end, we are going to continue to drive a reduction in our G&A overheads, administrative expenses. We have told in the past that we have reduced our support center, our head office over there to half its size.

We have done a significant reduction on our G&A in terms of both people side as well as other expenses that we do. And the final piece over here there is we are also working on rent reduction all round from all the restaurants. And we're making some good success -- initial successes over there. But predominantly, you will see Indonesia turnaround only when the entire market over there has positivity in terms of same-store sales.

And we have seen 2 months of dine-in positive sales. But we want to stay optimistic, but also stay kind of very true to it. So hang in there and wait and watch us kind of turn that business

ess
around.

Avi: Okay, sir. Okay. I mean where I was coming from, so if I hear you correctly, primarily loss funding that would be required. And I was just trying to get a sense on how much do we have -- do you think the pain is there? That's what I was trying to gain. I know part of it may require a forward-looking understanding.

But just an appreciation of how do you see the requirement is where I was coming from, but I got an answer. There is more loss funding that you would look for and the expectation is that funding will go down. That's a fair way to summarize it?

Rajeev Varman: Yes. Look, see, I gave you both the numbers, right? I told you the top line is improving in our dine-in restaurants, and hopefully, we'll catch on, on the rest of the business. And I also told you that we have cut down our overhead G&A to -- from INR65 crores when we took over the business down to INR40-some crores -- INR40 crores, and then we are working on further reducing it.

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So all our losses on the administrative side, which are sitting at -- is going to be cut by that much 40% of whatever that number is, right? So that's in addition to increasing our ADS, you should be able to kind of project that. We don't want to on this meeting kind of tell you how much we're going to allocate or hold. We are going to be very, very judicious with what we put in there; one, because of timing.

We want to make sure we don't put money before the right occasion. And second is to be prudent about how much we put in and which channel we put in. But predominantly, whatever we spend there will be to cover the losses or to invest in marketing until the sales over there. That's predominantly what we are looking in terms of spending there. Is that fair?

Avi: Yes, that's fair. That's all from my side.

Moderator: Thank you. The next question is from the line of Aditya Soman from CLSA. Please go ahead.

Aditya Soman: Actually, just one question on Indonesia from me. So would it be fair to say at this point that Indonesia from here is sort of looking only up? I mean, the worst is behind from sort of a demand environment perspective. The whole geopolitical situation as well seems to be at least on the mend. So from here on, at least with no further store adds in the region, we should start seeing an inflection in same-store sales growth?

Rajeev Varman: Yes, three things. First is the geopolitical environment seems to be kind of going in the right direction. The war stopped. There's some good conversations about US helping that happen. There's a little reduction in anti-US kind of feeling. And I think it will take a little while. It won't happen overnight, but we are seeing some positive movements in that in the market. So that's one big piece.

The second is we have optimized the store, but we haven't stopped optimizing. We will continue to look at stores where rent reduction is not possible and where the landlord is not willing to do it or if the rent reduction given to us is not enough, we will optimize -- continue to optimize the store. We are not going to continue to sit there and wait for all the sales to come in, we will get there together.

While the market is improving, we are also working towards getting that to a positive cash flow over there, at least breakeven very quickly. So that's the second bucket. The third bucket really is there is no need to be building restaurants here because we have kind of sat down and done an agreement with our franchisor in terms of this. and we are not going to be building, and it's the right thing.

You don't want to continue building restaurants where you're trying to turn around existing restaurants. So there's no requirement for us to do that. There's no pressure on us to do that. So we will not be doing that.

Aditya Soman: Yes. It's very clear.

r. Thank you.

Moderator: The next question is from the line of Jay Doshi from Kotak. Please go ahead.

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Jay Doshi: One is what measures have you taken to improve delivery business profitability in India? And is it essentially reducing discounting or have you managed to negotiate better commission or take rates with the aggregators?

Rajeev Varman: Both. So yes, that's the simple answer, but there's a lot of stuff that Kapil is doing. One is he is optimizing the menu that he's put on the delivery. So you know that there is a differential pricing on that menu and there are different deals on different days. So he's optimized that. So that's step number one.

Yes, we have taken some pricing there, including the product mix over. There's other stuff that we have done in terms of what we are selling and what are the packaging charges, et cetera, et cetera. But more predominantly, beyond all this effort of optimizing these, we have also gone and negotiated and brought down some of our commissions. And we will continue doing that because this is something that we don't stop doing.

This is the area where we want to make sure we are efficient in this P&L. And we have made some very significant gains in a matter of 2 quarters since we started doing this, and we are not going to stop. We're going to continue making our delivery business more and more profitable, and we will not stop until we get it to a double-digit number.

Jay Doshi: Sure. So what is the differential as of now after these improvements, differential between delivery business margins and dining business margins for the India business?

Rajeev Varman: Yes. We don't share that level of P&L because of competitive reasons. And so I just respectfully say that if you have any micro questions on this that you just reach out to Gaurav, but we don't

generally share those numbers.

Jay Doshi: Understood. Fair point. Now in India, what is the ADS you need to get to, to reach 10% company -level pre -Ind AS EBITDA margin? So you're at 6%, 6.2% this quarter. It's a seasonally strong quarter. So maybe on a normalized basis, you are somewhere around 5 -ish. So for you to move from 5% to 10%, where should your ADS settle from INR114,000 that you did this quarter?

Rajeev Varman: Yes. So it's not just ADS. If you know that our overheads are pretty much kind of where they are, right? Sumit was saying we're further going to optimize the G&A even in India, not just in Indonesia, even in India. We continue to be a company that continues doing that. It's just the DNA of our company that we look at costs every year as it we are looking at it for the first time and start reducing. So that journey is going to continue.

Now what happens with that is as you continue to build more and more restaurants and your G&A or your overheads are fixed, then that number below, which is the company EBITDA, continues to grow. So that's one of the levers that we'll continue growing that number from 5%, 6%, 7%, 8% onwards, right? So that's one of the levers.

The second lever is ADS. As you improve your restaurant -level EBITDA, of course, that will contribute more towards covering your overheads and going into the company -level G&A. So
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both these levers are there, and they will both help and we are making some very good strides. There was only a time that we were negative company -level EBITDA and then we became positive at 1% or 2% and then 3% and then 4%, so we continue to climb.

And this is nothing different than what I've been saying for the last 4 years that I've been -- 4.5 years that I've been on calls that we will continue moving these numbers forward. We will continue moving gross margin to the right level. We can move gr

oss margin very quickly today

as there's so much gap or headroom in pricing that Kapil has.

We can do that. But we are building traffic at the same time we are doing this. So we want to make sure that we are prudent, we are doing this optimally and that we are, at the same time, improving traffic, minimizing any loss due to higher pricing and at the same time, improving gross margin, improving our rent ratios.

Utilities, Sumit was talking about that earlier when he was talking in the P&L. We have made some very good strides on utilities. We have reduced utilities. The rates have gone up, but the unit consumption, we have significantly reduced it by many simple things that we have done in the restaurant through engineering.

We have a very good engineering team that has completely -- launched a complete program end -to-end for all the restaurants. So we have gone through a few restaurants, probably 20%, 30%. We will finish all the restaurants by the end of next year with all these modifications that we are doing, which will continue to bring the utilities down as well. So all these put together is going to bring us to that level. It's just not the ADS.

Jay Doshi: Sure. And one more on Indonesia. So I heard your previous response. It looks like, at this point of time, on one side, you are trying to renegotiate rentals and cut down G&A. And wherever it won't -- it is not possible or viable, you may optimize or rationalize the store network further. And I think overall focus is to get to EBITDA breakeven from INR17.5 crores quarterly loss, let's say, INR50 crores annualized EBITDA loss.

My question is that it's eventually with a much smaller store count than where you are today, if you reach EBITDA breakeven, it still doesn't result in any value creation from a shareholder perspective. So are you considering -- have you thought about whether there is a merit of continuing operations in that market or is there an opportunity to divest Indonesia business? Is that something that you have a time line that maybe a year down the line if you don't achieve the milestone -- the targets you have -- may have for the geography, would you take a more tough decision?

Rajeev Varman: Yes. It's not a tough decision. All decisions that make investors more money and makes our company more money are the right decisions and the easy decisions. They're not tough decisions for us. See, I'll tell you two things. First is we got two great brands in Indonesia. We have Popeyes brand. We have the Burger King brand.

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These brands, the Burger King brand, in the good days, heydays as you call them, was throwing about 14%, 15% restaurant -level EBITDA, right? We have closed 26 restaurants. So we are not -- we haven't significantly changed the portfolio that we bought. We have closed 26 restaurants, which are -- which do not have an upside and were losing money. So that's what we have. We have just rationalized the portfolio. We are not shrinking it. We are rationalizing it, which means that we will close restaurants that lose money or where we don't think the economics is right for us. So that's one thing. Now what is the decision if we are not successful or if another war breaks out or if things go south because of some of the issue and the market is struggling or the economy over there struggling, yes, all options, we will always keep on table. We will always discuss all options.

What is the right thing for investors is the right thing for me. I'm one of the investors in this company, individual investor in this company. So I will continue to look at this as what is best for all investors in terms of the long term, right? So that's no different whether we turn this around or someone else turns this around.

But I can assure you that this is a strong brand. I've been with this brand for

or many years. Today,

probably will be at least 25 years with this brand in so many countries. And I know that this brand continues to be a very strong brand wherever it is. And I know that if we do not have the stamina to turn this around, someone else will turn it around in the future and make money. So that's the reality.

So we, as a company, will be prudent. We will allocate capital at the correct time. We will allocate the right capital in terms of our marketing, not in capex right now. If we see this turning around, we will push it and we'll turn it around quickly as we have done with everything that we do. You saw that we started cafes, we finished them in 18 months. You saw we start digital, we finished in 18 months.

This one, we had already turned around the company. In fact, in October, beginning of October, we had already reached breakeven, and we are going in the right direction and the war broke out. So we are unfortunately sitting in a geopolitical kind of climate, which is now kind of a recovering. So we feel good about this.

We feel good about the last couple of months. We feel good about January as we see it in Indonesia. But yes, we are not blind. We will stay true and close to the business and we will make appropriate calls when we cross those bridges.

Jay Doshi: Sure. Just one small follow-up, bookkeeping. Has the parent Restaurant Brand International supported you in any way because this issue is largely because of geopolitical reasons? So have they waived off or reduced your royalty fee and if not, have you sort of asked for it? What's the thought process?

Rajeev Varman: RBI has been a fantastic partner. They have been very supportive. They have been behind us and they've helped in every way, in any way. And we are very thankful for all their support.

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Jay Doshi: Sure. Thank you.

Moderator: The next question is from the line of Tejas Shah from Avendus Spark. Please go ahead.

Tejas Shah: You sounded quite positive on dining recovery in India. While you may not want to speculate on the future, but I just wanted to know your view. What would have driven this revival, structural factors or just a low base effect because the macro for consumption is not as conducive as it appears from our optimism here?

Rajeev Varman: Yes. Very nice question. See, it's -- we were on value. Kapil was on value more than a year ago. More than a year ago, in fact, 2 years now making, he was at INR99 and he went to 2 for INR79. This is a value offering. It's not tactical. It's a strategy. It's one of our pillars. We will always be a value leader.

Now when you are offering a certain -- when you look at the market and you say the market has shifted to the left, where more and more consumption is on the value side, if you can provide a profitable value proposition, which is profitable to you, but it is also a value proposition that, that market is -- which is what the market requires at that point of time, then you will flourish and you will continue.

The headwinds when people were reporting negative sales and especially negative sales in dine-in, Kapil kept on reporting positive sales on dine-in. So I think in the long run, if you ask me, I think there is a very strong market for people coming in and dining in our restaurants. There are a lot of things that people come into the restaurant for. It's not just because they're taking a lunch break or they're buying something and taking a break.

There are celebrations. There are birthday parties. There are meetings. There are there are so many occasions where people actually get out and eat at the restaurants. You have mall

restaurants. There's a very small delivery component if there is any. It is entirely driven by people coming into the malls, watching movies, shopping and then eating.
There are highway r

estaurants that are completely dependent on people going on the road, stopping at the highway, having a break, and eating. So delivery is a small component of the high street business. It's not an entire business to many of the restaurants that we are building. So as you look moving forward, there's an immense amount of infrastructure that is coming along highways, whether it is in North or now predominantly in West and South. And you will find these highways coming on, where we will be building restaurants that will be on the highways. These will be predominantly dine-in restaurants, right? There's no delivery on a highway restaurant. So you will find that this is going to improve more and more, and that's why the focus, Sumit was saying, not just on making delivery business profitable, but on utilities, on rents, on all these items so that the dine-in business also turns -- continues to turn positive, right, or become more and more positive.

So I think I have a strong view now. I actually feel good seeing the last year and the year before that as well. If I take the 2 years together, I think I can frankly say that we have seen double -
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digit improvement in traffic in our restaurants, the dine-in business. And so I feel very positive of dine-in business growth in the future.

Tejas Shah: Got it. Second question, you spoke very enthusiastically about the digital transformation or digital initiatives that we are taking. Now what is the goal seek here? As an external or as an outsider person, how should I judge ROI on this? Will it reflect in better SSSG? Net Promoter Score is very abstract, so perhaps won't reflect in financials directly.

How do you internally assess that? Wherever you would have done this digital transformation totally in your stores, what is the objective parameters that you are tracking to see that this is working?

Rajeev Varman: All right. First of all, I speak enthusiastically about everything in my business. So okay. Look here, there is a concept called know 100% of your customers . Whether a company reaches there or strides to reach there, the goal of every company is to know 100% of their customers. When they come in to your POS and they pay money or whatever you do not know these customers. You do not know whether they are vegetarian or non-vegetarian. You do not know whether they come in for a snack or a meal. You do not know whether they live in a certain part and buy in two different restaurants of yours. There's a lot you do not know about the customer, which means that you do not market to them, you do mass marketing and you hope some of these people catch your marketing.

As you learn your customers over time period, you are able to specifically market very specific propositions to these customers. So that is a very big requirement for most companies and most companies want to learn about their customers, want to learn how they eat and what they like, where they want improvements, so forth. So that is one big one, right? And that helps sales. It helps CRM. It helps loyalty of those customers as well because now you are basically able to talk to them.

Second, with SOKs, you have adequate. For example, now, where we had 3 tills, we have put 4 self-ordering kiosks or 5. Sometimes, Cicily even puts 6 of them, right? So there's ample amount of SOKs over there, where people can spend time and place order at their ease. And what we are seeing is the highest check that you see on orders that are placed on self-ordering kiosks versus those that are placed on POS where three or four people might be in a line and the one in front wants to quickly place his order and move so the next person can come in.

So a lot of benefit from that. The next one, most -- 90%, as I said, of these sales are all digital, which means the payment has gone

to the bank directly. As these payments go directly, there is a significant advantage of money handling, significant advantages of processes and systems in place, right? So all those advantages also. So there are multiple benefits that you get with SOKs. It's a proven concept around the world. It is not something that RBA is doing unilaterally. There's learnings by different brands, by multiple brands that this is the way it's moving forward. And interaction with the SOK actually gives a better sense of timing for this customer.

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Someone who's waiting behind in the line, not interacting, feels a longer sense of time than when they are interacting with the SOK. It actually makes them feel they've spend less time placing the order and less time getting the order. So a lot of benefits in addition to fully understanding the customer. There are direct benefits of increase in APC. There are direct benefits of being able to show them all different options.

For example, if someone is a vegetarian, they can directly go into the vegetarian menu and then explore all of it. So this is something just like cell phones, right? We are now a very digitally -savvy country. In fact, I think we are one of the best -equipped, digitally -savvy countries.

I was actually talking to the President of Burger King of RBI for the APAC region and he said we are one of the highest digitally -- just in the 18 months, highest percentage of digital orders placed by Burger King anyw here in Southeast Asia. It's undoable that India just started this 18 months ago and is on top or among the top 2 digitally where the orders are placed digitally. So all these things help and that's the ROI on this.

Tejas Shah: Sure. So what broadly I was trying to understand that, is this just a vanity metric? Just one point, just last point. Is this just a vanity metric or you should, as an outsider, I expect that, that this will convert into stronger SSSG to evaluate whether it is successful or not? That 's the only point I had?

Rajeev Varman: Yes. No, like I said, knowing your customer ability to market them instead of doing mass spending all over, if you have the ability to directly speak with your customer, it's one efficient, it's cost effective, and it costs you -- if someone downloads your app, for example, you are able to communicate with this person at low cost. Whereas if you're sending someone like SMS or a WhatsApp, it costs you money.

So digitally, one, it is more effective; second, it is costing less. It costs you less as you progress in years to come, that it costs you less to reach out to your customers. And it increases frequency of use of brand. When it increases the frequency of use of brand, it helps SSSG. What is sales?

Sales is equal to traffic into APC or average per check. If traffic is equal to simple, new people coming in and old people coming in more often. So it actually helps this piece of old people coming in more -- or existing customers visiting your brand more often frequency. So yes, it helps in SSSG. It helps in SSTG. It helps in APC and it helps in total ADS.

Tejas Shah: Got it. Thanks and all the best.

Moderator: The next question is from the line of Amnish Aggarwal from PL Capital. Please go ahead.

Rajeev Varman: We will take this as the last question because we have crossed the 6:30 -mark. Sorry, go ahead.

Amnish Aggarwal: Yes. So Rajeev I have two questions. My first question is that this time around, we have not given any target of store openings next year, even though we have an agreement with Burger King International which gives us a road map till FY '27. So is it indicating that we might look at, say, some sort of a slowdown in the store openings in the coming year? That is one.

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And my second question is that you talked a lot about the cost cutting on the SG&A side in India, whereas if I look at the last 3 years, our SG&A has actually gone up from nearly INR60 crores on an annual basis to now a run rate of around INR27 crores, INR28 crores. So why has the increase been so sharp and where all -- which all heads are now you're going to attack to bring it down?

Rajeev Varman: Yes, please don't use that word heads. I'm not attacking anyone's head. Look, two things, right? Number one, you asked a question about growth. So we are not slowing down, guys, please. We are not slowing down. We are finalizing the agreement with RBI for the next 4, 5 years, whatever until FY '29.

We will release those. But we are not slowing down. In fact, I can tell you, Cicily is not on the call today because she's out there approving sites in Southern India. And so we are not slowing down. We continue to grow. This is a good time to be growing. We're getting some good rents and we're making some good progress. So no slowdown there.

Now G&A, look you have to look at G&A as a percentage of total sales -- revenues. And we have -- if you look at the last 4 years, you will find that we started somewhere at 10%, 11%, and it's down to now 5%, 5.5%. I think the last number 5.8%?

Management: 5.5%.

Rajeev Varman: 5.5%. So this will continue to go down as we have top line sales coming in. But above and beyond that, every few years what I do is I put a pause and I look at existing because what happens with companies is over time there is a little bit of bloating that happens because of some local initiatives and so forth and so forth.

So we just - Namrata Tiwari our Chief People Officer, and Sumit Zaveri will be looking and

reviewing all the departments to see if we have now started to bloat a little bit in certain departments. And we will do those corrections. And that's -- any prudent good company does that on a regular basis so that we are very honest and sincere with our G&A that we spend on overhead. So this exercise is starting and it will continue.

We are not going to stop this exercise. It will be part and parcel of our DNA and part and parcel of our fabric. We will continue doing these exercises. And G&A cutting is not about just reducing people. Sometimes you don't need to reduce people. It is other items that are on the G&A list, other things that you can find more efficiencies in, which you did not think when you were 5,000 people company, you made certain contracts.

When you review the same contract for a 10,000 people company, then you are able to bring the efficiencies. There are a lot of things that go into SG&A. And all those -- this year, we are going to be reviewing it all the way till April 1. So April 1, when we press the button and open the doors, we are very honest with ourselves that we have done that task and we have got a true G&A there.

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And you can also compare G&A of multiple companies, and you have all those numbers. And you can make sure that, investors can make sure that we are honest with what we are doing.

Amnish Aggarwal: Okay. Sure. And any targets you have that how much you can actually bring it down?

Rajeev Varman: No, we will not share those targets until the exercise is over.

Moderator: Ladies and gentlemen, this was the last question for today's call. I now hand the conference over to the management for their closing comments.

Rajeev Varman: Yes. Thank you so much again for joining, guys. I'm actually very proud of my team that has reached this 510 restaurants. Kapil is here with me, Sumit and the entire management team is sitting here, and there are some people out in the field. But the entire team, the 10,000 employees that work for us that have done a fantastic job servicing o

ur customers and guests to get us to 510 restaurants.

We are going to continue from here. We haven't stopped. We have multiple construction sites in process. We have approved sites that will be going into construction next month. So this will continue in the forward direction. When it comes to sales, a fantastic job by Kapil and his team in getting our dine-in sales in the right direction. He's not going to stop here. He's going to continue to build that piece of the puzzle and make that more and more positive.

When it comes to delivery sales, our first goal is to make sure that whatever sales we are adding on to that delivery sales is profitable -- more profitable than what it is today, and we will continue to drive that. We continue to complete our digital journey with the balance of our restaurants.

We continue to do cafe in the balance of our restaurants. Indonesia will be a turnaround story that will be told in the future. We are working hard to do that. We are also prudent as one of the questioners asked us that we will do the right thing if this does not turn around in a needed amount of time, and we will take whatever calls we need to take.

So thank you again for joining, and I appreciate all your support and all the enthusiasm you show for the Burger King brand. Please go and eat tonight's dinner at one of Burger King. Thank you, guys.

Moderator: On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : 2nd Floor, ABR Emerald, Plot No. D -8., Street No. 16, MIDC, Andheri (East), Mumbai – 400 093

CIN : L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

May 21, 2025

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Investor/ Analyst Call Transcript

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI Listing Regulations, please find enclosed the transcript of the Investor/ Analyst call held on May 19, 2025 at 05 :30 p.m. IST w.r.t. the Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2025 .

The same is being made available on the website of the Company viz. www.burgerking.in

You are requested to take note of the same and disseminate to all concerned.

Thanking You,

For Restaurant Brands Asia Limited

(Formerly Known as Burger King India Limited)

Shweta Mayekar

Company Secretary and Compliance Officer

(Membership No.: A23786)

Encl.: As above

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"Restaurant Brands Asia Limited Q4 & FY '2025
Earnings Conference Call "

May 19, 2025

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR &
GROUP CHIEF EXECUTIVE OFFICER

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL

OFFICER AND CHIEF BUSINESS OFFICER

MR. GAURAV AJJAN – HEAD, CORPORATE
DEVELOPMENT AND INVESTOR RELATIONS

MR. KAPIL GROVER – GROUP CHIEF MARKETING
OFFICER

MR. SANDEEP DEY – BRAND PRESIDENT , INDONESIA

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL
SERVICE LIMITED

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Moderator: Ladies and gentlemen, welcome to the Restaurant Brands Asia Limited Q4 FY '25 Earnings Conference Call , hosted by Motilal Oswal Financial Service Limited.

As a reminder, all participant lines will be in listen -only mode . And there will be an opportunity for you to ask questions at the end of today's presentation. Should you need assistance during the conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Service Limited. Thank you, and over to you, sir.

Naveen Trivedi: Yes, thank you. Good evening, everyone. On behalf of Motilal Oswal, I am Naveen Trivedi, would like to welcome you all to the Restaurant Brands Asia's 4Q FY '25 Earnings Conference Call.

From the management, today we have Mr. Rajeev Varman – Whole -Time Director and Group CEO; Mr. Sumit Zaveri – Group CFO and Chief Business Officer; Mr. Gaurav Ajjan – Head Corporate Development and IR; Mr. Kapil Grover – Group CMO; Mr. Sandeep Dey – Brand President, Indonesia; and Ms. Cicily Thomas – Brand President, India.

I would now hand over the call to the Management for the Opening Remarks . Over to you, sir.

Rajeev Varman: Good evening to everyone. Thank you for joining the call. We will make this call very quick so that you have enough time for Q&A. I just will take a couple of minutes to walk you through the priorities of Burger King business here in India and then what are our priorities for the business in Indonesia.

So, as we have been speaking in the last few calls, our priorities did not change, and they kind of continue in the steadfast in our way to get more traffic into our restaurants. So, the first pillar that we talk about every time is about traffic, traffic, traffic. And this year that we just ended was no different than the previous year, as we continue to drive more traffic into our restaurants. And that has been one of the key focuses is to get more people into the restaurant . And as we are seeing , more and more people are coming back into the restaurants to actually experience the brand within the four walls.

So, we saw dine -in traffic growth of about 9% , this is on top of our value campaign that we have started. So, the previous year we had done a value campaign on the Rs. 99 combo or the meal, Crispy Veg Meal. And then this last year we did a two for Rs. 79 and two for Rs. 99 Crispy Veg and Crispy Chicken. So, the first campaign which is Rs. 99 value combo, we drove about 5.2% traffic into our restaurants in dine -in. And then this last year , with the two -for campaign, we drove another 9% on top of the 5.2%. So, that continues to work well.

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We also continue to build our Cafe pillar. In fact, today we have 90% of our restaurants at cafes , that's up from where we were in the previous year at 77% . So, we have pretty much put cafe into every restaurant that we wanted to put Cafe. So that's continuing to build that pillar as well. The third pillar that you will see that we have been actually doing for the last couple of years, but you will see an additional focus, a rigorous focus in this coming year is on the innovation . And we will continue to build that pillar as well for the next few years driving through value, driving through our Cafe business , and then driving for innovation.

The second pillar which is a Digital First Brand , this is a pillar where we continue to digitize both consumer facing as well as employee facing all processes into digitization. So, 90% of our restaurants now have self -ordering kiosks and table ordering. So , literally everywhere that this was possible to do, we have completed doing that , and all future rest

aurants will continue to

have self-ordering kiosks. So that's a very speedy implementation of the self-ordering kiosks. Also, the app business that we started a few years ago, now this will be the third year in the running we have started building on it. The number of transactions that we are doing on the app is 3x what we were doing in the previous year. So that one has moved really well, and we really believe that this is a strong business for us in the future. So that's the second item in the Digital First Brand.

And then last time I told you about profitability focus, that is to be fully focused on profitability on delivery business, that we have moved that profitability by 1% in this year over FY '24, and we continue to kind of drive that piece this year as well and you will see those initiatives come through this year.

The second piece that we wanted to and we have communicated to you in the past is about efficiency and our P&L efficiency driving more EBITDA out of our restaurants. We have done that as well. So if you just take the restaurants that we have opened last couple of years, which really do not have history behind them or basically new restaurants and look at all the restaurants, we have prior to that which is FY '23 and before, we moved the profitability of those restaurants by 1.7% on our P&L.

So, these focus, focus on delivery profitability, running a profitable delivery business, more profitable delivery business, and then also trying bringing in efficiencies on our P&L, these will continue as well. So, growing traffic in the restaurant through the value leadership, Cafe and innovation, Digital First Brand, through digital SOKs and table ordering, QR code ordering, and then through our app that we are building up, and then profitability focus on profitability within the restaurant which is a four walls efficiency that we bring into a P&L, and our delivery profitability.

So just coming to the Indonesia business, and Sandeep will talk more about that business. By the way, right after my two minutes, I am going to transfer it over to Sumit Zaveri who will walk Restaurant Brands Asia Limited

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you through all the numbers. I am not sharing a lot of numbers because he's going to share those numbers with you.

Now, on the Indonesia business, we spoke about three things, right, three buckets that we had. One was to bring in sales, right, to grow back sales post the geopolitical headwinds, and bring more business back into our restaurants. We have seen some good recent, if you look at our business from November till April, we have pushed up our dine-in ADS by 10%, so things are changing there. And it's not just the Burger King business, if you look at the competition over there, the market in general is now turning, I think the bottom is over and everyone's on the climb back to what numbers they used to have pre-geopolitical issues there.

So good green shoots. Very early time. There's a long road ahead, so I don't want people to jump to conclusions, but we have now seen a turn around as we saw this dine-in ADS come back into our business.

The second piece that we keep talking about is rationalizing our restaurant portfolio there. We continue to do that. We had closed 24 restaurants previous, now we have closed another eight. So, there's a total of 36 restaurants that we have rationalized. And maybe this year we will look at a few more that are on a pipeline to potentially close. If we are not able to get some good deals on leases and so forth on those, we will look at rationalizing those as well. So that was the second bucket wherein we are rationalizing cleaning up the portfolio.

And the last piece is really the corporate overheads. You have not seen a lot on the P&L in this today's upload that you saw for FY '25 and you have seen very little in FY '24 as well, because

even though we have rationalized the G&A and brought down the overheads, there have been closing costs of restaurants as well as severances that have kind of addressed on the P&L for those years. But the run rate, just to give an example of we were over Rs. 65 crores in G&A, as we have taken over the business, today we have brought that down to a run rate of Rs. 40 crores, so about Rs. 25 crores reduction. And then we are further looking at another Rs. 4 crores to Rs. 5 crores of reduction in this coming year.

So that rationalization bringing down optimizing our overheads, optimizing our restaurant base, which is to close down non-performing restaurants, and then revitalizing and getting sales into our restaurants, for which we have seen some initial good results, that's basically the same plan that you and I outlined to you last time. We will continue to work that plan as we move forward.

With that said, I am going to turn it over to Sumit Zaveri, who is going to walk us through the numbers. Over to you, Sumit.

Sumit Zaveri: Thank you, Raj. So, I will just kind of talk you through the highlights of our financial performance for the quarter and for the full year.

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From the percentage of growth, we ended the year at a total store count of 513. For the full year, we grew by 58 stores. For the quarter, it was at three stores, because a substantial part of our growth we achieved towards the end of December itself. So that's why this is a small incremental growth of three stores in the quarter fourth.

As far as revenue is concerned, good growth led by SSSG of 5.1%. For the quarter, we achieved revenue of Rs. 489 crores for the full year and 11.5% year -on-year growth. And if you really look at it in terms of translation of that into company -level EBITDA, we achieved Rs. 26.6 crores of company -level EBITDA, higher from Rs. 10.6 crores that we had done in the same quarter last year. So, there is almost like a 2.5x growth in company -level EBITDA over last year.

I would really like to touch upon one more line which we have been talking about as one of the levers of our efficiency translation is gross margins. If you look at it from the quarter perspective or your perspective, our gross margins was in the region of 67.7%, 67.8%. If you look at the trajectory that we have been taking consistently on Slide No. 10, you will realize that we have been growing at that pace on a year -on-year basis 0.5% to 0.7% year -on-year basis over the last three years consistently.

If we go back and when Gaurav talks about it, you will realize that we would continue the same trajectory as far as gross margin improvement is concerned. Even going forward , over the next three to four years, to our target to get closer to 69% to 70% over the next few years. So that's a strong margin improvement trajectory that you will see us continue to deliver as we go along in over next few years.

Coming quickly on to the full year numbers, just a highlight as far as full year is concerned . We got to a revenue of Rs. 1,968 crores for the full year , a very similar growth to what we achieved in quarter four, 11.8% year -on-year growth and a positive full year SSSG of 1.1% , led by a strong traffic growth that Raj was talking about in early part when he was talking about our overall performance. With company -level EBITDA showing a 32% growth over previous year to Rs. 99.4 crores for the entire year.

Quickly looking at Indonesia part of the business. I will just kind of talk broad numbers here again. As far as BK is concerned, we have been talking about rationalizing the portfolio, which we have kind of done . On a full year basis, we came down by eight stores , in quarter four stores ended the year on Burger King at 143 stores with an ADS of 18.5 million. And as far as Popeyes is concerned, 25 stores with an ADS

of 14.1 million, total revenue of 269.3 billion for the full year.

We are really kind of wanting to take you through , and you will see in subsequent slides as well. But Burger King, we did report a positive 2% SSSG for the full year. When Sandeep talks about it from the recent trends, you will be happy to see that the overall SSSG is now starting to see positive at 5% overall and 10% on dine -in basis as well . But Sandeep will take you through those. But we are starting to see signs of recovery, I would not say that we kind of something

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called out of the challenges that we have been facing in Indonesia , but we continue to make improvements as far as Indonesia business is concerned.

So, just since I have already spoken about the broad numbers, I am not taking you through the financial performance slides that are already available in Slide 13 to 15, rather hand it over to Kapil to take you through the marketing initiative.

Kapil Grover: Good evening, everyone, and thank you, Sumit. Let me outline the marketing strategy that helped us deliver a very strong quarter. First and foremost , there's always a consistent value strategy across three pillars of price point, digital app coupons, and a shareable value meals platform. These platforms of two for Rs. 79 and Rs. 99, the crazy app deals available on the app led by 99 Meals, which is growing every quarter , and the thematic shareable meal bundle helped us deliver great value to our guests across different occasions and across different price points. Moving to Slide No. 18. As Raj mentioned, a menu innovation continues to be driven by consumer insight and need gaps. Last year, we had innovations across burgers, the relaunch of a Mutton Whopper in the junior size, which makes it more affordable for our guests. A new Iced Latte and Americano that strengthens our cafe menu, and the Pizza Puff, which is a guest favorite.

Just to continue on the innovation conversation, I just wanted to share with the group that we recently launched a new range of Korean products on our menu, with the Korean Paneer Burger, Chicken Burger, Fried Chicken, Wings, and Fries. This is obviously inspired by a massive trend that we are all seeing on Korean culture, Korean music, drama. So we took out a leaf from the authentic Korean cuisine, and we innovated on the process. We dunked our patties and chicken snacks in this delicious Korean sauce to give a very authentic, very high quality Korean flavor

in every bite. The burgers were launched with a premium Brioche Bun , we upgraded the product there as well. And we are getting fantastic reviews from Food Bloggers, Journalists, and Korean fans across the board. I will certainly have more to share on this in the next quarter call.

Moving on to BK Cafe. Our 100% Arabica bean -to-cup, great -quality coffee at a very affordable price. We now have 464 BK Cafes as of last quarter across the country, which is about 90% of our store base. We have clearly seen one of the fastest cafe expansion in Burger King system and in India in the recent years. And we continue to now build awareness. As Raj mentioned, the expansion part is done. We now are focusing on building awareness through social media, including the recent AI -based Coffee Fortunes activation done on New Year. We have got a great response. We have over 6,000 people participating and actually playing the whole program for reading their fortunes.

Now, I am on Slide No. 21. We continue our journey to build known diner sales via BK app. As I mentioned earlier, it's a way to give more value to the consumer through coupons and bill frequency . But it also is laying the foundation for our CRM scale -up in the future. Our

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acquisitions continue to grow at a very healthy pace with app installs growing by over

28% over

last year. We also saw a 2.5x growth in our app user base, and a 3x growth in orders via BK app.

That's all from my side. I will now hand over to Sandeep to share the Indonesia business update.

Sandeep Dey: Thank you, Kapil . And a very good evening to all of you. Yes, there were geopolitical challenges, there were external challenges, but then we have always focused on things which are within our control. We stayed laser -sharp focused on controlling cost. As Raj mentioned, we kept on driving efficiencies, and at the same time, focused on getting back traffic into our restaurants.

Burger King as a brand here in this market, we have a competitive advantage of having a twin engine, twin engine of burgers and chicken. And we continue to work on our strategic pillars of retaining our leadership in burgers and also continue to work on building credibility in chicken by offering great taste, by offering innovation and strong value proposition to our guests across the menu layers and across the channels. And as a result, yes, early days, green shoots, we are seeing some great positive momentum in our business.

Now, that takes me to my next slide. Now, this is a bit of an eye chart, but I want you to focus on two things. First, we are delivering almost about 1 million higher sales for the last five, six months. And secondly, as we speak of a normalized business period, which is the main month, without having any impact of seasonality, we have reached almost 98% of the pre -boycott level sales of October 2023. So that's the good news. And we are confident of maintaining this momentum.

As far as Popeyes is concerned, we will continue to play to our chicken destination strength because we know that we not only win on taste, but we as a brand have the maximum variety of menu as far as chicken offerings are concerned. We have Fried Chicken, we have Grilled Chicken, we have multiple flavors in Wings and Boneless Popcorns. We also have Fried Chicken Sandwich, Grilled Chicken Sandwich. So, we win on taste, and we win on variety.

The one thing which we have done recently is actually we have elevated our services by providing guests a very casual dine -in experience through table ordering, through table servicing, through serving the food in a particular sequence, serving the food in cutlery and so on and so forth. It's currently in a test phase and we are gathering all the learnings and then subsequently we will scale it up across the restaurant.

So that's broadly from the Indonesia side, and I hand it over to Gaurav to share the overall outlook.

Rajeev Varman: Yes. This is Raj here. I will hand it over to Gaurav in a minute. Guys, sorry, we uploaded the results a little late. We will try to do that much sooner next time. But I just wanted to highlight , if you have not seen the results or not yet downloaded the deck , just the highlights for India.

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Again, just reiterating this, as of 31st March 2025, the year that ended, we added 58 restaurants year-over-year to reach 513 restaurants on that date. Additionally, 11.8% year -over-year increase in revenues at Rs. 1,968 crores of sales , that's 11.8% increase in year -over-year.

Average daily sales, SSSG, as we call it, the same store sales increase was 1.1% for the entire year and 5.1% for the quarter four. Our gross margin, which ended last year at 67%, went from 67% to 67.7% , that's a 0.7% improvement year -over-year.

Our four -wall EBITDA or restaurant -level EBITDA went to Rs. 206 crores, Rs. 206.8, so almost Rs. 207 crores , that's up 21.2% year -over-year. And the final number I am going to share with

you is the company EBITDA number, which last year was about Rs. 76 crores. That went up to Rs. 99.4 crores, and that's a 32% year-over-year increase in our company-level EBITDA. So, I just wanted to reiterate those because some of

if you might be just downloading the deck.
Over to you, Gaurav.

Gaurav Ajjan: Thanks, Raj. Good evening, everyone. Once again, sorry for the slight delay in uploading the results and investor presentation. We will make sure that from next quarter onwards, there is a sufficient time gap.

I am there on Slide No. 28 titled, The Way Forward India Operations. So, our restaurant count at the end of financial year '25 stood at 513. If you recall, our previous guidance was reaching 700 restaurants by FY '27, we have revised that to a more longer-term guidance. We are looking to open 60 to 80 new restaurants every year for the next four years. This will take us to about 800 restaurants by FY '29.

On the gross profit margin side, the gross profit margin for FY '25 was 67.7%. As Sumit mentioned on Slide No. 10, that we have increased the gross profit margin every single year that we have been there in the country. And we want to continue on this journey of increasing our margins. We are targeting an annual increase of 0.5% to 0.7% over the next four years. And this will take us closer to a number of about 70% by FY '29.

With that, I would request the moderator to please open up the floor for Q&A.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Dhwanil Desai from Turtle Capital. Please go ahead.

Dhwanil Desai: Hi. Good afternoon, everyone, and congratulations for decent performance in a very challenging time. So, my first question is that, if I go back in time, since FY '22 we have added almost 250 to 270 stores. And stores which are older than two years are almost now 80% of the total store count. So, despite that, our ADS has remained in that range of 115 to 120. So why this dichotomy? And on top of that, you have also added almost 400 cafes, which has an additional 8,000 ADS. So, we are not seeing the increase in ADS despite stores maturing added in FY '22, '23, '24. So, some thoughts on that.

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Rajeev Varman: Yes. Thank you, Mr. Desai, for your question. Actually, if you take away the last two years that we have built about 60, 70 restaurants each, that's 140 out of 513, so the ratio is much smaller. But anyway, coming to your question. This last two years as you have seen, especially the last year, that the industry has run a negative SSSG. In that environment to kind of hold on to our previous year's sales, that was in itself a very big challenge. And we have done that. What's happening is we are seeing a more and more increase in traffic coming into our restaurant. So, we are driving that as our initiative to bring more people into the restaurant and experience the brand over there, very successfully as well, right?

And then we have also on the other hand, had this whole goal of optimizing delivery profitability, right? So, what we have done is, in the past there was a lot of discounts either coming from the aggregators or from the brands itself. And that drove a lot of traffic, but without a lot of profit.

And the last two years, and especially this last year, we have started to focus on profitable sales.

So, we have increased the profitability of that business by 1%. We continue to do that over this next year. So, the objective of there is not to just bring in the ADS over there, but also to bring in a profitable ADS over there. And we will continue to kind of walk through that path.

The final piece is the Cafe. So, the cafe just came in, right? So, it's brand new. It's got, if you look at the restaurant we opened two years ago, right, the FY '23, they have gone up in ADS by Rs. 2,000. If you look at the ones we opened in FY '24, they have gone up by Rs. 1,000. So, I think in this current year, right, so they are moving up about Rs. 1,000 per year. And the newer restaurants that just opened, they have,

of course, a long way to go. But as we are seeing, these are moving about Rs. 1,000 at least. You will see that as our base becomes bigger, which is now that we are at 500 restaurants, we add more and more restaurants in the future. It will be a smaller percentage of the total base.

Also, one of the strategies that we have changed with development is, we used to open a whole bunch of restaurants in Q3. We are now kind of spreading it out and we will have openings in Q1, Q2, Q3, that will bring in a few more quarters of sales into those restaurants sooner than later. So, you should see, and we will see that kind of moving in the right direction and the ADS moving in the right direction. But that ADS movement is a big pillar for us, a big opportunity for us. And we are completely focused, as I said, on the three pillars, to drive that with those three pillars, one is to continue driving value, to continue driving our business through our cafes, and then finally through innovation. So, those will continue in addition to our digital that Kapil was outlining. I hope that answers your question.

Dhwanil Desai: Yes. That's helpful, Raj. And also, one more question on the same line is that, we have done phenomenally well on driving traffic in our stores, right? So, in order for us to go to the next level of ADS, do we intend to move the APC values higher? What is the path towards that? What are the actions that we are taking on that front to increase our APC?

Rajeev Varman: Yes, we have a very good strategic plan, you will see in the coming summer and beyond, to kind of address the business as you outlined it. But the traffic is the heartline of the business, we want
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to continue bringing in more traffic. The traffic in most of the businesses in the industry have not reached pre-COVID levels yet. So, there is a lot of opportunity. Those people still exist, and they still want to experience the brand. So, the traffic will continue to be one of the big pillars for us to drive more people into our restaurants and bring them in. But yes, we have innovation, and you will see some of that coming in the summer and beyond. We shall address exactly what you said. Thank you.

Dhwanil Desai: Got it. And one last question on Indonesia. I think before this geopolitical tensions when we were kind of climbing back, the idea was that around 21 million, 22 million will do the breakeven for the Indonesia business. And since then we have reduced a lot of cost. So, two questions. One, has our breakeven point come down? And since now we are near to that number, at least in May, and if that trajectory continues, do we see this year cash breakeven in Indonesia?

Rajeev Varman: Yes. So, thank you again, Mr. Desai. That's a good question you asked. Again, we are positive for the first time in a given quarter. Q4, in Indonesia for Burger King business was positive 2%, right? So that's why I said. And then by the way, April and May has been also strong, so it is coming back. Has it come back to the level we want? No, by far, right? But it is starting to turn that way, we have started to see.

And most of the traffic that is coming in, most of the sales that is coming in is at the restaurant, it's not through delivery. We are doing the same thing in delivery over there. We are optimizing delivery to make sure delivery business is profitable over there. So, we are more focusing on bringing people back in the restaurant. And similar to India, in Indonesia also we see a lot of traffic coming back in the restaurant, as I said. In this last November through April, if you take this entire period, we pushed up the ADS of our dine-in business by 10%. So yes, we are moving in that direction.

Also, if you look at the closures, we have done the overheads that we have reduced, yes, they have brought down the breakeven point

and we are kind of working towards that. And when we reach that, we will be the first ones to kind of let you guys know. But yes, we are marching towards hitting those numbers and making sure that we stop-off the losses there. Good tailwinds now in the last quarter and a little more, so we hope that these tailwinds will continue, and people will come back. We have done a U & A which has got some very good information that we learned about how the people are coming back. And we will use that study to kind of start driving that business back into required pre-geopolitical headwind sales. So, we are working on it, Mr. Desai.

Dhwanil Desai: Okay. Great. Wish you all the best. Thank you.

Rajeev Varman: Thank you. Thank you so much.

Moderator: Thank you. Next question is from the line of Pranay Roop Chatterjee from Burman Capital Management. Please go ahead.

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Pranay Roop Chatterjee: Good evening, sir. Thanks for the opportunity and good set of numbers. Sir, could you throw some color on the Indian demand scenario, right? And not just for Burger King, in general as well, because outside of QSR we have moderated the management team really committing that is a turnaround and demand etc. If you look within QSR, we have seen a range of results, right? You have one player who is reporting double-digit numbers of the last two quarters, you have a couple of district players who have reported flat numbers, and you have shown about 5%. So, what is the sense, is there enough indicators or evidence that there is a turnaround in SSSG in the QSR sector that you are seeing? Or is it company specific actions that you are taking that is driving some of these, and hence, it's still a wait-and-watch?

Rajeev Varman: Yes. Thank you for your question, Mr. Chatterjee. See, I will tell you, you have to have a balanced strategy which also starts from value. And strategy cannot be done overnight, right? You cannot suddenly implement something and then recognize the sales through it. So, this is a long-term strategy that we have worked from inception 2014. And we continue to kind of drive that strategy when the market gets a little weak. If you have a strong value proposition that people know of, they keep coming back. So, we continue to drive that whole portion of the

business.

But also, it is just not just that value strategy, there are several pillars that I outlined, understanding the Cafe business and rolling that out in a speedy fashion. I mean, we took a little over two years to roll out the entire Cafe business, we think it's going to be a strong long-run strategy for us, right? So, that's another tool that we have put in our arsenal that continues to. You will find that we have been doing innovations. Kapil has been rolling out products for a while now, whether it was the Boneless Chicken or the High Fries, or the Chicken Nuggets and so forth. So, we have been doing this. But we have not been advertising or bringing it in the forefront because we are focused on other stuff like value.

Now, you will find as we move forward that there will be a 360 -degrees approach to innovation. You saw the Korean campaign just this last month, and that was a 360 -degree campaign that worked very well for the marketing and the operations team, that very well for the businesses. So, I think, if you ask me this question, I will just say reflect on the last two years. And I said, in FY '24 we did a positive traffic of 5.2%. And on top of that 5.2%, we did another positive 9% in this last year on a dine-in business, right? So, the focus is about building that business out. So, if you ask me, yes, doing a 5% and then a 9%, that's a 14% two -years' traffic increase on your portfolio. Are we looking at next year? Yes, our plan is to continue that route, and continue to build that traffic in the business. And

then we have put in these new levers, whether it's the

Cafe, all the cafes are done, whether it's the innovation piece that you will start seeing in there. But it's the digital piece where the couple who's talking about the coupons and the other ways that we kind of drive up our business.

So, you will see all these three things playing in and there will be other stuff that you will roll out and we will talk about in quarter three and quarter four. But a lot of things are in place, and Restaurant Brands Asia Limited

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we are just steadfast on the same pillars. That's why we do not come on every call and give you new pillars, it's the same pillars, it's just more work and more hard work to continue driving those pillars.

I hope that answers your question.

Pranay Roop Chatterjee: Thank you, sir. I will interpret it as that, it's primarily strategies that you have executed over the last two years that is driving the growth, and you have not seen any demand uptake in the wider market. That's how I will interpret that.

My second question is on your cost control, right, and it's specifically for the India business.

Now, while I know that there are several levers that you can use to expand your store margins, what I interestingly saw is that, in Q4 2025, the latest quarter, if I add up all your store costs across the stores, it comes to about Rs. 280 crores. And I am simply doing a revenue minus the store EBITDA of your business, so that's Rs. 280 crores. If I do the same math two quarters back, revenue minus disclosed store EBITDA, it's still Rs. 280 crores. But in the same period, you have added about 50 to 55 stores, right? So, you have added 50 stores over two quarters, but the total cost is flat.

So, which one is it? Is it option A that when new stores open up, there is a lag for when the total normalized per store cost actually comes into your P&L, and hence, we will see those incrementally coming for those 50 stores you have added? Or is it option B where you have basically those costs are fully ramped up, but you have reduced certain specific cost line items?

Rajeev Varman: The answer to this is non-linear. There are so many things we are doing, you are welcome to come join Gaurav separately, he will be very happy to walk you through this. See, there are a lot of initiatives that we are doing which are partially done, some of them only in certain markets yet, whether it's reducing the utility cost that we are working on that has been partially rolled out, whether it is about these SOKs, which just got done by finally in all the restaurants. But there are several initiatives that we are putting in. There are DCs that we are opening on an annual basis that brings down the cost in certain markets.

So, it is a lot of small simple things that we do that continues to drive costs overall, right? But those initiatives are not completely rolled out in all markets as we can quickly do that. So, as they get rolled out, you will find the cost coming down. The new restaurants when they open, it takes about two years for a restaurant to reach the average kind of top line ADS. So, they start off at lower kind of ADSs and then kind of climb up to the average. Those that are above average kind of sites, they kind of start off at their two-year low and then go up to much higher ADSs.

So, you will see that there are multiple factors that work, whether it's our initiatives, whether it's the DCs we are opening which are driving our costs on the gross margin side, whether it's the volume of the restaurants we are opening, and so forth.

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So, Gaurav will take this down, he has made a note for himself, please reach out to him and he will take the time to kind of walk you through this. It will take some time to explain how it's done. Yes?

Pranay Roop Chatte

rjee: Sure, sir. Thanks a lot, and all the best.

Rajeev Varman: Thank you so much.

Moderator: Thank you. Next question is from the line of Aliasgar Shakir from Motilal Oswal Mutual Fund. Please go ahead.

Aliasgar Shakir: Yes. Thanks a lot Raj and team. And roughly going through those numbers in such a one-time market scenario is commendable. I have a couple of questions, first is on the India business. Now you did speak about the areas we have worked to improve our ADS and SSSG, and why we were not able to improve our ADS despite all the effort because of the significant growth that we have seen in the store addition. So, if you can just share some thoughts on how we see the future in the next probably three, four quarters?

In this quarter, we have seen a big improvement already. So, I mean, in terms of your SSSG, should we expect positive momentum to continue? And if you do the mid-single-digit kind of SSSG, then what is the room we have in terms of ADS and margin improvement from here? I am actually looking at comparing you with Westlife and despite you having much lower ADS, actually the margin gap is not such big. So that is why I am asking this question.

Rajeev Varman: Ali, thank you for your question. I hope you are doing well. Look, Ali, I mean, I outlined our traffic over the last two years. That is no different, we continue to drive in that direction. We spoke about having laser-focus on our last annual report on profitability, we continue to focus on that. Look, I do not want to make a forward-looking statement on what Gaurav gave you the two items on a forward basis, but I will share this with you. We have had a very strong April, and save a few days when we had this issue with the war, we have actually had a decent May as well. So, we continue on the track.

We want to completely focus on our pillars, which is driving traffic into our restaurants and continuing to focus on both delivery and restaurant-level profitability. And we have done that for the last two years. We have shown it. Quarter-after-quarter, we have come and shown you our numbers and we keep showing you positive numbers, improvements year-over-year. We do not think we will be able to show you anything different. We will continue in that march in a forward way. That's all I can share with you. I do not want to make any forward-looking statements other than that.

Aliasgar Shakir: Got it. Understood. This is very useful. Just one quick follow-up without giving me any forward-looking statements. Just from a potential point of view, that if you are able to do mid-single-digit Restaurant Brands Asia Limited
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SSSG, do you have further room to improve your margin from both SSSG point of view and efficiency point of view? Or only it will be SSSG-led margin improvement?

Rajeev Varman: No, Ali, you are absolutely right. If the top line goes even up by Rs. 10,000 over the next little while, you will find the leverage all through the P&L, completely all the way to company-level EBITDA. See, the restaurant-level EBITDA is leveraged by several line items. The company-level EBITDA is leveraged by one item, which is the overhead, which kind of is, in the long run, is believed to be more than anything but fixed, right? Slight inflationary increases on an annual basis. So, you will find those leverages coming all the way down to the company-level EBITDA.

Aliasgar Shakir: Got it. This is very useful. Second and last question is on Indonesia. So while it's certainly commendable in terms of the reduction in the losses at the company level, but when I see your presentation Slide No. 14, the improvement has more come because of the corporate G&A coming down, whereas the restaurant-level pre-IndAS margins, in fact, on a Y-o-Y basis from positive has become negative. So, if you can throw some light in terms of what has happened here

, despite having a 2% SSSG? And I mean, you have made this clear that you will be very strict on curbing the losses in Indonesia, otherwise you will probably move out of it. So, I mean, your thoughts on that.

Rajeev Varman: Yes. Ali, thanks. Again, good observation. We have had some inflation in beef prices over there, and also some currency depletion over there. So, you have seen those two things happen simultaneously, literally in the same quarter. So, you did see some impact of that. However, the pricing has been taken. It's not just us, it's uniform across the market. The industry has taken pricing to cover the inflation, and you will find that kind of washout over the next couple of quarters and kind of fall in track.

Look, I think by reducing the overheads, you have now reduced, as I was telling to Mr. Chatterjee earlier, you have reduced the breakeven kind of ADS, and I think we are now seeing positive

sales coming in. Look here, no amount of cost saving is going to help that business unless sales come back to where it used to be. And we are working on that, and obviously as a company we are astute on all options available to us to make sure the shareholders and the investors get the best bang for the buck on that decision. So, we will keep all those options open as we have just mentioned, but we are working very hard right now to kind of capitalize on this increase in sales.

Aliasgar Shakir: Got it. So, is this like a two or three quarter time period in which we should see the improvement significantly coming through? Or is it something which will take a little longer?

Rajeev Varman: Let's wait another quarter, let's see where it goes. We will have a chat post that, yes?

Aliasgar Shakir: Sure. Thank you. Thank you so much.

Rajeev Varman: Yes, thank you.

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Moderator: Thank you. Next question is from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Hi, sir. Thank you for taking my question, and congratulations on excellent execution. Sir my first question is with regards to the CAPEX per store now. Given you have driven multiple cost initiatives, what would be the average store cost for us in India and then Indonesia?

Rajeev Varman: Yes. Indonesia, we are not building any restaurants right now, so we do not have any maintenance cost. But Sumit will share with you our cost here in India. And of course, we are putting in a cafe now, we have putting in a self-ordering kiosk in all our new restaurants, right?

So, when the restaurant comes in now, they come in with self-ordering kiosk, they come in with the cafe already built in there. So, would you, Sumit, if you can take that question?

Sumit Zaveri: We have been kind of sharing these numbers on quarter basis. We still continue to spend roughly around Rs. 2.7 odd crores to set up a restaurant in India. And this is average cost of, obviously, not led by the format there. Depending on which format you concentrate on, the cost spend will be. But on an average, if you look at it across even from the perspective of balance sheet across gross block, store counts, you will realize that we have been spending around Rs. 2.7 crores.

This is a number that is now consistent for almost three, four years, I would say. And I think able to kind of maintain this cost at these levels, in spite of the really adding cafes as part of our stores, or this year adding kiosks as part of the store, is because we have also brought in a lot of efficiencies on our CAPEX cost line. So, we have literally been able to offset the inflation impact on the CAPEX side, as well as add more into our stores, but still remain at an overall cost of Rs. 2.7 crores per store. So that's literally where we stand, Gaurav.

As far as CAPEX portion India is concerned, we will continue to improve on this cost line going forward as well.

We are working on several initiatives. I will not go into detailing our initiatives there. But we do believe that we should be able to further optimize these costs as we go along. As we keep achieving some of the milestones that we are working on, maybe going forward or in subsequent calls, we will start calling out the consumption on the CAPEX side that we are working on as well.

Gaurav Jogani: Sure. Sumit, just one follow-up. So, given that there is a guidance of 60 to 80 restaurants that will be needed to open in a year, and I am assuming there will be some refurbishment or some IT related CAPEX. So, what would be CAPEX guidance for at least '26-'27, if you can highlight?

Sumit Zaveri: So, on the CAPEX side, with respect to new stores, 60 to 80 restaurants that we are talking about, roughly Rs. 2.7 crores plus the deposit that we placed. So roughly including that will be around Rs. 3-odd crores. The large incremental CAPEX that we had and which was initiative-led, more or less a cycle of those initiative-led CAPEXes have now come to an end because we are working on cafes over the last two years. And then last year we also added the digital investments on the physical asset side in each of the stores. So those have now literally kind of come to an end. And

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as we kind of went in to touch that a little bit of refurbishment required, we have kind of done that. So, beyond the new store CAPEX and maybe incremental CAPEX on the digital side to the tune of around maybe anywhere between Rs. 10 crores to Rs. 15 crores, we do not expect anything more on the CAPEX side over and beyond the new store CAPEX, at least in the coming financial year.

The incremental investment of CAPEX cycle literally has now, I would say, we have literally completed that across the entire portfolio. And we do not have any initiative that we would have on the CAPEX side, rather now we would start looking towards how do we optimize all these investments that we have done on the CAPEX side as well as the digital side. How do we really start optimizing on the business side and what our concentration would be there. Which is what, honestly, what Kapil in his presentation was also talking about or the initial slides what Raj

spoke about, that our concentration now is going to be really optimizing the return on some of the other investments that we have done over last couple of years is what you will see us doing into this upcoming part of the financial year. And without really delving deep into overall strategy, you will see this literally evolving as we kind of go in into this year. Honestly, the way we look at it is, Korean was the first step into where we kind of start to establish our these credentials and you will see our strategy on a firstly evolving on the product as well as on the digital side over the next quarter or next few quarters.

Gaurav Jogani: Sure. Thanks for a detailed answer, Sumit. And just last question from my end is, you have really shown how you have improved the gross margins over the couple of years, despite continuing on this value platform. So, assuming that given that you will be targeting the 70% gross margin, should we build incremental improvement on the EBITDA margin as well leverage? Or would it be largely to assume that in 40 bps, 50 bps improvement that you are targeting in the gross margin would reflect to the EBITDA margin front? Thank you, that's all from me.

Rajeev Varman: Yes, Gaurav gave you and I will repeat that, our intention is to move that gross margin number to about close to 69% to 70% over the next few years, over the next three years, right? So that's the intention we will get it to that point, and that money really rolls down all the way to the store-level EBITDA, and actually, to be honest with you, all the way down to company-level EBITDA.

So that's the intention with that number that line item. But there are additional line items that we are working on, whether it's utilities, whether it is rents that we are working on or total labor, now the SOKs are there, self-ordering kiosks are there in the restaurant. So, all these things kind of work hand in hand.

So, when you look at our P&L improvement, a 32% increase in company-level EBITDA year-over-year, it's coming from very small single initiative, it's not one big arrow, it's a lot of hard work. And I think this business really, I call it a business of pennies, and seconds, and grams, and degrees, it's for a reason. It's a lot of small things that you work hard on and it all contributes towards the EBITDA level.

Gaurav Jogani: Thank you so much. Thank you. Thank you, Rajeev. Thank you.

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Rajeev Varman: You are welcome.

Moderator: Thank you. Next question is from the line of Atul Mehra from Motilal Oswal Asset Management. Please go ahead.

Atul Mehra: Yes. Hi team. Sir, my question is, when we look at the India business' older cohorts, maybe 2022 cohort or 2023 cohort, what would be the kind of restaurant-level EBITDA margins these cohorts would be netting? I am asking this in the context of the general time it would take for a store to mature, so it could be reflective of steady-state profitability at the system level. So just maybe if you could share some insights on this.

Rajeev Varman: Yes. Mr. Mehra, I would advise that you spend some time with Gaurav, to kind of go into the very extensive answer that he will give you, because it's not linear again. See, number one is, we do not have mature stores, we have stores that were opened in 2014, which continue to grow. And you probably have stores in the industry that were opened 25 years ago, which are still growing. So, this is kind of a business that continues to grow in many parts of the world. I mean, I have been running this business for a very long time. So, it's not that we will mature and then come to a stagnation. There's always an inflationary increase, but there's also increase in traffic from new traffic coming in, new initiatives like we put the Cafe and so forth. So, that's the first part of the answer.

The cohorts are doing better. I will just give you a very simple example. We do not share cohort-level kind of gross margin and EBITDA-level information. But I gave you a small example just to let you know how the Cafe business, we just started three years ago, right? How the cafes that we first opened are up Rs. 2,000 over two years, and the cafes that were opened last year are up Rs. 1,000. So, they are growing at about Rs. 1,000 on the cafe side of the business. I am not promising that that would be the trend for the next five years, but that's what we have seen in the last two years, and that's all we can share with you what we have seen. But yes, the cohorts that are more, I would say, more mature, if you will, that will probably be a better way of defining it, are more mature than the younger restaurants and newer restaurants are doing higher ADSs. And if you do higher ADSs and if your rent is decent, you do gross margin and you do a restaurant-level profitability which is much higher.

But feel free to spend time with Gaurav, without kind of sharing any detailed insight, just some information that we got to keep for competitive reasons to ourselves. But he will show you how we work that platform out, he will help you understand it better.

Sumit Zaveri: Mr. Mehra, just to add to what Raj was saying and since we keep getting this question consistently on vintage, just want to highlight two data points from our presentation. One is, if you look at the year-on-year growth on restaurant EBITDA Slide 10, we saw 9.7% growing up

to 10.5% which is the entire portfolio

lio. At the same time, initial slides which Raj referred to, which is Slide 4 if you see, we did try to kind of reflect that the older restaurants grow at a faster Restaurant Brands Asia Limited
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pace or a better pace in terms of EBITDA and we have reflected that the restaurants that opened in FY '23 on an annual basis grew at a pace of 1.7% on an EBITDA over previous years.

So, to your question, really while we are seeing the EBITDA, seeing the positive SSSG growth, we are also seeing a better improvement in the restaurants that were opened prior to FY '23. So, I am just, without delving into what the profitability is, just to still kind of give you a reflection of what's happening in our portfolio. And we are just highlighting these two data points which form part of our presentation on Slide 4 and Slide 10, Mr. Mehra.

Atul Mehra: Got it, got it. Just one other question was on Indonesia front, while it's encouraging that we are seeing financial growth returning. In terms of kind of strategy level, what are in terms of deliverables from Indonesia for the company's financial year? And I ask that from the context that we have a large India business which is doing very well, when do we kind of take a call which is more strategic on Indonesia in the sense of divestment or just doubling down on efforts in India completely? I am not adding any kind of rest of the world distractions. So, when do we really take that call which is a more strategic long-term call on Indonesia in terms of any timeline or any thought process that you could share with us would be helpful? Thank you.

Rajeev Varman: Without again making any forward-looking statements, which is what it would be if I did make it. Look here, we are looking at this very closely, right from all points of view, we want to do the best thing for our business over there in terms of our investors and our promoters, stakeholders, myself included in there. We want to do the right thing over there. It's seen some green shoots, that does not mean that we have closed other options, we are looking at all options. And we will make a good call very quickly. I was telling this earlier on in the last call that we are looking at the next two, three quarters very crucially and very closely, and we will do the right thing for the investors in that kind of timeframe.

Atul Mehra: Thank you and all the best.

Rajeev Varman: Last question, please, from whoever. Thanks, operator.

Moderator: Thank you. Next question is from the line of Mr. Rishi Mody from Marcellus Investment Management. Please go ahead.

Rishi Mody: Yes. So this is a quick bookkeeping one to start off and then you get on the operations front. So India store addition guidance you gave us 800 by FY '29. If I remember this correctly, we were supposed to add 700 by December '26, so has the agreement been amended with Restaurant Brands International?

Rajeev Varman: Yes. We spoke about this I think a couple of quarters ago that, because of COVID we had rearranged an agreement with our franchisor. So, this guidance that you are seeing is reflective of that agreement that we changed with them.

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Rishi Mody: All right. I think on the operations front, on the India front just wanted to understand, we changed the strategy on the convenience channel, we are focusing more on profitability. So now I think we have done a bit on that, so just trying to understand now how are we going to ramp up the convenience channel? Plus, also are we facing any issues with, say, rider availability or rider pricing? Just wanted to get your view on that.

Rajeev Varman: Yes. So yes, profitability, but profitability is the third pillar, the first pillar was about driving sales and driving traffic. And what we have seen in the last two years is that while we optimize

our delivery business to make sure that it's only driving profitable traffic and so forth. We have seen a return of traffic back into the dine-in business, which is a strong point that we kind of hang our hats on moving forward, is a very strong dine-in business that's building slowly. And we have got all the tools, I think Kapil spoke about the app business that is driving a significant amount of people into our business, which is going to help them in CRM in the future and kind of continue to build on that traffic. That's a healthy traffic when 30% of your business is known on your app. So we will continue driving that piece of the traffic.

So for us, my primary goal is, and by the way, when you have a goal it does not mean you are not doing the other stuff. The primary goal is to make sure that more and more business drive into our four walls, into our restaurant, dine-in business. We want to focus on building that strong over the next five years. And we want to make sure that our delivery business grows, but grows profitably. It grows with a healthy margin, very similar to our dine-in business. So that's two

really broad goals that we are working on. In addition to P&L optimization, making sure we are bringing efficiencies on there, innovation on the side, digitization, all that will continue. But these will be primary goals as to bring traffic back into our restaurants ; and secondly, to drive delivery business on a profitable basis.

Rishi Mody: Okay, got it. And a final question on the Indonesia piece, right? So you mentioned that Indonesia restaurant EBITDA margins declined between the beef inflation and some currency impact, but I am just trying to understand, because our gross margins have expanded in Indonesia, if I am not wrong , by about 180 bps on a Y -o-Y basis of Q4. But our EBITDA, the restaurant level EBITDA margin has declined by about 300 bps. So just trying to tie the two up, like, I mean, our restaurant OPEX has also increased in the last couple of quarters on a Y -o-Y basis, restaurant OPEX , post taking off .

Sumit Zaveri: Yes, Mr. Mody, yes, absolutely , your observation is correct. What we have been doing over the last, I would say, over the last couple of quarters in order to kind of support the recovery of revenues in Indonesia, we have also parallelly been spending a little more on the marketing side as compared to what you would have seen in last year. Because last year we were literally at the middle of the geopolitical scenario that we were facing. But since the time the geopolitical scenario started to get ease up , the new government which we were talking about last year as well, as that was kind of getting ease up, we are working towards getting the sales back, which Restaurant Brands Asia Limited
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is also the reflection that you are seeing in our ADS growth over the last, almost from mid - November to the first quartile of May.

So, there is that element of spends that we have in Indonesia in order to recover some part of those sales. It will settle down, rightly this will literally kind of settle down back to the 5% marketing investments that we otherwise would put in the market similar to what we have in India. It's just that some of these investments were kind of front -ended in order to get the sales back to the pre -COVID levels.

Rishi Mody: Sir, what was in terms of percentage of sales in the last two quarters A&P spends, like you said it will settle down 500 bps, so how much extra was it?

Sumit Zaveri: It was around 8% if I remember the numbers from the last two quarters ad spend that we did . But yes, you will see that slowly settling down , and you will see that settling down over the next couple of quarters as well as we continue to bring sales back as far as --

Rishi Mody: Okay. Got it. Thank you.

Rajeev Varman: Thanks guys, really appreciate it. Back

to you , operator.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to management for closing comments.

Rajeev Varman: Yes. So thank you everyone again for joining in. I will just reiterate the few main performance KPIs that we delivered last year . Again, we are at 513 restaurants as of 31 March , 2025 , with 58 new restaurants year -over-year. Our revenues grew by 11.8% which is Rs. 1,967.8 million, SSSG was up 1.1% for the whole year , 5.1% for the last quarter. Gross margin moved up from 67% to 67.7%, it's up 0.7%. Our restaurant -level EBITDA was up 21.2%, which is Rs. 206 crores. And then finally, our company -level EBITDA was Rs. 99.4 crores, which is up 32% over the last year.

So, with that said, thank you so much for your interest in the call today. Appreciate it. Have a wonderful evening. Thank you very much.

Moderator: Thank you. On behalf of Motilal Oswal Financial Service Limited, that concludes this conference. Thank you for joining us . And you may now disconnect your lines .

Call: Aug 2025

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : 2nd Floor, ABR Emerald, Plot No. D -8., Street No. 16, MIDC, Andheri (East), Mumbai – 400 093

CIN : L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

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Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

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Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI L ODR Regulations, please find enclosed the transcript of Investors' Conference Call post announcement of the Unaudited Standalone and Consolidated Financial Results of the Company for the quarter ended on June 30 , 2025 , held on July 31 , 2025 at 05 :30 p.m. IST .

The same is being made available on the website of the Company viz. www.burgerking.in

Kindly take the same on record .

Thanking You,
For Restaurant Brands Asia Limited

Shweta Mayekar
Company Secretary and Compliance Officer
(Membership No.: A23786)
Encl.: As above
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Q1 FY26 Earnings Conference Call
July 31, 2025

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL
OFFICER AND CHIEF BUSINESS OFFICER

MR. GAURAV AJJAN – HEAD OF CORPORATE
DEVELOPMENT AND INVESTOR RELATIONS

MR. KAPIL GROVER – GROUP CHIEF MARKETING
OFFICER

MR. SANDEEP DEY – BRAND PRESIDENT , INDONESIA

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Restaurant Brands Asia Limited Q1 FY '26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Naveen Trivedi: Yes. Hello. Good evening, everyone. On behalf of Motilal Oswal, I'm Naveen Trivedi would like to welcome you all to the Restaurant Brand Asia's 1Q FY '26 Earnings Conference Call. From the management today, we have Mr. Rajeev Varman, Whole-Time Director and Group CEO; Mr. Sumit Zaveri, Group CFO and Chief Business Officer; Mr. Gaurav Ajjan, Head of Corporate Development and IR; Mr. Kapil Grover, Group CMO; Mr. Sandeep Dey, Brand President, Indonesia; and Ms. Cicily Thomas, Brand President, India.

I would now hand over the call to the management for the opening remarks. Over to you, sir.

Rajeev Varman: Thank you very much, and thanks, everyone, for being on the call. I know there's competing calls, so we really appreciate everyone joining here. Look, I'll give you a little strategic summary that I usually give on the onset. Sumit will carry you through the numbers. Kapil will carry you through brand and sales. And then we will hand it over to Sandeep to carry you through the Indonesia business, and then Gaurav will kind of wind it up in the end. We are all here to answer the questions as well. So Cicily Thomas will also join in, in handling any questions post the presentation.

So let me just first start with the India business. The India business continues to get stronger. It was strong. It's getting stronger. Our growth -- revenues growth was 12.6% on the top of SSSG of 2.6% and then a growth of 63 new restaurants, net restaurants. The total revenues were INR 552 crores Restaurant EBITDA, INR 53.6 crores, which is 23% higher than the same quarter last year. Company EBITDA, which is final and all these are pre-India AS numbers I'm sharing with you, was INR 22.5 crores, which is 28.6% higher than same quarter last year.

So these results were on top of our strategy, which I've communicated on an ongoing basis. It hasn't changed. We continue to grow and strengthen it. The first one is top line, how do we continue to grow the top line. We have been now positive in sales for many quarters, and we've been reporting it and you have been kind of seeing those numbers as we have reported them. So 2.6% SSSG driven by dine-in traffic. So we continue to focus our energy around bringing more people into our restaurants and Kapil will share how we have progressed on that, but some very good results in bringing people and growing the business, SSSG on top of SSTG as we call it, which is traffic growth.

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So the strategy there hasn't changed. We continue to build and strengthen each of the layers. The first, we call this the barbell strategy. So on the entry level, we have our 2 for 79 and 2 for 99 promotion. We call it 24x promotion, which has been now running for over a year. And if you remember, before this, we had the INR99 meal, the crispy Veg meal, which had grown traffic the entire year the previous year.

And then after -- I'm talking about FY '24. And FY '25, we grew on top of that with this value meal, the 2 for x meal. And now this year, we continue to grow on top of that. So this is a traffic growth year-over-year over now another year. And so the e

entry level, which was 2 for 79, 2 for

99. And then in just a few weeks ago, we introduced for 4 weeks, INR99 cafe just because we

have now covered the entire land scape here in India with cafes.

We are -- we have a very strong cafe portfolio. We'll share those numbers with you as well in a few seconds. But we then went out to start talking about the coffee, and we did some very stellar numbers, and Kapil will share our progress on that side. So that was on the value side.

We continue to drive through not only products on the burger side, but also on the cafe side to make sure that there's people coming in. On the other side of the barbell, we had a strong menu on -- we call it the Kings Collection, which is a range o f premium burgers, which included 4 burgers. So what we have done in the last 6 months is we have done extreme customer surveys and research, and we have enhanced the quality of those burgers, and Kapil will talk more to it. But that Kings Collection now 2.0 is a fantastic range of very high -end good quality burgers at INR200. And then we launched the Korean range, which is a limited time offer. And what we will be doing is this limited range will change every quarter or every 3 months, and there will be a new limited time offer, and we'll continue this to keep strengthening our premium layer. And the Korean burgers we are selling higher than INR200, and they really did well. It was -- and we'll share those numbers when Kapil gets on. So there's the prem ium Kings collection and then there's a limited time offer of premium burgers and as the Korean, and we will share with you what we have done in that.

So this is a barbell strategy. And as we move forward, we'll continue strengthening both these pillars, but also build a very strong middle layer, which we will talk to you about on the next quarter after we have done some work on it.

Now we also talk about digital -first brand. Today, very happy to report to you that 93% of our restaurants have self -orderin g kiosks. That's 93%. And that was done in a little over 2 years. We have installed SOKs, trained people, got everyone on speed on our SOKs. We call them SOKs, self-ordering kiosks. And also table ordering and app ordering is availa ble in 100% of our resta urants.

So there's -- we are completely digital. In fact, 90% of our sales comes from this digital platform. Only less than 10% of the sales is manual or run on a POS system. 95% is digital. So good work

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done by the entire team in operations as well as ou r beautiful team in technology and our construction who have worked together in moving this in such a rapid pace.

The dine -in app, which is our other tool, which does both delivery business as well as dine -in business, and Kapil will speak a little bit ab out how we are gathering information is between 80 to 90 transactions that we do every day are on that app. And these are people that are repeat customers and they keep coming back and their information, what they like, what they want to buy, all that is a vailable to us.

So this is a very strong platform for us, and we continue to kind of enhance that more downloads. We have worked in the last, I think, 3 months, 4 months to increase the downloads. Again, Kapil will share those numbers with you. And the ne xt generation out of this digital platform is to integrate this into the AI. And we are doing a lot of work where they will be AI facing the consumer, AI facing our restaurants.

And also, when I say restaurants, our staff are people that run our restauran ts, people that work in our restaurant support centers. Also, it will be facing towards our vendor partners. people that supply food to us. So this is, again, a 360 degrees as we have always spoken about technology being at 360 degrees. We are working on a ll 360 degrees, and we will talk about thi

s more in the
future quarters as we start rolling these out in modules.

Then the next piece is profitability. And here, we have spoken about 2 real big elements. One is to drive profitable delivery sales, and we h ave continued to do that. In fact, our margins in delivery sales have gone up by 1 percentage point. So delivery profits have gone up. Also, the revenues have gone up by 11.5% on top of new restaurants being added, but also SSSG and delivery.

So a good wo rk on the profitability part of this, where we are making the delivery sales not only profitable, but also increasing the volume of the sales. The second part that Sumit has spoken in the last call and actually speaks on most calls is about the middle laye r of our P&L, which is where we have utilities, we have rents, we have all these line items. And we continue to work on those line items, especially the effort that we have made on the front of our utilities, and you will find that we have saved a lot of m oney there and brought it down into the bottom line. Restaurant EBITDA margins improved by 0.8% year -over-year through these initiatives. Also, we have renegotiated a lot of contracts on the IT front. where our technological partners, we have rearranged o ur technology, the way we have consumed it. And those have also attributed to a lot of profitability focus in that layer. So these are the 3 pillars that I wanted to talk about,

and you will hear a lot of detail both from Sumit and as well from Kapil. Now just quickly moving over to Indonesia, what is happening in Indonesia. So Indonesia, as you know, that we had the 3 focus points, and we have always spoken about those 3 focus points. One is to revitalize and drive top line. And I'm very, very happy to see the progress. We're not there. There's a journey ahead of us. We will continue driving it.

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But if you look at our sales in the last 9 months, 8 out of those 9 months, we have driven higher ADSs from the previous years. If you look at the -- from November to July, November 2024 to July 2025, we have grown 5% year-over-year in ADS. So we continue to grow that top line. We have done it. Initially, when we spoke to you, there was only one chicken offering. There was a classic layer. We had brought in a spicy layer in there.

And now Sandeep will tell you what we have done further because we first fixed the menu. We had challenges when we went into the business about the quality of products. We did the surveys. We fixed all those products. But then you start inviting people back in through bringing in new products and cheese and spice is the way the country runs.

So we will share with you what -- Sandeep will share with you what we have done in the last promotion, which has driven high volumes of people coming back into our business. So 1 million more in ADS that we have driven and we have bought that home. And we are really literally at the point where this business -- actually, this business in this quarter has actually, at the restaurant level, generated money. And this is the first from the last several quarters that we have been reporting to you. So good job there, Sandeep, and he will talk about it.

The other pillar that we continue to talk to you about is the portfolio itself. So we have rationalized the portfolio. We have cut down additional 4 restaurants. We spoke about 8 that we had closed last year. So on top of those 8 restaurants, we have closed another 4. And I think we're kind of at the end of that rationalization journey.

But the other journey will continue, which is about reducing rents, and we continue to renegotiate rents of all our restaurants over there. So that work will continue, and we will continue to try to optimize that as well. So the portfolio optimization, I think we are in the last phase of it, and then we will continue

the rent optimization as we go forward.

The third pillar that we have spoken to you about is about the reduction in corporate overheads. So as of today, we have reduced already 25% of the corporate overheads. That's about 15 crores. This reduction will continue as we are looking at this year to reduce that by a further 10%, which is another INR 4.5 crores. So overall, when we started this journey, I shared with you that we will remove 1/3 of the corporate overheads.

And we talk about corporate overhead, it's just not people. It's a lot of things that we have done, whether it is contracts, whether it is the facility itself and so forth, that has reduced this by INR 15 crores, and it's going to further reduce between INR 4.5 crores to INR 5 crores. That will have reduced the total corporate head by 35%. I think that's a good safe place to be in. So that journey continues and the work on that continues with Sandeep and his team, and he will speak to it when he gets online. So with that said, I'm going to turn it over to -- basically to Sumit to carry you over the detailed numbers. So over to you, Sumit.

Sumit Zaveri: Thank you, Raj. So I'll be using -- I'll first take you through India numbers and then take you through Indonesia numbers. The idea while talking about India and Indonesia would be to really

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talk you through the journey that we've been having across both the geographies. While coming and I'm using Slide number 8 first to take you through the India performance.

As far as the store count is concerned, Raj mentioned that we added 63 restaurants in a span of over the last 1 year, which translates to 6 more restaurants during the quarter. We had some store closures during the quarter, around 5 restaurants is what we closed. We've always been saying that we would add around 60 to 80 restaurants on an annual basis. We remain focused on that growth journey, and you will see us growing at that pace as we progress further into the later part of the year.

Looking at SSSG, we've had -- we've been consistently to an extent, largely have been having positive SSSG trends. Those have been in the region of around 2.5% to 3.5%. This quarter as well, we've had a 2.6% SSSG positive growth with an overall portfolio average ADS of 120. At

2.5%, just even when we look back into when I cover the EBITDA numbers as well, it allows us to cover for the effective inflation that we have on our P&L cost lines.

And hence, it also -- at these levels of SSSG, it also allows us to make sure that the entire efficiency gains in the middle of the P&L, which Raj was alluding to, gets transferred or is starting to reflect in the restaurant EBITDA and the company EBITDA numbers as well.

Just looking at the overall revenue numbers, we ended the quarter at INR552 crores, an increase of INR62 crores a combination of the new stores, 60 -odd new stores that we opened during the previous year, plus the SSSG of 2.6% and the positive SSSG that we've had through the earlier quarters as well.

As far as gross profit is concerned, we have maintained the gross profit trajectory in a tight range of 67.6% range or thereabouts through these last 5 quarters. We feel happy about being at this because in spite of strong inflationary pressures, plus being focused to driving traffic through the value strategy, we've been able to kind of maintain the trajectory of gross profit in a tight range. We feel that strongly about it.

This, in any case, does not take us away from our long target of 70% over the next 3 to 4 years and which we've always been speaking about, and you will see us progressing towards that as we've always been mentioning about in the past as well. As I was mentioning that at 2.5%, it allows us to fully absorb the inflation that we have in the middle of the P&L.

middle of the P&L.

And hence any efficiency gains that we have at the restaurant EBITDA gets translated into the profitability, which is what is a reflection of our 8.9% profit improving to 9.7%, an improvement of 0.8% over the previous year. This is largely led by the cost efficiencies that we've got on the utility side of the line. We've always been talking about that, that we have plans to overall improve our utility cost lines as we go along.

This is just first quarter where some parts of the implementation, we've started to see some improvements, and this journey will continue going forward as well. Plus we've got some cost efficiencies through negotiations on the IT side of the costs that we incur at the stores, which

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obviously sounds counterintuitive after making substantial investments on the digital side. But honestly, those investments have also helped us make the cost lines also efficient as the operation parallelly becomes efficient. So it was positive for us on both sides.

And then as far as company EBITDA is concerned, there is a translation of efficiency gains from restaurant EBITDA to company EBITDA. There are certain one-off expenses that are there on the corporate side, which has kind of brought making the numbers slightly lower as far as the company EBITDA is concerned.

Going on to Indonesia, I just want to kind of reflecting the performance so that we can understand the progress in a slightly different manner as compared to the way we've spoken in the past. So I'll just quickly talk about the summary lines and then go on to the ADS trends and the P&L trends for Indonesia in Slide 10 and 11. So I'm on Slide 9. As far as Burger King is concerned, we are at 159 restaurants.

The rationalization of the portfolio continued through the quarter. But from the substantial reductions that you would have seen earlier, it has now come down to 3 or 4 restaurants. We feel that we're kind of coming to an end of journey in terms of further rationalizations there. And then at the same time, as we kind of rationalize our portfolio, we feel good where we stand at the moment in terms of our ADS at INR19.7 billion for the month, not that this is where we would want us to be. But from the perspective of the trajectory that we've taken, we feel that, yes, we've kind of at least moved the needle upwards from where we stood.

As far as Popeyes is concerned, 25 stores, that's been the store count now for quite some time. We've not been adding any more to the portfolio as we still need some answers to be solved or get before we go back to the growth side on Popeyes. There. Overall, revenue stands at INR280 billion with loss reduced over the previous quarter at the company level by INR2.2 billion.

I just want to kind of go and spend a little bit of time on Slide number 10. As you could see that we've consistently now been remaining higher than the previous year over last -- since literally November, right up to July 28, almost till the end of July, we've consistently been ahead of our overall revenue in Burger King as a part of the Burger King portfolio.

You all would be wondering that why did we start the chart from November there. It's honestly, the reason why we put it is because that was really when the new government kind of took charge in Indonesia, and that was -- that there was a symbolic announcement of ceasefire in October.

So really speaking, that's when we started putting our investments back in the market on the marketing side as well. So real action from our side literally started from November and which is when we've been literally kind of leading to continue to have performed better as far as our

ADS is concerned. On an average, we've kind of grown at an average ADS of around 1 million if we look at on an average for the period of 9 months.
So -- and as

you can see in the chart below, it has largely come through improvement in dine-in, which is what we always wanted to focus on as we go back and start putting money back in

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the business. Now what does it do on the P&L side, if you look at Slide number 11, you could very clearly see that over the last 4 quarters, our overall ADS, which used to be at 17 million has got to 19.7 million.

You will see that when we look at numbers, when Sandeep takes you to that, you will see the plan that we are going to have to maintain and then grow our ADS going forward as far as Burger King is concerned. And as you can see that as we have improved our ADS, obviously, not only the revenue continues to be higher than the previous periods, but it has also helped us improve our gross margins by a percentage point. And a store EBITDA level where we had lost around INR8 billion in quarter 2 last year or 4 quarters back, we've from there got to a positive store level EBITDA of INR6.4 billion.

So we've kind of made gains in Burger King. It gives us -- it makes us feel positive that, yes, we should really be slowly, but certainly be able to kind of move forward on our journey in Burger King and Indonesia with the plans that we have. While we are moving positive on Burger King side, Popeyes, obviously, yes, is an area where we need some more work to do.

We are seeing the ADS there falling from 14.6 to 13.2. And earlier -- if one was to go back to earlier periods, it was higher than -- it was almost closer to maybe 3 - 4 million higher than what it was 4 quarters back.

So that's literally where our current challenge is, and we want to kind of take this back up where we believe we should be able to do that. We have some plans, and we will share back those plans as well to you. Gross margin is a journey that is similar to BK. We've improved it by 2 percentage points on gross profits. But because of lower ADS, our loss in Popeyes still continues to be in the region of around INR6 billion for the quarter.

So there is positive news on BK. Popeyes, we still have work to do. And overall, Indonesia on a consolidated basis, while there is positive movement on the store EBITDA and the company EBITDA side, just to kind of -- there is still work for us to do, but at least there are positive trajectory that is available on BK and Popeyes side.

So with that, I'll just hand it over to Kapil if there's anything more that we can obviously discuss later.

Kapil Grover: Thanks, Sumit. So on the marketing side, just to share that we've had a very exciting start to this year. Quarter 1, as Raj mentioned, we had this barbell strategy really getting executed. The quarter started with the launch of the Korean range. You're all well aware, Korean is a big fad across culture, music, pop, drama.

We leveraged that insight and built out a very authentic range of Korean products, including burgers and chicken sides. Fabulous response in the product, great response in stores from consumers. We did a complete 360 campaign, really reflecting the Korean culture across digital, social, app store, and we got a fabulous response across both the channels. Our SSSG is reflective of that result.

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On the other side of the barbell, while we are doing the Korean range as a part of our premium range, we also have the value program running consistently to continue to drive more footfalls to the stores. 2 for INR79 and INR99 continues to drive traffic, and it's one of the most affordable deals in the market.

The second lever of our value strategy is the crazy app deals, which is where customers walking into our stores can download the app and use exclusive deals available only on Burger King app for dine-in. And that helps us drive loyalty and frequency over time.

The third component of our value strategy is the shareable value meals, which are meant for a different occasion where you have large group sizes, so people can buy a great value meal, which is shareable between 2 to 3 people.

On this page, I just want to talk about one more thing. The Kings Collection, Raj mentioned that we relaunched that. It's a 2.0. It just got rolled out in the month of June. But we have significantly improved the quality of our products beyond where they were.

This is obviously backed by a lot of consumer research on what consumers consider as premium, the Brioche Bun, the whole muscle and like a whole cheese patty, right? Those are the ingredients that have been introduced in these products now. They're great value, great quality and yet at a fairly value for money price at INR200 where you can get these great-tasting products.

Moving on to the next section of innovation. I'm moving to Slide number 16. While we did a lot of work on the burgers at the premium end, value continue to be a strong pillar for growth. We opened up the innovation a lot more in this quarter. Cafe, big pillar, for us as a sales driver. There was a promo on the cafe, which is INR99. Raj spoke about that to drive trials.

Now opened 480 cafes. How do we get people to try our cafe products? How do we make people aware that 480 Burger Kings have cafes in there, right? So the INR99 promotion was done in the summer months, 4 weeks of promotion, very good response, improvement in trials, improvement in units sold. And we saw a big uptake of our coffee and shakes, which are very high-quality products by our consumers.

We've added to that range by introducing the co-branded Kit Kat BK Fusion. It's our first step into launching co-branded products. BK Fusion is our global property and Kit Kat is our first partnership, and we will continue to build on this in future with more brands and more partnerships.

The last bit, which just got rolled out pretty much 2 weeks ago is the Whopper Deluxe range. Now this is a whole new range of burgers. It's inspired by what was the Whopper Junior earlier, but it's got improved quality with glazed buns, better patties, and new proteins. We've introduced the Paneer, cottage cheese. We've introduced cheese, and we've introduced a fried chicken Whopper Deluxe.

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Now these 3 products strengthen the range in the middle of our menu. Now we have a range of 6 Whopper Deluxe burgers starting from INR139 all the way up to INR199. It makes our menu a lot more variety. It's still great value for money at that price point and expands our strongest pillar in the menu, which is Whopper, right? So we've introduced that earlier this month, and we'll have more to share in the following calls on that.

We continue to build our awareness through local store marketing, buying impact media. Social media remains a strong pillar of building consumer engagement. Our content is very organic. And in the month of April with the Kurin campaign, we saw one of the fastest growth in our social media followers on Instagram, which is sort of an indication of how popular the campaign was.

On the digital transformation side, self-ordering kiosk, Slide number 19, we now have 484 restaurants with SOK and customers really loving the new experience of ordering digitally and controlling that experience themselves table ordering available in all stores except food courts and so is table service, which significantly enhances the customer experience inside our stores. The BK app journey continues to be very, very strong. We saw a lift in installs almost 50% quarter-on-quarter and also the orders on the app jumped up by almost 60% quarter-on-quarter. So that continues to be a strong pillar of building engagement with consumers and over time, building frequency and

loyalty. That's the update from my side, and I hand over to Sandeep for the Indonesia update.

Sandeep Dey: Thank you, Kapil, and a very good evening to all of you. As you heard from both Raj as well as Sumit that we are witnessing a strong momentum in the Burger King business, consistently now delivering close to 1 million higher ADS for the last few quarters.

We remain confident in our ability to maintain this trajectory and are also staying laser-focused on driving traffic, more and more traffic back into our restaurants. Our strategy continues to be rooted in offering great taste, clear differentiation, and exceptional value to our guests, powered by our unique twin engines of burgers and chicken.

We have observed that Indonesian consumers have a strong preference for both spicy and cheesy flavors. So leveraging this insight, we introduced spicy and cheesy variants across both burgers as well as chicken, priced it attractively and supported that launch by a comprehensive marketing campaign. The response was very encouraging, and we have seen sustained results even after the campaign concluded.

We all know it's a very strong chicken market, and we are committed to strengthening our relevance and credibility in this category. We identified a large opportunity in catering to a group

dining occasions by offering whole chicken meals. Drawing inspiration from a local favorite, we developed something called Ayam Nusantara . It's basically a whole chicken non-breaded seasoned with local spices, fried and served with rice and a variety of sambals. Sambals are basically Indonesia's version of Indian Spicy Chutney.

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Now this exciting new product will be launched next month. Following that, we will also introduce a Western-style breaded whole chicken. And we strongly believe that these innovations will not only drive incremental business, but will also reinforce our position in the chicken category.

And not to forget, we will continue to focus on delivering strong value propositions across all our menu layers and across all our sales channels. Now I'm moving to the next slide, which is about the Popeyes business. Now we understand that it's a tough market. It's a competitive fried chicken market and a strong amount of competition from both global as well as local QSR players. Now winning in this space demands substantial investment in scale, in reach and brand awareness. Now recognizing this, we have actually pivoted our strategy.

We are leaning into our strength as a chicken destination and providing an elevated guest experience more like a fast casual restaurant, all while maintaining our digital-first approach. Now we piloted that concept in a couple of stores and now for over a quarter of -- yes, about 4, 5 months and are seeing early positive signs.

Dine-in business has increased and our gross margins have improved by a few points. Now encouraged by these results, we have expanded the model to 4 additional restaurants. We are in the process of learning from diverse store formats and diverse trade areas. The goal is to gather all those insights and eventually scale this model across the entire portfolio. Now that concludes the update on our Indonesia business, and I will now hand it back to Gaurav to share the outlook. Gaurav Ajjan: Thanks, Sandeep. Good evening, everyone. We can move ahead to Slide number 28, titled the Way Forward India Operations. There is no change in our guidance for restaurant openings. We will continue to add 60 to 80 restaurants every year to reach approximately 800 by FY '29.

While we have added a net 6 restaurants this quarter, you will see the pace of growth increasing in subsequent quarters as we have several sites already in construction. Now on gross profit. I would want you to note that our GP is an all-in number. And apart from

the food cost, it includes paper and packaging, along with primary and secondary distribution.

Our GP guidance is the same as we target a 70% margin by FY '29. Please note that we will not see a linear increase every quarter as we aim to strike the right balance between sales growth and margin increase. However, we are confident that we will continue our margin growth trajectory seen over the past several years that will take us to about 70% by FY '29. Thank you all for joining in. I would request the moderator to please open up the floor for questions.

Moderator: Thank you very much. The first question is from the line of Pranay Chatterjee from Burman Capital. Please go ahead.

Pranay Chatterjee: Firstly, one comment by CFO, sir, he mentioned regarding India's corporate overheads that there were some one-offs this quarter. Would you be able to share what these one-offs were and ballpark what the quantum would be?

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Sumit Zaveri : Yes. It was one impacted by the ...

Pranay Chatterjee: I'm sorry, your voice is getting cut.

Sumit Zaveri : So one is because of the G-SEC rate reductions, we saw some actual valuation liability increases, which was to the tune of INR 1 crore -- and then there was some ESOP grants that we did during the quarter. So that's really the line, which was higher than what you would see it on a recurring basis.

Sumit Zaveri : What was the quantum? If you said it probably got cut off, what was the quantum?

Rajeev Varman: The actual valuation was around INR 1 crore because of the G-SEC rate adjustments that happened during the quarter.

Pranay Chatterjee: Okay. It's just crore. Got it. Great. My only other question is on the overall demand environment that you are seeing. Obviously, we have not seen any sort of traction in some of the other results that have come out in our sector. And I'm also sure that June because of rains might have slightly dampened the summer vacation spike that you guys usually see.

But still, how do you see it as you go into Q2? Obviously, you have been doing your own initiatives and offers and menu upgrades to drive dine-in traffic. Keeping that aside, from a macro point of view, how do you see it progressing? Is it to -- is it still similar as we were, let's say, last quarter or a couple of quarters back? Or do you see some improvement?

Rajeev Varman: Yes. I think, Pranay, we basically are seeing very similar trends. It's -- there is some limited demand and it's a tighter market than usually we see at this time of year. But the demand on the lower end of the menu at the value layer continues to be strong. So we don't see very big there. It's on the premium layer where we have seen a little bit of a shrink or tighter, and that's reflective in our SSSG, which is only 2.6%. Yes, that is where we are seeing the market overall.

Moderator: Next question is from the line of Gaurav Jogani from JM Financial.

Gaurav Jogani: Sir, my question again is similar to what the previous participant had asked. It's more on the demand side only. But if you can dissect given that the value layer is increasing, are you seeing at least the transaction or the number of guest count increasing? And if that is helping, how much of that is then getting converted to a sticky customer base for you going ahead?

Rajeev Varman: Yes. So yes, I mean, our dine-in traffic continues to be strong. It's been strong now for a couple of years, actually more than a couple of years. That traffic continues. And like I said to Pranay earlier, that is on top of some very good value promotions that we are doing and the app that we have rolled out, which we are doing about 80 to 90 transactions.

Those are what we call, as you kind of rightly portrayed, sticky customers that build our future sales as well. So we continue to kind of get those downloads going a

s well. Like Kapil was

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saying earlier, the Korean campaign actually bought down -- bought a lot of more downloads in that period. And that actually increased the number of transactions on that.

But this quarter, Q2, we have Shravan, we have Shradh, we have Navratri, a lot of spec is also there. So there will be some vegetarian skewed kind of a demand for a while, and we know that. And we are actually pleasantly happy with the -- because the margins are higher on that side of the menu, and we have a very strong vegetarian menu. So we feel good about that.

Gaurav Jogani: Sure. But sir, at least can you infer now that the deceleration in the demand has now at least dropped? And if not, it's been stable for quite some time now. Would that be right...

Rajeev Varman: Yes. As I said to Pranay, it's very similar to what it has been for the last couple of quarters. And it's a very similar trend that we are seeing, and it's more focused on the value side of the menu.

Gaurav Jogani: And sir, what according to you is leading to this demand softness? It is largely the macro environment? Or is it some of the shift is happening to other cuisines, other menu parts largely because of the Swiggy's and Zomato's of the world that the options are increasing and people are down trading to some other cheaper options than cuisines?

Rajeev Varman: See, because we continue to increase our dine-in traffic, right, we are getting more and more dine-in traffic. Kapil has been reporting positive dine-in traffic now for so many quarters. So people are still coming into the restaurant, right? So we -- I think generally, if you look at the industry, there has been an APC decline across the industry.

And that is what I would say is the potential or the buying power is kind of a little bit depleted, but the transactions are happening. People are coming in. And if you have a good, strong value promotion, which we have, which, again, with cafe also, we introduced the INR 99 cafe and did really awesome for us.

So I think demand is there. Demand is on the value side, and it is continuing to grow in that value side. I think as things kind of loosen up and we are hoping that by quarter 3, which is the October, November, December months, I think we would have put the I think the general market would have shifted by that time to a little more positive tailwinds towards more in traffic on the premium side.

Gaurav Jogani: Sure. And sir, my last question is with regards to -- you have been doing a good job in terms of cost reductions, and that is reflecting in the overall margins as well. How much more room do you see, especially on the India side to drive margins on the EBITDA side? I do understand that there is a good headroom on the gross margin side, but specifically on the other cost line items other than the gross margins.

Rajeev Varman: Yes. Very good question. So there's a couple of things, right? One is the top line. As you continue to build the top line, all the other margin levels will go up. So that we continue to do. And to do that top line on the head of traffic is the right way to do it because that is something that will stay with the company for the long run, right? And that's the one that you can actually elevate

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as you move into the future quarters. So that's -- first is the top line. We need to continue building that top line on the base of good traffic.

Now coming down to the P&L lines, you did say we kind of outlined that we are going to move the 67% to 70% over the next few years, hopefully sooner than later. But the other line items like the rent deals that C i cily is now signing up are way below what w e signed up 6, 7, 8 years ago, right?

So these rents that are coming in as they come in m

ore and more properties this year, she will

take the total to about 580 -some restaurants will continue to bring the overall rent ratio down.

And as the top line climb s, you will find those rent margins even the rent lines even going lower and lower.

Utilities, Sumit has been talking about utilities now for the last few calls, and that work continues. We can't do that work in 580 restaurants on 1 day. We started those with a handful of restaurants, then we climbed and did a city, went to the next city. So the total impact of all the work we are doing on utilities will come after this whole program is over.

And all those restaurants are on the full utility -- discounted utility charges for a whole 12 years -- 12 months. So that work is continuing, and we'll continue to see those benefits coming in the utility line. The labor line, we usually used to run about 10%, 10.5%. We have now intentionally taken that by 0.5% above to about 11%, 11. 1%. And that is on direction from our operations team.

Sumit said this is the right thing we need to do. And I believe completely that we need to invest this money now in training people on SOKs, the self -ordering kiosks. We need to make sure that happens. We have rolled out a new premium layer. We have rolled out cafes in 480 restaurants. We have brought in the Korean. We have brought in this new shakes with Kit Kat. So there's -- and the new menu in the middle layer.

There's a lot of s tuff that we have thrown at the restaurant, and we want to make sure that proper training is going on in the restaurant and so forth. But that line in future as the top line increases, will go down to between 9.5%, 10% kind of a range. So that room is avai lable to us. We just don't want to avail it now. We want to avail it in the future.

We want to invest right now that 0.5% that we have initially not planned to make sure that all the initiatives are working well. So all those are the line items where the rooms are there. And the top line is the biggest one because you take the same rent and have a bigger top line, your margin improve on the same rent. So that's the answer to that.

Moderator: The next question is from the line of Aditya Soman from CLSA.

Aditya Soman: So just one question from me, actually. So if I see you've done an incredible job in ramping up BK cafes at all the stores. So we've gone from 77% of stores having cafes to sort of over 90%

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now, 93%. However, when I look at the ADS, obviously, t hat increase has been f ar more limited year-over-year.

I understand one of the factors you mentioned was sort of at the premium end, growth has been slower and maybe even some sort of down trading. Is there any other factor given that you've got an increa se in cafe increase in sort of also more footfalls coming through? So any reason why the ADS hasn't moved up as much?

Rajeev Varman: Yes. As you just said it and as we are reiterating, we moved on cafe very rapidly, right, within little over 2 years, 2.5 years, you can say, we roll out all the cafes. So there are a lot of cafes that have been on the ground for a few months or maybe even a few weeks.

So there's a whole bunch of cafes that have not really had the experience of consumers coming and tasting coffee and enjoying the cafe. So that will take time as it grows up there. If you look at the first few cafes we opened over 2 years ago, they're doing healthy ADSs in the cafe side, I would say, average about 20,000, 22,000.

And then if you look at the y ounger new ones that we have just rolled out, they're doing maybe 6,000, 7,000 kind of ADS over there. So there's a graduation. And if you can see those 22,000 in 2 years, that's the kind of a cycle that we see for cafe as it graduates, and it will not gra duate in all markets at the same level. But we see as an average that we will move that

forward.

And that will be on the back of promotions like we just did with the INR99 cafe. And then next year, again, Kapil is planning another one during the summer wi th some cold coffees and stuff

like that. So we will continue now building into our calendar, a cafe calendar as well to kind of continue building that portion of the business.

Aditya Soman: That's very clear and very useful. So just to sort of summarize, so you -- over time, we'd expect all these additional cafes to get closer to that 20,000 mark right? Like you said, there could be some differences, but closer to the INR20,000 mark and then beyond. And then that should be a driver of sort of ADS. And in terms of that impact of the premium growing slower, would there be any meaningful impact coming through from there?

Rajeev Varman: No, I think premium used to sell at levels -- unit levels, and we don't share unit levels, but significant unit levels. And we have seen some kind of contraction on that in the recent few quarters. And that's driven just -- and the products have been -- Kapil has actually elevated the products. Both Kings Collection is elevated.

The Korean range was phenomenal. I mean this was -- the research showed us that this was one of the best products that we have rolled out. And we did well with that Korean range. But in the head of where we look at the entire premium menus with the Kings Collection, the Korean and the Whopper itself, there is a little bit of stress in that range, and we see that if it comes back to our numbers that were about 1.5 years, 2 years ago, which I think we will start seeing towards the quarter 3.

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We are estimating that that's what's going to happen. Then I think you will find a good balance. The barbell will be very well nicely balanced. And you will see that impact also in gross margin. You will also see that in restaurant level operating profits.

Moderator: The next question is from the line of Amnisha Aggarwal from PL Capital.

Amnisha Aggarwal: I have a couple of questions. First being that what is the ADS in our Cafe business because we have been promoting it a lot. So what has been the trajectory over there? And what's the way forward? That is the first part of the question. The second is on some of the -- you can say, expense heads because, say, for example, manpower cost has been, say, in a range from the last 2, 3 quarters, INR 70 crores, INR 75 crores.

But this quarter, it has suddenly jumped from INR 75 crores to INR 85 crores, whereas we have hardly added 6 stores on a stand-alone basis. And similar is the other expenditure where the jump has been very sharp from INR 182 crores to INR 220 crores. So these are, I would say, the 2 other parts of the numbers. And the third one is the financial other income where there has been a very big jump from INR 7 crores to INR 27...

Sumit Zaveri: Sure. So Abneesh, I'll just take some of these questions that you've asked. One is as far as Cafe is concerned, our ADS in Cafe stands at INR 13,000 for the overall portfolio. I also saw some of the earlier participants asking in terms of the trajectory of Cafe. The earlier portfolio, obviously, the growth in any kind of category that we add depends on how the longer the category remains in the store and as part of the portfolio.

The older stores -- and when I say older stores are the first 200 stores, which came -- which literally are almost around 2 years into the launch of Cafe. Those -- those stores have seen cumulatively around 10% improvement in the overall cafe sales since the time we've kind of launched Cafe into those stores.

We feel confident that we should be able to build on to this. As we've seen, we have been introducing products into that category last year, towards later part, we added products on the cold side of the portfolio. This time, we've

launched the co-branded beverage. So the focus on improving the overall sales continues to be very, very strong as far as the cafe part of the portfolio is concerned.

As far as employee cost shifts that you've kind of asked for, when you look at the employee cost on an overall basis, that is the -- I'm presuming you are looking at it at a store level there. On a quarter -- on the last year to current year, the overall employee cost has moved up from INR 51 crores to INR 61 crores on -- at the store level, which is on account of the 60-odd new stores that we've opened.

That's one. Secondly, as we've launched the entire digital initiative at our store, in order to kind of educate the customer through this entire digital journey because what we've done is that we've literally shifted the customer to order what he wants to consume at our stores himself. We want

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to make sure that the customer understands the journey and the asset that we have put into our hands.

So consciously, we've added a few more people at our store during this quarter, which was part of our plan. If honestly, like we spoke about some of the efficiencies that we've got, the actual efficiency that we've got on the cost lines on account of IT, on account of utilities and all is almost close to around 1.5%, which did get offset partially on account of the conscious decision to put more people into -- on the restaurant side that we've kind of done.

The increase in finance -related income, other income is because of the surplus investments that we had on account of the raising of QIP, which is what has resulted into a higher other income.

The other part also is on account of the way the Ind AS 116 gets accounted, where when we kind of cancel out any kind of lease, lease liability also gets reversed and the liability on account of the finance cost, if there is anything that gets reversed comes into that.

So there is a nuance on account of Ind AS 116. I'm not getting you the details of it. And hence, when we speak in our initial numbers, we concentrate and talk more from the perspective of pre - Ind AS numbers because post -Ind AS numbers does make the readability a little more complex.

But if you want, we can kind of share the bridge separately.

Amnish Aggarwal: On a Q -o-Q basis, the increase in other expenses, how much of that could be onetime due to this?

Sumit Zaveri: Roughly around INR 6 crores would be the increase in other expenses on a post -Ind AS basis.

Amnish Aggarwal: Okay. Because otherwise, from INR 182 crores to INR 220 crores, the jump is INR 38 crores.

Sumit Zaveri: Yes.

Rajeev Varman: I think you can reach out to me. Gaurav will kind of walk you through those numbers. I think we can take a few more...

Moderator: The next question is from the line of Dev anshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on a good set of numbers, so your performance has been relatively better versus the other listed entity in the burger QSR space. I wanted to check if there is any significant growth difference for you across regions, specifically, if you could share some thoughts on how the South region is performing for you vis -a-vis other regions?

Rajeev Varman: Generally speaking, we have grown traffic in dine -in across the board, whether it's South, North, West. There will be certain areas that grew larger than the others. But generally speaking, we basically grew traffic in our dine -in across the...

Devanshu Bansal: Fair enough. Fair enough. And secondly, sir, I wanted to understand from your trade payables perspective, these are relatively higher at about 30, 35 days versus under QSRs. So now with

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cash on balance sheet, can we get some margin benefits from our vendors if we sort of reduce

these trade terms?

Sumit Zaveri: We are having approach, honestly, to our entire supply chain strategy where we kind of working through a 3PL partner from the perspective of holding off. So really speaking, it's not -- honestly speaking, the benefit on the supply chain side is not necessarily through the working capital management, but rather working closely with the vendors as we go deeper, as we kind of expand our portfolio.

We believe that both of us as well as our vendor partners should be able to kind of benefit through the growth journey that we are taking. As concerned, obviously, you will see us deploying that capital more from the perspective of growth side and certain other initiatives that we want to take that could bring further efficiencies on the utility side. So that's -- and that is where we believe the return would also be higher. That is how we are planning the deployment of capital.

Devanshu Bansal: Understood. Sir, lastly, a small follow -up. So there is some 250 bps of increase in other expenses sequentially despite our revenue sort of increasing about 13% sequentially. You also talked about certain initiatives on the store utility side. So what has led to this increase? So Rent typically is below these line items. So utility has improved, rent is below. So what actually has led to this sequential increase of 250 basis points?

Sumit Zaveri: So other expenses, we have -- as I was explaining even earlier as well, there is certain reversal. There is certain onetime cost in the other expense line that we have to the tune of around INR 7-odd crores on account of some of the lease closures that we did. That is really the big impact that we've kind of seen.

The balance part is on account of the store additions that we did during the last year, which has got it to the current number that is there. So there is beyond that, that really exceptional cost that has kind of come into that line, which impacts the overall other expenses line that we have. It's just on account of the store closures that we had. We had around 5-odd store closures. So the costs associated to that is what has kind of impacted that line.

Moderator: That was the last question for today. I now hand the conference over to management for closing comments.

Rajeev Varman: Thank you. Thank you so much, everyone, for joining in. Really appreciated it. Again, the India business continues to get stronger. There's work to do. There's miles to go. We need to grow the top line. We need to continue working on our middle layers, whether it's rent, utilities, margins. We need to continue driving that. But we feel good about the business. We feel good because our dine-in traffic continues to grow and at the neck of growth of 60, 70 restaurants every year. We are seeing some good green sprouts up in Indonesia. The Burger King business and the Popeyes business, the Burger King business is actually coming back nicely. I think there's ways to go there as well, but we like the turnaround, and we see that going in the right direction.

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Popeyes, I think Sandeep has got a fantastic strategy now with the casual dining approach, which has taken the ADS up by 1 million for each – IDR 1 million for each of those restaurants. And I think he's moving now fast ahead to do that. I think there is also some work in Popeyes in the middle there where the margins are slightly inflated.

And we need to fix those so that the restaurant moves towards first breakeven and then hopefully from there growth. But we are happy with the work Sandeep and his team is doing. I think they have really endured the tough times and now in the verge of turning this business around. So thank you, everyone, for joining in. Wish you all good evening. Thank you.

Moderator: Thank you, sir. On behalf of Motilal Oswal Securities Financial Lim

ited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability)

Call: Nov 2025

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered office : 2nd Floor, ABR Emerald, Plot No. D -8., Street No. 16, MIDC, Andheri (East), Mumbai – 400 093

CIN : L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

November 04, 2025

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

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Sub.: Investor/ Analyst Call Transcript

Ref.: Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI L ODR Regulations')

Dear Sir/ Madam ,

Pursuant to the aforesaid SEBI L ODR Regulations, please find enclosed the transcript of the Investor/ Analyst call w.r.t. Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and half year ended on September 30, 2025 , held on October 31 , 2025 at 09:30 a.m. IST .

The same is being made available on the website of the Company viz. www.burgerking.in

Kindly take the same on record .

Thanking You,
For Restaurant Brands Asia Limited

Shweta Mayekar
Company Secretary and Compliance Officer
(Membership No.: A23786)
Encl.: As above

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"Restaurant Brand Asia Q2 & H1 FY '26 Earnings
Conference Call "

October 31, 2025

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR & GROUP
CHIEF EXECUTIVE OFFICER , RESTAURANT BRANDS ASIA

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL OFFICER &
CHIEF BUSINESS OFFICER , RESTAURANT BRANDS ASIA

MR. KAPIL GROVER – GROUP CHIEF MARKETING
OFFICER , RESTAURANT BRANDS ASIA

MR. SANDEEP DEY – BRAND PRESIDENT INDONESIA ,
RESTAURANT BRANDS ASIA

MR. GAURAV JAIN – HEAD CORPORATE DEVELOPMENT &
INVESTOR RELATIONS , RESTAURANT BRANDS ASIA

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Restaurant Brands Asia Q 2 & H1 FY '26 Earnings Conference Call , hosted by Motilal Oswal Financial Services Limited.

As a reminder, all participant lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.

This conference call may contain forward -looking statements about the company which are based on the beliefs, opinions and expectations of the company as on date of this call.

I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Services Limited. Thank you, and over to you, sir.

Naveen Trivedi: Yes. Hi. Good morning, everyone. On behalf of Motilal Oswal, I, Naveen Trivedi, would like to welcome you all to the Restaurant Brands Asia Q2 FY '26 earnings conference call.

From the management today we have, Mr. Rajeev Varman – Whole -Time Director and Group CEO; Mr. Sumit Zaveri – Group CFO and Chief Business Officer; Mr. Kapil Grover – Group CMO; Mr. Sandeep Dey – Brand President (Indonesia); and Mr. Gaurav Ajjan – Head (Corporate Development & IR).

I would now hand over the call to the management for the opening remarks. Over to you, sir.

Rajeev Varman: Thank you, Naveen, and thank you, Iqra. Good morning to everyone. I hope you guys had a wonderful Diwali and the Holiday Season that comes with it. So, good morning . And let's start this with some overview on where we are. Then Sumit will carry you through the finance , and then Kapil will carry you through the marketing functions. And then, finally, we will have Sandeep speak about Indonesia and then we will close the call with the Q&A led by Gaurav. So, key priorities for India. So, priorities for India haven't changed. We are set on our goal, just, which we shared with you at least two years ago. And now we continue in that path. So, on the dine-in side, our sheer focus and laser focus is on continuing to grow our traffic in our dine -in. And now after 10 consecutive weak quarters of positive traffic SSSG, I think we should be confident that this strategy of ours is continuing to work. We continue to drive more and more traffic into our dine -in restaurants and dine -in sales.

This basically we have done with our barbell strategy. We started this strategy with great value offering. We continue to do that value offering and continue to bring people into the business with that strategy. And on the other hand , a quarter ago we spoke to you about this premium launch with the Korean Fest, as well as the King's Collection. So, these were two launched a quarter ago.

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And then this last quarter, the one we are talking about, we launched Deluxe Whopper as well, which is the core. So , while we were on the value side with the two for Rs. 79 and two for Rs. 99, and also, we bought in for four weeks Rs. 99 cafe. That was the first effort on the cafe. After instilling cafe in literally 90% of our restaurants, this was the first campaign. It was a four-week campaign. It was offering our cafe drinks at Rs. 99.

So, that value strategy continues to work. We will continue to further work that strategy into the coming years. Then the premium strategy with Korean and the King's Collection, and now the core strategy in the middle with the Whopper Deluxe. So, this is what's driving our traffic into the restaurant. We continue to be true to that and continue to push that.

We also spoke about 'Digital -First' brand as we go into the digital era with A.I. So , today, 91% of our transactions at our restaurant are all digital

. And we continue to push that, we continue to build on that. Once this CRM is activated, we have now got a team in place for CRM. We have vendors and partners that are all put together on CRM. We will start taking that over the next few quarters. And what CRM really does is build frequency of existing base of customers. And that effort will come in the next few quarters as you will see it. But just 70% growth in monthly activity over the previous year on the app downloads. So, the app downloads, we are doing upwards of between 80 to 100 transactions on our app on a daily basis per restaurant. And that effort will continue and it will continue to project into the future years as well. Profitability focus, I told you last time, we are laser focused on, well, our P&L in the restaurant, of course, through the utilities program that we are working on. We have a new boiler that we have launched. It will be in all restaurants by the end of this year. That brings the utility savings significantly down. We have put e-coolers that cool the air before it goes into the AC system. So, all these efforts that we are putting in, we expect a 1 point reduction in our utility cost. We are starting to see that now as we have rolled this out in several restaurants, but you will see the major impact of this next year as all the restaurants are done. But then the profitability focus was also on delivery side. On the delivery side, our focus was very simple. As we will grow the delivery sales, but we will grow it now with additional profitability margins on it. So, happy to report that we have improved our margins on that business by 1 percentage point. And there's a significant growth as well in revenues in that business, and we will share those numbers with you as we kind of go into the numbers. So, a lot of effort in making sure that the delivery business, the menu that we offer on delivery, the relationships that we have with our aggregators, all those that we have been working on is to bring some efficiency in that respect. Gross margin, we continue to be true to our numbers. We have shared our forward path on that, and you will see that today Sumit will report some very good progress on gross margins as well. So, that continues to be a focal point for us, and we continue to kind of move ahead on that.

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So, these are the key priorities of India, and then Sumit will share the numbers as we get into it. Now Indonesia. Indonesia, there's two businesses over there, we have the Burger King business as well as the Popeyes business. The Burger King business is moving steadily, not as fast as we wanted because we have had some, even in September we had some activity there in the country which kind of penalized a few days of sales, it was a week and a week and a half, and Sandeep will speak about that when he gets on the call. But we had some challenges in September, but October we are out of it and we are back on track moving forward. But if you look at our ADS, 12 out of the last 13 months we have been higher on ADS, right? So, if you take the ADS over the previous year, we continue to drive more ADS each month in our Burger King business. Popeyes business has been a challenge for us, and we are kind of working on it. We have a full team put together, laser focused on what we need to do with the 25 restaurants that we have in Popeyes. And you will start hearing some progress in there as we go ahead. The reduction in corporate overheads, we have been talking about it, that exercise is almost to its end point. We have saved almost Rs. 15 crores, and then subsequently Rs. 4.5 crores on top of that, so approximately Rs. 20 crores in saving on G&A. And we will continue looking at other aspects of controlling G&A, but we have brought that down significantly from where it used to be when we to

ok over the business.

So, the focus of here will be continue to increase our revenues through same store sales by bringing in more traffic into our dine-in, similar to what we are doing in India. Second laser focus will be on Popeyes to eliminate any losses on Popeyes, and bring that business to a neutral. We will continue to focus also on the reduction in corporate overheads. The optimization of restaurants, we have kind of finished that now. We still have a few restaurants we are looking at, but we will continue to kind of work on that to optimize that. Rent reduction is a big one in Indonesia. We continue to work with our landlords to bring the rent down. And that will not stop. That's an ongoing thing we do every year, and we will continue to do that. So, those are the top-lines on India and the top-lines on Indonesia. With that said, I am going to move it over to Sumit Zaveri to kind of walk you through the numbers.

Sumit Zaveri: Thank you. Thank you, Raj. I will just kind of complete the discussion on Indonesia, which is slicing. As Raj was mentioning, that having completed the store rationalization that we were working on, substantially reducing corporate overheads, our current focus is, how do we bring overall ADS in the business better or higher than where we were last year.

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We have been continuing that journey through various value initiatives. We have kind of listed those various initiatives out here clearly. It is led by chicken as well as burgers. And then there are a few new product launches that we have done recently on the whole chicken side, which has only helped get better over the last year.

We were higher by around Rs. 1 million over the last year in early part when we started this journey, as you could see from November to May, June also. When we kind of did the second round for hot and cheesy and the whole chicken, we could improve the gap over last year to almost around Rs. 1.5 million. October, the number seems better, closer to almost around Rs. 2 million.

So, trajectory-wise, we are steadily on the positive side. At the same time, we should also kind of share that the numbers where we want to be versus where we are. Obviously, there is still a gap. We would want the numbers to be at least higher by another Rs. 1.5 million or so from the current trajectory trend that we have as far as Indonesia is concerned, which is what we are currently working on as far as the Burger King side of the business.

Now, coming back to our overall performance on the India side and Indonesia side, from finance perspective. One is, obviously, we are strongly growth focused in terms of dine-in restaurants on an annual basis. Our target, we have always mentioned that we would grow at a pace of 60 to 80 restaurants on annual basis. We so far opened 14 restaurants, and we are at 533 restaurants. We expect the year to end at 580 restaurants as we spend.

A substantial part of these restaurants are already under construction as well. So, you could see that number being achieved earlier than later as we progress into our financial year. As far as revenue is concerned, we did a revenue of Rs. 568 crores, an overall growth of 15.6%, out of which, almost 2.8% came in through same-store sales growth and the balance came in through addition of new stores into the portfolio.

ADS wise, yes, trajectory wise we have been remaining now in the band of Rs. 115,000 to Rs. 120,000. This quarter as well we were at Rs. 120,000, but we feel good about that number because one is that, this number of Rs. 120,000 is at the back of a consistent growth in traffic across our dine-in side of the business. And while it is also coming at the back of growth in delivery side of the business, but delivery side of business had a much better margin profile as well. And Raj covered that.

Our focus on improving profitability for the gross margins on the delivery side is also working in our favor when we look at the margin numbers included in the subsequent slide. As far as the restaurant EBITDA is concerned, we stand at Rs. 59 crores for the quarter and similar number on a company EBITDA, cash basis on pre-IndAS at Rs. 28.4 crores.

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Now just a quick dovetail to gross profit and I just want to take a little bit of movement on restaurant EBITDA trends as well. So, I am on Slide #9.

As we have always been saying that we would want to take the overall gross margin journey to 70%. We have always been saying that it may not necessarily move unilaterally in any direction. And you will see, as some of the initiatives that we continue to work on, you might see these quick improvements in margins, which is what you could see clearly happening in Q2. We moved from 67.7% in Q1 to 68.3% in Q2, almost 0.6% growth.

And this growth is coming at the back of efficiencies brought in by the supply chain team and the entire initiative of improving overall profitability on the delivery side of the business. Those are the two key reasons why we have been able to improve the overall margins. We feel very good about it. And the number that we have always been seeing in terms of wanting to get to 70% over the next few years certainly seems in sight as we continue our journey on the gross margin side.

On the restaurant EBITDA side, we are at 10.4% as compared to 10.6% last year. And I am sure a lot of you might have the question in terms of gross margins remaining on the restaurant EBITDA margins at 10.4%. Just want to kind of bring one fact out here, is that whenever we have done major initiative rollout at the restaurant levels, we have always consciously put a little more people into the restaurant so that the customer experience or the customer understanding of the new initiative is well-received at the restaurant level.

Some of you who have been here with us long would have seen a similar kind of practice that we followed even when we launched Cafe a couple of years back. We are following a similar practice even now when we have rolled out and completed our digital initiative rollout this year. So, we consciously make sure that we have sufficient staff to interact with the customer as we make changes to the service.

Typically, what happens is that as the staff or as the crew at the restaurant level gets into the efficiency mode of new way of working, we should be able to kind of realign the costs or the

labor headcount back to where we were a couple of quarters back. And while it could have impacted us in this quarter at that point, and you see that the improvement in gross margin kind of did not translate into or meet the restaurant EBITDA to be at the flat level. But that's more a conscious decision. And you could kind of see that that's how we have done it during Cafe launch, we have kind of done that as a digital roll out, not just then.

So, we really feel positive with the number at 10.4% restaurant EBITDA level. And at a company EBITDA level, we are at 5% with Rs. 28.4 crores at the company EBITDA margin for the quarter. Rs. 4 crores higher than what we have done last year same quarter, and almost Rs. 6 crores higher than the previous quarter numbers that we had.

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Quickly, I am going on to Slide number 10. I just want to kind of quickly run you through what's happening as far as Burger King is concerned. These numbers are on IDR billion basis there. So, we have been rationalizing the portfolio on the Burger King side. We have so far 136, we do not expect any substantial shift now on the portfolio side. Normally, as business that we would take calls, in case if they have to take call

s to shut down restaurants, we will take but really not anything as a part of the portfolio rationalization.

IDR, in terms of average daily sales, it stands at IDR 18 billion in local currency, with a translation revenue of more than IDR 25 billion. And gross profit, there as well there is a focus on improving the gross profit at 56.8%. And we are working on various other initiatives on the delivery side there as well in order to improve the overall gross profits better.

In the store EBITDA, the numbers are looking negative at minus 3%, so that is also in order to kind of now work towards the marketing spend. There was an incremental marketing spend over and beyond the 5% that we spent in Indonesia, which kind of led to the store EBITDA numbers looking negative. But if we adjust for that, that number is marginally higher on the positive side for the quarter. So, we kind of still continue to remain in that trajectory. Our concern, as Raj mentioned, is Popeyes, and we really need to kind of find answers to see how do we improve the overall sales and build some more efficiencies in the P&L there.

Some of the learnings that we have in the Burger King side, especially on the product innovation side, we are kind of also implementing those in Popeyes side of the business as well. And then as we shared earlier, we are working on different service model trials in Popeyes in order to reduce the levels of pains that we have in Popeyes.

At Indonesia consolidated level, we are at a company EBITDA loss of Rs. 33 billion as compared to Rs. 21 billion. A part of it is obviously because of the conscious call of investing, I think, almost incrementally around Rs. 6 billion during the quarter in Burger King on the marketing side. So, that's there. And then the balance, as you could see, is because of Popeyes.

So, that's the broad summary on the overall India and Indonesia financial performance side. I will just hand it over to Kapil to take us through the overall marketing initiatives that we undertook in India.

Kapil Grover: Thanks, Sumit. And good morning, every one. While you have heard Sumit and Raj talk about how we have had consistent traffic growth, we have had good sales growth with 2.8% in this quarter, and also continue to improve profitability.

The strategic initiatives behind this growth, I will talk about three things. One is our focus on driving more growth through burgers. This last quarter, in addition to the Korean program in the Restaurant Brands Asia Limited

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Q1 and the King's Collection relaunch, we added Whopper Deluxe. Now, this is an extension of the Whopper brand into the core menu at around the price point of Rs. 140, Rs. 150.

Whopper, as you are aware, is a much loved product of ours. It's a very differentiated product. Consumers see great value for money in the Whopper because it offers you seven layers of taste compared to sort of basic meals available otherwise. It adds back to the brand equity because it's an ownable proposition. It is a unique product available only at Burger King. And now we have extended the range of proteins by offering a fried chicken, a paneer, and a cheese patty in the Whopper Deluxe build, which extends our portfolio to now six burgers in the core menu and makes it a lot more stronger. So, that's a long-term strategic initiative that we continue to sort of build over time to build our taste equity with our guests and fans.

The second initiative is value. It continues to be our core pillar for a long time. We continue to build traffic. We have had 10 quarters of consistent SSTG in dine-in, the two for Rs. 79 and 99 proposition continues to be the most attractive offer in the market. The second dimension of value that we offer is the app. App is now close to about 35% of our dine-in traffic, and we offer

great value

to the consumers who use BK app and log in and follow sort of the BK app like a fan base and drive frequency through that.

With these three initiatives, we have been able to build sales on the dine -in side. The delivery side, we made corrections on pricing, we made promotion changes which have helped us drive sales growth along with profitability growth.

Obviously, in addition to that, we continue to drive strong consumer connect. Our social media pages are all organic growth. We have seen tremendous growth in our fan base through the Korean and the Deluxe programs. This year, we continue to integrate a lot more deeply into regional festivals. You see examples on Page 17 of a lot of activations we did on ground during Onam, Navratri, Pujo, and recently in Diwali. So, we continue to focus on dine -in traffic, we continue to focus on innovation, and we continue to focus on driving delivery sales profitably. With that, I will hand over back to Gaurav.

Gaurav Ajjan: Thanks, Kapil. Good morning, everyone. Our outlook remains unchanged from the last quarter.

We intend to open 60 to 80 stores every year till FY '29, which will bring us closer to a number of about 800. If you recall, we finished last year with 513 stores. We have added a net of 20 stores in H1. You will see the pace of growth increasing in the second -half of the year as we look to add another 45 to 50 stores in the remainder of the year. This will bring us closer to a number of about 580.

On gross margins, our gross margin for FY '25 was 67.7%. We have witnessed a margin improvement of 60 basis points this quarter to 68.3%. This has been on the back of changes in

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the menu mix and on supply chain and distribution efficiencies. We intend to continue this journey of margin improvement, and this will bring us to a number closer to 70% by FY '29.

Thank you all for joining in the call. I would request the moderator to please open up the floor for Q&A.

Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from the line of Kiran Gadge from Knightstone Capital Management, LLP. Please go ahead.

Kiran Gadge: Hello. Good morning. So, in Q4 FY '25, we were discussing that in one, two quarters, we will monitor the Indonesia business closely to make a decision on what to do with it. So, what are you thinking about it right now?

Rajeev Varman: The efforts are the same. We are in the same boat, we are working towards that. So, while we continue to improve the business, the challenges on Popeyes, we have already kind of shared with you, but it's only 25 restaurants. And, of course, we have to find solutions, whether we keep the business or the next person comes in and takes over the business. The solutions need to be rolled to those people so they can continue to build it. So, the efforts remain the same.

Right now, we are pretty excited about the Burger King part of the business over there because we can see, evidently, recovery on the dine -in side of the business where people are coming in and traffic is in the positive. We have seen that over the last several months we have delivered anywhere between IDR 1 million to about IDR 2 million additional ADS every day. And that is continuing and we think that's strong. But our efforts, like I shared on the last call and even the call before, is two prong , is to continue improving the business but also look at alternative solutions in terms of potential exits from that market. So, no effort has been stopped or we continue to work on that.

Kiran Gadge: Okay. Got it. Because of SOK, we were expecting a reduction in employee costs, but this quarter it has increased. So, when do you think we can see a reduction going forward because of SOK?

Rajeev Varman: Yes. That's a very good question, Kiran. Look, we would have been at

about 11.7%, 11.8%

EBITDA for the restaurant level. We have taken 0.9% of that EBITDA and put it in terms of additional people in the lobby because we started table service, we started the SOKs. So, we wanted to make sure that there is ample amount of training and customer awareness of these two initiatives. So, we put that additional 0.9% labor back into the restaurant , that's why you see that EBITDA impact. But as we go into this quarter number three and four, you will find that kind of going back to its normal numbers. So, it will go back to its numbers. And then next year, you will continue to see as volume leverages , those numbers coming down further and further. So, we are intentionally doing what's the right thing for the long run for the business versus trying to build just quarterly numbers. That's the reason that 0.9% was invested last quarter.

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Kiran Gadge: Okay. Got it. Thank you. All the best.

Rajeev Varman: Thank you.

Moderator: Thank you. The next question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Hi, sir. Good morning. Congratulations on a good execution in India business. Sir, there is some benefit of GST deduction on certain RM costs, right? So, how are we thinking in terms of either higher promotion, menu price reductions, etc. If you could throw some light on that?

Rajeev Varman: Yes. So, these came in at the tail end of the quarter, as you know, so the impact is not visible anywhere. Further on that, as a company, we have decided and as an industry, I think at large, it has been a decision that wherever, which item we found a GST benefit, we passed on that GST benefit in that item directly to the consumer. Our efforts are on the side of supply chain, on distribution cost. We just opened two more distribution centers in India. That is going to bring a reduction in distribution cost in those restaurants around those states and those cities. So, we continue to optimize our distribution. Our efforts are to make sure that the distribution cost continues to go down. That's one big one.

Second is, we continue to build restaurants, right? This year, we are going to add between 70 to 80 new restaurants net of closures. As we continue to add these restaurants, what happens is we are going in to multiple geographies and we are able to get partners, newer partners, which are closer to those geographies because we have enough restaurant density over there to actually have a local supplier over there, right?

When you have only a few restaurants, you cannot build a local supplier. But as we kind of grow those, you will find local suppliers in these geographies and a lot of those benefit. That's how we are doing our journey. We are already at the 68.3, but our journey is to go to 70. And it's not on the top of either GST or on the top of menu price increases. That's not the journey.

The journey is on clear scientific architecture of distribution cost as well as bringing in suppliers closer to the restaurants. As we continue to do these two things, our journey from this to 70, I mean, we have projected FY '29. I think we are going to achieve it much sooner than that. The only reason we are not kind of putting the date is because we just want to make sure that we are doing it properly, right? We are doing it the right way and we are getting it for the long run.

Every time we have brought the company to a GP level, we have sustained it and we have grown on it. And that's the way we want to do it. If you go back and look at from quarters-over-quarters last two years, you will find that revenues, gross margins, our effort on restaurant EBITDA, everything consistently moves in the North direction. And we want to continue doing that

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scientifically and with

good architecture on transportation model for our distribution centers, right?

That's how we are moving this forward. GST benefits, wherever they have come, on whichever item they have come, we have passed it on to the customers. That's the right thing to do. You want to build that, you want to make sure that, see that's our strategy even with two for Rs. 79, two for Rs. 99, our strategy is to bring more traffic into the restaurant. So, this, actually, GST passed on to the customers is consistent with that strategy to continue bringing more people into our restaurants.

Devanshu Bansal: Fair enough, sir. Very clear. So, a follow-up to this, so it's almost 40 days now since the GST reduction, so are we seeing initial signs of pickup in SSSG? With the initiatives around promotions and price reductions? Or do you think it typically takes time to sort of start reflecting to additional growth?

Rajeev Varman: Yes. So, Devanshu, both your answers are right, right? We have seen a very substantial benefit in October. I think we have had a very good October. We are very happy with our October sales. We are also looking forward to a decent quarter. I think we will have a good quarter this quarter, Q3. And yes, the impact will continue in the long run because this is not an impact for a month or for a quarter. I think these initiatives from the government are long-term benefits that the entire industry at large and other industries at large will benefit. And I think the consumer in the end is the main beneficiary of this. And yes, we will also, as businesses continue to drive in the forwardly direction, because more traffic will come into our restaurant. So, yes, both your points are genuine.

Kiran Gadge: Thanks, Raj. So, just a small follow-up here. So, this improvement in SSSG is not because of the date, right? So, on a sequential basis, you are seeing some true increase in ADS levels. Is that a right takeaway?

Rajeev Varman: Yes. I mean, see the ADS has been hovering around that mark that Sumit just shared, Rs. 115,000 to Rs. 120,000, and so forth. And in spite of the fact that if you look back to every quarter that we come on the phone and talk to you, every quarter that we report on numbers, we continue to provide a positive same-store sales growth. And that is on top of same store sales traffic growth. It's not on the top of APC or increase in average check or increase in pricing. It is basically traffic

coming in. And that's a single laser focus for our company is to build a substantial traffic base in our business.

And then, from there onwards, we will then be able to optimize it and so forth. CRM will kick in. The CRM team is in place. And the CRM team will then start building on frequency. Right now, we are building on bringing new people in. And then the second effort will be on CRM, which is to bring the existing people in more often into our restaurant. So, when we do this combined together, I think the cumulative impact will be extremely positive on the business.

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So, gross margin all these line items, whether it is utilities, you will find by, I think, March or early April, we should have finished the initiative on the broilers. And that will bring our head of equipment has done a fantastic job working with Burger King International in building this new broiler, which consumes half the energy of the current broiler.

So, these benefits will kick in and you will start seeing them not just per quarter, they will be ongoing forward, right? And then the leverage that comes in from CRM and all that, that's additional on top of all this. So, this utility effort, the effort that we are making with the gross margin, these are not dependent on ADS. These will be there. So, the existing ADS, we will continue to improve our gross margin. At the existing ADS, we will continue to improve o

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line items like utilities. And then the leverage of going beyond the Rs. 120,000 towards Rs. 125,000 and then ultimately Rs. 135,000, which is our near-term goal of taking this business, that will, that leverage will be on top of this.

Devanshu Bansal: Very clear, Raj. Thanks for taking my questions.

Rajeev Varman: Yes, thank you.

Moderator: Thank you. The next question is from the line of Manjeet Buaria, an individual investor. Please go ahead.

Manjeet Buaria: Hi, good morning and thanks for taking my question. First, the consistency of performance in India is fantastic, given the industry background and appreciate the efforts you guys put in there.

I will add just one question. In the opening comments, it was mentioned about the GM not translating into the ROM given the reinvestment in the team at restaurant levels. And it was also mentioned that in a couple of quarters, this should rationalize.

What I am not clear is, given the improvement in guest experience since these initiatives have been put in place, why are we in a hurry to rationalize it back? In the longer run, it would lead to a structurally only higher ADS and with operating leverage and at any which way. So, why worry about the short-term margin for the right reinvestments? That is the only question I had. Thank you.

Sumit Zaveri: Thank you, Manjeet, for that question. So, just to clarify, obviously we will not pull it back hurriedly. The way we do it is that we see the pace at which the efficiency in terms of work levels that improves at the restaurant level. And linked to that efficiency improvement is where we will do the adjustments. Typically, we should be able to do that adjustments over the next few quarters. So, we will obviously not pull back the headcount because we feel the numbers are higher. That's something is what we would certainly not do, Manjeet.

And absolutely, you are point on that a better service will only improve the overall repeat frequency and then result in the same side. And that's something which we will obviously keep

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in focus before we take any calls in order to pull back staff. So, it will certainly not be a random reduction. It will be measured adjustments linked to efficiency improvements that we see at the store.

Rajeev Varman: See Manjeet, Kiran on the first caller, Kiran said that, as we put these SOKs on, there's going to be a saving in cashiers, right? Because people come and place their own orders. So, there's a saving there on the previous or before the SOK era. That saving, on top of that saving we have put, so that saving was there, we moved those cashiers to the front of the lobby, and they were helping out. In addition to that, we have put in some resources of, specifically hired interns that are from good colleges that are graduates, into our lobbies to actually help with the table service as well as the SOK explanation to train not only the crew but also to train the customers.

So, that portion will be going out. The cashiers will remain for a time period, and those cashiers will become more efficient as we go into the future quarters. So, we are not making this, we are not going to bring it back, a reduction to zero level. We are actually going to be above that zero level for a very long time. We will bring it down to the zero level, that we do not need those people in the lobby, as in many western countries where the SOK has been there for several years now, right? So, that's the thing. But it's a very, very good point you are making, Manjeet

is usually, companies hurry on to building quarterly results, and in the long run, it kind of backfires. That's not what we are going to do.

Manjeet Buaria: So, appreciate this, Raj and Sumit. Thank you so much.

Rajeev Varman: Yes. Next question, please.

Moderator: Thank you. The next question is from the line of A

nunj D., from Antique Stock Broking. Please go ahead.

Anunj D.: Hi, team. Congratulations on sustained performance in India. One question from my side, I understand it may be a bit early to call out, but could you provide some sense on how the Whopper Deluxe is performing and are we seeing any early signs of upgradation from the two for Rs. 79, two for Rs. 99 product?

Kapil Grover: And this is Kapil. I will take that question. Yes. So, Whopper Deluxe early days, as I said, it's a core menu offering. It is sitting at a price point of approximately Rs. 150. The two, for customer and the core customers are very different personas. There's a value-seeking customer on one end of the bar bell, as Raj explained in the beginning, and there's a core customer who's driven by innovation, taste, quality, and other sort of variables.

So, this is a long-term strategic plan. We have got some initial trials. We have got some really good trials. We have seen consumers come in and try the new burgers, the new paneer cheese and the fried chicken burger. We spent about six weeks of air on it, and we have continued to Restaurant Brands Asia Limited

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build over time. So, the interaction between the value of this layer is not much, actually. There are two very different customers to answer your question specifically.

Anunj D.: Thank you.

Rajeev Varman: Anunj. These are menu gaps that we had. We wanted to make sure there's a paneer and a cheese and a crunchy fried chicken offering in the middle of the layer. We didn't have that in the past, right? But there is a market for that, and there's a desired customer that wants that at that price point of Rs. 130 to Rs. 160, and that's the gap we have covered. Look, like Kapil said, this is going to be a long-term strategy. We are looking at building this over the next two, three years. We are not expecting this to shoot up and build within the next quarter. We have made progress. We have almost put in 40% increase in that middle-layer sales, but we think that this will be substantial over the next two years.

Anunj D.: Hi. Yes, thank you for the answer. Just a small follow-up. You mentioned that the core and value customers are substantially different in their preferences, so roughly the core portfolio, I guess now you are contribute how much in terms of value percentage of our portfolio?

Rajeev Varman: No, we do not share the exact numbers outside of the company, but I can tell you this is basically a ladder menu, so you have an entry point where people come into the business at two for Rs. 79, two for Rs. 99. They experience the product, and we have got fantastic products at that entry-level point because that's the first touch of the product. You cannot have a standard product just because you are offering it at two for Rs. 79, we actually have fantastic products. The Crispy Veg, Crispy Chicken are favorites now in India. The Crispy Veg is becoming the most favorite burger in India, so we have those two entry points, which are great value and which bring in people, and then we have a graduating ladder to kind of graduate people over time into the core menu.

And then we have this thing, the Korean burger that was launched by Kapil and team about three months ago. It was just the awareness of that, the amount of excitement around that Korean. It's the first time in India that we brought out a patty which is dunked in sauce and built it on a very premium bun and a premium build, and it did so well.

We will continue to work in that respect in bringing value customers, graduating them through the core menu, providing them indulgent, because see, even a value customer, there's a day that that value customer wants to indulge. It says promotion day or it says birthday or whatever, and they want to indulge on that day, and there's a strong, now indulging premium menu that's available,

very, very strong. There was a missing gap between the premium and the value, which is the core menu. It was there, but we have just strengthened it with our addition of the Deluxe.

Anunj D.: Thank you. Thank you. That was very helpful. Looking forward to late quarters ahead.

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Rajeev Varman: Thank you, Anunj.

Moderator: Thank you. The next question is from the line of Manoj Dua from Geometric. Please go ahead.

Manoj Dua: Thank you for taking my question, and I admire companies' efforts in cross-margin same-sell

store growth, ADS, traffic, and customer experience in the product expansion. I think you have touched this point, but can you give a little bit more structure to all this effort? When can we trickle into EBITDA, and going forward, any timeframe or something like that? What is the mental model we have to use?

Rajeev Varman: Yes, you know. Like I said, there's two -fold efforts. One is about optimizing the current P&L, which is building a P&L strength based on current volumes, right, current revenues, current ADS, current traffic. Those efforts are on. We continue to show you results every quarter on that. Every quarter, you go back, look at our results, look at the results of the previous quarter of the previous year. You see a movement on that. Those movements are on the net of all the initiatives that Sumit Zaveri and his entire team in maintenance and equipment, and all the other people that are working towards reducing those line items.

They are not specific to leverage. They are not specific to volume. They are initiatives that will drive those margins in spite of no increase in volume. That's both on the gross margin line as well as on the other lines like utilities, rents, and other expenses, which include a lot of other things that we continue to contract and so forth, that we continue to optimize price. That is not dependent on increased volume.

Then there is a leverage, right. If you look at the leverage in an industry where you have seen strain in the last six, seven quarters, you have seen some very tough SSSG numbers from the industry. In that environment, we continue to drive more people in there. If the environment was much more conducive, much more positive, these numbers, which are 2.8%, would have been substantially higher. You understand that.

As that volume increases, the leverage of those volume and all these line items will be an additional impact. We think that this impact will come over due time. The first impact will come within quarters. You will see every quarter. I just told you about the broiler rollout, which is going to be done by March, maybe early April. Then you will start seeing the impact of that in Q2, Q3, Q4 of next year. You will find the gross margin impacts coming in substantially as this new DCs kick in and the optimization from that comes in.

Then the next year, we will spend the entire supply chain, Dipit who leads it, will spend time bringing in local suppliers near these DCs. That leverage will be not dependent on volumes again. All these, you will see quarterly, quarterly increases. Then volume will come with time as market improves. I like to add 6%, 7%, 8% SSSG on top of where we are, but that as the Restaurant Brands Asia Limited

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market improves. Like I said, October was a fantastic month for us. We did some very good volumes in October.

We are projecting that we would probably have a very decent Q3. These volumes, as they keep coming in, they will provide a volume leverage to the P&L as well.

Manoj Dua: Thank you. My last question is, we know that last two, three years has been difficult for consumption. We feel that that's a cyclical thing and the company has put all the efforts. When this consumption comes back, it will be a double rocket to everything. But one

factor we are

always confused, how much is the effect of the Zomato, Swiggy or any food aggregator platforms, which lead to less dine-out or the democratization of smaller chains or smaller restaurants, to take away the effect of that. Is there an effect of that, or is it just a pure consumption cycle of the two years?

Rajeev Varman: Good question, Dua Manoj. We have a very disciplined approach to our business on delivery, a disciplined one. That is, we will continue to grow that business, and we have. By the way, when I say that we are up 2.8%, it is on top of both dine-in as well as delivery. We continue to grow that.

The discipline over there is very simple, that we will continue to grow that business as long as we continue to grow it profitably. We want to make sure that every time we bring in another rupee in sales, another percentage point increase in sales, that the sale that is coming in is more profitable, right?

And that is how we are building that business, and I think we have got some great partnerships with our aggregators, and we continue to build on that. We are also, as you know, that Kapil is working on the CRM piece over there and our app as well, so you will find those initiatives, they will come in slowly. They will not come in rapidly, they will come in slowly, but this is how we are building it, right?

We are building it one brick at a time, so that in the next 10 years, you will have a very healthy, strong RBA business here in India, which is, both from volume standpoint, but menu offerings, and then a very lean and clean P&L. If you really put up P&L and go through per unit consumption on electricity, per unit consumption on whatever line items you look, you will find that this team continues to work very hard to make that P&L very, very efficient, very clean, so that when we put the top-line on top, that the flow through from that top-line will be maximum

to the bottom -line.

Sumit Zaveri : And, Manoj, j ust to your question, I just want to add one thing. These channels, obviously, will have that overlap there, but at the same time.

Moderator: Sorry to interrupt, Manoj. If you have a follow -up question, please rejoin the queue.

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Manoj Dua: I am listening to the answers which their, management is giving to my question.

Sumit Zaveri : Talked about, so, Manoj. We will just finish this answer, you asked. So, Manoj, there will always be a customer interplay between dine -in and delivery, but what is important to really note from as far as we are concerned is that we are focused on growth and profitability on both the channels through the growth of transactions. And if you really look at the transaction growth that we have seen in dine -in as well, as well as delive ry is a classic reflection of that .

But obviously, we do not share the numbers on the transaction growth, but we can at least tell you that both these channels are growing in tandem on the transaction side, and that is the classic reflection that while y es, there can be a play between the two channels, but both these channels do grow simultaneously if we really kind of strategize it in terms of the way we want the customer interaction to happen on both the channels. And that's how actually it is working f or us as well. So, that's how we see it. There is an overlap, yes, but both these channels are working positively on transaction growth, which is key for our business simultaneously.

Manoj Dua: Okay. Thank you and best of luck and I hope you find the solu tion for Indonesia, either you scale it or resell it. Thank you.

Moderator: Thank you. The next question is from the line of Tejas Shah from Spark Institutional Equity. Please go ahead.

Tejas Shah: Hi. Thanks for the opportunity. This one question, and then you partly answered the question at different points of time on the call, b

ut just wanted to understand if we have to narrow down the problem statement for us and perhaps for the industry as well in India, is it more to do with consumer sentiment not spending enough or would you say that the competitive landscape has changed dramatically post -COVID and perhaps there are more players fighting for the same wallet share now?

Rajeev Varman: Look, when you are sitting on the top of, almost 10 quarters now o f positive traffic into our business, I think I would say that the traffic in the business is there. What we have seen in the last several quarters is the shift is more from the premium towards value. So, if you are not a value customer, and you pretty mu ch see that in the industry, if you look at the industry, it has moved towards value and more and more younger and college students and so forth are getting into the business through the value stream, right? So, that is the shift that you have seen in the last post -COVID, you are absolutely right, post -COVID. Those volumes will continue to pick up, right?

And they will continue to add to the volumes of the restaurants, but the core and the premium business is not gone. I mean, we learned that when we launc hed the Korean, we saw that there was a traffic increase because of that Korean business. So, we think it is there. We think that consumer sentiments, especially with this GST, have started to improve. And it's a cyclic al

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business, as you know Manjeet was saying earlier. And I think as we kind of look at the next few years, I think the cycle will go back into it's upwards mode. And as we go there is the company ready to be in that mode, right? Is the company has its core in place, has its premium in its pla ce? Does it have the value in place? Does it have the efficiency of the P&L in place? So, those are things that we have put in place. So, that's as we see the upward movement of these consumer sentiments, that we are leveraging those to pour it down into o ur EBITDA line.

Tejas Shah: Very clear. Just one follow -up there. From the collective experience that you have as a team, I just wanted to know what are the markers that you are looking for the cycle to turn around, both at the macro and micro levels, whic h will give us confidence that we are out of the cycle now?

Rajeev Varman: I think the Diwali shopping this year, if you have seen Diwali for the last three years, right, and if you look at what happened this year, I think that is a big ticker, right, that 's a big ticker. You will see the December, which has been subdued for the last three or four years. If you see an uptick in December, I think these are the key markers. When you see Diwali going up, you see the December holiday season going up. That will tell you that that is moving in the right direction.

I think, like I already shared, we are very happy with our October traffic, and I think that was a big checkmark for us. I think such markers, as you kind of walk through into the next summer, they are well-defined. Once you start seeing those quarters going up, I think you should start

feeling that this is coming back to its old days, when restaurants did anywhere from 500 to 600 traffic a day. In certain markets, they even did 800 to 900 a day. Those will come out and these are very small markers, but you have to be patient with them and kind of make a note every time you hit those markers. October is a very good marker.

Tejas Shah: Very clear. Thanks for the detailed answer and all the best for the coming quarters.

Rajeev Varman: Thank you very much, Tejas.

Moderator: Thank you. The next question is from the line of Ankit Gupta from Bamboo Capital. Please go ahead.

Ankit Gupta: Thanks for the opportunity. And we have been doing pretty well compared to what the industry is doing. Sir, it's been eight quarters since our ADS has been stu

ck in the range of around Rs.

105,000 to Rs. 119,000. Although we have ambitions to reach Rs. 125,000, Rs. 130,000, Rs. 135,000 eventually, do you think with the kind of uptick that we have seen in October and with the GST curve and hopefully the consumer cycle reviving, we can reach that number, at least Rs. 125,000 ADS number in the near term, maybe Q3, Q4, or do you think it will take some more time for us to reach that number?

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Rajeev Varman: Very good question, Ankit. Again, I will not make a forward-looking statement on my answer, but I can tell you this, that last year we ended up for the whole year at Rs. 114,000 and right now we have reported Rs. 119,000 for the previous quarter and I think it was Rs. 121,000 for the quarter before that. So, look, again, what I answered to Tejas, these small markers are coming and we are moving forward with them.

While we can build an ambition to get back to Rs. 125,000 and Rs. 135,000, hopefully even higher sales, we are disciplined right now. They are saying that can we deliver 13%, 14% restaurant-level EBITDA at current volumes. And that's the discipline of the team right now is we have a volume in front of us. At this volume, how do we optimize the business? And we continue to build the menu side of it to build to Rs. 125,000, Rs. 135,000.

But look here, do not expect one quarter to shift from one number to the other number. It will be a slow improvement and we are disciplined to understand that that's how it's going to happen.

Very happy with October. I have very high hopes for this entire quarter. I am looking forward to seeing the December sales.

Ankit Gupta: Sure. And sir, and secondly, on pre-IndAS EBITDA, after the corporate expenses. So, if you look at the gross margin improvement, of course, we have invested back the savings that we had on the gross margins during the quarter. If you look at it overall on the pre-IndAS EBITDA, last two quarters, we have been around 4%, 5%. And last year, full-year, we were around 5%. So, all this operating leverage that we have spoken about the cost-cutting measures, whether it is on the efficiency side, through boilers and all, when do you think this will actually translate into pre-IndAS EBITDA moving from let's say, mid-single rate to, let's say, 8% to 10% if not more?

Sumit Zaveri: Ankit, just one, first, I will kind of break this up into two parts. One is, as far as the leverage is concerned, for us, and kind of, we have kind of taken this earlier in some of our earlier calls as well. What happens is that there is obviously a large, fixed cost base that we would have, and there's a particular effective inflation that we have. Being in the range of 2.5%, 3.5%, I am just ahead of doing a slightly broader range of 2.5% and 3.5% same-store sales growth range, that is currently allowing us to offset the inflation impact that we have on the fixed cost, and that is the reason why we are kind of seeing a more stable state EBITDA at the restaurant level as well as at the company level.

Two things. One is as and when we start seeing the growth in SSSG to be higher than those numbers, the leverage starts coming into play. So, that's one part. The second part of the answer in terms of our trajectory in terms of efficiency, at the moment, yes, we have kind of taken several initiatives on the efficiency side. But the large shift on the efficiency side, especially on utilities, we are expecting that to be executed in the later part of the current financial year, full-year impact that will be visible next year. We are expecting on the utility cost line, as Raj did mention that number in the beginning, to be around 1 percentage point.

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So, really speaking, the way we see is that the efficiency should give us another 1.5% b

etween

utility and some of the other cost lines there, taking the improvement of the trajectory on the gross margin side into that. And then the balance leverage is going to be our ability to take the SSSG growth in excess of 3% to 3.5%. And obviously, the growth it will kind of keep expanding

the overall revenue base, bringing some further efficiencies on some of our central costs. So, that's how we kind of see it. I am not drawing down in terms of the number perspective, but I thought I will at least draw down it from the perspective of understanding the interplay of margins to fixed cost investments.

Ankit Gupta: Sure, basically, let's say it's next year, hopefully the industry revives, and with our efforts, our SSSG goes back to 4% to 5% and with this operating efficiency kicking in, FY '27 can be a year where we should see a big jump in our EBITDA margins, with SSSG of course coming back. That's an assumption.

Rajeev Varman: Yes, Ankit, you can build your model on the principles we have shared. Very simply, there is efficiency in the P&L that we spoke about, which is that current volumes. There is going to be volume increases, which come on the top of same store sales. And then there is growth, right? New restaurants being built. So, these are three levers that will impact your company-level EBITDA line. And all three levers are working. We hope that the SSSG lever will get bigger and bigger. But there is a growth lever that we continue to do and there is an efficiency lever that we have demonstrated quarter-over-quarter-over-quarter to you that we continue to make that more efficient. So, all three levers will work there, so as you kind of build your model, make sure that you are addressing those.

Ankit Gupta: Sure sir. And this last question on the Indonesian part --

Moderator: Sorry to interrupt Ankit, if you have a follow-up question, please rejoin the queue. Thank you.

Ankit Gupta: Sure.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today. I now hand the conference over to the management for closing comments.

Rajeev Varman: Thank you, Iqra. Thank you everyone for joining in. I really appreciate your confidence in the business, your appreciation and all the motivation you provide to the team over here. We are very thankful to everyone that is kind of giving us this nudge and push and asking tough questions. We like those as well.

Look, the team is completely focused on getting this business in a decent scientific and organized way over time period to grow into a very, very strong business here in India. I think we have demonstrated over the last 8 to 12 quarters how we can bring a very efficient P&L, how we can stay in a very tough environment, still stay positive on our traffic, both on delivery as well as Restaurant Brands Asia Limited

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dine-in, and then how we can continue to grow profitably. So, we have demonstrated that we are working key on these priorities.

Indonesia is one of the most important priority for Sumit, myself and Sandeep. Sandeep is on the line. Obviously, he did not get a chance to speak today. But I can assure you that Sandeep and his team have done a fantastic job on the Burger King side. Fantastic job. Because we are seeing those green shoots coming out and you can have a feel for someone like me who has been 30 years in this business. You can see that that business is turning around and going in the right direction.

We have a challenge with Popeyes. We understand that. We did Burger King. Now, we are looking at Popeyes. But we also have parallel streams. We have promised that. We are working on that. So, whatever works best for Indonesia, the team is on it. The team is on it. And we will share with you as we make progress in Indonesia. But we appreciate all the comments on both Indonesia as well as India. Thank

you so much. And great November to all of you. Thank you.

Moderator: Thank you very much, sir. On behalf of Restaurant Brands Asia that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2026

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered Office : 2nd Floor, ABR Emerald, Plot No. D -8, Street No. 16, MIDC, Andheri (East), Mumbai – 400 093

CIN : L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

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BSE Limited

Corporate Relations Department

Phiroze Jeejeebhoy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

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Sub.: Investors and Analyst Call Transcript

Ref.: Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/Ma'am,

Pursuant to the SEBI Listing Regulations, please find enclosed the transcript of the conference call with the Investors and Analysts with respect to Unaudited Standalone and Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2025, held on Wednesday, February 04, 2026 at 9:30 a.m. (IST) .

The same is being made available on the website of the Company viz. www.burgerking.in .

Kindly take the same on record.

Thanking You,

For Restaurant Brands Asia Limited

Shweta Mayekar

Company Secretary and Compliance Officer

(Membership No.: A23786)

Encl.: As above

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"Restaurant Brands Asia Limited

Q3 FY 26 Earnings Conference Call "

February 04, 2026

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – RESTAURANT
BRANDS ASIA LIMITED

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL OFFICER
AND CHIEF BUSINESS OFFICER – RESTAURANT BRANDS
ASIA LIMITED

MR. KAPIL GROVER – GROUP CHIEF MARKETING OFFICER
– RESTAURANT BRANDS ASIA LIMITED

MR. SANDEEP DEY – BRAND PRESIDENT , INDONESIA –
RESTAURANT BRANDS ASIA LIMITED

MR. GAURAV AJJAN – HEAD OF CORPORATE
DEVELOPMENT AND INVESTOR RELATION – RESTAURANT
BRANDS ASIA LIMITED

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL
SERVICES LIMITED

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Moderator: Ladies and gentlemen, good morning, and welcome to the Restaurant Brands Asia Q3 FY '26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal Financial Services Limited for opening remarks. Thank you, and over to you, Naveen.

Naveen Trivedi: Yes. Thank you so much. Good morning, everyone. On behalf of Motilal Oswal, I, Naveen Trivedi, would like to welcome you all to the Restaurant Brands Asia 3Q FY '26 Earnings Conference Call. From the management today, we have Mr. Rajeev Varman, Whole-Time Director and Group CEO; Mr. Sumit Zaveri, Group CFO and Chief Business Officer; Mr. Kapil Grover, Group CMO; Mr. Sandeep Dey, Brand President, Indonesia; and Mr. Gaurav Ajjan, Head of Corporate Development and IR.

I would now hand over the call to the management for the opening remarks. Over to you, Raj.

Rajeev Varman: Thank you. Good morning to everyone. Very, very good morning. Thank you for joining this early on this call. Thank you, everyone. Quickly on the results. First of all, very, very, very excited to share with you the Q3 results in this very, very difficult and tough sales environment. RBA continues and Burger King India continues to kind of march on with the positive sales that it has been delivering in the past. This is the 11th consecutive quarter that we are reporting positive sales, thanks to all the hard work of the entire team sitting here around me. So we ended December 31 with 577 restaurants.

Today, actually, we have now reached 580. And by the end of this quarter, by 31st March, we should be at very close to 600 restaurants. That's an increase of, as of December, 67 year-over-year and 44 restaurants over the last quarter.

Total revenue was INR 577 crores, which is up 16.5%. ADS was 117K, which is up due to our SSSG 4.5%. Gross margin, we delivered 69.9%, well on our way to cross the 70% mark. Year-over-year, that's a 2.1% increase and 1.6% quarter-over-quarter, driven predominantly by the work we are doing on supply chain, getting the products closer to the restaurant by introducing new suppliers and reducing the transportation cost. So a lot of work there by Dipit and his team, and they are just moving this rapidly in the right direction.

The restaurant level EBITDA pre-Ind AS number is almost INR75 crores, INR749 million. That's up 25.7%. And the company EBITDA, which is, I think, the highest we have reported ever, is at INR40.6 crores. That's up 31.5% year-over-year. So some very, very strong results on the India business.

Now the key strategies and what we have been sharing with you in the past, we continue to march on in the same direction. Value, which is one of our pillars, we continue to strengthen Restaurant Brands Asia Limited
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value and move in the same direction by expanding the offerings to more and more consumers, as we also expand our portfolio, our footprint in different cities and different markets.

This year, we also spent a lot of time strengthening our core and premium menus. So while we worked very hard in the last 11 years on building a very strong value proposition to introduce our brand to customers around India, we have now started this journey of even strengthening the existing core menu, but also expanding into the premium menu. And you will see more and more communication on this part of the menu as we move forward.

ard.

Digital, we have been talking about self-ordering kiosks and table ordering, app ordering now

for a very, very long time. Today, 92% of all orders that we service are all digital, including SOK orders. We have app orders. We have orders that are through delivery, which are all digital orders. 47% growth in monthly active users over previous year. That's a remarkable feat by the entire marketing team. So we congratulate them as well, as they build the digital. And you'll hear a lot on this digital platform.

Currently, we have worked in the last 2 years, and even this year, we have worked predominantly on bringing people into our app, which is what Kapil calls acquisition. And then from this phase, we have started to now starting to engage with them. We have all those tools in place to start engaging with those customers. And then as we move forward, Kapil will share with you what we are doing on retention and all the other aspects of securing this business. So a very, very strong digital view, and we continue to build on that.

Now I keep talking about profitability and the laser focus of the team on getting the P&L at current ADS to produce more EBITDA, which you have seen in the Q3 results, and you will continue to see a similar effort as we move forward. Two-fold, one is on the product side, which is the gross margin.

I already told you that we are moving the food closer to the restaurant. That's the best way to make sure it's not only fresh, but it has less transportation time, less transportation costs, and it's more readily available to all the restaurants. So that's a big effort that we are putting.

The entire team, Dr. Sudhir Tamne, Dipit, and Madhuri Shenoy, they continue to work bringing this product closer and closer to the restaurants and hence helping us move in. The other thing that we have done is, on delivery, we have reduced discounts significantly. And we continue to grow the delivery business with reduced discounts. So you have a better margin. We've moved that margin by 2 points. And that's really, really what's driving also the profitability on our P&L. And then Sumit Zaveri continues with his entire team, Nitin Bhayana and Sumeer Bedi and the rest of the operations teams led by Subramaniam Pillai in driving restaurant efficiency. And how are we doing that? We're doing that line-by-line item, laser-focused, utilities, rent reductions, you name it, other opex expenses and so forth. We have just installed the new broiler in over 250 restaurants. We continue to do that. That brings down our utility expenses significantly, right?

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So this was designed in-house along with our vendor partner in the U.S. by Nitin and his team, and that has been a super success so far in the 250 restaurants we have installed. We continue to install that in balance of the restaurants. So that increases the efficiency on the P&L as well. So a lot of effort to drive the efficiency on those parts.

Very quick on the and Sandeep is here on the call as well. Sandeep leads the business in Indonesia, and he'll be available to answer any questions on the back half. Look, here, our focus has been to work very hard in turning around the business over there. I think we have made significant progress, significant progress on the Burger King side. The BK business now has a consecutive 4 quarters of SSSG positive increased sales on the back of some beautiful traffic in the dine-in business.

So that work is continuing. We have significantly reduced our losses there. And again, you know that we reduced G&A over there. G&A was reduced further this year by another IDR 9 billion, which is approximately INR4.5 crores. That's on top of the IDR 29 billion that we did last 2 years in getting down the corporate G&A expenses.

So a lot of work that Sandeep

and his team is doing there, and we congratulate him to move that business forward as well. Reduction in corporate overhead. I think we will continue that close to where we are, and we'll strengthen that. We are challenged over there with the Popeyes business. As you know, we only have 25 Popeyes over there, and the lack of significant marketing and growth path. So we, on a very urgent basis, will be addressing the Popeyes business over there.

But overall, I think the Burger King business is nicely poised to get to the positive grounds in the future and all the work that Sandeep is doing there. Now the focus had been in the past, we had a gap in the chicken menu. While everyone had a strong chicken menu in a market which is rice and chicken staple food over there, we had significant gaps on the chicken side. And those chicken gaps were completed and filled last year. We got a spicy version of the chicken handheld BIC. In addition to the classic version that we had, we brought in wings and so forth.

So we have very, very strong chicken portfolio now, and we continue to lead that chicken portfolio through our value platform, and you will see a lot of that in the next year as Sandeep leads that business. And then we have been doing a lot of research and work on our burger side. And in addition to just doing the work in the product level as well, we have also done some

consumer research on the burger side. And we have understood that Burger King Indonesia stands number 1 in burgers in that country. So we have a huge leverage and property burgers where the consumers have come back and told us that burgers are the best at Burger King. So you will find, moving forward, as we move this along, while we continue to build on sales on the value platform, which is chicken, you will find a lot of work from us on the burger side. Systematically, we are moving this business. Yes, it is taking time. Yes, it has moved. But we are doing this systematically, so that it's not a small band-aid approach to 1 quarter or a couple of quarters.

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This is a long-term view that we have taken. We are slowly moving the business, fill the gaps on the chicken side of building the portfolio on the burger side by not only improving the product, but you will see more and more communication of these products or the burger products in Indonesia.

So with that said, I'm going to turn it over to Sumit Zaveri, who will walk you through in detail the numbers, and then Kapil will take over on the marketing side. So over to you, Sumit.

Sumit Zaveri: Thank you, Raj. I'll just kind of take you through the India business summary and some of the progress that we've done in Indonesia, before we get into the details on the marketing side. I'm on Slide 9, getting into the India business summary. We closed the quarter with 577 stores, a growth of 67 stores. As you can see, our growth predominantly has been back ended towards quarter 3 of the financial year of the quarter.

We're kind of working together as a team to make sure that this growth going forward becomes much more even as compared to being a little back ended, so that we can get the benefit of new stores that we opened for the capital deployment, get the revenue for those stores, the year in which we open these stores. That's an endeavor that we are going to work towards, and you will see that into the coming financial year onwards.

We are really very, very excited to look at the way our SSSG trajectory has always been and where it stands as far as this current quarter is concerned. We've been positive now almost, I could say, very easily, almost over now 3 years, except for 1 odd quarter, where we might have turned negative. In terms of SSSG, we've always reported positive SSSG. This quarter, we've gone to 4.5% in terms of SSSG. And why really we are

re excited about this 4.5% in terms of SSSG

for the quarter is because typically, we've, over the last 2 years, seen quarter 3 to be slightly muted.

This is the year we've now seen quarter 3 to become stronger and having a much stronger, better SSSG of 4.5%. So this is something which we are really excited about. We can see all the efforts that we have put together over the last few years on making sure that we have tapped the entire portfolio, making sure that the digital investments are present in all our stores, be it self-ordering kiosks, be it table service, are all starting to see results in our stores.

And as we open new stores, all these initiatives have now become part and parcel of all our new store openings. And we believe that we are kind of standing at a good point to take it forward here on from into the future.

Delivery mix continues to be at around 43%, 44%. But at the same time, our entire endeavor to improve the overall profitability on the delivery side has been working really well for us. As Raj mentioned, we've been able to improve the overall gross margin on the delivery side by almost around 2% over this period. Gross profit trajectory is something which we've always been proud of. We've always been mentioning that we will take this journey closer to 70%.

In the past also, we've been saying that it will not necessarily be sequential growth. We might see this growth as we really kind of work around on some of the opportunities that come our

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way. We've been able to take the trajectory of gross margins at 70%. We have now got to our long target, and we believe that we will be able to improve further on the gross profit margins going forward.

As far as restaurant EBITDA, these are pre-Ind AS numbers. Our gross margin for the quarter stands at 13% with INR75 crores being generated at the restaurant level. And at the company level, we've reported company EBITDA of 7%, INR40 crores or INR41 crores company EBITDA for the quarter. These numbers are again pre-Ind AS. And at a corporate EBITDA

level, we have excluded a onetime effect of the wage code.

As you all will know, there is a wage code that got announced, got implemented towards later part of November. There is a onetime impact of INR 2.3 crores that we've taken into our P&L. But these numbers on company EBITDA is before taking the impact of that. So exciting results, excited times ahead as far as India business is concerned.

Going on to Slide 11 for the overall Indonesia business. Raj clearly laid out the strategy for Indonesia, which was value-led, which was chicken-led; very, very strong focus in terms of bringing the overall business up. We've been working towards that since the time the larger geopolitical scenario impact was kind of starting to wear off, which we saw in November. As you could see from the chart, we've consistently remained positive in our overall ADS now since now over a year, almost it's now we are in the 13th month into that trajectory.

So we see the trend on ADS in Indonesia to be on the positive side. Yes, we know there is still some more work to do in order to make sure that we take this overall performance also on the positive side as far as Indonesia is concerned. So just to sum up ...

Moderator: Ladies and gentlemen, we have lost the line with the management. Please stay connected while I reconnect the management. Thank you. Ladies and gentlemen, we have the management line reconnected. Sir, you may proceed.

Kapil Grover: Thank you. This is Kapil. Sorry for the disconnection in between. I'll try and quickly summarize the marketing aspect. I think Raj and Sumit had mentioned that this year, our quarter 3 has been of our best third quarter in the last couple of years.

It's been on the back of strong innovation on the burger front with the King's Colle

ction, Korean

campaign, and the Whopper Deluxe, and some other priorities that we have sort of tackled this year on the dessert innovations.

Going back to Burger innovation, it gave us very good results so far. Value, 2 for continues to remain a strong pillar for us. We've activated a lot more on the Crazy App Deals in the last couple of quarters, and we've seen significant increase in our monthly active users, our monthly transacting users, frequency and retention of customers on our app as we go more and more aggressive on the CRM strategy.

Celebration meals continues to be a platform where we do regional connect, festival connect, and offer shareable value to the customers. Last year, in the last 3 quarters, we've done a lot of Restaurant Brands Asia Limited

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activations to build a stronger brand connect with celebrating festivals like Pongal, Lohri, and recently the Republic Day, where we partnered with the Army Central Welfare Fund to contribute to some of the noble causes that this fund supports in the Army.

This helps us build a very strong emotional connect with our consumers, getting some great feedback from our guests in the stores. On the social media side, the brand continues to be stronger as we celebrate Indian festivals and engaging content on our social handles. Last but not the least, on CRM, we have laid out the road map in the last couple of quarters. We've started to see some results now, and we'll be sharing a lot more in the upcoming quarters.

Right now, the focus is on acquisition and some bits of engagement, as we want to build this base. MAU has grown 47% over 70% of the last year same quarter. So it continues to grow year-on-year as well. And as we have more and more customers logging into our app, they will continue to see more and more interesting engaging offers, CRM communications and then building loyalty over time.

I will hand it back to Sumit to do the financial summary.

Gaurav Ajjan: Thanks, Kapil. This is Gaurav. We can move to Slide number 24, which is the outlook slide. If you recall, we ended FY '25 with 513 stores. So far this year, in the 9 months, we've added a net of 64 restaurants. We are on track to add a few more this quarter, and that will take us somewhere in the midpoint of our guidance range of 60 to 80 new restaurants every year.

On gross profit, when we gave the guidance, our baseline was the actual number for FY '25, which was 67.7%. Happy to share that we've already reached the guidance or we've almost reached the guidance of 70%, which we had originally planned to achieve by FY '29. We've reached that more than 3 years ahead of schedule, and this has come on the back of delivery profitability as well as supply chain and distribution initiatives.

Now that leads us to the next logical question. What's the next milestone for us in terms of our guidance. So I would request you to please wait until next quarter, and that's when we would have finalized our plans, and we will be coming up with a revised outlook.

I will now hand over to Sumit for the transaction update.

Sumit Zaveri: Thank you, Gaurav. I'll just give a quick update on the transaction, and then we open it up for the Q&A. So we've just entered into a definitive agreement with Inspira Global Group. They

would be infusing, by way of equity infusion through preferential allotment, INR900 crores, and we'll be simultaneously issuing warrants, which would be to the tune of INR700 crores. The entire transaction is going to be at a price of INR70 per share.

Currently, we are in the process of obtaining the necessary approvals, including the shareholders' approval there. The total estimated overall holding post the entire transaction, acquisition of the current promoter stake plus the infusion, we are expecting that they would go to around 35% in terms of their overall holding.

And this acquisition, since there is a change in controlling interest,
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would also lead to triggering an open offer to the public shareholders. So that really is a recent update that we have with respect to our transaction. So with that, we'll open up for...

Rajeev Varman: Let me just because we cut off in the middle a little bit, so let me just quickly summarize, and then we'll open it up for the questions. I don't know if we missed some of this section, but a very, very strong quarter in India, led by 4.5% in SSSG sales. Our company level EBITDA up 31.5% to over INR40 crores. Our restaurant level EBITDA up 25.7% to almost INR75 crores. Our revenues, we reported INR577 crores of revenues. We are well on our way to getting very close to 600 restaurants by the end of this quarter. With that said, I will now open it up for any questions. So over to you guys.

Moderator: Thank you. We take the first question from the line of Gaurav Jogani from JM Financial. Please go ahead.

Gaurav Jogani: Congratulations on the strong set of numbers. I have 3 questions. I will put them one by one. My first question is with regards to the revenue growth. So now if you dissect the revenue growth, we look at the dine-in growth, the dine-in growth has grown by 13% -odd, while the delivery continues to grow stronger at around 22%. So if you can help us out how has been the traction in the dine-in front? Do you see it improving sequentially? How are you seeing the trends going ahead?

Kapil Grover: This is Kapil. I'll take that question. I'll be happy to share that we've had now 3 quarters of positive dine-in SSSG also in this year. And we continue to have over 10 quarters dine-in positive SSSG. We've continued to report that every year. So that's been a strong sort of momentum on dine-in where we've seen growth in sales in dine-in consistently this year every quarter.

Rajeev Varman: Yes. So just to kind of summarize our sales growth. Our revenues, of course, at the back of new restaurants coming in as well as SSSG. But on the ADS level, at a restaurant level, we continue to grow both delivery business as well as dine-in business, and that's on the back of traffic. So it's not on the back of check. We continue to drive more and more people into our restaurants, and that's how we are increasing the sales there.

Gaurav Jogani: Sure. And do you also envisage the momentum in the delivery piece also to continue at the same pace that it has, given that you have yet to monetize or drive the CRM bit here. So any bits on that?

Rajeev Varman: Absolutely. Very good question. We see that this vertical of our business also will continue to grow. And we are very happy about that. But we have a very simple strategic point of view. We only grow profitably. So all the effort on the delivery side, reducing discounts, making sure we have a good offer, marketing through those channels, we continue to focus on that.

We will see that growth as well. What we are really excited about is, in the past, you have seen that the industry was doing anywhere between 6% to 7% SSSG positive. And in these last 3, 4 quarters, you have seen that industry level, there has been a negative sales reporting.

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And in this environment, we continue to grow dine-in sales. And so we understand that the strategy of continuing the value pillar in addition to our efforts in driving now the core and as well the premium will give us some very good leverage as we go into the next year.

Gaurav Jogani: Sure. And sir, as you mentioned that you have continued to deliver positive SSSG while the industry has seen negative SSSG. So have you seen any market share gains? If yes, any specific regions that you have gained share?

Rajeev Varm

an: Yes. Geographically, we don't really share, but I'll just give you a general. Our restaurants in the South are performing very well. Our restaurants in Punjab belt and UP belt are extraordinarily doing very well, while our core here in Bombay and then in Delhi continue to be strong on traffic in dine-in. So this dine-in business, which is becoming very, very strong in our metro markets, continues its positive in the right direction.

And this is the back of the same thing. This app that we have introduced, which continues to gather more and more people into it. There are a lot of deals that we provide in app, which are profitable deals, that engage people and increase frequency of people coming into our restaurants, right? So this traffic growth is not only new people coming in, but also existing people coming in more frequently.

Gaurav Jogani: So I'll move to my next question in terms of the margins. So you have done a really good job on the margins front and the gross margins have already reached your FY '29 levels target. So one, are these margins at least now sustainable? As you have mentioned that you will come out with the expansion rate in the future. But at least can we assume that the current levels are at a sustainable level?

And on the expenses side, just noticed that the employee and the other expenses increased by around 20% and 19-odd percent. So the employee bit, does it also have the impact of labor code, or is this classified separately on the exceptional line?

Rajeev Varman: Yes. That's great. That's actually 2 questions, but I'll take them. On the first note, the simple answer is yes. Our gross margins are solid. And if you actually look back on our quarters, right, put 8 quarters, last quarter that we have reported, if you put that on your spreadsheet, you will see that there is a constant increase every quarter.

And that is on the back of developing our restaurants on a very strategic way in our markets, so that we are reducing the transportation costs, redistributing our hub costs, which are overheads in those DCs, and moving the business forward. But the real movement that we have made in the last quarter and the last actually 2 quarters is really bringing food close to the restaurant. And that is a strategy that will always ultimately be a long-run strategy, which is as you reduce transportation costs, because the food is closer to the restaurant, you will see that leverage on your P&L. And what was the second question, sorry?

Gaurav Jogani: The confidence that we remain at that 70%.

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Rajeev Varman: Yes, yes, we are confident to remain on that and move forward actually. And we'll share our new targets, like Gaurav said, very soon, and next quarter, we'll outlay the next 3 - to 5-year plan on how we're going to move the business forward.

Gaurav Jogani: And sir, also on the employee expenses, they increased...

Rajeev Varman: Yes, yes. Sorry. That's right. Your second question was on the employee. Look, we opened 44 restaurants in this quarter, which is putting almost 1,000 people into the restaurant, which were actually sitting in other restaurants before we opened these restaurants.

They're usually trained for a month, maybe 45 days before they go into the new restaurant. So you see an uptick over there in terms of that expenses that we put in there. Those usually come up in Q3. Now as Sumit was saying, we are going to be building roughly about 20 restaurants every quarter, so that we redistribute this from Q3 to across the entire year.

Moderator: We take the next question from the line of Anuj from Antique Stock Broking.

Anuj: Congratulations on a great set of numbers. I wanted to dive a bit deeper on the gross margin expansion. So it would be really helpful if you could break up the gross margin expansion as a factor

of the menu mix, and as well as the delivery discount reduction that we have taken.

Additionally, on the menu mix front, I would also like to understand how the Deluxe range of saliency has improved since it's been around 6 to 8 months since it has been operational.

Rajeev Varman: Yes. I'll give you directionally because we don't share a breakup number for competitive reasons. But if you generally look at our business, both the delivery business and the dine-in business, we have made significant progress on gross margin in both levels, right? On the delivery side, we have made progress. Of course, the food is coming in, it's for dine-in as well as delivery. So that impact is positive for both the channels. But on the delivery side, we have reduced significantly discounts that we used to do in what Kapil was calling acquiring the customer, acquisition.

So now we have gone into the engagement phase where we know what the customer is ordering. We know when they are ordering. We know that on certain dayparts and certain days of the week that there is a certain product mix that moves through our channels in delivery. So we have become very prudent on how we are now channeling these discounts, and you will see those on the delivery side of the business.

On the dine-in side of the business, it's very clear. Everything that comes into our restaurant

needs to come at a minimum cost, whether it's the cost of the food itself that we buy, by introducing newer suppliers into the business. And then on the other side is distribution, bringing the food closer to the restaurants.

So these 2 are basically generally the 2 prongs that we are using for moving our gross margins, which are just very in line, these numbers that we are reporting will be built on with all the

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strategies that we have in place. So you will see that guidance coming in very soon. And thank you for your question.

Anuj: Just following up. So I think there was also a mention about the menu mix improving. So are we seeing saliency of the deluxe range improving? Is that the right sense?

Rajeev Varman: Yes. So again, we do not share product level information for competitive reasons. But I'll tell you this that we have done a fantastic job now starting to build the core, which is the deluxe range. And that core is see, value brings people into the business. And over time, they climb through the ladder, buying core and premium and so forth on occasions, whether it's birthday, promotions, et cetera, et cetera. So we have got a very strong now core menu and a strong premium menu.

Now we had a core menu, we had a premium menu in the past. What we have done this year is strengthen that. But what additionally you will see going forward is communication of this menu, which is very important that you will see more and more communication on this menu to the audience, and that's what's going to build.

So we are trying to build a generally speaking, if you have a good portfolio, you will have a good distribution between your value, core and premium. So you will see that movement as we progress. And yes, you are absolutely right, that will also contribute to some of the margins you will see in the future.

Moderator: We take the next question from the line of Jay Doshi from Kotak.

Jay Doshi: We noticed that your recent performance is far better than what we sort of from your QSR peers, be it SSSG margin improvement, dine-in. Is it possible in any way to put some numbers or quantify? For instance, you have mentioned that your delivery profitability is improving. Any sense you can give where it is today on a normalized basis adjusted for seasonality versus what it used to be a year ago, either absolute numbers or at least some quantification of what is the basis point improvement or percent point improvement

in delivery profitability? Perhaps that will help us appreciate the efforts and results better?

Sumit Zaveri: So Jay, from the perspective of what you are really looking at, if you refer Slide 4 of the presentation, which says that we've been able to improve the overall profitability on the delivery side, led by adjustment of discounts by 2% point. And that is also what gets reflected in our overall gross margin improvements as well. So this was a question which the earlier speaker was also really getting into. So the improvement that we have seen is 2% improvement in the delivery profitability led by gross margin improvements is really what we are kind of seeing. The balance part is on account of the efficiency...

Jay Doshi: Sorry, one second. I may have missed that particular data point on the slide, but just double checking. So this profitability factors in visibility spends and other performance sort of incentives or delivery cost takeout, everything all put together, right?

Sumit Zaveri: Yes. But if you see, that's largely on account of gross margin improvements.

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Jay Doshi: Right. But you have not seen any inflation or escalation of delivery costs or any other below gross profit cost items associated with delivery business?

Sumit Zaveri: We have got very strong long-term arrangements with both aggregators. So...

Jay Doshi: Understood. Perfect. So gross margin is translating into EBITDA level improvement as well.

Moderator: We take the next question from the line of Devanshu Bansal from Emkay Global.

Devanshu Bansal: Congratulations on a strong performance in Q3. Sir, there is an increase in aggression by the competition, right? So from value launches perspective, from faster deliveries perspective. So how have been the trends for you in Q4 so far? And are you sort of noticing any change in growth trends for you?

Rajeev Varman: No, growth trends for what?

Gaurav Ajjan: Q4.

Sumit Zaveri: So Devanshu, firstly, thank you for appreciating the performance for the quarter. Firstly, if you really look at it, as a business, we are really reaping the benefits of being a little more structured in terms of the way we've executed our strategy, be it the execution of Cafe, be it the execution of the digital initiative. Very strongly, on the dine-in and the delivery side, we remain focused on value. And we are kind of seeing the consistent execution of the strategy to deliver these results.

We obviously are going to remain focused on that strategy going forward as well. We will now overlay that with much stronger CRM initiatives as well, having finished the overall digital execution as well at all our stores. We believe that the results going forward should reflect the benefits of everything that we have executed so far as well. So it's not just -- and obviously, we would really kind of not get into a quarter as well. But at the same time, yes, quarter 4 seems to be encouraging as we stand today.

It does seem encouraging as well. But what we believe is that what we've executed really will stand strongly behind our performance going forward as well. So that's actually how, Devanshu, we see what we've achieved in quarter 3 and what we believe we should be able to achieve going forward as well.

Rajeev Varman: These are strategic, Devanshu. We are not doing tactical things here. Quarter-by-quarter, we are doing strategic things. So it has taken a little while for us to build these strategies, and they're all long-term kind of plans. So you will continue to see the leverage and benefits of this cumulatively as we move forward.

Devanshu Bansal: Sure, sure. And secondly, on this big investment that is coming into our business. So how are we planning to sort of use that? So is this going to lead to accelerated expansion for us? What are your initial thoughts on

this?

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Sumit Zaveri: So Devanshu, one is that as a business, obviously, we continue to remain very, very bullish on India. And that's where we will really see the entire focus of our business to be. We will kind of share further details in terms of our overall strategy as we come closer to consummating this entire transaction. So we would request you to bear with us there. What at this point in time I could say is that we really, very, very strongly believe in terms of the overall opportunity that India as a market really is showing as we stand today.

Devanshu Bansal: Sure. Just last one from my side. So this entity has its own QSR business. So any thoughts on leveraging the potential synergies between these 2 businesses, Burger King and Chinese Wok?

Rajeev Varman: Yes. So look, we are very, very excited. We are very excited with this. You are absolutely right. They have a lot of experience, just like Everstone had in the foodservice restaurant business. Inspira also comes with a lot of experience in the QSR space. And I'm sure that there will be a lot of learnings that the promoters will bring into the business as well. And we are looking forward to learning from those experiences and leveraging whatever we can into our business and make our business benefit from it. Apart from that, very, very excited with them coming in.

Devanshu Bansal: Sure. Just last one from my end, Sumit. So basically, whatever financials we have for Inspira, that entity currently is having slight losses plus it has some debt. But these are like FY '25 numbers that are there in the public domain. So any fresh funding that this entity has raised, so that the stake acquisition that they're targeting can be consummated. Any color that you can provide on the funding of this transaction?

Rajeev Varman: Yes. So look, these are 2 separate businesses. Inspira runs their own business separately. RBA runs its own business separately. These questions on Inspira will have to be directed to them, whereas on the RBA front, we continue to work on our business completely separately from them.

Moderator: We take the next question from the line of Rishi Mody from RDM Advisory.

Rishi Mody : So first, I just wanted to understand on the cost efficiency measures, you said broiler change has been done in 250 restaurants. And then I think when I last met Sumit, there were some initiatives on temperature-controlled ACs, rental renegotiations. So where are we in that entire cost efficiency journey? How much more or how many more bps of margin expansion is expected to come through over the next 1 year from these initiatives?

And secondly, on the employee cost, I remember last quarter, you had mentioned that we've hired a few extra people for the digital kiosk transition. About 90 bps of our top line had gone into that. And that was supposed to be reversed over time once we open new stores and the staff gets reallocated. So do we expect that Q4, we go back to the 11% employee cost?

Sumit Zaveri: So thanks for the questions, Rishi. I'll just answer both the questions sequentially. Firstly, yes, the initiatives that we've spoken are under execution. And large parts of the initiatives are change in broilers. We've completed around 250 restaurants.

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But the effect of the benefits of those, we will start to see going forward. We have also obviously done various other initiatives on those. As we complete the entire exercise of the broiler change or any other initiative, we expect that it should improve the overall utilities, as we had mentioned, in the region of around 0.7% to 0.8% going forward. But the entire impact or the effect of that, we will be able to see it largely, we feel, starting the next financial year, because we

will still

complete our execution during quarter 4 or the current quarter as well.

As far as getting into the details of our labor at the store level, yes, this has always been our practice. Whenever we have made big initiative launches in our stores, we have effectively put more people, so that we can train faster, and we don't see the drop in overall operational service standards at the store. As we come closer to ending the entire cycle of stability, we've been starting to pull the headcounts back to where we believe the store should operate. We should see this entirely kind of getting stabilized as we get into the later part of quarter 4. But that work is going on.

But at the same time, Rishi, our focus obviously will always be to make sure that we train our staff at the store level efficiently or correctly, so that we can provide the new experience that we want the customer to get at the restaurants to be literally without any kind of flaw, or rather more than flaw, rather superlative. So that's something which we would continue to kind of do. But we expect that it should start getting to reverse over next -- over this quarter.

Rishi Mody : Got it. Got it. Secondly, I wanted to understand, I've noticed that McDonald's has become a bit aggressive on their value combo. They've slashed their prices down from INR119 to INR99, which is the same as our meal combo. Are you seeing any impact of this in stores which are right next to, say, McDonald's, say, the Andheri Station one or some other metro stations? And are we also planning to cut our prices to maintain a value gap against these guys?

Rajeev Varman: See, value is not tactical. Value strategy is a long-term strategy. It's not tactical that you do it overnight and you will see a shift in product mix or shift in customers. So we continue on our value strategy that we have. Still now, this is a third year in value strategy. We did INR99 two years ago, then we came to 2 for 79, and we have done that for the last 2 years. So we have no further reduction or anything planned in that respect.

As I said, as we move forward, we have already got a very strong and probably the strongest value offering in this country. And we have a very good following because the product at the entry level are fantastic and the price at which we sell it is just fantastic for the consumer. What we're going to do over the next year is also to start building our core and to start building our premium offerings. And while we have these strong product menu items, we will now start the communication process externally via digital, television, our LSM efforts that we put together in malls and so forth. So you will find a lot of work there.

And like Sumit was saying earlier, it's as per planned strategy. We had always planned this way. The only quick turnaround that we did was putting in Cafe and SOKs, which we did in a span of 18 months, which is a mammoth task to get there. But the rest of our menu planning, communication planning, as you heard from Kapil, acquisition of customers, engagement of customers, retention of customers, then love and advocacy from the customers, that's a plan that Restaurant Brands Asia Limited
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we have strategically put in place. And over the next 10 years, you will find that we will continue on that plan of building the business.

So value will always be a pillar. From year-to-year, you will find that, that value offering will change or might change in the future. But the plan is to continue having that pillar to acquire customers.

Rishi Mody : Got it. Got it. Final question from my end. What are the discussions on the long-term vision with the new promoter group that's come in? And what's their stand on the Indonesia business? Is it the plan on Indonesia business still remains the same? If they don't breakeven in the next quarter or the quarter

after that, we decide to kind of take a hard stance there? Or is the view that now we're going to give them some more runway at least?

Rajeev Varman: Look, the incoming promoter is very aligned and consistent with the current management

strategy on our business, RBA, whether it's in India or Indonesia. They come in with huge experience, and they will come in, and they will do their own research, and they will do their own investigation into the business. And then we'll sell and have a good conversation with them on the way forward that it will only be enhanced and made better as we move forward in there. But look, the Burger King business in Indonesia, slow it be, is turning around and coming positive. In fact, our ADS has now crossed the second highest company over there, and we are in the right path. We have a challenge with Popeyes, as I stated in the onset, and we will be dealing with that on a very, very speedy basis, and you will hear from us on that very soon. But very excited with the new promoter coming in, and I think they bring in some great experiences on their side. And we're really excited about bringing them on board.

Moderator: We take the next question from the line of Arun Malhotra from CapGrow Capital Advisors.

Arun Malhotra: I have 3 questions. One is, what would be the utilization of the proceeds of INR1,500 crores that would be infused in the company?

Sumit Zaveri: So Arun, as I was answering earlier as well that as far as the company is concerned, we really are excited with the growth opportunity in India that is currently available with us. That is what is going to be the long-term focus as far as the business is concerned. We are currently in the process of consummating this entire transaction.

So we'll be able to come back to you with a long-term strategy as we come closer to consummating the transaction. So we would request you to kind of just bear with us for some time until we kind of come back and share the larger contours of the overall strategy that we would come back and share with all of you.

Arun Malhotra: Sure, sure. Second was Indonesia business, neither the growth is there, nor the margins. And our gross margins there are 55% versus close to 70% in India. What is differently we are doing or what is different there that the gross margin is so less?

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Rajeev Varman: Yes. So we had introduced the additional chicken menu, which is our discount platform. So the last year, we have spent a lot of time communicating that platform, which is the chicken platform. Chicken in Indonesia is more like a commodity, right? Everyone offers it.

But we were short of that menu. So we introduced that menu. We put in all the missing gaps in there, and we spent a lot of money communicating that. So you found that there was a high SKU. It used to be -- 30% of our sales used to be chicken, and that rose from 30% to 50%.

So as that grew from 30% to 50% on a discount side of the menu, you saw some gross margin depletions there. Now we have done 2 things. Number one is, of course, moving forward, we have done the chicken part of the menu. We're going to focus on burgers over there and start moving those gross margins in the right direction.

But second what we have done is we have done the same thing we have done here in India, which is we are now doing the business on the delivery side more profitably. So the discounts have been significantly reduced, and we started this in December.

Sandeep is on the call, and you will find the benefits of that coming as we move forward. Our intention is now to quickly catch up that gross margin and bring it back to 58.5%, which the other competition is running, and then start moving it in the right direction from there. So that's really the plan I told you why we were at that number and how we are moving

that forward.

Arun Malhotra: Sure. And lastly, on the Indian business, we have already reached the 70% gross margin target, which was for 2029. So is there any more juice left in the Indian business for us to enhance or increase the EBITDA margins?

Rajeev Varman: Absolutely. Absolutely. And we will communicate next quarter our way forward 3 - to 5-year plan on how we are going to take that gross margin business. See, in the last call, I shared with you that we are laser-focused on unit level profitability, trying to make sure that we can get as much, as you call it, juice, efficiency, I call it, efficiency out of the business, out of the units.

And we have done a lot of progress in that.

The broiler is one of them, utility expenses, the solar panels, the new broiler, all these are in effort to continue to get that going in the right direction. We are not done with our efforts, and we will never be done with our efforts to continue to improve gross margin. And we have told the 2 paths that we have started on, bringing the food closer to the restaurants and bringing in more and more suppliers, so that we have a good competing supplier base to suppliers at the lowest price. So those efforts will continue. Thank you so much for your question.

Moderator: Ladies and gentlemen, we take that as the last question and conclude the question-and-answer session. I now hand the conference over to the management for their closing comments.

Rajeev Varman: Thank you very much. Again, really, really appreciate everyone joining today. We are an excited group of team sitting around the phone over here. It was a great quarter, but we have a lot of

work ahead of us. And the work is with respect to unit level economics.
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We will continue to focus on that. We will continue to build the brand anywhere from 60 to 80 restaurants every quarter every year. And that effort has prolonged our long-term strategy as we go into a lot of white spaces. We continue to build in our existing metro markets. We have a lot of room there.

We have new channel growth, whether it's on the highways, airports or metros -- the metro stations, where we are doing a lot of work there and a lot of restaurants you will see in the future coming there. So that's a big initiative from our side.

The next big initiative is on the digital side, which is to know as close as possible to 100% of our consumers. So our effort will be, over the next 4, 5 years, to make sure that we build our technology, to extend that we know 100% of our consumers, and that's the most effective use of marketing rupees in moving forward.

So thank you very much for all your support on the India side. We will continue to build a strong turnaround on the Indonesia side. So that work is being done by Sandeep, and we are very excited about that. We're very excited also with Inspira coming in, and we look forward to your support as we move forward on the, we call it, RBA 2.0. Thank you so much. Thanks for joining.

Moderator: Thank you. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability)

Call: May 2026

restaurant brands asia limited

(Formerly known as Burger King India Limited)

Registered Office : 2nd Floor, ABR Emerald, Plot No. D -8, Street No. 16, MIDC, Andheri (East), Mumbai – 400 093

CIN : L55204MH2013FLC249986 | info@burgerking.in | Tel : 022 -7193 3000 | Website : www.burgerking.in

May 19 , 2026

BSE Limited

Corporate Relations Department

Phiroze Jeejeeboy Towers

Dalal Street, Fort,

Mumbai - 400 001

Scrip Code : 543248 National Stock Exchange of India Limited

Listing Department

Exchange Plaza, 5th Floor, Plot no. C/1,

G Block, Bandra Kurla Complex, Bandra (E)

Mumbai - 400 051

SYMBOL : RBA

Sub.: Investors and Analyst Call Transcript

Ref.: Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')

Dear Sir/Ma'am,

Pursuant to the SEBI Listing Regulations, please find enclosed the transcript of the conference call with the Investors and Analysts with respect to Audited Standalone and Consolidated Financial Results of the Company for the quarter and financial year ended March 31, 2026 , held on Friday, May 15, 2026 at 9:30 a.m. (IST).

The same is being made available on the website of th e Company viz. www.burgerking.in .

Kindly take the same on record.

Thanking You,

For Restaurant Brands Asia Limited

Shweta Mayekar

Company Secretary and Compliance Office r

(Membership No.: A23786)

Encl.: As above

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"Restaurant Brands Asia L imited

Q4 FY26 Earnings Conference Call "

May 15, 2026

MANAGEMENT : MR. RAJEEV VARMAN – WHOLE -TIME DIRECTOR AND
GROUP CHIEF EXECUTIVE OFFICER – RESTAURANT
BRANDS ASIA LIMITED

MR. SUMIT ZAVERI – GROUP CHIEF FINANCIAL
OFFICER AND CHIEF BUSINESS OFFICER –
RESTAURANT BRANDS ASIA LIMITED

MR. KAPIL GROVER – GROUP CHIEF MARKETING
OFFICER – RESTAURANT BRANDS ASIA LIMITED

MR. SANDEEP DEY – BRAND PRESIDENT , INDONESIA –
RESTAURANT BRANDS ASIA LIMITED

MR. GAURAV AJJAN – HEAD OF CORPORATE
DEVELOPMENT AND INVESTOR RELATIONS –
RESTAURANT BRANDS ASIA LIMITED

MODERATOR : MR. NAVEEN TRIVEDI – MOTILAL OSWAL FINANCIAL
SERVICES LTD

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Moderator: Ladies and gentlemen, good day, and welcome to Restaurant Brands Asia Limited Q4 FY26 Earnings Conference Call hosted by Motilal Oswal Financial Services Limited. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Naveen Trivedi from Motilal Oswal. Thank you, and over to you, Mr. Trivedi.

Naveen Trivedi : Yes. Thank you so much, Michelle. Good morning, everyone. On behalf of Motilal Oswal, I'm Naveen Trivedi. I would like to welcome you all to the Restaurant Brand Asia's 4Q FY26 Earnings Conference Call.

From the management today, we have Mr. Rajeev Varman, Whole -Time Director and Group CEO; Mr. Sumit Zaveri, Group CFO and Chief Business Officer; Mr. Kapil Grover, Group CMO; Mr. San deep Dey; Brand President, Indonesia; and Mr. Gaurav Ajjan, Head of Corporate Development and IR.

I will now hand over the call to the management for the opening remarks. Over to you, Raj.

Thank you so much.

Rajeev Varman : Thank you. Thank you very much, and thank you for joining the call again. Really appreciate your time. One of the things that we want to announce that are in our numbers is that we were certified as a company directly. If you guys can go on mute, please, there is some disturbance, so be on mute.

We were certified as a great place to work, which is a prestigious global credit that we received over to the entire team. Congratulations to the entire RBA team here in India that we were able to achieve that. Now coming down to the business. See, we continue to build volumes which is what I've been talking to you about for many quarters now.

Building volume specifically in the dine-in business. We continue to drive more and more traffic . In fact , in the last 3 years, we have grown traffic in our dine-in business by 18%. And this is becoming the cornerstone of how we are going to move forward into the next few years with this kind of volume that we are creating inside of our restaurants.

So if you look at our fourth quarter, we ended the fourth quarter with a 6.3% SSSG growth, which is the highest that we have achieved in the last 12 quarters, and that momentum continues.

We did this, obviously through several of our verticals. Value consistently, for the last 12 years, we've been driving value. The leadership in this industry in value, we maintain that.

We continue to drive more and more traffic through value. Our latest offering is 2for79 and 2for99 on the veg and chicken side, and that continues. On top of this value offering, we also

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started strengthening our core and as well as our premium offerings. You might have seen our ad on the Korean Kimchi that was aired digitally. And that has driven significant volumes at a very higher APC on the premium end of our menu.

So this combined effort of now for several years of delivering value and then now switching to not just delivering through value, which we consistently continue , but also now to add a layer of premium. So that -- this strategy of doing this together is where we ended up with a 6.3% SS SG growth.

We continue to strengthen our digital platform. I think everyone is aware that the entire industry is moving to that direction. 91% of all our orders are now digital, which gives us a significant control on not only the cash elements of our business but also the consumer element of our business.

Both those continue to strengthen. 51% growth in monthly active users over the previous year when it comes to our CRM p

rogram. So this is very good. 51% might be on a very small base.

But as we have told you, we have started this journey, and we will continue to stay stable with this journey.

On the profitability side, we have been talking to you about the delivery profitability where we continue to bring in product mix combination that actually increases our throughput down at the EBITDA level on the delivery sales. That journey continues in addition to the traffic we continue on the delivery business. So that is continuing to make the delivery business profitable.

In fact, over the last year, a 2% increase in that by lowering discounts and affecting our basically product mix that we sell on that -- on the channel. We also continue the rest of the P&L efficiency, whether it's utilities through our solar efforts, our efforts to have launched this new broiler, which uses half the utilities that old broiler used.

And this is almost done, I think in the next couple of months, all restaurants in India will have the new broiler. So you will start seeing a cumulative effect of this moving forward into the next quarters as we continue to save on utilities. We are also making a very strong effort on the solar area, and that is bringing our electric utility rates significantly down in the markets where we have been successful to do it.

This effort will continue, and we will continue to solidify on this. So India, strong business, steady hands, disciplined approach and to move in the principles that we set forth years ago. We are very true to those principles. We continue with a disciplined forward march that is bringing consistent operations and consistent delivery of our P&L. Zaveri will walk you through all the numbers on the India business.

Now just quickly on the Indonesia business. So while we onboard the new promoters in the next several weeks and aligned with our strategy in Indonesia, we remain consistent with what we Restaurant Brands Asia Limited

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have been sharing with you on how we approach that Indonesia business. Good news in Indonesia is the Burger King business has turned around. It is moving in the right direction.

We are now positive on EBITDA, we are positive on the ADS. We are positive on our dine-in SSSG. We have made some corrections on the delivery side in terms of our discounts and our offerings to increase the profitability of that business, and Sumit will talk about that as well as we kind of go into this presentation.

But a lot of work has been done on the Burger King side of the business to strengthen it in the long run, whether this remains as a part of our portfolio or not, I think the due diligence is to continue to stay true to making this business profitable for the business. So that effort continues. Well done, Sandeep, and the entire team in Indonesia because against all headwinds, they have actually really worked hard to get this to where it is. And we continue to also rationalize the G&A there. So we are doing all this hand-in-hand to make sure that, that this is profitable.

On the Popeyes side, we have now 25 restaurants, we -- I think, recently closed one, so we're down to 24. That business is struggling, and there's reasons for it because with a small portfolio like that, we have no ways to -- unless there's a significant capital commitment there to move that business to -- from 25 to several hundred restaurants, the path becomes very, very difficult. So that business, we are going to align with the new promoters coming in. But the sense over there is very simple that it has to be part of someone else's portfolio, not ours. I think we would like to stay focused on the Burger King portfolio, and build that portfolio and get it to a healthy margins. So that's on the Indonesia business.

Overall, as we look at the 3-year journey that we have done we have built, here in India, doubled

-- almost doubled the restaurant counts from where it was in FY22. Our revenues have grown almost 2.5x -- 2x, 2.5x the revenues we saw in FY22. Our gross margins have improved significantly, 3.2% gross margin improvement from where it used to be at 65%.

EBITDAs have grown, restaurant level EBITDA has grown, company level EBITDA has grown, both percentages as well as our company rupee EBITDA. So Gaurav will share the numbers with you as we go through this -- towards the end of the presentation.

So now leaving it over to Sumit to walk you through the specifics of India and Indonesia numbers. Over to you, Sumit.

Sumit Zaveri: Thank you, Raj, and good morning to everybody. What we want to do today when we talk about our performance is not only really share what we have achieved for the quarter as well as for the year, but take you a little bit past into the journey over the last 2 to 3 years that we've achieved because that's something which I feel is relevant for all to also look back as we start seeing the results of that entire journey to be reflected in our financial performance for the year as well as for the quarter.

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Raj mentioned clearly that for us, getting more people into our restaurants is the key. Value has always been the mainstay of our strategy, continues to be part of our strategy. Currently we are leading value with a very strong proposition of 2 for X. And you will see that, that will continue. That will remain one of the mainstays of our strategy. Value will remain as one of our mainstay of our strategies as we go along because that's something which will help us continue to drive traffic in our business.

As we build the traffic into our restaurants through value as a strategy, we also believe that we have a very, very strong positioning on taste as well -- taste credentials as well and hence, we need to effectively start strengthening the other layers to take the leadership on the taste side as well very, very clearly and strong.

If you look at what we've done to our overall menu offering on the burger side over these years is, we've strengthened the core side of the menu. We've introduced the entire Whopper Deluxe range, which sits right in the middle with a offering of 5 products that sits very clearly and then introduced at the premium and the entire King's Collection, which is at the top of the ladder on the burger side of the leadership.

And we've used this very, very effectively. If you've seen through this entire year, now we're starting to establish that through a very strong LTO proposition. Korean was one of our lead offering last year, we are continuing into that offering even in this year. So that is something which we've worked very strongly. We believe that we've got our entire menu now stacked very properly to address all customer segments that we have.

The second part that we've kind of worked on very hard is to make sure that we bridge any category gaps that exists in our menu. If you look at the kind of efforts that we've got in enhancing the overall beverage portfolio by introducing Café. As we speak now, literally all our restaurants offers the BK Café.

There could be few restaurants because of the limitation of the location, we might not have Café in those stores, and we'll continue to work to see how we do it. But the fact is that now the Café offering is available in all our restaurants. So that was one big gap that we had in our offering. And then we -- as we introduced and expanded Café, we started believing that the LTO strategy, which we follow on the burger side, should also be followed on the beverage side in order to establish the category. We started with co-branded desserts and beverages last year. Now we've also moved into bringing variations on the carbonated side of the beverage, which is what you could see in our restaurants globally.

So on the menu side, before I go on to the next page, is that we've also worked on. On the menu side, we could very clearly see that we've strengthened value. We've strengthened the entire burger ladder that we have. And started to work on the taste leadership through the LTO route, Restaurant Brands Asia Limited

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both on the Café side, on the beverage side, I would say, not just Café but on the beverage side as well as on the burger side.

As we've completed, as we believe that we've kind of come to a very good stage as far as our menu offering is concerned, we parallelly believe that it is also important that we start knowing our customers well, which is where parallelly we did substantial investments over these last few years and launched our own stack for BK app, self-ordering kiosks and table ordering.

This is now available across all our restaurants on the dine-in -- as well as dine-in, delivery, take-away side of the restaurants. We will continue to build on this. Currently, 91% of our orders are digital orders on the dine-in side. And when we say digital, it is either through the BK app or through self-ordering kiosks.

We will now go into the phase of how do we enhance the overall numbers in terms of moving our customers as we go along. As we kind of were working towards strengthening the menu, strengthening knowing the customers. We obviously also believe that it is important that we work hard on improving the overall middle of the P&L as well now.

In the middle of the P&L, there were -- there are broadly 2 elements I would really want to look at. One is the gross margin part. We had -- and we've spoken several times earlier as well. We have very tightly integrated our growth and gross margin when we define our growth strategy as well.

We've always worked on a strong cluster strategy to develop our overall supply chain strategy as well. The results of that plus whatever that we've kind of been able to do on the delivery side working very, very strongly with the aggregators as we build our overall delivery side of the business being -- becoming more and more profitable as we go along, plus the cluster strategy of growth.

We've only seen our gross margin to improve by almost plus over 2% over the last 4, 5 years.

And that will continue to kind of grow going forward. We ended the year with a gross margin at 69%. And happy to share that for the quarter, we were at 70%, which is the exit that we have as far as gross margin is concerned, we've been able to kind of move the target to get to 70% almost by a year from what we've spoken with you all earlier.

We would take this journey forward and we're not at the moment, not talking about the next phase of targets. We'll come back with you at an appropriate time on that as well. But coupled with growth, we've also been able to simultaneously address gross margins, improving it by almost around close to over 2.5% to 3% over these last 4, 5 years.

The culmination of this entire journey can be seen in SSSG, can be seen in gross margin improvements, can be seen in restaurant EBITDA margins. And across the lines, if you look at it, I would just put a mention of SSSG, we've been -- over the last few years, you would have

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observed that we've been in a very tight range of early single digits of 2% to 3% range over these years.

For the full year now, and I would put it to the culmination of the entire effort that the team has put in. We've ended the year at a 4% SSSG and starting to kind of show improvements in our SSSG growth over these last 2 quarters as well.

As you could see, last -- this quarter that ended March, we were at 6% and a quarter before that, we were at 4.5 %. So we're kind of starting to see the results. We see, we're not sharing numbers

for where we stand today. But we can at least share with you that the trend that we've seen in last quarter.

We're seeing the strong trends to continue even in the early part of this financial year -- financial year as well. We got to a total revenue of INR2,271 crores for the full year, with the restaurant EBITDA of 11.6%, literally doubling over the last 5 years. We were at around 5%. We've gone to 11.6%. Similarly, on the company EBITDA level, we were at 2.5% in FY '23.

We've got to 5.8% in FY26 . So that is also growing more than twice of what we have achieved.

So we believe that the entire effort that we've been putting being in those early single digits for last 2 years but constantly building the base for the business, we believe that we are now starting to see early results of all the efforts that the team has put in.

Then I quickly go into Indonesia part of the business, and then I'll hand it over to Kapil. As Raj mentioned, we were working on bringing the Burger King side of the business back at the strength of dine -in business. We've seen dine -in ADS now to continue to be on a month -on-month basis higher than what we achieved in the previous year, except for one blip in September, but that was more led by some local events.

But otherwise, we continue to be able to grow that. We would -- our way forward as far as Burger King is concerned is to push dine -in side of the business at the back of the burger and the Whopper leadership that we have. Our market study in Indonesia very clearly states that we have leadership on the burger side in the minds of the customer. We would certainly want to take that forward as far as dine -in is concerned.

On the delivery side of the business, while ADS growth -- we did see early success in ADS growth, but that was coming at lower margins and flow -throughs which we feel is not the path that we should take and then we really put it on the long side of the journey is concerned.

So we cost corrected some of those in last quarter of the financial year, which is why you see a reduction or lower delivery ADSs. We've been able to -- and work back quarter for to get the margins up. Happy to share that we've gone back to the 6.2 to 6.4 range in the current period -- in the current financial year without taking any adjustment or taking any hit on the margin corrections that we achieved in last quarter.

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So we've been moving positively as far as Burger King is concerned. Some parts of the changes that we've done was reflected in our results in Burger King. We did report positive store -level EBITDA of IDR8 billion for the full year in FY26 , even quarter 4 was positive. And if you can see, a clear shift in gross margins that we achieved in quarter 4 at 59.2% is some of the reflection of the work that the team in Indonesia has been able to achieve.

As far as Popeyes is concerned, yes, it's a challenging business. It continues to be one of the big concern areas for us. We did lose more money than what we had lost earlier years, it stood at IDR25 billion and that became -- so while we saw a big shift on BK, we really kind of lost the benefits of BK on the Popeyes side of the business.

And yes, we need to find some answers on our next steps as far as Popeyes is concerned. Indonesia on a consolidated basis resultantly reported a negative store EBITDA of IDR17 billion and a company EBITDA of IDR100 million. So if I was to kind of summarize before I hand it over to Kapil to take us through the marketing side of the businesses. Very clearly, India is showing positive signs even in the current scenario, and we feel encouraged about India business. Burger King side of the business on Indonesia is also showing positive signs and our area of concern on Popeyes side still continues for us to address. So with that, I'll just hand it over to Kapil, who will

take us through the marketing initiatives and then we kind of take it forward.

Kapil Grover : Yes. Thanks. Thanks, Sumit. Good morning, everyone. So we've spoken about our journey on the burger innovation. We continue to strengthen our core menu on the premium side, which kind of helps us balance our menu. On one hand, we have the value proposition of 2 for 79 and 99, which has held us in very good stead over the last 3 years that has built dine-in traffic.

On the other end of menu is the King's Collection, which is our premium burgers with Brioche buns and fabulous recipes, and then we've done this limited time offerings driven by culturally relevant flavors like Korean, very popular in India. It gave us fabulous response, great feedback on the product.

We've also tried to build the middle of the menu with new launch of the paneer, the fried chicken and the molten cheese patties on the Whopper build, which helps us offer consumers new options on taste and proteins in the Whopper layer.

On the desert side, co-branding with Nestle KitKat to offer consumers an elevated experience in the deserts and also adding Waffle Cones to all our stores to offer customers a higher-quality product on the Softie, which is a favorite with the kids and families.

So that's launches and products rolled out. On value, I've always spoken about 3 dimensions.

There is price point value, 2 for 79, 99, there is a coupon value, which a lot of customers love

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downloading apps and getting exclusive deals. That continues to drive traffic into our dine-in stores.

And the third dimension is a shareable value where people come in groups, friends come in, families come in and buy these meal bundles and also get great savings on these bundles. The brand also continues to work on building strong relationship and engagement with the community.

We continue to celebrate festivals with our community in a very elevated manner. There are gifts associated with that festival that are given out with meals. Recently, we did a promotion around the Cricket season giving out Cosco cricket balls with every meal and fabulous response.

Our teams also get to participate in the events and festivals with thematic dress, decoration of the restaurant, which just elevates the experience for our employees as well as our guests.

The brand continues to strengthen the relationship with our audience, our consumers, Gen Zs and millennials, engaging content around new menu introductions. Our story around trust in taste is the fact that our products do not have any artificial flavors and synthetic colors. It's a fact that matters a lot, especially with the Gen Z.

We talk about these things in a very fun, engaging manner on our social content. And we continue to build a brand through various associations with movies, with Bollywood, where we are able to co-promote and launch these exclusive meals partnering with these events.

I'll hand it back to Gaurav for the financial summary.

Gaurav Ajjan: Thanks, Kapil. I will skip ahead to Slide number 25 for the summary of our 5-year journey as well as progress against the outlook we have given at the start of the year. Our restaurant count is higher by more than 80% since FY22. This year, we've opened a net of 68 stores, which is within our guidance range of opening 60 to 80 restaurants every year.

Revenues from FY22 are 2.4x in FY26. This has come on the back of the increased number of stores as well as positive SSSG in each of the 5 years. Gross profit margins are also up 3.2% for the 5-year period, an average increase of 80 basis points every year. In fact, we have achieved our FY29 guidance of 70% this year itself as we end the year at 70.2% in Q4.

On top of the 3.2% GP improvement, we have added another 3.2% in the 5-year block to restaurant EBITDA margins, taking us to 11.6% for FY

Y26. Now as a result to the growth in top

line and the more than doubling of restaurant EBITDA margins. Our absolute restaurant EBITDA number is more than 5x of FY22 at INR264 crores.

We have made significant strides at the corporate level as well. We swung from a loss of INR14 crores in FY22 to INR132 crores EBITDA for this financial year. As we enter the next phase of

growth, we are all excited about the journey ahead. As you are all aware, we are set to be acquired
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by Inspira Global. The transaction is nearing completion, and we will come to you with our revised outlook in Q1 once the deal is done.

Thank you all for joining in. I would request the moderator to please open up the floor for Q&A.

Moderator: The first question is from the line of Devanshu Bansal from Emkay Global. Please go ahead.

Devanshu Bansal: Congratulations on a good performance. Raj, we have indicated healthy traction in the Café ADS, which is sort of reflecting in better gross margins also. However, when we see the annual ADS, it is about INR116,000 versus INR114,000 last year. I guess this is partly because we have opened new stores as well, right? So -- can you give us some sense on how Café ADS has played across mature stores? What is the incremental ADS that we have been able to sort of generate. Just some color will be helpful.

Rajeev Varman : Yes. Devanshu, thank you for your question. First of all, we don't split that out and share it publicly, but I'll give you a flavor of how we're heading. If you look at the cohort and if you look back at the restaurants that we converted to Café in the initial period, those are way above the average and continue to grow. See, we don't -- we haven't except for one window last year, which is for a 4 -week window.

We have not put money behind Café. And there's reasons for that because I think we are continuing to grow volumes on people coming in because Café volumes will increase if the people coming into our restaurants continue to come. But this is a very disciplined and long - term approach on Café. It will continue to grow over time.

Our ambition is over the next 4, 5 years, to get that volume to come somewhere close to INR25,000 per restaurant per day. So that's the goal, and we are kind of moving progressively in that direction, older restaurants are actually doing very fine and moving in the direction. You're absolutely right.

There are new restaurants with Café with lower volumes that kind of pulled back the numbers. But this is a very, very long -term disciplined approach. It's an alternative for people to build frequency. It's an alternative for people to build those dayparts between lunch and dinner and post dinner, where someone wants to just get a snack and a coffee and also to build in the future, a strong breakfast.

I think Kapil spoke about bringing in the egg into our restaurants. We have bought it selectively in certain markets and coffee at Café menu along with breakfast offering becomes very vital to that daypart as well.

So while we will not split this, I can tell you that the Café business is doing well. We are glad that we invested into the Café business in time and in due time. And I think we are progressing very well with it. And we hope to share good numbers in the future. And like I said, our target is to get to about INR25,000 per restaurant per day ADS.

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Devanshu Bansal: INR45,000 or INR25,000 sir, I just wanted to confirm?

Rajeev Varman : 2-5.

Devanshu Bansal: 2-5. Okay. Got it, Raj. Sir, second, I wanted to understand on the cash flow front, right? So this year, our performance has been pretty robust. So congratulations to the team on that. But in my opinion, basic calculation suggests that we have sort of utilized about INR350

crores of cash in
the operations, right?

About INR130 crores has gone to the international subsidiary, but still the India business has also sort of consumed about INR200 crores, INR220 crores of balance sheet cash, right? So how do you see that? Because we started the year with about INR500-odd crores of cash, but now we are at about INR150-odd crores of cash, right? So going ahead, how do you see this playing out for you in the next 2, 3 years?

Sumit Zaveri: Devanshu, this is Sumit here. So I'll kind of take this. So yes, we are -- firstly, we still have cash on our balance sheet, around INR190 crores as we speak, as at March there. Secondly, you've seen that we've only been growing cash from operations, INR99 crores to INR132 crores this year.

We are working towards getting to free cash flow neutral over the next 6 to 8 quarters. That's -- and that is something which has always been our journey there. With the cash that is available on balance sheet, we believe that we should be able to kind of take that journey.

We feel that the goal that we have set ourselves to, to get to a free cash flow consultive number

which funds for the growth that we have set ourselves for, which is around 60 to 80 restaurants on an annual basis, we should be able to get to that state over next -- our sense is that anywhere between 4 to -- over the next 4 to 6 quarters, we should be able to kind of start getting to that number.

As you've seen also for the quarter, we generated INR40 crores of cash for the quarter as well.

So we believe that we are on track to be able to get to free cash flow over the next 4 to 6 quarters.

Devanshu Bansal: Got it. So FY28 broadly should be a free cash flow positive year for you, right? That's a right takeaway?

Sumit Zaveri: That -- Devanshu, you're absolutely right, that's the target that we have, and that's what we are working towards as far as India part of the business is concerned.

Moderator: The next question is from the line of Rushabh Shredalal from Pravin Ratilal Wealth. Please go ahead.

Rushabh Shredalal: So sir, my first question is -- so congratulations on the great performance in the India business.

My question is on the Indonesia business. So if I see the current results, you have done INR120

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crores of impairment for this quarter. And simultaneously, you have also infused about INR20 crores in April '26, via preferential shares.

So what I want to understand is that could you help me understand the recoverable value assessment that led to this impairment? And in this partial write-down or is this the beginning of a full exit? More importantly, sir, I would also like to understand what is the new promoter group coming in?

What is the revised strategy road map for Indonesia? So are they going to continue find some local JV partner? Or will that be a structured exit? And what will be the time line for Indonesia to become a cash flow breakeven at least at the operational level? That's my first question, sir. Thank you.

Rajeev Varman : Rushabh, I'll turn it over to Sumit for the impairment. We have worked through those numbers with our auditors. But really see, as the new promoter comes in, I think we should provide them time to understand. I think we have a planned trip to Indonesia with them as well. I think we need to see the management team has an aligned strategy that we want to move forward on.

But I think we would like to get inputs from our new promoters. We would like to get their alignment in the way forward. Look, wherever we stand, the main focus should always be to improve that business. And while we are cash flow positive at the restaurant level already on the Burger King side, and I think we will do a significant progress on that this coming year.

The Popeyes side of the business is what we need to address. And I've already o

outlined that on

the onset of this call. And we will do that in a very speedy fashion. Giving you time lines is probably not something which would be responsible right now from my side. But you can be rest assured that it is a top priority for this team and the top priority for the promoter coming in as well. So we will address that on a speedy basis.

Over to Sumit on the impairment of INR120 crores and the INR20 crores that we funneled in preferential shares.

Sumit Zaveri: So thanks, Raj. So Rushabh, yes, we did the valuation of the business on discounted cash flow basis. We did that on a consolidated basis for both the businesses. And the results clearly kind of showed that we need to provide for as far as the carrying value of the business. Obviously, this is no reflection of quitting towards a staggered write-down of provision as far as the Indonesia business is concerned.

It's an evaluation that we did at the balance sheet date and it warranted us to take that provision.

As far as business is concerned, obviously, we're kind of looking at need to support that business and the liquidity required to support that business as a very pure independent effort or an independent view that we are kind of taking.

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We would obviously continue to support this business as we kind of remain invested in Indonesia to make sure that we are able to manage the operations of the business in Indonesia, the way it should be run. As far as that is concerned, that will continue to be that.

As we laid out earlier as well that our focus, obviously, is to make the Burger King side of the business to become further positive from where it stands so that at least that part of the business starts to support the overall G&A credit that we have in Indonesia.

We believe that it still has -- from the current trends that we are seeing as far as Burger King is

concerned, it still is at least around -- again, here also, we feel that it's at least another 4 quarters away for the Burger King side of the business to be able to start recovering for its own G&A. Popeyes...

Rushabh Sharda: So sir, I get your point. What I'm trying to ask is that how much more funds are going to be infused in the Indonesia business. That's point number one. Point number 2 is, is there any further impairment that we can expect in the Indonesia business?

Sumit Zaveri: So firstly, from the perspective overall fund requirement, we are kind of just putting up our overall plan -- a long-term strategy plan for Indonesia. So we will come back with you in terms of the detailed requirements as far as Indonesia is concerned.

As we stand based on the valuation that we've done, we have fully provided for what we believe is required to be provided as far as Indonesia is concerned. As I was explaining, it's not a step towards taking further impairment -or it's just the first write-down provision.

We believe that this is the requirement of the provision that we had as of the balance sheet. And as we speak today, we believe that we've kind of fully provided for what was required to be provided on the balance sheet.

Rushabh Sharda: Right. Right, sir. So my only request to the management is we are already doing a stellar performance in the India business, and it is the Indonesia business, which is driving down our performance. So my request is to take a proper call on it. I think it's almost 4.5, 5 years since we are running a loss-making business. So either we take a structural exit or we actually do something and give us proper time line. That is my only request.

The second question that I want to ask is on the new promoter that is coming in. So the Lenexis Foodworks also runs the brand of the Chinese wok. And given that both our QSR businesses with shared infrastructure needs like supply chain, real estate, technology,

has the Board

evaluated or does it intend to evaluate in any form or combination?

Any brand licensing, operational merger or a formal reverse merger of Lenexis into RBA entity, not today, but down the line, maybe down -- 3 years down the line, 5 years down the line? And if not, what is the firewall to prevent related party conflicts given that promoter controls both Restaurant Brands Asia Limited

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the businesses. And how I, as a minority shareholder, can be assured that my interest will be protected?

Rajeev Varman : Yes. Thank you for your question. See, these are 2 separate businesses. They are run completely separately. It's very premature to even comment on any of this right now. They are not even onboarded. The deal is still to be closed. There is no talk. There is no discussion, there's no strategy.

There's no -- none of that on any of the merger of -- they're very different businesses, and they're in different life cycles as well. So there's zero conversations right now of any of what you have asked. I think we're just disciplined on what we have.

And like you said, the focus for this team and the new promoters coming in will be predominantly to move ahead and do something with structural changes in the Indonesia business. So that is where we are sitting, and that's the focus area for us right now.

Rushabh Sharda: Right, sir. Just one small point before I end my question. When do we expect the new promoters coming in and the process to be completed? When can we expect that to be completed?

Rajeev Varman : We're just waiting for some approvals from the government coming in. I think once those are there, then we will speedily move forward. But I think it's a short -- this thing. So we can't outline when those approvals will come in. But once they come in, we'll move fast ahead, We are all prepared to close this very speedily.

Moderator: The next question is from the line of Kaushal from UNIFI Mutual Fund. Please go ahead.

Kaushal: On the open offer only, my question is the only approval that is pending is the CCI approval, right, Competition Commission of India, if I'm not wrong? Because SEBI has given their final observe -- final comments on the offer. So that is question number one.

Question number 2 is, how are you pivoting in this uncertain times of LNG crisis and the crisis, are you taking a move to induction cookers? Are you pivoting to induction stoves? Or are you still -- how are you tackling this LNG crisis is what I wanted to ask?

Rajeev Varman : That's a great question. I mean the entire industry is kind of working through that. See, certain things we have done proactively. And some of them we have actually done way before even the crisis was on the air. This new broiler that we are installing is not an LPG or a PNG broiler, it's actually electric broiler.

It consumes half the electricity and half the utility in rupees sense, and it's electric. So we have literally, I think, in the tail end of installing this, we've got one more round of installs that are coming in. And once those are all in, all our restaurants will have electric broiler.

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Now this broiler is -- we do flame grilling. So we don't -- our products are flame grilled, and that's the essence of the brand. So those will be in place. We also have a significant amount of electrical broilers. Our engineering team is working feverishly to enhance that portfolio of electric fryers as well.

And then all the efforts in terms of taking the electricity cost down in the future is also the solar project that we have in place to move forward. But we have been thankfully lucky so far to have kept the restaurants open every single day at work. And I think we're getting a limited supply, but we have also cut down on the total consumption significantly.

ntly.

So I think with the reduction in what's available and the reduction that we have made in terms of our consumption, I think, matches there and thereabouts and we are able to kind of sustain that moving forward. We have a very clear strategy to move this to an electric forefront and we are moving really speedily to do that.

Kaushal: So on a ballpark number of 100% of what you cook, what percentage would be LNG and what percent would be induction right now? And where do you want to go? Can you give us a percentage terms or ballpark numbers so that we can get an idea?

Rajeev Varman : Yes, I don't think we have those numbers here to share with you. I can tell you that we have not closed any restaurants for a day or any tenure longer in this crisis period. If you look at our grilled products, they will all be on electric very soon.

Our vegetarian side, we are moving very speedily to install those electric fryers. We have got a significant amount already done. PNG gas is available. There's been no pullback on PNG. So all restaurants with PNG are still doing well and continue to have no issues. It's the LPG restaurants that have had a challenge.

But I think with all the stuff that we are doing, by the way, we're converting a lot of LPG into PNG as well. So in markets where PNG is available or where the steps have been taken to make that available, we are moving rapidly to get that done as well.

So we don't have any percentages to share with you today, but there's a lot of effort to make sure that what we have done in the last month or a little over a month of the crisis, we continue to do to keep the restaurants growing. I don't think there is any present -- current any danger to any of our businesses in terms of LPG. So we're in good hands there. I think that's probably the most important thing for you. Yes.

Kaushal: I think you have made a CCI approval in March. So that's the only thing that's pending, right?

Rajeev Varman : Yes. I already answered that, yes, we are waiting for that.

Moderator: The next question is from the line of Anuj D from Antique Stockbroking.

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Anuj : Congrats on a great set of numbers despite the macro headwinds that we are seeing. My question is mainly regarding the gross margin. We've seen excellent gross margin expansion year-on-year. Could you give an indication as to how much of this has come from the product mix and the other part from sourcing efficiencies, etcetera?

Rajeev Varman : Yes. So it's hand in hand, right? I mean we have done a target that was 2 years out in this year as we kind of exited the year at over 70%. Of course, we will share with you our new targets in the near future where we want to take this. But it's a disciplined effort. See one of the most key things in this business is to stay disciplined on your strategy.

And we have stayed disciplined on it. So one of the elements of our strategy is to bring the food close to the restaurant, right? So that is helping in a big way our transportation and bringing in additional suppliers, also brings down costs. So that is working very effectively.

And a lot of our progress is based on that. The cluster strategy that Sumit was talking about helps this food closer to the restaurant because as we build restaurants in the clusters, we are able to support new suppliers in those areas. And that's a constant effort and it's a significant part of where you see this gross margin moving.

Product mix, Kapil spoke about building the premium layer and that comes at a higher APC and a higher at least rupees gross margin. That effort continues, but a lot of ancillary items that they've introduced. As you can see, the fizz drinks the new cone, the Waffle Cone, these are very high gross margin, as you can imagine, if we bring in the cost of bringing that extension on our product is very small.

It towards what we can gain on the sales price.

So those are also kind of enhancing our gross margin as well. And so it's a combined effort. We

are kind of moving in a combined way. And each element, each vertical of this element is contributing towards this progress.

Anuj: Just a small follow-up. Since you mentioned a lot of the ancillary products on the product mix, I want to ask how the deluxe range that we have become more aggressive on in the last 3 quarters. Over last year, say, how much of that would be contributing to the incremental growth in terms of SSSG, if you could quantify that?

Rajeev Varman : We don't share product mix numbers for competitive reasons. No one really does, but I can assure you that that's something that we are building on. And you will hear a lot from Kapil in the coming months on what he's going to do with that range. We don't specifically share those numbers for competitive reasons.

Moderator: Thank you. That was the last question. I now hand the conference back to the management for closing comments. Thank you, and over to you, sir.

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Rajeev Varman: Yes. Thank you very much. Really appreciate everyone joining in. Thank you for your support, your time today. Like I said, on the onset, a very, very strong business in India that continues to become stronger. We have a very disciplined plan to take this to the next level.

Our efforts not only on bringing in consumers on the top line, but also our efforts in making sure that at current volumes, that we produce more EBITDA at the restaurant level. Those efforts continue. We have a very focused approach, continuing focused approach on Indonesia. And you will hear more as we align with the new promoters coming in, how we're going to do. Hopefully, we can get some kind of a time line picture to you as you can appreciate that while we all want to solve it very quickly, these things do take time because it's not a market that has been friendly for the last few years.

The good news is that market has opened up. The local issues that were there have kind of subsided and gone away. It is a tough market still, but I think the progress on the Burger King side itself speaks for itself.

Sandeep and the team is strong, and they have now got a good experience of 3 to 4 years behind their back. And they're actually making some very good sharp decisions in making sure the business move forward.

The focus over there will now be to make sure that the delivery volumes that are sitting at about a 6.1 million climb to about 7 million, 7.5 million at that kind of volume and with the current dine-in BK sales, I think that's a massive improvement you will see in restaurant-level EBITDA. And hopefully, we will see towards, not this current year, but the year following that, we will probably be able to cover the G&A with the margins coming out of the restaurant. So a strong business in India and stay tuned on Indonesia. Thank you very much for joining in. I appreciate it. Thank you. Bye.

Moderator: Thank you, members of the management. On behalf of Motilal Oswal Financial Services Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

(This document has been edited for readability)